

Coromandel International Ltd. (COROMANDEL)

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FUTURE POSITIVE

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National Stock Exchange of India Limited

Exchange Plaza, 5th Floor,

Bandra-Kurla Complex,

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Scrip Code: COROMANDEL

Dear Sir(s), Coromandel International Limited

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August 4, 2022

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Subject Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015 -Transcript of conference call with

analysts and investors

In reference to our letter ref. no. 2022-23/044 dated July 22, 2022, intimating about

conference call with analysts and investors, scheduled on July 28, 2022, we would like to

inform pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing

Obligations and Disclosure Requirements) Regulations, 2015, that transcript of the

conference call held with analysts and investors on Thursday, July 28, 2022, has been

uploaded on the Company's website at <https://www.coromandel.biz/investors/investor-call>

transcripts/

This is for your information and records.

Thanking you.

Yours sincerely,

For Coromandel International Limited

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Sr. Vice President -Legal &

Company Secretary

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"Coromandel International Limited's Q1 FY'23 Earnings
Conference Call"

Hosted by Phillip Capital

July 28, 2022

MANAGEMENT : MR. SAMEER GOEL – MANAGING DIRECTOR,
COROMANDEL INTERNATIONAL LIMITED
MS. JAYASHREE SATAGOPAN – CHIEF FINANCIAL
OFFICER, COROMANDEL INTERNATIONAL LIMITED
MR. MAYUR GANGWAL – GENERAL MANAGER,
FINANCE, COROMANDEL INTERNATIONAL LIMITED
MODERATOR : MR. HARMISH DESAI – PHILLIPCAPITAL (INDIA)
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Coromandel International Limited Q1 FY'23 Earning Conference Call hosted by PhillipCapital (India) Private Limited. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Harmish Desai from PhillipCapital (India) Private Limited. Thank you and over to you, sir.

Harmish Desai: Thank you, Michelle. Good afternoon and welcome to the First Quarter FY'23 Earnings Call of Coromandel International Limited hosted by PhillipCapital. From the management, we have Mr. Sameer Goel -- Managing Director; Ms. Jayashree Satagopan – CFO; Mr. Mayur Gangwal – GM, Finance.

I would like to thank the management for giving us the opportunity to host this call. We will begin the call with opening remarks from the management, post which we will have a Q&A session. Thank you and over to you, sir.

Sameer Goel: Good afternoon, everyone, and thanks, Harmish for organizing the conference call. I'll first give an overview of the business environment experienced during the quarter, followed by company's performance and then we'll have the Q&A.

Firstly, to touch upon the global economy. The global economy as all of us know is experiencing a slowdown with 2022 growth estimate lowered to 2.9%, last year it was 5.7% on top of a COVID season. One of the reasons has been the tightening of monetary policy including interest rate hike and the strengthening of dollar against major currencies have resulted in driving inflation pressure across economies. Further, there has been impact of the protectionist policy by some of the countries causing supply chain disruption.

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The agriculture continues to be perform well. The food price index remains at healthy levels. Of late, there have been slight softening in commodity prices from the peak levels.

Going forward, the geopolitical uncertainty also by the Ukraine war, partly COVID flare-ups and the steps taken by various governments, rising commodity prices, fiscal stress and monetary tightening can have an impact on the economic recovery. It is a VUCA world out there.

I think Indian economy has still done better. It is progressing well though the growth rates which have been slightly revised downwards. Q1 GST collection were buoyant at 4.5 lakh crores, up 37% year-on-year.

India started its vaccination program from Jan 2021 and has now administered more than 2 billion COVID vaccinations. With the vaccination program having covered the bulk of the population, the economic momentum is building up and India is likely to remain the fastest growing large economy in the world.

Major headwinds are around rupee depreciation, inflation around 7%, and of course the energy prices which needs to be closely watched.

Coming to Indian agriculture, as all of us know, the southwest monsoon is progressing well and is currently at 111% of the long period averages. There was initial shortfall and a rapid rain in the month of June which has actually impacted the sowing season and it got pushed outwards. However, there was a very strong recovery made in the month of July, especially in the markets in

which we operate. The reservoir levels currently stand at 155% of long period average, last year it was around 143%.

One good news on the agriculture front is India is feeding the world and the agriculture exports is up by 18%, signaling resilience of the Indian agriculture. The crop sowing as of 15th of July remains more or less at the last year levels with gains in pulses,

cereals, oil seeds and cotton. However, there is a shortfall

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or a delay in planting of rice, which is the main crop for kharif. During the quarter, MSP of kharif 2023 was announced which had an increase of 5%. Currently, agriculture commodity prices across board remains favorable and are operating above the MSP levels, partly also got to do with the demand even coming from the export markets.

There's been increased thrust on the agtech side with industry and government working together to promote dissemination of technology in agriculture. These are areas like drones, mechanization, new tech fertilizer like nano, solar and coated release fertilizer and organic fertilizer including SSP is being promoted by the government.

We will have four consecutive years of good monsoons and with that agriculture continues to be a sweet spot in the Indian economy, especially in the markets in which we operate.

Coming to the fertilizer industry performance, Global supply shortage of key commodities continue in Q1 and have resulted in higher prices and delay in receiving shipments. The industry witnessed higher prices of key raw materials due to the supply disruption caused by Russian-Ukraine war and also emergence of COVID wave in China and the protectionist or regulatory policies being followed in China. However, in the last few weeks, we are seeing signs of cooling of some of the raw material prices. The government from its side has done well in terms of ensuring that raw material is made available, including having certain deals with Russia to ensure at least some of the critical raw material is made available to the farmers here and also having some long-term tie-ups with other nations to use their diplomacy. For the quarter, DAP + complex fertilizer industry primary volumes were up by 23%. Currently, it is at 53.8 lakh MT versus 43.7 lakh MT last year. This is largely due to the higher Imports of DAP.

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While the government has announced increase in subsidy, there was some delay in payments of NPK in Q1 which has impacted the cash flows of number of companies; however, urea subsidy has been paid on time.

Like I said, the NBS rates for '22-23 were announced on 27th April 2022.

Subsidy approved by the cabinet for India's kharif season 2022 which is the period up to 30.9.2022 will be around Rs.60,939 crores including the support given to SSP through freight subsidy and additional scope for indigenous manufacturing and imports of DAP. This is quite unprecedented as per the requirement of the industry. While the full year subsidy budget has been over 2 lakh crore, the requirement could be 2.5 lakh crores.

Coming now to Coromandel's performance, despite all these uncertainties in the international market, Coromandel has displayed a strong performance during the quarter, registering good growth across the business segments. I'll mention this is quite creditable given the uncertain business environment, the geopolitical uncertainty, supply chain disruptions and firm raw material pricing scenario.

We registered a revenue growth of 57% during the quarter, driven by both nutrition and crop protection business. This was due to also the higher subsidy which was available leading to the turnover growth and also in the non-subsidized business, we were able to pass-through the raw material prices cost.

Our main aim at Coromandel was that agriculture inputs are made available to the farmers in its key operating markets and also continue to promote balanced nutrition including organic fertilizer which helps to rejuvenate the

soil and improves farm productivity.

Coming to segment performance, the nutrition and allied business segment revenue increased by 66% during the quarter. Company's thrust to provide specialty fertilizer and greener solution to farmers has gained

momentum in

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the market and have registered a very good growth in both our specialty nutrition and organic products.

On the sales front, in Q1, DAP and complex volumes were at 7.3 lakh tons, slightly lower than last year, which was at 7.8 lakh MT. Manufactured DAP and complex volume were lower by 10% during the quarter since we had deferred some of the sales to Q2, mainly to be in sync with the delay in sowing season due to the delay in monsoon in the month of June. Imported product volumes was higher by 170% during the quarter.

Company market share in Q1 for DAP and complex was at 13.5%, previously it was at 17.8%, mainly got to do with the fact that the season has got delayed in our market. The lower market share also was due to the industry growth in DAP.

In the NPK or complex segment, our market share improved from 27% to 28%. Our single super phosphate in Q1 sales was 1.6 lakh MT versus 1.86 lakh MT last year.

Our primary market share was slightly down at 11.9% from 14.3% last year for the same quarter. We had some availability and production issues of the rock during the Q1.

Commercial and sourcing teams did very well to ensure timely availability of raw material to enable continuous production at our manufacturing plants.

During the quarter, our DAP and complex fertilizer plants operated at 91% capacity and produced 7.9 lakh MT of fertilizer, up by 32%. This exudes well for the coming Q2's kharif season.

Our phosphoric acid production continues to remain high during the quarter, with a growth of 27% at 1.12 lakh tons.

Our key CAPEX projects are progressing as per plan. The work on the sulfuric acid plant is progressing well and the commissioning of the plant is expected

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in Q1 FY'23. This is part of our backward integration and to ensure that we have our own sources for raw materials.

Given the high demand for SSP, the company has enhanced SSP facilities, and we are very happy to say that we have restarted the Hospet plant in Karnataka and also the plant in Pali in Western Maharashtra.

We have also taken up production of Kothari plant and 10,000 MT was produced during Q1.

The merger of CSQM into Coromandel has been completed during this quarter. With this, the business of CSQM has been fully integrated with our specialty nutrition business and we are looking forward to building up both capacity and also having a common warehousing.

Our technology team is working on new tech products like customized fertilizer and nano to enhance the productivity of nutrients.

We are expanding our network of nutri clinics which are supporting the business in promoting balanced nutrition and market development initiatives.

For our specialty nutrition business, we have conducted drone trials for spraying application and the results have been very positive.

Coming now to the crop protection side, our crop protection business registered a modest growth of 5% in revenue for the quarter with good growth coming in from the domestic market. There was some tightening we had faced in the export markets. The increase in raw material costs and a lag in cost and pricing has impacted slightly the margins during the quarter.

We are very happy to announce that four new combination products have been launched in the quarter; three of these are insecticide and one is a fungicide. This is strengthening the company's portfolio towards newer and safer chemistry. The initial response has been very encouraging. The business

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has built a rich product pipeline backed with strong R&D capabilities and is partnering with global innovators to further strengthen its product offering. On the manufacturing side, CPC plants operated at 60% during the quarter compared to 79% last year. We were utilizing some o

f the products which

were produced in Q4 of last year.

Work has been initiated for building a new multi-product plant for manufacturing of fungicide at Ankleshwar during this quarter.

Like in our specialty nutrition, the company has successfully conducted spraying activities in the farmer fields with crop protection products and have finalized ten products for regulatory guidance.

Our retail network did extremely well during the quarter with focus on non-traditional crops and providing all-round agriculture solutions including products farm advisory and mechanization service. Business has improved its operational efficiency and has leveraged technology to reach out to the farmers.

We are very happy that with the help of technology and better negotiations, our retail business has a negative working capital.

Coromandel continues to invest strategically. During the quarter, we invested in a rock mine in Senegal which is Baobab Mining (BMCC). This will help to diversify rock sourcing and strengthen our backward linkage. These mines can meet one-third of Coromandel phosphatic rock requirements.

We have also started investing in agtech startups. The first one was Ecozen, which provides renewable energy based technological-led solutions for agriculture.

They have installed more than 50,000 irrigation pumps, 350 solar cold rooms till date in India and abroad.

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We have also invested in a biotechnology start up called "String Bio" which basically uses ammonia and methane to develop fermentation based products targeting agriculture, animal, and human nutrition. They have developed several ready-to-market biostimulant products.

As we had mentioned last time, our digital transformation journey continues.

We have made significant steps in the last one year with the adoption of business intelligence dashboards, salesforce productivity tools and robotic process automation in our manufacturing and our supply chain which has helped to improve processes, efficiency and forecasting capability within the organization.

We are witnessing adequate monsoon coverage and higher reservoir levels which augur well for not just kharif, but also for rabi in our key operating markets.

We are ensuring timely availability of agri inputs to the farming community through a vast dealer network and our retail network.

Coromandel with its diversified presence in agriculture value chain will continue to provide balanced nutrition and integrated pest management solution to maximize farm productivity.

I'll now hand over to Jayashree to talk about company financials. Over to you, Jayashree. Thank you.

J Satagopan: Thank you, Sameer. I will now proceed to provide an update on the company financials. As far as the turnover is concerned, the company recorded a consolidated total income of Rs.5,783 crores during the quarter vis-à-vis Rs.3,686 crores in the same quarter prior year. This registered a growth of 57% for this quarter.

Nutrients and Allied businesses contributed to 89% share, the remaining 11% comes from the crop protection business for the quarter.

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Company's subsidy non-subsidy share of business stands at 83% and 17% during the quarter, previous year it was 76% and 24%.

Consolidated EBITDA for the quarter at Rs.687 crores against Rs.486 crores of last year.

Moderator: Ma'am, I would request you to again repeat what you said just now as your voice was breaking in the middle.

J Satagopan: On the profitability front, the consolidated EBITDA for the quarter was Rs.687 crores against Rs.486 crores in the last year.

In terms of subsidy, non-subsidy, the share stands at 78% and 22% during the quarter, during the previous year it was 75% and 25% respectively.

The net profit after tax for the quarter was Rs.499 crores. This is in comparison to Rs.338 crores for the corresponding quarter last year.

As regards subsidy, during the first quarter, company received Rs.136 crores towards subsidy receipts. The comparative figures of last year were Rs.493 crores. Subsidy outstanding as on 30th June 2022 was at Rs.2,731 crores versus Rs.1,149 crores during the previous year.

During the quarter, the company earned net interest income. This income excludes the Ind As adjustments of Rs.22 crores vis-à-vis the interest income of Rs.12 crores in the same quarter last year.

The company has maintained its surplus funds in board approved securities, and these have been earmarked for specific growth-related investments in both organic and inorganic. The company has taken short term borrowings of Rs. 1535 crores primarily to fund the working capital requirements.

On the foreign exchange front, as we have all seen, the rupee remained volatile and was in a very broad range of Rs 75.95 to Rs 78.96 to a dollar.

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Coromandel continues to follow a conservative approach in line with the hedging policy that has been approved by the board and the FOREX exposures have been covered and the portfolio managed well.

The company has got a reaffirmation of the credit rating from CRISIL at AA+ during the quarter.

We thank you all for your interest in Coromandel and joining us in call today.

We can now open the session for question-and-answers.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: Three questions from me. One, would it be fair to presume that a material amount of your profitability this quarter could be attributed to your phos acid integration and your sourcing of rock phosphate? The second is if I can get a broad split of the inventory as on 30th June 2022 between finished goods and rock? And the last, what would be the inventory that may have been dispatched before the year-end and which was probably in channel at the end of April?

J Satagopan: Thanks, Tarang, for your questions. The margins for the quarter obviously have been contributed by the backward integration strategy of Coromandel with the PAP plant-I and II at Vizag being fully operational and currently the team is also working on additional debottlenecking if possible. While the backward integration has given us the fill in the margins, it is also to be noted that there are other areas where the company continues its focus like smart sourcing where the commercial team has looked into various sources of raw materials and ensured timely availability. I think the flexibility that the manufacturing teams have exhibited in processing different grades of rocks and acids have positively contributed to the margins. This is as far as fertilizer is concerned. While we covered a portion of the manufacturing and the commercial capabilities of the company, equally, we have seen that the logistics and the supply chain team over the last couple of years have

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managed on reducing the freight related costs. You would see that despite the increase in the freight rates that we have seen globally, we've been able to sort of manage it quite well. It's a combination of all these including

tightening up on the fixed costs. All of those helped in Q1.

Sameer Goel: We are also aided by good performance in non-subsidy business. Specialty nutrition continues to do very well, organic, and also crop protection. So, all this is adding to the profitability of the company.

J Satagopan: I do not have immediately hang of the inventory value between FG and rock. The channel inventory numbers, I think we can give it to you offline.

Sameer Goel: But the position is much better than the past year, the channel inventory is there, and we are waiting for the season this year. That's

going to help us.

Tarang Agrawal: Just a follow up. In crop protection, did we see volume growth in Q1 FY'23 versus Q1 FY'22?

J Satagopan: Amongst different molecules that we had, in a few of them we have seen a volume growth.

Sameer Goel: The businesses like domestic formulations and India B2B saw volume growth. There were some pricing pressure on the export market.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.

Bharat Sheth: Sameer, my first question is related to the change in the mix of the business.

See, normally in Q1 DAP used to remain very high vis-à-vis complex, then last year and this year we have seen that DAP volume has been substantial, almost 50% of what was two years back. So, can you give little more color and is that also is helping us in improving our EBITDA per ton? And all the benefit of this backward integration that you spoke about, sulphuric, then phosphate, when that will start really playing out, and some color, what additional contribution per ton we can have?

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Sameer Goel: I'll answer your first part on complex. As you know, we are a balanced nutrition provider. DAP is mainly high on phosphate and also on nitrogen which is in a way not required for the crop and mainly it's a product for the North and Central market. Even there, as part of our foray and also as part of government to reduce the dependence on imported DAP, they are promoting now single super phosphate. The government is also promoting SSP because most of its raw materials are available within the country. And that's the reason we have seen a spurt in the demand of single super phosphate. The surge in demand has been the pricing cap on DAP for which the government wants to ensure affordability to the farmers, and that's the reason why you see the Q1 sales of DAP going up while for us our season will begin now in Q2. In NPK, our market share has also improved.

J Satagopan: The second question is in terms of what would be the EBITDA per ton margin the guidance that you wanted to understand from us. I think it would be in the same range of Rs.4,000 to Rs.4,500 per MT at least for the current year, right, because there are several headwinds that the industry is facing, and the company is facing. We have seen the raw material prices have been very high and of late we are seeing some sort of a softening happening which is primarily for urea as well as sulphur. Phos acid is still high, ammonia is going even higher. So, there are quite a bit of headwinds at this point in time. Our backward integration will help to offset some of these. Having said that, Rs.4,000 to Rs.4,500 is something that we can definitely look at for the year and if there is any opportunity, the company will try to see how we can maximize and improve it further.

Bharat Sheth: Sorry, Jayashree, my question was I mean the backward integration, other process that is sulphuric acid and acquiring a rock phosphate mine, when that will start playing out and how much additional contribution can come from there?

J Satagopan: Now, on the sulphuric acid plant, it is going to be commissioned in next year around the first or second quarter. The plant has been progressing well. Work is going on full stream. As we had indicated earlier, the main purpose of

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setting up the sulphuric acid plant is to ensure supply security, because today we are importing, we can't have that high level of import of sulphuric acid into

the country. Coromandel is a larger importer of sulphuric acid. Therefore, it is more of a supply chain security and once we have part of the acid coming from our own plant, it will also help us better in negotiation. So, that's the way I would look at sulphuric acid plant that is coming up in Viz

ag. On the

BMCC mine, as I was mentioning in the last conference, we do take about three years for us to get the maximum throughput from the mine. We have started commercial production. We have received from them. There is good amount of work that is required to ensure there is scale up happening so that we can get the maximum out of it. The cost of mining also will be determined during this period. So, based on that, definitely, we will get a benefit. But more importantly, having our own source of getting rock will also help us to negotiate better with the other rock suppliers.

Moderator: The next question is from the line of Vidit from IIFL Securities. Please go ahead.

Vidit: My first question was on the EBITDA margins of the nutrient and allied business. So, there have been companies that have reported numbers who've made one-time benefits from inventory that is sold post-March and higher subsidies realization on that inventory. Would you be able to quantify what the number for Coromandel would be in this quarter and has that driven such a high performance in the business?

J Satagopan: In terms of the additional subsidy that comes in from the government on the opening inventory, this primarily happens when there is a point-of-sale or the final liquidation that happens from the retailers to the farmers. Moreover, during the quarter as we read out, the subsidy disbursement from the government has been very low. We received somewhere close to about Rs.136-odd crores of subsidy only during first quarter. And the revenue recognition principles are primarily based on when the sale happen, right. So, the sales for all of this happened last year. The subsidy was recognized based on last year rate. As and when the POS acknowledgement happens and more

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importantly the subsidy received from the government, then there could be a benefit that will come on account of the channel inventory. Partly it has come, partly it will come in Q2 if I were to respond to you.

Vidit: Just in this new MPP plant for which work has begun at Ankleshwar, what is the expected CAPEX, and can you just shed some light on over what phases and what is the revenue potential could possibly be?

J Satagopan: So, what we are doing in Ankleshwar is we are also repurposing some of our existing plants and this multi-purpose plant for three fungicides would be operational from the fourth quarter of this financial year. And for this year we are expecting between Rs.20 to Rs.40 crores of technical sales from this multi-purpose plant. The CAPEX is around Rs.25 crores at this point in time.

Vidit: This is for this year itself and are you expanding further in FY'24 as well?

J Satagopan: I've given you the revenue number for this year. As we go along on full year basis, the numbers are expected to be higher and there is also opportunity to formulate and sell in the domestic market. So, this is purely for the current financial year.

Moderator: The next question is from the line of Vishnu Kumar from Spark Capital. Please go ahead.

Vishnu Kumar: Wanted to understand firstly on the pricing that you mentioned on DAP and other NPKs which is causing distortion in the demand structure between DAP and NPK. Given this backdrop for the rest of kharif and let's say even for the rabi season, would we start switching more production towards these products or we'll continue to only be on NPK side because generally we have only 2%, 3% of DAPs which we manufacture?

Sameer Goel: Our focus will be on NPK because that's the demand which is there in the market. One of the things which we will be doing is to promote the low-P grades which the farmer wants. So, that's something which we will continue which are also attractive. Some of the grades which are High P, as and when

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the demand improves, we will

I be producing. The strategy will be towards NPK.

Vishnu Kumar: My second question is in the past you mentioned that if we want to consider further capacity expansion in the fertilizer business, we will probably keep looking for more sources internationally and probably backward integrate. Have you almost reached there in terms of what we want to achieve, and can we expect some kind of a further capacity expansion in the fertilizer? And also, if there is any large program that you have in the agrochemical, if you could help us understand, essentially because we have a substantial cash that we have built in, just trying to understand that in the next couple of years should we expect the large deployment in both the businesses?

J Satagopan: Vishnu, the focus currently is in terms of three things. One, completing the backward integration at Vizag. We've completed the PA. Now we have to get SA also completed timely. Second, we are looking at the investment in BMCC which is our mine in Senegal and getting the mines fully operationalized, because that is going to take some time. We are new into the mining business. We have a strong partner there. We will have to see how the mines are fully used up and we're able to get the rock supply as we have contemplated. Third, we have two JVs – TIFERT and Foskor. There is enough to be done at these two entities to ensure that they are fully operational. For some reason or the other, they have been facing some challenges either due to availability of raw material or some social unrest issues say for instance in Tunisia. The focus is to have our people there, help these JVs turn around. So, these are the top three priorities at this point in time for the fertilizer business. Having said that, there is some debottlenecking opportunities that have been identified which could definitely add to our capacity at both Kakinada and Vizag. I believe this can come all the way up to 2 to 4 lakh tons of finished goods. And more importantly, on the single super phosphate, we have seen an additional demand that has been coming in and there we have expanded our capacity, moved more into granulation. The new lease facility at Ennore is fully operational now. Finally, we have revived the plant which was shut down for almost five years. Production has commenced last month. We are also

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contemplating what needs to be done at our plant at Raebareli. So, the strategy is to see how we can provide more of single super phosphate with a lot of enhanced nutrition in it. Very recently, our R&D teams have also come up with a new variety of activity where it can combine base SSP with say for instance nitrogen which can be very helpful for the soil. So, that is also being contemplated. So, that's the plan as far as fertilizer is concerned. On the crop protection front, work on the MPP has been initiated as per our earlier plan, it should get completed in the fourth quarter of this year and will be fully operational. The business is also looking into another MPP which would be mostly for herbicide. We are currently working on the proposal. There, the investment could be Rs.200 to Rs.300 crores. So, that's something that we're working on. Apart from this there is also plans to see how we can expand our biopesticides. So, we are looking at not just seed but also fruits and also sourcing from different markets. So, there is likely to be capacity expansion and also some footprint expansion. So, these are the current areas that we are working on.

Sameer Goel: And also, to add to what Jayashree said, our specialty nutrition and also organic, the whole aim is to strategically instead of relying on grades which mainly comes from importing the products from China, we are looking at how we can get the full value from these products. So, those plans are already in place. We have also put up a liquid fertilizer

pilot plant. Initial results are very good, and we'll be setting up some new technology products soon as and when the trials are completed. So, you watch this space.

Vishnu Kumar: If you could just give us the inventory gain if any this quarter?

J Satagopan: We can take it offline.

Moderator: The next question is from the line of Resham Jain from DSP Investment Maanagers. Please go ahead.

Resham Jain: Just two data points. One, you used to give these two numbers, claim pending to be acknowledged but pending claims, just these two data points.
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J Satagopan: Acknowledged and pending claims?

Sameer Goel: We couldn't get the question properly.

Resham Jain: Just two data points. One is the claims pending to be acknowledged and another is acknowledged but pending to be received?

Sameer Goel: This is on the subsidy side?

Resham Jain: Yes, subsidy side.

J Satagopan: The receivable in the channel stock end of June was around Rs.2,000 crores because this is yet to be acknowledged. And then on the claims that we have made and pending with the government is about close to Rs.500 to 600 crores.

Resham Jain: Also, ma'am on the CAPEX side, what is the total planned CAPEX for this year FY'23?

J Satagopan: In FY'23, we are expecting close to about Rs.800 to Rs.900 crores.

Resham Jain: Is it possible to give a breakup between fertilizer and others?

J Satagopan: Fertilizer would be about Rs.600 to Rs.650 crores. This includes sulphuric acid plant, it includes the work that's happening, all the SSP plants and then the normal capital expenditure that happens on a year-on-year basis and then there is a CAPEX that is being planned for crop protection chemicals, this is about Rs.150 to 200-odd crores.

Resham Jain: As the other participant also was asking on the new capacity addition on the fertilizer space itself, because what we are seeing since last maybe four years the amount of cash generation versus the amount being deployed in the business and there has been a continuous cash generation which is in a way impacting our return ratios, so if you can just highlight because this year also the cash generation versus your CAPEX... you will still generate free cash flows
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and you already have a large amount of cash sitting on books, so if you can just explain what is the thought process on the capital allocation side?

J Satagopan: As I was responding to Vishnu Kumar, our current process is to strengthen what we have and until we have further sources for our fertilizer bulk business, I don't think it will make good economic sense to add capacity. At the same time, debottlenecking efforts are going on, it is not only for the granulated products, but this is also for our phos acid plant. As I mentioned that could release about two to four lakh tons of additional capacity, that is what is on the anvil at this point in time. Having said that, the future for fertilizer is also going to be in more novel products; it could be liquid fertilizer for instance or nano fertilizer or coated fertilizer. That is where our R&D team is currently focusing on. Last year, we had set up a liquid fertilizer plant in a small scale and we have had a couple of products that have been introduced out of it. We are currently undergoing testing for a few other products and as they get approved, we should be in a position to see how we can scale up some of these liquid fertilizer plants because these are going to be the future products as far as we can see it going. Having said that, on the crop protection, there are plans to set up couple more MPPs, and as we alluded in the past, we are also actively looking for any inorganic opportunities which would be complement to our business. We evaluated a couple of them, doesn't look very interesting. We are looking for opportunities

in the bio space, not

necessarily in bio pesticides, but overall as a bio product portfolio. So, these are some areas where we are looking at deployment of our capital. As we mentioned in the past, from a capital allocation, there would be a bias for our growth engines which would be the non-subsidy businesses, namely, crop protection, bio, specialty nutrients.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: One was I was hoping to hear your thoughts on the prospects of these nano products that are now hitting the markets. You alluded to it a brief while ago.

The government seems to have very big plans for nano urea they're talking
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about potentially using 20 million tons of manufactured urea in India. Do you see these products getting a very large scale of adoption from the farming community, not just in urea but possibly even in DAP, and is this an opportunity or could it also be a threat for established large companies?

Sameer Goel: I think it's a very good question. It's early for nano and particularly what has been introduced in the market. Obviously, the trials are going on. It also requires selling to the farmers. On our side, we have developed through our research and development network, our own nano DAP, and this is as part of the registration process will be given to the government. Now it's getting evaluated there. The research which we have done in the universities now look promising. Particularly in areas where they just introduced a rational use of both urea and phosphates as such. We do not see this as any threat and this is not just nano, as Jayashree was alluding to, we are looking at coated fertilizers, we are looking at slow-release fertilizers which we have already done successfully in our business. The whole idea is to have more crop and profitable and this is what on liquid fertilizer also. Now, quite frankly and we have a full agro team which works with the farmers. The way it looks like is the farmers think it's only bulk fertilizer and mainly given through...and I will come to that separately, but maybe given through the roots which helps the plant. We have seen with our products and especially with the new products that we're launching that when you do a foliar spray and I am practicing in farm myself, the absorption is almost as compared to given in the roots as much as 70% to 80%. For example, just a case of point is in zinc, we used to give what is called zinc sulphate to the soil as a micronutrient and there the absorption, which is widely used in the industry, the absorption is only 5%. While our Novozin and our products, the absorption when we give the foliar application is almost 70-80, and that's what Jayashree was alluding to, is the new generation products which will help us to get the next level of green revolution, and this includes of course integrated form of practice. But what it requires is to change the concept of how the farmers look at things and there we are also working on application technology. And that's why we mentioned that we are looking at how we can use drones for both our crop

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protection and also specialty nutrition and the trials have been quite successful. We are going to scale it up and looking at even investments on that account. With our Yanmar products will be used, site transplanters, we are developing coated fertilizers which are biodegradable so that they can go into the rice transplanter which is the application to drive next to the roots. And again, the absorption is very, very high. So, that is something which the Indian agriculture or fertilizer has to move. And like I said is that we have the largest range of grades, we have now grades which is crop specific because it's like any human nutrition, e

ach person doesn't require the same type, but the basic needs are there, but then it is the secondary and the micronutrients which will make all the difference. And that is something which we are working towards with the agro team. I mean, recently we are going to even get into urban gardening and specialized grades have been developed into that. And we have grades which are crop wise to help to get better productivity from crops. So, I hope that answers your question. We can also take it offline.

Abhijit Akella: The other one was just with regard to the investments in the couple of startups that we have made. I was just hoping to hear your thoughts on the opportunities you see for these fledgling companies and what excites you about their prospects?

Sameer Goel: So, the way we have done it is, we have set up our investment arm called Dare investment to basically look at startups, because it requires a totally different evaluation. We are very pleased to invest in two such start-up companies in the beginning. One of the companies which is Ecozen is into better energy

providing and even use of what is called alternate because they basically use solar energy, which is actually available in the market here, develop what is called solar power cooling systems which are highly comfortable and they are both in India and can be exported also, very low-cost solution for the farmers, but technologically superior. Now this will definitely help in post-harvest which we have seen, and we are already looking at putting in our retail network to help the farmers, especially those who have perishable crops or even into flowers and other things. At the same time there's opportunity for Coromandel International Limited

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these to be used in a neem collection, which we do from the forest, so that the shelf life of the product by the time it reaches the manufacturing plant is maintained. So, watch this space, these are technologically superior products. Same thing is this thing with string bio which are into fermentation technology, which is what we do with the bio products. And the good thing is they use ammonia and also methane to produce products for agriculture, but also for human and animal consumption. And some of these products are really superior. They have international tie-ups also. So, definitely on the agri space we are looking at how we can partner with them to help them to market their products. So, watch this space, there will be a few more which we will be doing.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: First question on the crop protection side. so, you did mention that slightly lower realization on the export front, pulling down the overall revenue growth here. If you can broadly highlight, what could be the domestic growth? Where I'm coming from is we had done a good amount of new product launches and expanded the distribution network. So, is this just a quarterly phenomenon and probably because of the delayed rain or how should one look at it?

J Satagopan: Ankur, as far as the export is concerned, there were some pricing pressures on mancozeb. So, what we have done is two things. We said we will not be reducing our margins in selling in some markets. So, that has led to a reduction in volume in export market. Having said that, the domestic B2B has been robust and more importantly the formulation. The new products that we've been introducing in the last couple of years have actually helped gain a good amount of momentum into domestic market. This year also four new products have been launched and that is actually helping us in achieving the volumes in the domestic market. In the first quarter the new product introductions have happened only in June. We expect a good traction for it in Coromandel International Limited

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the coming

peak season. That should help pull up the volume growth for domestic formulation.

Ankur Periwal: So, from a full year perspective, our earlier thoughts of maybe a high teen sort of a growth here. Is that thought intact despite slightly slower?

J Satagopan: Yes, yes, that is intact. I should also tell you that as we have seen pressure in mancozeb pricing, this also happened because there was a cost increase in the raw materials, especially CS2 and EDA. We are seeing those prices cooling. The team has proactively worked with the customers globally and they've taken some pricing actions in the market. So, all of this should help as we go along. The new technical plants that are going to come up in Ankleshwar should also contribute additionally to the revenues during the year. And as estimated in terms of high teen growth holds good for CPC. I don't see a challenge there.

Sameer Goel: One of the things we are leveraging is also now is to leverage our distribution network in fertilizer and specialty nutrition to get gain for the traction for the crop protection business, especially in the domestic market.

Ankur Periwal: And which is where we are sort of guiding a strong growth there, aided by the distribution network?

Sameer Goel: Yes, absolutely. At the same time, we have placed people in export markets,

and they are working with the customers and also crop wise solutions for these markets so that we reduce our dependence on the traded and create our own brands also. It takes some time but that's something which is there so that we are not dependent on customers who then can switch but created our brands in the export markets.

Ankur Periwal: Second, a bit on the fertilizer side. Where I'm coming from is your guidance of around 4,000 to 4,500 EBITDA on a per ton basis. So, two questions there.

One, as I understand in the initial comments, we did highlight full benefit coming in this quarter on the phos acid side as well as some sourcing led benefits which were in this quarter. So, were these benefits especially in the Coromandel International Limited

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sourcing side one-time in nature and hence we are still maintaining our earlier guidance of 4,000 to 4,500 because if I do my back-of-the-envelope working, our margins even if I adjust for the inventory gain is still much higher versus what we do last year on a year-on-year basis. So, just wanted your thoughts there.

J Satagopan: Yes, Ankur, you're right in a way. Given a lot of uncertainties in the way the RM prices are behaving, right, we're not too sure how the second half of the year is going to be. Added to it, the NBS rate that has been announced by the government is only for the kharif season. If there's any cooling in raw material prices, we will also see corresponding reduction in the NBS rate and subsidy realization. So, factoring in all of this for the full year, I think this 4,000 or 4,500 would be a good estimate. But as I mentioned earlier, the intent is to see how to grow it, and that's where all these measures in terms of backward integration, cost optimization, digitization, automation, everything comes into play. So, there could be definitely an upside, but at this point in time it is a cautious approach, because there are too many unknowns. We never expected raw material prices to go this crazy last year and it continues to be high except for a couple of commodities wherein we are saying that anything will happen. Still the Russia-Ukraine crisis going on, we don't know how the ammonia prices are going to be for the rest of the year and therefore, I think it is prudent to assume 4,500 at this point in time with definitely opportunities that could be there for further margin expansion.

Ankur Periwal: Just one clarification if I may. Sameer sir did highlight towards the nano fertilizers as well as the pilot that we are doing on the liquid fertilizer front.

Just trying to u

nderstand from a timeline perspective, is it something that one should look forward to maybe in the next one, two years or it is more medium to longer term thought or investment opportunity there?

Sameer Goel: So, the liquid fertilizer plant is already over. We have introduced this product in the market and the traction is very good. And it's a multi-purpose plant, so even nano can be made there. The whole idea is that as we find traction, we will then scale it up on that count. So, when we talk about it, I think no. As far Coromandel International Limited

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as the nano is concerned, we have filed the application and waiting for the approvals for that. But it's a different way of approving nano as compared to what it was.

Ankur Periwal: How much time does it take to set up a liquid fertilizer, so theoretically if you want to scale this up to a bigger plant?

Sameer Goel: We did the pilot and the technology team did very well in setting it up within nine months period. I think then it's a question of how much scale up we want to do. We will obviously do it in stages. So, it's not something which is very difficult. We know the technology and we have proven that we can produce very good products.

J Satagopan: The first pilot plant that we set up for liquid fertilizer took us about nine months or so and we plan to set up the future plants on a modular basis. So, as we get the new products approved, we don't see it as a challenge.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Sameer Goel: So, firstly, thanks everyone for joining in. Appreciate your interest into the

VUCA world. But I think what is very helpful is that the monsoons have so far, and we still have to wait for the August month, but so far have been very good. This will also help the reservoir and also flow of water through the channel and also will help the rabi season. I think Coromandel is also with the government in meeting the requirement of the country to make fertilizer and agri input products available to the farmers in the crisis, which is happening, got to do with the war which is there. And there our procurement and our manufacturing team have done exceedingly well to make availability which is the key to the farmers. The good thing is with our diverse portfolio and also with crop-specific products, we are able to then manage on how to meet the demand and the needs of the farmers to promote balanced nutrition. And the investment which we have done in backward integration like we see is paying dividends to that extent so that we are not dependent.

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And overall, I would like to compliment everyone in a crisis like we are in globally, I think India and the government across whether it's the center or the states have done exceedingly well not to have the type of food crisis which our neighbors are facing. So, just a compliment to everyone. I think as Indians we should feel very proud of it. It's now 75th year of Independence. All the very best. Thank you.

Moderator: On behalf of PhillipCapital India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

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Dear Sir (s),

Subject : Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulation s, 2015 – Transcript of conference call with analysts and investors

Further to our letter ref. no. 2022 -23/0 65 dated November 01, 2022 , intimating about the conference call with analysts and investors, which was scheduled on November 4, 2022 , we would like to inform that transcript of the conference call held with analysts and investors on Friday, November 04, 2022 , has been uploaded on the Company's website at <https://www.coromandel.biz/investors/investor-call-transcripts/> , as r equired p ursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

This is for your kind information and record .

Thanking you .

Yours sincerely,
For Coromandel International Limited

Rajesh Mukhija
Sr. Vice President - Legal &
Company Secretary
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"Coromandel International Limited
Q2 FY2023 Earnings Conference Call "

November 04 , 2022

ANALYST : MR. ANKUR PERIWAL - AXIS CAPITAL

MANAGEMENT : MR. SAMEER GOEL – MANAGING DIRECTOR -
COROMANDEL INTERNATIONAL LIMITED
MS. JAYASHREE SATAGOPAN – CHIEF FINANCIAL OFFICER
- COROMANDEL INTERNATIONAL LIMITED
MR. MAYUR GANGWAL – GENERAL MANAGER FINANCE -
COROMANDEL INTERNATIONAL LIMITED

Page 2 of 17 Moderator: Ladies and gentlemen, good day and welcome to the Coromandel International Limited 's Q2 FY20 23 Results Conference Call hosted by Axis Capital Limited. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone telephone. I now hand the conference over to Ankur Periwal from Axis Capital. Thank you and over to you Sir!

Ankur Periwal : Thank you. Good evening friends and welcome to Coromandel International Limited's Q2 FY2023 Post Results Earnings Call. The call as usual will be initiated with a brief management discussion on Q2 and H1 performance followed by an interactive Q&A session. Management team will be represented by Mr. Sameer Goel - Managing Director; Ms. Jayashree Satagopan – Chief Financial Officer; and Mr. Mayur Gangwal – GM, Finance. Over to you Sameer Sir for the initial remarks !

Sameer Goel: Good afternoon everyone and thanks Ankur for organizing the conference call. On the global economy - The global economy is expected to slowdown from 6% in 2021 to 3.2% in 2022 and 2.7% in 2023 . It is facing several challenges , inflation higher than witnessed in several decades, tightening financial conditions in most regions and resulting calibration of monetary policy. I think the main issue is the strengthening of the dollar against major currencies and the Russian - Ukraine war is weighing heavily on the global economy 's future health . A bit positive news on the agriculture side the food price index has declined to 136.3 in September of 2022 sharply lower than the record high of 159.7 in March . Also the commodity prices which were high globally have seen soft

ening.

Coming to Indian economy most of you would know Indian economy is progressing better though the growth rates have been revised downwards and India is likely to remain the fastest growing large economy in the world. The tax collections have been buoyant reflecting all -round performance of the economy. The headwinds of rupee depreciation, high inflation and of course energy prices these need to be watched. The good news is the Indian agriculture continues to be in right path. India received the fourth consecutive year of good monsoon. Southwest monsoon was 106% of the long -term average . South and central parts of India where we operate received excess rainfall. While in north rains were irregular , but adequate. East had a huge deficit. The crop acreages in kharif were at 110.3 lakh hectares 1% down compared to the previous year. Here also cotton has done better but obviously there is a deficit in paddy mainly as a result of the less acreage in eastern India and UP . The northeast monsoon is expected to be normal and with good reservoir level currently at 108% of last year , we expect the rabi season to be good.

Coming to the fertilizer industry performance, the global supply of key commodities improved during the quarter and the industry has witnessed softening trends for major raw materials. The only place where we expect some hardening to happen is ammonia , a lot will depend upon how the winters are there in Europe. Domestically , the fertilizer demand has remained strong supported by good monsoons and favorable policies by the Government.

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Page 3 of 17 Coming to the quarter DAP and complex industry primary sales volume was up by 11%. Current year was 64.6 lakh metric tons where last year it was 58.5 lakh metric tons and mainly as a result of higher imports of DAP. DAP and complex fertilizer POS sales which are actual consumption went up by 6%, currently was 67.2 lakh metric tons versus 63.6 lakh metric ton last year. As I mentioned before major raw material prices witnessed a downfall trend against all -time high. The NBS rate for rabi for the full year 2022 -2023 has been approved by the cabinet. Subsidy for Rabi season will be to the tune of Rs.51,875 Crores. For year -to-date DAP and complex fertilizer industry primary sales volume was up by 15%, current year was 119.1 lakh metric tons vis -à-vis 103.4 lakh metric tons last year. DAP and complex fertilizer industry PoS sales which is consumption sales was marginally down by 1%, current year was 103.67 lakh metric tons versus 104.3 lakh metric ton previous year.

Coming now to Coromandel's performance, the company delivered a robust performance during the quarter registering strong growth in turnover and profitability with the agricultural environment remaining favorable in most of its key operating markets. Normal crop sowing coupled by favorable policies from the Government helped . Coromandel registered a revenue growth of 65% during the quarter and 62% for H1 which was largely led by higher subsidy and MRP in the nutritional business, other businesses did well even on volumes. Coromandel ensured that agri imports are made available to the farmers in its key operating markets and promoted the use of balanced nutrition including organic fertilizer to help rejuvenate the soil and farm productivity.

Specifically on the Coromandel nutritional segment performance , the nutrition and allied

business which includes our specialty nutrients and organic revenue increased by 73% during the quarter and 70% during the half year. Company's specialized nutrients and organic products registered a very good growth both in terms of turnover and profitability. We introduced a liquid fertilizer Acumist calcium during the quarter. On the sales front, in Q2 DAP complex volume was at 12

4 lakh tons 11% higher than last year at 11.2 lakh metric tons, for YTD DAP and complex volume was at 19.7 lakh metric tons versus 19 lakh metric tons last year. Manufacture DAP and complex volume was higher by 19% during the quarter and 6% during the half year over last year. Imported products was lower by 30% during the quarter and down by 14% during half year over last year. Company's market share in Q2 was 19.2% and half year was 16.5%, last year it was the same for Q2 at 19.2% and 18.4% for half year. In the complex segment market share for Q2 was 28.8% (last year was 26.6%) and H1 was 28.4 versus 26.3 against last year.

SSP Q2 sales were 2.43 lakh metric tons with a growth of 8% over last year and for the half year it was at 4 lakh metric tons. Market share for the half year was at 14.3 which was down from 16.1 last year mainly on account of a soft Q1. Our commercial team has been abreast with the latest development in the global market and has ensured timely availability of raw material to ensure continuous production at the manufacturing plant. During the quarter our DAP and complex plants operated at 107% capacity and at 99% during the half year and produced 9.26

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Page 4 of 17 lakh metric tons of fertilizer during the quarter and 17.16 lakh metric tons during the half year. Phosphoric acid production during the quarter was again at all time high of 1.2 lakh tons and H1 was 2.3 lakh metric tons.

Progress on our key capex is as per plan. The work on sulfuric acid project is progressing well and will be commissioned as per schedule. We have initiated a desalination plant at Vizag which will help to improve our operational efficiencies. To further enhance SSP facilities, the company is increasing the granulation capacities. We added granulation capacity at our plant in MP, we have also revived our Pali plant, and started manufacturing in Kothari plant at Ennore. Progress on new products like nano, liquid, customized fertilizers is as per our internal plan. With these initiatives we would continue to promote balanced nutritional approach and support the farming community. We have successfully done drone trial with our specialty and liquid fertilizers in the market and that has been well accepted by the farmers.

Coming to crop protection, crop protection business registered a growth of 1% in revenue for the quarter and 3% for the year. Increase in key raw material cost and price challenges on Mancozeb impacted domestic business to business and export business. Domestic formulation business had a very good growth with positive traction from the new products launched this year and in the first half, we have exceeded the full year target. The business has received total of 5 patents during this year. These are unique product combinations which have been developed by our own R&D team and this will do well for our crop protection business. The business is building a rich product pipeline backed by strong R&D capabilities and is partnering with global investors to further strengthen its product offering. On the manufacturing side, CPC plants operated at a capacity utilization of 53% in Q2 (last year was 77%) and 56% during the half year (last year was 78%). The main reason for this was we had to slowdown our production on Mancozeb due to the stocks which we had. However, production has been scaled up with the recent softening of raw material cycle.

The Ankleshwar plant had high capacity utilization and we are setting up a new MPP plant for the manufacture of fungicides, which has been progressing well and is expected to be commissioned during the year. We have successfully done drone spraying trials in the farmers field for crop protection chemicals. The business would be further scaling up the usage of drones.

Our retail centers operated very well during the quarter focusing on providing all-round agricultural solutions including products, farm advisory and mechanization service. Business has improved its operation efficiency and leveraged technology to reach out to the farmers. In Q2, 94% of our stores have been profitable and retail business operated with negative working capital. As part of our digital transformation journey, Coromandel has strengthened its digital data center initiatives which includes creating unified data platform on cloud, developing automated dashboards and building advanced use cases for the business. It has also created enough data for our manufacturing center. The company has taken significant steps in the last one year in the adoption of business intelligent dashboards. Salesforce productivity tools and robotic process automation has improved the process efficiency.

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Page 5 of 17 With the expectations of normal northeast monsoon and higher reservoir levels, Indian agriculture would be a bright spot. With its strengths in key operating markets Coromandel will continue to ensure timely availability of agricultural input to the farming community through our dealers and our retail outlets. Coromandel with its diversified presence across the value chain will continue to provide balanced nutrition and integrated pest management solution to maximize farm productivity. I will now like to hand over to Jayashree for the company financials.

Jayashree Satagopan: Thank you Sameer and good afternoon all. I will now provide updates on the company financials.

In terms of turnover the company recorded a consolidated total income of Rs.10,145 Crores during this quarter and Rs.15,927 Crores during the first half. The numbers for the corresponding period last year is Rs.6,166 Crores for Q2 and Rs.9,852 Crores for the first half. The company has registered a growth of 65% during the quarter and 62% during the half year. The increase in revenue has been mainly on account of higher subsidy and MRP realization in the fertilizer business which was in turn driven by high RM costs.

Nutrients and allied businesses contributed to 93% share and the remaining 7% coming from crop protection business in the quarter and for the half year it is 91% and 9% respectively.

Subsidy non-subsidy share of business stands at 89% and 11% during the quarter and 87% and 13% during the half year during the previous year it was 83% and 17% during the quarter and 80% and 20% during the half year. As far as the profitability is concerned the consolidated EBITDA for the quarter was Rs.1,058 Crores as against Rs.744 Crores last year and for the first half it was Rs.1,744 Crores as against Rs.1,229 Crores last year. In terms of the breakup between subsidy and non-subsidy business it is 78% and 22% during the quarter and same for the first half. During the previous year it was 71% and 29% for the quarter and 72% and 28% for the first half. Net profit after tax for the quarter was Rs.741 Crores in comparison to Rs.519 Crores for the corresponding quarter last year and Rs. 1,240 Crores for the half year against Rs.857 Crores last year.

On the subsidy front during the quarter the company received Rs.3,866 Crores comparative figure last year was Rs.1,671 Crores. For the half year the total subsidy received was Rs.4,002 Crores and the previous year it was 2,163 Crores. Subsidy outstanding as on September 30, 2022 was Rs.4,176 Crores vis-à-vis Rs.1,698 Crores during the previous year.

On the interest front, during the quarter, company incurred a net interest expense excluding Ind-AS interest of Rs.13 Crores vis-à-vis interest income of Rs.8 Crores in the same quarter last year. For the half year company earned a net interest income of Rs.8 Crores versus Rs.2

0 Crores

interest income in the previous year.

Company maintained its surplus fund of almost 2,374 Crores in Board approved securities and these have been earmarked for specific capex and growth-related investments. Short-term borrowings of Rs.1,279 Crores were taken to bridge the higher working capital requirement. Our company's balance sheet continues to be strong. During the quarter the company received AAA

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Page 6 of 17 (stable) rating by India Ratings and Research (A Fit ch group company) and a short term debt rating as IND A1+. Company's long-term credit ratings by CRISIL continued to be CRISILAA+ (positive) and the short-term rating at CRISIL A1+.

On the Forex front, during Q2 rupee was extremely volatile and traded in a very broad range of 78.50 to 81.95. Coromandel followed a prudent conservative approach of hedging the forex exposure thereby limiting the impact of currency depreciation.

We thank you for your interest in Coromandel and joining us in the concall today. We shall open the session for question and answers.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: Good evening and congratulations for an extremely strong set of numbers. I have a couple of questions one on the manufacturing of your phosphatics and manufacturing of SSP, as we go forward can we expect you to probably cross your phosphatic manufacturing volumes north of 3 million tons and SSP volumes north of 7.5 million tons considering the capacity constraints or the bottlenecks that you might have, so that is number one, number two if you could give us some trend on how phosphoric acid prices have moved for you in the past and what was the price for the upcoming period? Thank you.

Jayashree Satagopan: As regards the capacity for manufacturing of NPKs and SSP, your question was whether we would exceed the 3 million tons and 7.5 lakh tons of capacity. With the bottlenecking at plants and the flexibility to optimize production using different sources of raw materials, we believe that both these are possible. As far as the PA price trend is concerned, we have seen the prices shooting up from July 2021 onwards. We have seen continuous upticks till the last quarter. For instance, the PA prices were almost \$1715 per metric ton in the last quarter which eased during the current quarter to \$1175 per metric ton. So after a continuous increase in the prices, we are

seeing the raw material prices are cooling down and we expect this trend to continue.

Tarang Agrawal: Thank you.

Moderator: Thank you. The next question is from the line of Himanshu Binani from Prabhudas Lilladher India. Please go ahead.

Prabhudas Lilladher: Thank you for taking my questions and congratulations on a good set of numbers. Sir I have two questions number one is on the margin side so despite we are seeing a lower contribution of unique grades to the overall volumes while the increased volumes in the trading side of the business and what I understand is that some of the competitors have actually pushed at the number taking some inventory loss from the carry over inventory from the last year also and due to the volatility into the RM Prices from 2Q to 3Q, so there might be some component of
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Page 7 of 17 inventory loss also in that but despite that we have like pushed at this sort of EBITDA per ton in the manufactured volumes so just wanted to have a sense on how the margins profile are and how should one actually look into the EBITDA number going forward and the second question was on the capex side, so any sense or color on the capacity

enhancement into the complex fertilizer

side as in we are like we have just alluded that we are already working at optimum utilization so going forward is there any plans for enhanced capacities into the complex fertilizer side? Thank you.

Sameer Goel: You talked about the margins, basically when we do the planning, we look at which ever grades are giving us good return depending on the raw material and the conversion cost and the market rate as per the crop demand we go for that so that is how we balance. The good thing about Coromandel is we have a lot of grades to choose from and we can promote them. You said we did more traded volume, we did not do more traded volumes as far as NPK is concerned I have actually highlighted that we have done less given the higher prices, at the same time we enhanced our manufactured fertilizers. One of the good thing was we were able to source all the raw materials on time and therefore our manufacturing team is able to manufacture and that Jayashree alluded in the previous question.

Jayashree Satagopan: The other thing Himanshu that we need to also look into is the backward integration that has been undertaken which has been a tremendous help in terms of the value capture at our end. Now I will talk about the capex, the capex plan for the year was close to 800 to 900 Crores we are tracking well. All the projects are going well. Currently in the plan, we have some debottlenecking capex but at the same time depending on the market conditions we are also exploring what could be the future capacity creation opportunities. We are also looking into setting up in the coming year possibly a liquid fertilizer plant which could be used for say, the nano DAP for which we are currently going through the regulatory approval process. Work is going on in the businesses to look at capacity augmentation and future capacity creation.

Prabhudas Lilladher: Was there any sort of inventory loss component which is into the reported numbers?

Jayashree Satagopan: As we do not do so much in DAP, we do not have inventory related losses. The way the Government had set up the subsidy for DAP was anything that is manufactured during the year we get Rs.50000 of subsidy and anything which was part of the carry forward inventory of prior year, subsidy was about Rs.33000. In the last quarter, on the carry forward inventory we had recognized subsidy only at Rs.33000 and therefore there is no inventory loss component for Coromandel.

Prabhudas Lilladher: Thank you Madam.

Moderator: Thank you. The next question is from the line of Manish Mahawar from Antique Stock Broking. Please go ahead.

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Page 8 of 17 Manish Mahawar: Good evening everyone. First question is in terms of our NBS rate what the government has announced day before yesterday so how do you see the rates and our action in terms of the MRP in the market place and how do you see for the full year subsidy outgo for government as a whole and the payment to the companies?

Jayashree Satagopan: The NBS rates have been announced by the Government close to what has been announced for the kharif season and the raw material prices have been coming down. So, at an appropriate time we believe that the Government will be relooking into the NBS rates and may come with a downward correction. Having said, when the raw material prices come down and the subsidy remains at this current level, there is a responsibility for companies to see how we work through the MRP and those options are being contemplated by Coromandel as well.

Manish Mahawar: But currently what the government has announced the rate and phos acid price right now how much maybe positive, do you think MRP will be come down in this next three months the government will take time to reevaluate this number

further ?

Jayashree Satagopan: That is being worked out so possibly we will get a clarity on it in the next one or two weeks and accordingly the actions will be taken in the market. The additional subsidy out go for Kharif has been approved by the cabinet. In the month of October, we have received somewhere close to Rs. 2,200 Crores of subsidy from them and we hope during the next couple of months also they should be in a position to process and pay the subsidy outstanding to the companies.

Manish Mahawar: So by March 2023 what do you think the situation will be? Because the balance sheet as well as the subsidy outstanding has increased along with debtor number so will it normalize by March 2023 balance sheet time ?

Jayashree Satagopan: I think so because during last year, the government had paid subsidy money almost all through the year, this time also they have taken approvals from the cabinet and I do not see a reason why subsidy would not get paid.

Manish Mahawar: Second question in terms of production capacity which is the earlier question also asked about so what type of because right now how much of a production we can do because we have done a lot of debottlenecking in our NPK plant so what is the optimal production we can do in the existing capacities in terms of NPK I am talking about or DAP?

Sameer Goel: We can continue to do even more production. A lot also depends on how we take annual turnaround. This depends on number of factors which includes the demand in the market but more importantly when we look at the safety of our plants and equipment. So that is something which we will take a call closer to the time when it is a non-season.

Manish Mahawar: But any number you can say maybe 32 lakhs ton or maybe 35 lakh ton what type of number we can manufacture on an annual basis?

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Page 9 of 17 Jayashree Satagopan: I think we should be able to do between 32 and 33 lakh tons. As Sameer mentioned there are two

factors that could come in - one is the mix that we adopt, there are going to be certain products where the throughput is going to be much higher. If we are going to do too many products and we do constant changeovers that is going to have its impact. Also, there are certain products where the throughput would inherently be lower, so one is the component of mix. The second one is the timing of the ATAs. During an annual turnaround normally between 30- 35 days the plant could be shutdown depending on whether it is a fully integrated plant or it is just a granulation plant. So long and short between 32 and 33 lakhs is possible. We have to take a call and see if we want to do an ATA in March vis-à-vis April, depending on that we could be a lower production. That call normally the manufacturing team takes about a couple of months before the ATA.

Manish Mahawar: In terms of granulation plant maybe the Brownfield expansion how much time do you think we will maybe take or we are waiting for again raw material sourcing for the final plant ?

Jayashree Satagopan: We have mentioned in the previous calls that it is going to be important for us to tie up the sourcing as we look for capacity expansions. The business is looking into seeing how we can get our PA, SA secured as we think about additional granulation capacities.

Manish Mahawar: But anyways once you set up a plant right it will take a round 18 to 24 months time to come on-stream right ?

Jayashree Satagopan: Definitely.

Manish Mahawar: Okay sure that is it from my side and thanks and all the best.

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go ahead.

Bharat Sheth: Thanks for the opportunity Sameer and Jayashree. Coming on this crop protection despite we have been introdu

cing new and we have been taking on earlier old product moving out this time also our growth is not comparing to industry is very low so where do we see a sustainable growth and what are the factors that has affected the growth ?

Sameer Goel: Firstly our domestic growth has been very good. When you compare across companies domestic growth in Q2 has been very good this is despite the fact that we had what is called excessive rains and therefore it is stop to some of the application to happen during the quarter because of excessive rains and like we have said we are basically concentrating on a higher margins new products and therefore we have also done downsizing of some of the other products where the margins have been a issue but this requires investment so domestically things have been well. There has been pressure like we mentioned in our call on Mancozeb which has had added capacity plus also across both in the export and the domestic market primarily also got to do with the high prices which were rolling what we could do and that has impacted. The good thing is

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Page 10 of 17 raw material prices on Mancozeb is also coming down and we are putting up this thing and therefore again from September onwards we are seeing a quite a good upswing. Jayashree you

want to add anything.

Jayashree Satagopan: As Sameer said, the prime reason for the muted sales is our exports and domestic B2B markets mostly driven by Mancozeb that is also because of the high RM cost and the decision from the business was not to produce more and sell at lower MRP. Having said that, in the last month or so the raw material prices have eased and therefore it gives an opportunity for additional Mancozeb sales during the coming quarter. On the domestic front, in the formulation business we had almost 29% growth year-on-year growth and the new product which has got introduced has been doing extremely well which is also helped in balancing the margins overall. As far as CPC is concerned there are two, three things which going forward should help the business. One - the new multipurpose plant that is being constructed at Ankleshwar should be ready for commissioning in January coming year this will be manufacturing three technicals Azoxystrobin, Picoxystrobin and Cyproconazole. This should complement and will help to reduce our heavy dependence on Mancozeb. Apart from this, the business is looking into further manufacture of new technicals which have become off patent in the last few years, they have identified in the first list and about 10 APIs out of which the R&D team has come out with the DDT for six of them. The business is looking at a new proposal for setting up fungicide multipurpose plant and the proposal should get cleared in the next two to three months time. All these actions in terms of improving the API portfolio will help in the B2B business which is for both export and domestic customers. On the formulation front the business is continuing to look at introducing new molecules. This year already four new products have been introduced one more is in the pipeline for the coming quarter. The business has also got patent for five combination molecules which also is for the first time for Coromandel. Apart from these, 23 new registrations have been successfully obtained for the global markets, which also include some formulation-related registrations. While the current quarter has been muted, we think some of the actions that have been taken up should help get a much better portfolio mix for crop protection chemicals and also address some of the concerns relating to the over dependence on Mancozeb. Apart from that, we are also looking into a deeper penetration in select Southeast Asian markets to go on an aggressive B2B and also possibly on a B2C model.

Bha

rat Sheth: Currently Mancozeb contribute how much to the total revenue and second question related this five new patents which we got it so have we already launched the product or if not then when we will be seeing those product launching?

Jayashree Satagopan: Good question. Mancozeb currently is about 45% of our total revenue it used to be 60%, 65% it has come down to some extent. But most of our exports is really dependent on Mancozeb. As far as the five newly patented molecules, the patents have just been received. We will be working on the formulation and we should see the product launches in the coming year.

Bharat Sheth: So in rabi season do we expect or it will be a gain next year only?

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Page 11 of 17 Jayashree Satagopan: This will be in next year. In Rabi season we will be coming up with another "Me Too" product for launch.

Bharat Sheth: How much has this specialty nutrient and organic is contributing and if you can give roughly around the size of that business and how do we see the prospect of that?

Jayashree Satagopan: Specialty nutrients and organic as a business has been growing quite well, we have seen the business growing in almost 25%, 30% on a year-on-year and currently on a year-to-date basis there will be about 350 odd Crores in terms of revenue.

Bharat Sheth: On SSP side any color would you like to give, how is the profitability vis-à-vis which was earlier, now new granulation facility coming up?

Sameer Goel: SSP business is doing quite well. One of the issues which we had was to increase our capacity which we have done by reviving a couple of plants. We have also taken some additional facility and we are expanding the granulation facility. The granulation facility not only helps to improve the use of SSP but also helps in terms of launching our new products like Groplus which is now doing extremely well and has a better margin in profile. One thing which has happened from the government is on freight subsidy on trade now this will help us to supply almost pan India and especially the big markets on the east where currently we are not tapping. So SSP will continue to see its growth, even the government is promoting SSP against the imported DAP especially in the markets of north and west as a better substitute, because from a farmer's point of view it not only gives phosphate but also gives other required minerals which is very useful for the soil.

Moderator: We move to the next question which is from the line of Ranjit from IIFL Securities. Please go ahead.

Ranjit: Thank you for taking my question. My question is on the profitability of the fertilizer segment. We have been outperforming our guidance for quite some time now so whether there are any thoughts of the EBITDA per ton guidance revising of course and second question is that we have also seen a bit of hardening in the prices of the rock phosphate I do believe that we have been

having the superior efficiencies and probably a part of that at least on the rock phosphate front do we see a hardening of prices might lead to a bit of pressure from the conversion or the benefit that we have been getting due to the backward integration? Thank you.

Jayashree Satagopan: On the profitability front we have earlier guided on EBITDA per ton it is about Rs. 4500 for the full year. Given the way the margins have turned out for the first half, I think it would be reasonable to expect that the margins will be better during this year. Somewhere around Rs.5500 per metric ton is something which I think would be reasonable. On the rock phosphate pricing that you were mentioning we should also note that the prices across the commodities except for ammonia has been softening and we are seeing a similar trend in rock phosphate. So I do not see a reason why

by the prices for phosphate would go up, DAP prices are down, phos acid prices are down we are seeing softening in the rock phosphate prices as well.

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Page 12 of 17 Ranjit: Would we able to the guidance is for this year or even for the next year do you see a fair bit of comfort?

Jayashree Satagopan: I spoke about the guidance for this year. As we work out the business plan, we should be in a position to guide for the coming year.

Ranjit: Sure Madam thank you.

Moderator: Thank you. The next question is from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Good evening and thanks for the opportunity and congratulations on such a strong set of numbers in the current quarter. Sir two to three questions from my side first we start with on this current phos acid prices what are the contractual prices for phos acid and though Jayashree mentioned that government may look at further reducing the prices of the subsidy but I think that the subsidy rate which has been announced so far are already fixed for the entire rabi season and if the market prices are remaining or a hold on to the farmers or the current level we see that the margins at current level in a DAP and NPK fertilizer will be much better than what we have already seen in first half?

Jayashree Satagopan: Yes, the phos acid prices as I mentioned for this quarter is about \$11.75 per metric ton it has come down from \$17.15 in a last quarter. As I was mentioning, while the cabinet has gone through the NBS rate and we have a circular with rates for the rabi season, when there is going to be steep reduction in the RM prices we believe the government may look into the NBS rate and could come with a downward revision during even the rabi season. But we will have to wait and watch. Second the phos acid prices have just got finalized for the quarter and the raw material prices are coming down, the company has also been having inventory for continuous production. So there is going to be some level of high cost inventory which has to get liquidated and to that extent there could be a moderation in the margins. The third one, as I was mentioning little while ago with RM prices coming down there are also responsibilities for companies who look into how some of the benefits can be passed on to the farmers who are our end consumers. That is being worked out and probably in the next couple of weeks as we go through the costing proposals, we should be coming up with some MRP related action.

Rohan Gupta: Can you quantify your some numbers little bit that high cost inventory which we have of the raw material what can be the impact on profitability and I think that all will be visible in Q3?

Jayashree Satagopan: Yes, mostly all this should come into Q3 and this varies across various raw materials - there could be some on the phosphoric acid, We have some quantity of rock which have been purchased which could last for a relatively longer time. There is a certain quantum of sulfuric acid is being used during the quarter. We have seen the prices of all these commodities coming down and I am hoping that most of RM inventory should get exhausted in this current quarter itself.

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Page 13 of 17 Rohan Gupta: But is it secure the high cost inventory if I look at closely as you also mentioned that the government reduction in subsidy rate is on DAP is hardly Rs.1500 per ton and as we maintain the prices to the farmers at the same level it means that even the previous raw material which we are carrying is enough to maintain our old margins however now the phos acid which we are procuring right now is going to have a significant improvement in margins so did not get that will the inventory losses which we are talking

ing about can be anything significant because the subsidy has not come down sharply and the farmer prices will remain same?

Jayashree Satagopan: I do not see a significant reduction in the margins. However, having said that, this is also the value gap factor - when the phos acid prices are very high and we have our own backward integration, the value gap between buying the phos and converting rock into acid is higher. When the acid prices come down, it is good in a way. But at the same time, the value capture in

terms of getting the rock and manufacturing acid will also come down . We are looking at some MRP revisions too. This to some extent would moderate the margins that we have seen in Q2. Overall for the year, I think we will still be better than last year.

Rohan Gupta: Second in terms of the margin guidance which you gave as we have already seen the first half solid number so definitely at Rs.5500 EBITDA per ton may not only hold on then we may exceed that number as well that what looks like. For next year any sense that do you see that these are the sustainable margins which one should be looking at going forward even at the phosphoric acid coming down and the backward integration which we have now so do you see that these are the sustainable margin per ton level ?

Jayashree Satagopan: I think so . Over the years , we have seen that the margins have been getting better with a lot of efficiencies that have been built in the plants , the plants operating at a higher capacity with the debottlenecking efforts. Margins should be definitely in the range of 5000, 5500 per MT. I think these are good numbers for us to look into.

Sameer Goel: Like Jayashree said those were the planning process and we will be able to tell you that for the next year.

Rohan Gupta: On our agrochemicals part of the business we have been highlighting that we are open for growth and even also have been very aggressively looking for inorganic growth opportunities also in that segment and even in other businesses as well related to agri . Do you see that we are having enough options and are we getting enough such opportunities which you may like to perceive and we may see some inorganic growth opportunities as well in the agrochemicals part of the business or in terms of you want to build a business towards the contract manufacturing and intermediate manufacturing or CRAMS model you would like to increase significantly in the agrochemicals part of the business over next couple of years how do you see that businesses panning out ?

Sameer Goel: We have a detailed listing of actionables which is a long -term strategy we are looking at each of the revenues which we had talked about and this is not therefore crop protection that we will also

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Page 14 of 17 looking for any other adjacency which are there but it needs to make business sense to us so that is something which we have done . We have already seen that our Dares Ventures invested very well in three startups including we have taken up a Drone manufacturing company. I have shared this and part of the reason is so that we can then leverage them for our own operations for the benefit of the farmers which will go for the crop protection and the nutrition side also. So we will continue to look for those opportunities.

Rohan Gupta: Thank you.

Moderator: Thank you. We move to the next question from the line of Akshat Mehta from Sameeksha Capital . Please go ahead.

Akshat Mehta: Congratulations and thank you for the opportunity . I have a couple of questions the first one is that what kind of a sustainable benefit that we can get in our EBITDA per ton on account of the recent phosphoric acid expansion that we have done as well as the new sulfuric acid and the phosphate backward integration that we are going to complete in next

year and in the next two

years as well so what kind of a benefit that we get in EBITDA per ton because of that ?

Jayashree Satagopan: So the benefits of PA has already been factored in and as far as the SAP Plant it will get commissioned next year . I had indicated earlier this is more to do with securing our raw materials so that we can avoid high fluctuation in the procurement prices. There would be benefit in terms of power and steam that they generated so on and so forth . The primary intent of putting up a sulfuric acid plant is to ensure that our imports are coming down and we are not subject to huge volatility. So, I think it can help us to negotiate the prices better , that is the way one should look into the SAP capacity.

Akshat Mehta: Thank you Madam but under the normalized environment I know the primary reason is raw material security but you also have some kind of an arbitrage in pricing even if you know the drop in raw material price having a normalized environment and not elevated as they have been in the past so there may be some kind of quantifiable benefit that you would have received on account of just putting up the backward integration facility ?

Jayashree Satagopan: There could be some which as I said normally which comes from the power and steam generation.

Akshat Mehta: Would you able to quantify that ?

Jayashree Satagopan: Probably we can take it offline and you can give us a call I will have the numbers with me.

Akshat Mehta: And my second question is on nano DAP as you said that it is still in the approval process what kind of margins and what kind of growth are we seeing in nano DAP and the application of nano DAP in the fertilizer industry and as you know your competitor already have a patent which they

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Page 15 of 17 have taken three months back for nano DAP so how will that create a threat to our company in terms of the nano DAP that we are going to release ?

Jayashree Satagopan: I think there are couple of companies who applied for approvals for Nano DAP . So each one would be following a different process and once we get all the approvals then the manufacturing and distribution will start. We have done the trials in the fields and we find that the results are quite encouraging ., We will have to see to what extent this will sort of replace granulated DAP , our estimate is that it could be anywhere around 25% over a long period in time . Initially the adoption could be lower and over a period in time , based on the inputs that come from the field there will still be improvisation . These are very, very earlier stages for the new products that being planned to be introduced.

Akshat Mehta: My question was that the nano DAP that you are testing and have been given for the approval process will that be of a different grade than your competitors are using ?

Jayashree Satagopan: There is nobody else today who has come with Nano DAP, there is Nano urea that is being manufactured and distributed by IFCO.

Akshat Mehta: But IFCO has already achieved IFCO is already granted a patent for nano DAP three months back.

Sameer Goel: So what we are trying to say is that the processes are entirely different . So there is no issue at all.

Akshat Mehta: Okay thank you.

Moderator: Thank you. The next question is from the line of Prashant Biyani from Elara Capital . Please go ahead.

Prashant Biyani: Thanks for the opportunity while we have quantified that the high cost inventory will be exhausted in Q3 but specifically at the start of Q3 or during the start of Q3 how much of phos acid and rock high cost inventory will be there for how many days if you can quantify in terms of number of days ?

Jayashree Satagopan: I do not have those numbers right away with me, typically phos acid could be for 20 to 30 days , it

also depends upon the mix that we are using . Rock would be for slightly longer period . If we do not know where the phos acid prices are going to be , we cannot predict the rock prices.

Therefore, typically we hold rock for slightly longer periods. There could be some moderation in the prices as we have seen in August and September . We are constantly looking into and sort of optimizing and reducing the inventory for rock which typically is for a slightly longer period.

The inventory that we are holding are not at the same level that we used to hold when the raw material prices were going up . It is lower since the prices are coming down you will definitely see some impact on this account.

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Page 16 of 17 Prashant Biyani: Would the strategy be to reduce the MRP after we liquidate the high cost inventory ?

Jayashree Satagopan: I think that is what we have been looking at . I do not have an answer right now. We may look at MRP corrections after the liquidation of high cost inventory or it could be to consider an average cost and pass on the benefit to the farmers . That is something that is being considered by the management.

Prashant Biyani: Just a bit on the longer horizon with the kind of initiatives that we are taking on crop protection , organic and specialty nutrient do we think that the incremental growth from these three segments will be able to give us a decent incremental growth maybe next year or FY2025 onwards so that we do not feel the impact of lower volume growth in the core complex fertilizer business ?

Jayashree Satagopan: The way we are looking into each of the SBUs, they will have their own growth path and trajectory. There are opportunities across all the SBU 's obviously . If you see SND and organic , they have several white space opportunities . For instance in CPC , we can look at the Indian market , global markets both for B2B and B2C and there are opportunities to look into contract manufacturing .

On SND, more of liquid fertilizers could come in , specially with water shortages. Organic is again is a very, very sought after business and we have seen increase in volume and revenue during the year . So these will have their own aggressive growth plan .

At the same time there is opportunity for the fertilizer business that will also have its own growth agenda. For instance between last year to this year , the SSP growth has been pretty good. While SSP is much lower in terms of cost compared to NPK , even with the high prices of SSP, there has been a good off take . Moreover, in SSP , we are looking into converting most of the powder into granulation , there is value added SSP . As Sameer mentioned earlier , apart from the existing SBU s trying to grow , there are going to be focus areas in terms of how we even use technology to aid the farmers in improving the productivity. We have been in the last year or so investing into Ag Tech companies , we have done three investments so far all of them are very promising, primarily the drone investment that we have done in the last quarter . We think this is going to be very strategic for Coromandel because with labour cost going up and more of liquid applications coming in , whether it is in crop protection, specialty nutrients , the usage of drones is going to be helping the farmers in terms of getting the better efficacy as well as reducing the cost of input

labor. We will be exploring multiple opportunities across the existing businesses and adjacencies to enable consistent growth within Coromandel.

Prashant Biyani: Lastly for the nano fertilizers or organic or specialty nutrients how many seasons or years of demand generation is required at the farmer end and we have been trying to do this since when?

Sameer Goel: What we did was for a specialty business and organic we have already got an agronomists team

setup which is basically an expert marketing team which works with the farmers and they work on specific crop types obviously it is a concept selling, but now the farmers and including the fact

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Page 17 of 17 that they can use digital media adopting this very fast so we do see a very faster adoption, in fact our strategy here is to move more away from trading more into manufacturing so that we can also do the value capture and at the same time upgrade our offering to the farmers for example in sulphur we are the pioneers in the bentonite sulphur but now we have moved to a much more better product for the farmers called sulphamax. so we have limited our sales of bentonite sulphur which has become generic so we keep doing this to ensure that adoption is very fast and I believe that our agronomist team aided with the nutri clinic that we have in the field markets Coromandel's retail outlet we are very much geared up for a very fast introduction.

Prashant Biyani: Thank you that is it from my side.

Moderator: Thank you. Ladies and gentlemen this was the last question for today. I now hand the conference over to the management for their closing comments. Over to you Sir!

Sameer Goel: Thank you very much. Thanks for taking up time on a Friday evening and it has been a very interesting and challenging year last six months especially given the international crisis which is there especially with the Ukraine war, but I think your company with what we have done in the past and with our diversified portfolio and our direct connect with the farmers both through our retail outlets and with our nutri clinics has done very well with the storm which is there, which is impacting across the industry and have been able to deliver. I think given our farmers focus and the new products which our R&D team is getting plus an application plus advent into Ag Tech and we have seen reality there it is no longer just a dream, we will continue to support the farmers in our key markets for improving their productivity and hence the company will continue to do well. So thank you very much.

Moderator: Thank you members of the management. Ladies and gentlemen on behalf of Axis Capital that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2023

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February 13 , 2023
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Dear Sir(s),

Subject : Transcript of conference call held on February 6, 2023
Further to our letter, bearing reference 2022-23/092 dated February 02, 2023, intimating about the Conference Call on the Q3FY23 results, we would like to inform that the transcript of the Conference Call held on February 06, 2023 has been uploaded on the Company's website at <https://www.coromandel.biz/investors/investor-call-transcripts/>, as required pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

This is for your kind information and record.

Thanking you.

Yours sincerely,
For Coromandel International Limited

Rajesh Mukhija
Sr. Vice President - Legal &
Company Secretary
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"Coromandel International Limited
Q3 FY2023 Earnings Conference Call"

February 06, 2023

MANAGEMENT : MR. S. SANKARASUBRAMANIAN - EXECUTIVE DIRECTOR
- COROMANDEL INTERNATIONAL LIMITED
DR. RAGHURAM DEVARAKONDA - EXECUTIVE DIRECTOR
- COROMANDEL INTERNATIONAL LIMITED
MS. JAYASHREE SATAGOPAN – CHIEF FINANCIAL
OFFICER - COROMANDEL INTERNATIONAL LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Coromandel International Limited Q3 FY2023 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. S Ramesh from Nirmal Bang Institutional Equities. Thank you and over to you, Sir!

S Ramesh : Good afternoon and thank you Rico. Good afternoon, ladies and gentlemen, on behalf of Nirmal Bang Institutional Equities I am inviting all for this Q3 FY2023 Earnings Conference Call with Coromandel International Management. Let me hand it over to the CFO, Jayashree Satagopan, who will introduce the management team and give the opening remarks followed by Q&A. Jayashree it is over to you.

Jayashree Satagopan : Good afternoon all and thanks Ramesh for organizing the conference call. Today I have with me Mr. S. Sankarasubramanian and Dr. Raghuram Devarakonda, Executive Directors of Coromandel, who will join in responding to your queries during the call.

Let me begin with giving an overview of the business environment experienced during the quarter, followed by the company's performance and then we will have the Q&A session.

Global economy:

As per the World Bank Global Economic Prospects Jan 2023 release, the real GDP growth is estimated to slowdown from 2.9% in 2022 to 1.7% in 2023, and then it is expected to increase to 2.7% in 2024. The decline in the GDP forecast for this year is reflective of synchronized policy tightening aimed at containing very high inflation in the US, worsening financial conditions and continued disruption from Russia's invasion of Ukraine. The combination of slow growth, tightening financial condition and heavy indebtedness is likely to weaken investments. Furthermore, these negative shocks and deeper weakness in major economics and rising geopolitical tension could push the global economy towards recession.

On the agriculture side, the food price index declined to 132.4 in December 2022 and continued to be in the falling trend from the record high of 159.7 in March 2022. The commodity prices continue to soften from their peak levels except for sugar and dairy products.

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Coming to the Indian Economy, the World Bank has reduced the real GDP growth estimate as of Jan 2023 to 6.6% for FY2023 from their earlier estimate of 7.1% which was published in June of 2022. However, it articulated that India is in a better position to navigate the global headwinds. Indian economy is progressing well and is likely to remain the fastest growing large economy in the world.

The tax collections have been buoyant, reflecting the all-round performance of the economy. The monthly gross GST collections for the past 10 months were more than 1.4 lakh Crores. With tight monetary measures, inflation has cooled down recently. The headwinds around rupee depreciation, inflation control measures and energy prices need to be closely watched. Coming to the Indian agriculture, the country witnessed above normal rainfall during the season. All India cumulative rainfall during October 2022 to December 2022 was higher than normal by 20%. However, a few states like West Bengal, Orissa and Telangana witnessed deficit in the rainfall during the period. The crop acreages for Rabi was 645 lakh hectares which is 4% higher compared to the prior year. Overall, it has been a good Rabi season. Coming to the Fertilizer industry performance, Global supply of key commodities improved during the quarter and

the industry continued to witness the softening of prices of major raw materials. Domestically, the fertilizer demand remained strong, supported by good monsoon and favorable policy measures from the Government.

For this quarter, DAP plus complex fertilizer industry's primary sales volume was up by 18%. Current year 70.9 lakh metric tons vis-à-vis 60.2 lakh metric tons in the prior year, with higher imported DAP sales. DAP plus complex fertilizer industry POS sale volume was marginally down by 2%. Current year 74 lakh metric tons vis-à-vis 75.8 lakh metric tons in the last year. Major raw material prices continue to witness a downward trend from all time high prices. The Government is proposing a downward revision in NBS rate in line with the trend of falling raw material prices and this is under discussion.

On a year-to-date basis, DAP plus complex fertilizer industry's primary sales volume was up by 16%. Current year is 190 lakh metric tons vis-à-vis 163.6 lakh metric tons in the prior year. DAP plus Complex fertilizers industry's POS sales volume was marginally down by 1%. Current year is 177.6 lakh metric tons vis-à-vis 180.1 lakh metric tons in the prior year. On Coromandel's performance, Coromandel delivered a robust performance during the quarter, registering a strong growth in turnover and profitability with the agricultural environment remaining favorable in most of its key operating markets, normal crop sowing

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coupled with favorable policies from the Government. Record volume sales in NPK and high subsidy realization in the nutrients business primarily led to increase in the revenue during the quarter.

In crop protection business, domestic formulation and B2B business grew during the quarter, which was offset with headwinds faced in the export market. Coromandel ensured that all the inputs are made available to the farmers in its key operating markets and promoted the use of balance nutrition including organic fertilizer to help rejuvenate the soil and farm productivity. Specifically on company's nutrient segment performance, the revenue increased by 72% during the quarter and 71% on a year-to-date basis. Company's SND and organic products registered a good growth during the year, both in terms of turnover and profitability. One new product, Gardina, targeted at the urban garden segment, was launched during the quarter. On the sales front the business registered a record volume with sales of 10.5 lakh metric tons during the quarter, which was 27% higher than last year, where the volumes were 8.3 lakh metric tons. On a year-to-date basis, DAP plus Complex volumes was at 30.2 lakh metric tons vis-à-vis 27.3 lakh metric tons in the prior year, which is 11% higher. Manufactured DAP plus Complex volume was higher by 21% for the quarter and 11% on a year-to-date basis compared to prior year. Imported product volume, mainly DAP was higher at 88% for the quarter and 12% on a year-to-date basis.

Company's market share in Q3 was about 14.8% and on a year-to-date basis 15.9%. In the previous year, it was 13.7 in Q3 and 16.7% on a year-to-date basis. The market share for complex fertilizer grew during the quarter and full year.

SSP Q3 sales was at 2.2 lakh metric tons with a growth of 17% over last year and on a year-to-date basis, sales were at 6.2 lakh metric tons versus 6 lakh metric tons compared to the prior year. Market share on a year-to-date basis for SSP was at 14.9% vis-à-vis 14.7% in the prior year.

The urban garden is a growing segment and during the quarter, the specialty nutrient business launched a new product named, Gardina, to cater to the needs of this segment.

Our commercial teams have continued to ensure timely availability of raw materials to enable continuous production of the manufacturing plant by staying abreast with the latest developments in the global markets. During the q

uarter, our DAP and complex fertilizer

plants produced 9.29 lakh metric tons of fertilizers. On a year-to-date basis, the plant operated at 102% of the capacity and produced 26.45 lakh metric tons of fertilizers. Phosphoric acid

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production during the quarter was at 1.1 lakh tons and on a year-to-date basis it is 3.4 lakh metric tons.

Progress on our key capital projects is going as per plan. The work on sulfuric acid plant as well as the desalination plant at Vizag is progressing well and the commissioning is expected as per schedule in July 2023. With these initiatives, we would continue to promote balanced nutrition approach and support the farming community.

Coming to the crop protection business, the business registered a growth of 4% in revenue for the quarter and 3% on a year-to-date basis. Domestic formulation witnessed good growth with positive traction from the new products that were launched during the year and the prior year. Cost lag effect and price related challenges impacted our export performance. Domestic formulation witnessed good growth with positive traction from the new product launches

made during the year. A new bio insecticide under the brand name of Azamax was launched by the business during the quarter.

With this, 7 new products have been introduced during the current year. The crop protection business continues to focus on refreshing and strengthening its portfolio and has lined up two new technical and three new formulations to be introduced in the fourth quarter.

The R&D and product registration teams are working on a rich pipeline of new and combination products to be launched in the coming year. The business is further activating some of its registration in the global markets through collaboration with key B2B customers. Multipurpose plant at Ankleshwar for manufacture of three new Technicals have been completed, and the business is envisaging purchase of additional land for further expansion of the business. On the bioproducts, the business is working on other plant extracts to expand its product offerings.

Our retail stores operated well during the quarter, focusing on providing all round agri solutions, including products, farm advisory and mechanization services. The business has launched a new ecommerce platform and has received good response from its end customers. Retail business has improved its operational efficacies and has leveraged technology to reach out to its farmers.

During Q3, 96% of the stores have been profitable and operated with negative working capital levels. The company continues to promote Ag-Tech solutions with farmers and started piloting cold storage solutions through its retail network. It further plans to scale up drone applications after successful completion of pilot tests in its key operating markets.

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With that, let me take you through the company's financial performance.

In terms of Turnover, Coromandel recorded a consolidated total income of Rs.8,349 Crores during the quarter and Rs.24,276 Crores for the nine months ended 31st December 2022 vis-à-vis corresponding period of 5,100 Crores for the quarter and 14,952 Crores for nine months. This represents a growth of 64% for the quarter and 62% for nine months. The increase in revenues has been mainly on account of volumes in the fertilizer business and higher subsidy realization.

Nutrient and allied business contributed to 92% of the share and the remaining 8% coming from crop protection business for the quarter and the same for the nine months as well.

Subsidy and non-subsidy share of business stands at 88% and 12% for the quarter and 87% and 13% for the nine months. During the previous year, this ratio was 82% and 18% during the quarter and 81% and 19% for the nine-month period.

As far as the Profitability i

s concerned, the consolidated EBITDA for the quarter was Rs.781

Crores vis-à-vis 544 Crores last year, and for the nine months, it was 2523 Crores as against Rs.1770 Crores during the previous year. In terms of subsidy and non-subsidy share, it stood at 74% and 26% during the quarter and 77% and 23% for nine months. In the previous year, it was 70% and 30% for the quarter and 72% and 28% for the nine months period.

Net profit after tax for the quarter was Rs.527 Crores in comparison to Rs.382 Crores for the corresponding quarter last year and 1,766 Crores for the nine months as against 1,239 Crores in the previous year.

On the subsidy front, during the quarter, company received Rs.3,992 Crores towards subsidy claims compared to figures last year was Rs.2,296 Crores. For the nine months ended December 31, 2022, subsidy received is Rs.7,994 Crores. In the previous year it was 4,459 Crores. Subsidy outstanding as on December 31, 2022 was at Rs.4,359 Crores versus 1,336 Crores during the previous year.

On the Interest front, during the quarter, company incurred a net interest expense, excluding Ind AS interest of Rs.8 Crores vis-à-vis an interest income of 15 Crores in the same quarter last year. For the nine months period company earned a net interest income of 0.5 Crores versus 20 Crores interest income in the previous year.

Company continued to maintain the surplus funds in board approved securities and these are earmarked for specific growth related activities. The company also took some short-term

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borrowings to fund the near-term working capital needs, mainly to balance the tenor mismatch on investments.

Coming to the credit rating. Company's balance sheet continues to be strong. The company's long-term credit rating by India Rating and Research, a Fitch Group company, continue to be at IND AAA stable and short-term rating at IND A1+. The company's long-term credit rating

by CRISIL continue to be at CRISIL AA+ positive and the short-term debt rating at CRISIL A1+.

On the Forex front, during Q3, rupee was volatile and traded in a board range of Rs.80.72 to Rs.82.94 to a \$1. Coromandel through its prudent and conservative approach of hedging the Forex exposure, limited the impact due to currency depreciation.

The Board in its meeting held on February 2, 2023 has approved an interim dividend of Rs.6 per share.

With good northeast monsoon and higher reservoir level, Indian agriculture continues to be in a bright spot. With strength in our key operating markets, Coromandel will continue to ensure timely availability of agri inputs to the farming community through our dealers and retail outlets.

Coromandel with its diverse presence across its agri value chain will continue to provide balanced nutrition and integrated pest management solutions to maximize farm productivity. As we open the session for Q&A, please allow me a moment to introduce my colleagues who have joined the call today. S. Sankarasubramanian heads our nutrition businesses. Sankar has been with Coromandel and Murugappa Group for more than 30 years and prior to his business role, he has held the position of CFO of the company.

Dr. Raghuram Devarakonda heads the Crops Protection Chemicals, bioproducts and retail business of Coromandel. Raghu brings in experience from industry and consulting business. He joined Coromandel in August 2021. Prior to this, he has worked with the Murugappa Group between 2004 and 2013.

Thank you all for your interest in Coromandel and joining us in the con call today. We look forward to the interaction. We can now open the session for question-and-answers.

Moderator : Thank you very much. We will now begin the question answer session. The first question is from the line of Tarang Agarwal with Old Bridge Capital. Please go ahead.

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Tara

ng Agarwal : Good afternoon, thank you for the opportunity. I have three questions. The first is, if there is any update on BMCC mines, and when can we see some round of commercializations coming from them. The second, on the S3 plant, you said that the commercialization will start from July 2023. Just wanted to get a sense on what is the post-tax cash payback that you are anticipating for this plant once it commercializes and how much time will it take to run at optimal utilization and the third is phos acid prices for the quarter.

Jayashree Satagopan : On the BMCC mines, I would request Sankar to provide an update and Sankar, if you want you can take in SAP-3 and the PA price.

S. Sankarasubramanian : In respect of BMCC operations, we are seeing good traction in the last three months. In fact, we have deployed our team and we have engaged mainly focusing on the mining part and that has yielded good result and we are stabilizing the operations. We started receiving shipments and hopefully we should be able to achieve the target volumes what we plan for the year 2023-2024. So, at this point of time, whatever we envisage to do, we are on the right track.

Tarang Agarwal : Sir just a follow up. So my sense is about a third of your requirement were to be met by this mine. So can you anticipate that coming in from FY2024.

S. Sankarasubramanian : It should meet 20% of our requirement to begin with but the potential is high. In fact, it will be beyond what we envisaged earlier, potentially it is high, but next year we can say approximately 20% of our requirements can be met from this mine. In respect to sulfuric acid plant is your second query, right?

Tarang Agarwal : Yes.

S. Sankarasubramanian : Sulfuric acid plant will be commissioned by July and whatever we stated to achieve as per the plan we would be able to get the production as planned earlier. So, from August onwards we should be able to come back to full stream. We may require a month of stabilization. From August onwards, we should be achieving the rated capacity.

Tarang Agarwal : How much would the payback be sir, on this, I mean, in how many years.

S. Sankarasubramanian : See the sulfuric acid is more investment from the view point of securing the raw material. As currently our requirements are quite significant almost 1 million ton of sulfuric acid. A part of it 50% is being covered through our captive facility what we have envisaged. So, we look at more of augmenting our captive source of raw material. It is a function of import prices,

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sulfuric acid versus the cost of own manufacturer, and also it generates other savings in terms of power and other utilities. So, I would see it is a supply security.

Tarang Agarwal : And the last one on phos acid prices.

S. Sankarasubramanian : We have finalized our fourth quarter price at \$1050 as against \$1175 which was there for the previous quarter. We have signed up with our joint venture partner, Foscort.

Tarang Agarwal : Thank you.

Moderator : Thank you. Our next question is from the line of Bharat Sheth with Quest Investment Advisors Private Limited. Please go ahead.

Bharat Sheth : Hi! Coromandel management team, thanks for the opportunity and welcome Sankar and Dr.

Raghu on the board. So, I have a question first on the fertilizer. See Jayashree in view of declining fertilizer raw material price as well as final product price and the farm output price is also declining. So, with that background, how do we see fertilizer demand for FY2024, that is first question, and since we are operating almost at full capacity, so what will be our strategy to grow that volume, and second thing, our EBITDA per ton has increased substantially over last six to seven years from almost 2000 level to around 6000 in FY2023 because of several business initiatives as well as backward integration program. Can you give the margin trajectory

how do we see now from here onwards? How much decline if at all if it happens can we anticipate or any further room to improve.

Jayashree Satagopan : The first one is in terms of the raw material prices coming down. We have seen this trend over the last few months, and we expect in most of the materials, this trend to continue. With that we would also expect some sort of a correction in the subsidy realization from the Government, which is what I was mentioning a little while ago.

Given those and the good monsoon conditions that is there and the increase in the overall area under cultivation, we expect the demand for fertilizers to continue to be good, both in terms of NPK, DAP as well as SSP. So given that there is a good demand for fertilizers, our production, our imports will be helpful in terms of meeting the farmer requirements.

As far as the capacity is concerned, you will see, I was mentioning that on a year-to-date basis, our capacity utilization is more than 100%. As I have mentioned in the past too we have taken a few actions at the plants for debottlenecking the capacities and also some intelligent mix of using certain raw materials has also increased the throughput.

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Apart from it, as we have been sharing in the past, the type of product that we produce, meaning the grade, also determines the throughput at our plants. So, a combination of all of these three will help in terms of getting our capacity utilization at decent levels.

Apart from that, we would also be looking into strategically importing complex fertilizers.

This year, we have imported DAP to a great extent because importing DAP vis-à-vis manufacturing made more economic sense. In the past we have also imported NPK so we will continue to resort to these practices, which happens on a month-to-month, quarter-to-quarter basis. Apart from this the business is also contemplating to see how we can increase the capacity, like we have alluded in the past. This will also mean that we will have to look at securing some of the key raw materials, which the business is actually tying up very well. So probably as the business plan for next year gets firmed up, we will have a little more clarity in terms of how we go forward. But the demand for NPKs is quite good and we expect it to go up and based on that the business will come with the proposal for further capacity expansion.

The last one from your end was in terms of EBITDA per ton margin. Yes, over a period of time, the EBITDA per ton has been showing an upward trend and despite an increase in the raw material prices, given the fact that the commercial team has worked in terms of securing multiple sources for our raw materials and the flexibility that our manufacturing plants have exhibited in processing these raw materials have ensured that this has been on a good upward trend. Rs.6000 per metric ton is something that we should look at stabilizing and maintaining in the coming years though there could be some sort of adjustments in raw material prices or the MRP correction and so on and so forth.

Bharat Sheth : Two more questions, with your permission. One is what is the potential of this nano DAP and how do we see the convergence of economic interest of Government, our company and farmers and farmers mindset for the acceptance of this nano DAP and what is our strategy whether we will be manufacturing and how is the raw material scenario for that. Is it again imported and second on drone side, are we going to enter into manufacturing or we will be just providing the services.

Jayashree Satagopan : I will take the drones question first. As you know, couple of quarters back we mentioned that we have invested in an AgTech company which is manufacturing drones. This is part of our investment in agri start-up companies. We will be leveraging the drones manufactured by this company and two of our

businesses have already done the pilot trials. CPC and specialty nutrients and we want to sort of scale it up because we believe AgTech is going to be the future. So that is the strategy around drones.

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As regards nano DAP this is a very interesting area and I am going to once again request Sankar, as he is much more closer to the business to articulate on this question.

S. Sankarasubramanian : On nano DAP as a company, we have taken a lead in terms of developing this technology in-house and we have applied for patent and we have also applied to Government for the approval, which is expected anytime, and we are also carrying out field trials to understand the efficacy of the product, and the results are mixed. We have to wait and see. We have to carry out more such trials in the next season to establish nano DAP. We could see some improvements, partial replacements in certain crops with a higher foliage that is what our initial studies have revealed. It is too early stage to comment on how this will play out, but we are very much focused on it and we will be able to share more as we progress. But it is looking very promising and we have taken a lead on this.

Bharat Sheth : Sir can this cannibalize our NPK sales going ahead. Where it will replace.

S. Sankarasubramanian : See, the bulk fertilizers soil application that will continue to remain because predominantly, the NPK grades, including DAP what we consume is predominantly soil applications, the nano DAP is more focused on foliage. So, it may be an add on supplementary nutrient. It cannot replace in entirety and also it requires that sort of adaptation by the farmers, it will take time and also it involves additional costs in terms of spraying as well. It requires a lot of education, and the effect has to be seen on the ground. So, the question of replacement is too early to talk about, and our view is bulk fertilizers application will continue to remain and this will help to replace some portion of the top dressing stage as and when the farmer applies it.

Bharat Sheth : Jayashree, have we received any subsidy post Q3 and what is the Government, I mean, undertaking if we have not received, whether this will keep on increasing or not.

Jayashree Satagopan : No, the total subsidy outstanding is a combination of what we have already sold and raised as a claim and it also includes the channel inventory. So, the Government has been sort of giving subsidies. It has been a little slower compared to previous year, but we do not see a concern in this area. As you know, this year, the subsidy rates have also gone up compared to last year. Therefore, you would see the quantum is slightly higher, but that does not mean that we are not going to receive the subsidy.

Bharat Sheth : So, we have not received post December, correct. Is that fair understanding.

Jayashree Satagopan : No, we have received even in January. So, we continue to receive subsidy.

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Bharat Sheth : So how much subsidy we received so far post December.

Jayashree Satagopan : Around 1,200 Crores.

Bharat Sheth : Okay thank you. If I have any questions I will come back in queue.

Moderator : Thank you. Our next question is from the line of Ankur Periwal with Axis Capital. Please go ahead.

Ankur Periwal : Thanks for the opportunity and congrats for a good set of numbers. First question on the Crop Protection side. While you did mention in your initial commentary on the overall growth in the domestic market, while Mancozeb was slightly weak. If you can put some more light on what is the pricing or volumetric trend in Mancozeb as well as on non-Mancozeb Crop Protection portfolio, how has our performance been and some guidance there.

Jayashree Satagopan : As I mentioned during this year the business is seeing some amount of pressure, especially

on Mancozeb given the fact that the ban of this molecule in Europe has happened and the excess capacity from our competitors, namely UPL and Indofil is now available for other markets as well as for India. So that has actually led to a bit of a pricing war if I want to use that terminology, and from our standpoint, the business has taken a pretty conscious call that beyond the point, we would not be subsidizing and selling the product for the sake of volume. So that has been the prime reason for sort of, I would say a lower increase in the revenue as such.

In terms of absolute volume increase or decrease, let me come back to you. But from a team standpoint, the intent is to ensure that the production is happening, and we are able to sell at reasonable margin levels. Having said that, the business has also been focusing on seeing how do we derisk our portfolio from the old generics that we have had, especially in Mancozeb still is about 40%, 45% of our overall turnover. With that in mind, they have identified quite a good number of so-called patented molecules.

As I was mentioning the multipurpose plant for production of three of such molecules got commissioned recently, and the first order has also been executed. This is for products like Azoxystrobin, Picoxystrobin and Cyproconazole. These three are relatively new products and a couple of them have very large potential. In the new land that is planned to be acquired, the business is looking into adding few more technical. So, from an overall portfolio standpoint, there is conscious efforts to move from the old generics though there is still a large demand for it, as we see lot of competition action there. Practically, we have to manage volume with these new products. That is the way one should look into the CPC technical business.

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Ankur Periwal : Sure and just next question related to crop protection, again. We have seen some bit of margin pressure over the last couple of quarters, primarily because of RM inflation there, is large part of RM inflation only pass through given there is a decline in RM prices as well.

Jayashree Satagopan : Yes, I would think so. The raw material prices are coming down, which is a good trend, but in some of the molecules we are seeing that pricing pressures are there. That is where we have to manage between volume, price and margins. So, this is a very tactical operational call that we take on a monthly basis. I expect this to continue for a little while and the business also is working on a number of initiatives at the plant level in terms of cost optimization, both on the conversion cost side, on the fixed cost side and they have come up with several ideas, which will help us to remain cost competitive including purchasing of raw materials at better rates. I think all of this should start playing out very soon and we should be able to handle the pressures on the margin front. I would request Raghu to sort of chip in and add his comments here.

Raghuram D : Yes. Thanks, and good afternoon, everyone. So, the only other point that I would like to add to what our CFO has already shared is that other than the product portfolio, even the business portfolio, we are trying to change in terms of the proportion of revenue that comes from our various streams. So primarily, the B2C side of things, we are investing heavily in that area to improve the product portfolio and also in terms of putting more feet on the street, so that our market penetration also improves. With that, the margin pressures that we are seeing in the commodities like technical, we should be able to tide over somewhat.

Ankur Periwal : That is helpful. That is it from my side, I will get back into the queue. Thank you.

Moderator : Thank you. Our next question is from the line of Sumant Kumar with Motilal Oswal. Please go ahead.

Sumant Kumar : Sir in Q2 FY2023, we raise

ed our EBITDA per ton estimate for manufactured fertilizer from Rs.4500 to Rs.5500. So can you talk about the margin profile for fertilizer business for FY2024 and what is the revised guidance for FY2023.

Jayashree Satagopan : As you know, we do not give guidance for a quarter or a year. The indication obviously is it would be in the range of Rs.5500 to Rs.6000 per metric ton. That is our endeavor to sustain the Rs.5500 to Rs.6000 type of range per metric ton and every effort will be done by the business to see how we can maximize it. I have already spoken about multiple initiatives that have been taken starting from procurement, manufacturing, selling and logistics. So all of those will continue. So I think I would leave it there and let us take it every quarter and then look at it on an annualized basis.

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Sumant Kumar : So what are the key reasons? Can you talk about the price, had all of your prices corrected, as we have not cut the price of our key products or backward integration. So there are many factors. So can you talk about from here that if we are going to reduce price, this margin is sustainable or not for FY2024.

Jayashree Satagopan : Yes. As you know that during the beginning of the year the raw material prices were very high, Government had increased the subsidy and when the raw material prices come down, it is very natural for the Government also to relook at the subsidy that is being offered.

Today the Government's outflow in terms of subsidies is actually very, very high and as I was mentioning they are contemplating a downward revision in the subsidy rate and the MRP also will get moderated. If the raw material prices are coming down, obviously, like in the past, there will be a correction to subsidy, there could be corrections to MRP because end of the day, we have to make fertilizers affordable for the farmers.

Sumant Kumar : So, can we conclude saying that the EBITDA per ton whatever we have generated in FY2023 is not going to be in FY2024.

Jayashree Satagopan : No, I would not say that. As I said, we have been in the range of Rs.5500 to Rs.6000. We should continue to maintain those levels.

Sumant Kumar : Thank you so much.

Moderator : Thank you. Our next question is from the line of Gagan Thareja with ASK Investment Managers. Please go ahead.

Gagan Thareja : Good afternoon. Just one question. I think around the second quarter, there was an initiative by the Government to promote unbranded fertilizers basically the Government logo on the fertilizer packaging would be 2/3rd and the company logo probably 1/3rd. What could be the implications of this move as far as brand building and brand patronage are concerned for you.

S. Sankarasubramanian : See this is the initiative by the Government. We welcome the move by the Government, especially considering the fact that in the products like urea, Government is extending significant amount of subsidy. They have come up with this universal brand of Bharat brand and also being extended to other grades of fertilizers.

Branding and packaging is only one aspect of communication but companies like Coromandel, are engaged with the farming community more by way of communicating the farmers about these products and our extensive farm activities which have been carried out

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besides other activities like soil testing, organic carbon testing, and the value proposition of new products what are introduced those brand value proposition continues to remain and also in the 1/3rd portion we communicate our brand and our logo. So, we do not see any major change, but we welcome this suggestion which has come from the Government to have a universal branding of Bharat Urea or Bharat NPKs.

Gagan Thareja : Sir, as I understand it from the Government side, the initiative probably is being done to

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rationalize the subsidy cost on the transit of fertilizers the idea being that subsidies being bulky. It is appropriate for certain radius to be maintained within which the sale is done, probably that was their incentive. Would that therefore not have some sort of follow on repercussions or limit in some way what companies can do in terms of brand building and selling a little far away from where the plants are based.

S. Sankarasubramanian : Maybe true in the case of products like urea where you cannot make in any differentiation at the product level. But whereas the NPKs with the multiple nutrients and also the value creation, what we give in terms of for example we have grades which are unique to us like 24-24, which are fortified with sulfur. Similarly, we have grades like 20-20, which is unique to Coromandel. These unique grades are value proposition, it is different and that needs to be communicated and the farmers prefer those grades. So we do not see much of a challenge and we have been building these volumes on those grades over a period of time. I agree maybe for generic products like urea or generic grades for that matter DAP farmers maybe agnostic about the brand but any grades what we have there will be traction and the demand will be there for these markets and that purely depends on the extension activities what companies carry out.

Gagan Thareja : Just one final question, if you could enumerate what is the degree of backward integration you have now and with the mine that you have taken a stake in over a three year time frame to what degree further can you increase your backward integration for the fertilizer business.

S. Sankarasubramanian : Backward integration varies from product to product. In the case of Phos acid, we are almost close to 50% we can say on the backward integration and in terms of rock, we diversify our source. Definitely we will not be able to go into mining to meet up the entire rock requirement. As I mentioned in my earlier response, we have visibility up to 20% to 30% of requirement being met through our mines at Senegal. Any further opportunities we need to evaluate. In terms of sulfuric acid, we have currently 50% to 60% and are augmenting capacities further.

Gagan Thareja : And on rock, are you currently at 20% to 30%. Or are you lower than that.

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S. Sankarasubramanian : This is the first overseas investment on mining. So far, we have been only buying. It just started with our Senegal investment. So, this will be 20% to 30%.

Gagan Thareja : Thanks, I will get back in the queue. Thank you.

Moderator : Thank you very much. Our next question is from the line of Chintan Chhedawith Quest Investment Advisors Private Limited. Please go ahead.

Chintan Chheda : Good afternoon and thanks for the opportunity. My first question is related to the growth in the crop protection segment. So given the headwinds that we are facing in Mancozeb and the new MPP plant, which is coming up. What is the growth that we are envisaging in this segment over the next couple of years.

Jayashree Satagopan : Once we see some sort of stability in the market and the new products kicking in, we should

see a growth of about 10%-12%, or so. That is what we are looking at. Having said that the businesses are working through our annual budgeting process, and we will get more clarity in the next couple of months. As Raghu was mentioning, the intent is to see how we grow our B2C business furthermore, because there is an opportunity to not only grow the revenue but also the margin since our base is also relatively smaller compared to our B2B and our export business. So, I think, we should be in a position to see the growth in double digit. Chintan Chheda : And secondly in this new growth areas of nano DAP and drone technologies. So is there any capital commitment that you have made. Or over the next two, three ye

ars, what is the kind

of investment that will be required over here.

Jayashree Satagopan : On the drone, we made an investment in the AgTech. So that is as much at this point in time.

Over a period of time, we will see how we can help the startup in terms of scaling up their own operations given the expertise that Coromandel has in terms of best manufacturing practices. In terms of approach to the market also and piloting through our own business mainly crop protection, SND and retail. So that will take care of the drone part of the business.

On the nano DAP, as Sankar was mentioning, we have applied for a patent. We will be working closely with the Government to see that we are getting the approval and putting up a nano DAP plant. Compared to any other granulation plant, there is going to be much shorter in terms of the time frame, as I understand even IFFCO for capacities that they have created, which is roughly about 5 Crores to 6 Crores bottles, is about Rs.150 odd Crores, which is not a huge investment, if I look at it from a benchmark standpoint. So from Coromandel as we go along, we will be taking a call. We already have our pilot plant for liquid fertilizers in Vizag, which currently the business is using for production of nano DAP

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to sort of test in the universities and in the fields. But the proposal for putting up a dedicated nano DAP facility and the investments will come through during the business planning cycle.

Chintan Chheda : Got it. Thanks a lot.

Moderator : Thank you. Our next question is from the line of Prashant Biyani with Elara Capital. Please go ahead.

Prashant Biyani : Thanks for the opportunity. Jayashree madam, what could be the capacity utilization of the granulation plant and how much utilization are we targeting next year.

Jayashree Satagopan : The capacity utilization of our plants currently for all the three quarters put together is about 102% which is what I was mentioning earlier during the call. Prashant, you would also recall that there are several measures that have been taken by the company to hit this type of capacity utilization.

One, we spoke about some debottlenecking operations. Second, we looked into multiple sources of raw materials. Third is the grades that we are producing and fourth is obviously looking at what grades we can import, so that we can produce more of certain other grades. So, combination of this actually helped to hit about 100 plus percentage till now.

In Q4, we will be doing the annual turnaround in both Vizag and Kakinada, therefore it would moderate for the full year. This is also in line with our past performance. Q4 typically we do ATA.

For the coming year, we expect similar trends to continue. In fact, Kakinada debottlenecking and using different source of raw materials has helped in scaling up our capacities there and we should be able to hit even slightly higher volumes with all our three plants fully in operation next year.

Prashant Biyani : How much incremental capacity would be available through debottlenecking next year.

S. Sankarasubramanian : See there are multiple opportunities in which we can increase the volume. It depends on the mix. We cannot go by the current volume, with the current trains we can produce multiple products. We have taken two, three steps. One is in terms of producing different grades in the same plant. If X grade can produce 100 tons, Y grade can produce 120 tons. It depends on the mix optimization. So, there is a scope of increasing volume through the mix optimization.

Second can be through the debottlenecking of the capacities which we are seriously contemplating which should come through in the second quarter of next year and third we

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use different sources of raw materials which can increase the throughput and fourth we are also I

looking at additional trains, those possibilities being explored. So always the business will look for opportunities of volume growth as well as the mix, which can bring in top line

growth for us and as Jayashree mentioned in the earlier response, there is also option for us to produce certain grades in our plant and the generic grades can always be imported. So, our focus will be to increase production of NPKs and import DAP. So that strategy also will play out more in the next year.

Prashant Biyani : Sir, with regard to future growth for the industry and as well as for Coro, I mean, we are right now at a very critical stage where on one hand, nano fertilizers are promoted, and on the other hand, we are also short of granulation capacity. So going forward, I mean, how do you see this. How much has been the acceptability of nano fertilizers while you are doing trials and whether it would be prudent to set up capacity. How much granulation new capacities prudent to be set up in the country. Is there any risk of some of the granulation capacity being available because of some market shift of nano fertilizers over the next three to five years. Because of all these things, how do you see, which path would be correct for Coro to take.

S. Sankarasubramanian : The phosphatics industry segment in India ranges between 20 million to 22 million tons and India produces roughly 13 million tons. So basically 6 million tons to 7 million tons is imported. So even if you were to assume that nano DAP is going to come in first it will only replace the imported DAP. So, our aim is also to see that how this can replace the imported DAP, that is what Government is also looking at it. We do not see any challenge to the domestic capacities and there will be coexistence. There are multiple products, whether it is water soluble fertilizers or specialty nutrients or nano DAP, they will coexist along with the main soil applicator and we do not see any challenge to the existing capacities when we are almost importing 40% of the total annual requirement of phosphatics and Coromandel will definitely look at expanding volumes and there are opportunities available in this space, and we will look at growing the granulation capacity as well. In tune with Government focus on Atma Nirbhar Bharat, it makes immense sense for the companies to augment domestic capacities, not only for granulation but also to create backward integration opportunity and we will continue to focus on that.

Prashant Biyani : Sir, lastly while we have applied for patent for nano DAP, what would be our plans for other nano fertilizers, and specifically do we plan to venture into nano urea and have you been able to find another route to manufacture nano urea.

S. Sankarasubramanian : So we have nano urea technology as well, which we have applied for patent and we are going through the various studies, which are required for making our application to the Government.

We are going through that phase. We are also carrying out the field trials. Once we get the Coromandel International Limited

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studies completed, we will update to the Government and take the approval and then we will launch nano urea. So, we have got an alternate route of manufacturing nano urea as well, but again, I repeat my response in the earlier case these are all meant for foliar applications, which are much later part of the crop stage at the time of flowering and it cannot replace the traditional soil applications which are happening. So, to that extent, there are no immediate challenge in terms of the volumes prospects for the phosphatics. But our effort on nanotechnology applications will continue to be there and we will look at opportunities including nano micronutrients also going forward.

Jayashree Satagopan : I just want to add one more comment here. These are still very early days of nano technology. It was launched this year, I mean, in

this current financial year, nano urea, and talking about nano DAP we just need to see even on the full year application to what extent there is going to be a substitution. It is such an interesting area to watch out. We will have to wait and see rather than getting into some sort of a conclusion whether there is going to be a substitution or whether it is going to be an add on application. But it is an interesting phase to look out for.

Prashant Biyani : In your trial have you seen the farmers' acceptability for nano fertilizer.

Jayashree Satagopan : As I said, it is very early stage. They are doing some university trials. Once we get to some level of certainty, we will definitely be happy to share all of these.

Prashant Biyani : Thank you. That is it from my side.

Moderator : Thank you. Our next question is from the line of Rohan Gupta with Nuvama. Please go ahead.

Rohan Gupta : Hi! Sir, hi madam, good evening. Glad to see Sankar sir joining call after such a long time.

Sir, a couple of questions from my side. First is on fertilizer margin itself. Jayashree madam, you have guided roughly Rs.6000 that is the margin per ton you are looking in fertilizer. We have seen that we have been continuously improving our stable margin guidance from almost Rs.4000 to Rs.4500 to Rs.5000 and now are roughly Rs.6000. We have been living in an environment where the phos acid prices were continually going up and now they have started correcting. So I think that during this time, we definitely enjoyed some margin because of backward integration, high backward integration. When we are talking about Rs.6000 stable margin per ton, assuming that DAP prices come back to the normal of Rs.40000 per ton what

they used to trade earlier. That is a pretty handsome margin on an average realization basis of Rs.6000 and given that our profitability will be primarily coming from the Government subsidies, do you think that the Government will be okay with this kind of margin enjoyed by the industry. Though I understand Coromandel will have efficiency also driving this

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margin, but still do you see that this margin for the industry can sustain at this level once that phos acid prices and DAP normalizes.

Jayashree Satagopan : As you know, the margins have been improving on a year-on-year basis, primarily based on the cost efficiencies, backward integration, building on the brands, creating demand for unique grade based on agronomist activities in the field, so on and so forth. So, I would look at a steady state, as I was mentioning, the Rs.5000 to Rs.6000 as the EBITDA per ton margin for us. These levels, based on the efficiencies that have come in, should sort of be doable. While we see that PA prices are coming down, in the immediate future, I do not see a drastic reduction per se, because demand next year also is expected to be higher. We still do not know how China is going to play the cards or there is going to be still a lot of imports that happens into the country. For DAP, primarily, we are seeing more imports and we will also continue to import that and start manufacturing more of NPKs in unique grades in our facilities. So with that, we should start to be able to maneuver around these margin levels. The Government, obviously, will be looking into reduction in the subsidies, which I was also mentioning a little earlier. So it is going to be a combination of multiple factors, and as the capacity of the plants go up primarily due to debottlenecking and using multiple grades or sources of materials or types of materials, there is also going to be efficiency in the fixed cost front. So one just look into to it overall, so I think we should be comfortable in this way, I will not be worried in terms of whether these numbers are reasonable or not.

Rohan Gupta : Second is a clarification. In Q2, we mentioned that definitely, we do have some high

cost

inventory of phos acid and the prices of phos acid last quarter come down \$1175 while they have further come down to \$1050 now. We have seen that despite that cautious outlook, which you shared in Q2 which could have led to some inventory led losses, we are seeing the Q3 numbers are pretty robust and the margin has been very well maintained. So when the prices of raw materials has further fallen to \$1050, Government is still holding onto subsidy rates which they have revised in the month of October. I am sure that we are almost half of the Feb now. So it means that for the current quarter, the subsidy rates will be same as what we have seen in Q3. So it means that we are looking at very, very attractive Q4 with the fall in raw material prices and also even the prices coming down in previous quarter also. Market prices of DAP and NPK whatever channel checks suggest are still holding on. So it indicates in all probability a good Q4, unless the Government further reduces the price on the subsidies. Is that understanding correct, madam?.

Jayashree Satagopan : Well, as I was mentioning, Government is already contemplating reduction in the subsidy rate and it is in discussions within DOF, will go for approval to the cabinet, because they are seeing a trend which is coming down as far as raw material prices are concerned. What we

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do not know now is from when this reduction in subsidy rate would be applicable. Like, for instance, 1st April onwards, the rate went up, but the announcement did not happen in March, it happened subsequently. While the Government was willing to give an increase in the subsidy rate as of 1st April, maybe they did not want to reduce the subsidy rate from 1st January because we have been talking about it. But at this point in time, we do not know the exact date. So I would not jump to say Government may not change the rate for the quarter. They are definitely considering a reduction of the rate. We do not know how much and we do not know the date, and if that does not happen, there may be some corrections in the market price also, because the expectation is to see how the farmers benefit out of it, and we all know that the subsidy outlet of the Government has been quite high, and the incentive for them also is to reduce the subsidy rate, you are also seeing that tonality coming in the budget speech of the Finance Minister. Therefore, I would rather wait a week or so, then we will get a little more clarity on this subject relating to the change in the subsidy rates by the Government. I hope that clarifies.

Rohan Gupta : Yes, right madam. So, I think that the future reduction in subsidy or any point of time, the Government announcement which maybe retrospective effective from 1st of January itself will be the biggest risk which we are going to face right now and we do not know how the company handles that risk, I mean, because that is not in our hand. So you must be having

some inventory the current quarter phos acid subsidy prices are already fixed. So I think that we are just doing the business, but there is a risk which we are having right now in terms of the impact to the profitability, correct.

Jayashree Satagopan : Yes. This happens every time, rates will go up or down. It is part of the business.

Rohan Gupta : Got it madam. Thank you so much. Thanks.

Moderator: Thank you very much. Now I would like to hand the conference over to Mr. Ramesh for closing comments. Please go ahead, sir.

S Ramesh : Let me ask a question before I close the call. So I would like to have your thoughts on how you see the Crop Protection business, it's potential in terms of the improved product mix and what are the kind of share you expect from the formulations and when you see some kind of steady trajectory in terms of volume growth and margin expansion, would it be by FY2025 or FY2026. If you can give your

thoughts on that in terms of the internal assessment that would be useful, and secondly on the structural soil nutrient content how do you see that imbalance being addressed because you have a problem in terms of the steep discount for the urea price for the farmer. So any thoughts on that or Government thinking on that if you can
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share in terms of the potential for long-term growth in the Complex fertilizers. I know these are slightly difficult questions, but if you can give your thoughts, it would be really great.

Jayashree Satagopan : On CPC the opportunities for Coromandel to grow the business is large. Therefore, from mid-term to a long-term when you look at it, it is extremely critical to work on three factors which we further have shared in the past. One is revamping and having a good product portfolio, reducing our dependency on Mancozeb, improving our B2C sales compared to our B2B both domestically and also in select export markets and also looking into backward integration, when it comes to the new technical that are being picked up by the business and improving the channel strength both in terms of the dealer network as well as our feet on street. So multiple of these initiatives are being taken by the business, including a lot of changes within the organization, getting the right people, whether it is for R&D, product development, manufacturing, across multiple areas. So I honestly believe in the next two, three years we will see a very different play on this business, where we will have a much more enriched portfolio, deeper penetration into the B2C segment and also select markets globally where we will be going on a B2C. Apart from all this, multiple registrations have been taken. We are also looking into activating them either on our own or through our B2B customers globally which should also sell. As far as the soil nutrients question that you have, this is about promoting balanced nutrition. This is what Coromandel has been doing. If you look at us as a company, we have been talking about balanced nutrition, selling more of NPKs, not even DAPs, leave urea, urea is primarily for footfall which we also import, sell it relatively to our dealers or market it through our retail network, but Coromandel focus has been on NPKs. We have about 150 odd agronomists, we have nutri-clinics through which we sort of advocate right farmer practices and behaviors, which has actually helped them in growing the NPK market in our key operating areas. Whereas there is a higher dependency on urea as well as DAP in many of the northern markets where Coromandel is not present as much. As part of our initiative working with the Government, Government advocacy we have been constantly talking about and discussing the development on our own through FAI, the need for promoting balanced nutrition and Government is also conscious about it and we do work at some point in time with DBT 2.0 that we are talking, they maybe linking subsidies to usage of fertilizers and thereby sort of moderating the type of fertilizers the farmers will use, which will help in improving the farm productivity. All of these have its own rationale, and when the Government will do, whether they will do now or they will do a couple of years later, we do not know, but there are different ways how the Government can actually work through it. You see the Government is also continuously in dialogue through this PM Cares that they have sort of introduced working with different dealer outlets, talking to the farmers. So, they are looking into this seriously and it is only a question of time. However from Coromandel standpoint, we will continue our focus on balanced nutrition, we will continue our focus on
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integrated pest management, because we believe this is the right instrument for sustainable agriculture. Thank you very much for your question.

S Ramesh : Thanks a lot Jayashree that was very helpful. So, with that we bring this conference call to

close. Let me first thank Jayashree, Sankar and Raghuram from the Coromandel management team for taking time off and giving us this call and answering all the questions. I also thank all the participants for making this an interactive session. Thank you very much and have a good day, ladies and gentlemen. Thank you.

Moderator: Thank you. On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

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May 22, 2023
National Stock Exchange of India Limited
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Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Subject : Transcript of conference call held on May 16, 2023
This is further to our letter dated May 05, 2023 on the subject.

In this regard, we write to inform that the transcript of the Conference Call held on May 16, 2023 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/>, as required pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

This is for your information and record.

Thanking you ,

Yours sincerely,
For Coromandel International Limited

Rajesh Mukhija
Sr. Vice President - Legal &
Company Secretary

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"Coromandel International Limited Q4 FY23 Earnings
Conference Call "

May 16 , 2023

MANAGEMENT : MRS. JAYASHREE SATAGOPAN – CHIEF FINANCIAL
OFFICER , COROMANDEL INTERNATIONAL LIMITED
MR. SANKARASUBRAMANIAN S – EXECUTIVE
DIRECTOR (NUTRIENT BUSINESS), COROMANDEL
INTERNATIONAL LIMITED

DR. RAGHURAM DEVARAKONDA – EXECUTIVE
DIRECTOR (CPC , BIO & RETAIL BUSINESS),
COROMANDEL INTERNATIONAL LIMITED
MODERATOR : MR. HARMISH DESAI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator : Ladies and Gentlemen , Good day and welcome to the Coromandel International Limited Q4 FY23 Earnings Conference call hosted by Phillip Capital (India) Private Limited.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference , please signal an operator by dialing '*' and then '0' on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Harmish Desai from Phillip Capital (India) Private Limited. Thank you and over to you, Sir.

Harmish Desai : Thank you Dorwin. Good afternoon and welcome to the 4th Quarter and full Year FY23 Earnings Call of Coromandel International Limited hosted by Phillip Capital .

From the management Mrs. Jayashree Satagopan – Chief Financial Officer, Mr.

Sankarasubramanian – Executive Director (Nutrient Business), Dr. Raghuram Devarakonda – Executive Director (CPC , Bio and Retail business) and Mr. Shanky Bhola – DGM Finance.

I would like to thank the management for giving us the opportunity host this call. We will begin the call with opening remarks from the management post which we will have a Q&A session.

Thank you and over to you, Ma'am.

Jayashree Satagopan : Good afternoon everyone and thanks Harmish for organizing the Conference Call .

I have with me Sankar and Raghu who will join me in responding to your queries.

Let me begin with giving an "Overview on the Agricultural Environment " followed by the "Company 's Performance" and then we will have the Q&A session.

Overview on the Agricultural Environment:

As far as the Indian agriculture is concerned , the country witnessed above normal rainfall during the last season. Monsoon for this year is also expected to be normal as per IMD with a 96% forecast on rainfall . However, there are recent indications of El Nino for this year, Central and Northwestern regions may witness below normal rainfall.

Overall , with the reservoir levels at around 98% of last year and good soil moisture conditions , agricultural growth is expected to be stable.

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Overview on the Fertilizer Industry :

The global supply of key commodities improved during the year and the industry continued to witness softening of prices of major raw materials. Domestically, the fertilizer demand has remained strong supported by good monsoon and favorable policy measures from the Government . Government of India during the year approved Nano urea and Nano DAP for the benefit of farmers in making the country self -reliant over the period of time.

For the quarter, the industry volume DAP and complex fertilizers primarily sales was up by 62% current year this is 46.4 lakh metric ton vis -a-vis 28.7 lakh metric ton last year with higher imported DAP sales .

DAP and complex fertilizer industry consumption indicated by Phos sales was marginally up by 2%.

Raw material prices continue to witness the downward trend. On a year-to-date basis DAP and complex fertilizer industry primary sales volume was up by 23% and the Phos sales volume was marginally down by 1%.

Company's Performance:

As far as Coromandel 's performance is concerned during the Financial Year '22-23, Coromandel delivered a robust performance registering a strong growth in turnover and profitability with its diversified portfolio of nutrients, Crop Protection , bio products and retail businesses. A record volume sales in NPK s and high subsidy rates in the nutrients business primarily led to the increase in revenue during the year.

Crop Protection Business:

In the Crop Protection business , domestic formulation and B2B business grew during the year, which was partly of

offset with the headwind sales in the export markets.

Coromandel ensures that agri inputs are made available to the farmers in its key operating markets and promoted the use of balanced nutrition and integrated pest management to help rejuvenate the soil and farm productivity.

The Company's Nutrient Segment performance :

Nutrient and Allied business segment revenue increased by 33% during the quarter and 63 % during the year. The Company's fertilizer products registered good growth during year both in terms of turnover and profitability.

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On the sales front, the business registered sales volume of 6.25 lakh metric tons during the quarter, which is 5% higher than last year. For the full year DAP and complex volume was at 36.45 lakh metric tons vis-a-vis 33.22 lakh metric tons which is 10% above last year.

Manufactured and DAP complex volume was lower by 1% for the quarter and higher by 10% for the full year. The Company's market share in Q 4 including NPK and DAP was at 13.5% and for the full year 15.4%. The market share for complex fertilizers grew during the full year to 26.7% vis-à-vis 26.3% last year.

As far as SSP is concerned, Q4 sales were at 1.9 lakh metric tons with the growth of 19% over the last year and on a full year basis SSP business clocked 8.1 lakh metric tons versus 7.5 lakh metric tons compared to last year. The market share went up to 14.9%, last year it was 14%. Our commercial teams have continued to ensure timely availability of raw materials to enable continuous production and the manufacturing plants by staying abreast with the latest developments in the global markets.

During the quarter our DAP and complex fertilizer plants operated at good capacity levels and produced 6.46 lakh metric tons of fertilizers. On a full year basis plants operated over 90% of capacity and a record production of 32.91 lakh metric tons of fertilizers. Phos Acid production during the quarter was at 0.7 lakh metric tons and for the full year it was at 4.1 lakh metric tons. During the year Coromandel strengthened its backward integration capabilities in the nutrient business by acquiring 45% shareholding in Rock Phosphate Mining Company in Senegal. Major capital expenditure projects like the sulfuric acid plant and the desalinization plants are progressing well as per the schedule.

The Company continued its focus on developing new products and during the year developed a new tech product Nano DAP, which tends to improve nutrient uptake, lower water consumption, minimize environmental losses. The company is setting up a plant in Andhra Pradesh and plans to launch the product in the second half of 2023.

With these initiatives we would continue to promote a balanced nutrition approach and support the farming community.

On the Crop Protection side:

The business registered a growth of 11% in revenue for the quarter and 5% on a year-to-date basis. Domestic formulation witnessed good growth with positive traction from the new product launches made during the year in the previous year. The cost lag effect and price-related challenges in Mancozeb and Profenofos impacted our export business. A new pre-emerging herbicide Clario 7.45 was launched during the quarter and with this a total of 8 new products have been introduced during the year.

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The R&D and product registration teams are working closely on a rich pipeline of new and combination products to be launched in the coming year. The business is further activating some of its registrations in the global market through collaboration with its key B2B customers. A multipurpose plant at Ankleshwar for the manufacture of three new technicals have been commissioned and two products have been commercialized in the last quarter.

The business has

purchased 50 acres of additional land at Dahej for its Greenfield expansion.

On the CAPEX front :

The Company recently announced investment of 1,000 crores where it intends to invest in Crop Protection business primarily in building up new multipurpose plants and also plan to leverage its technical expertise and manufacturing infrastructure to foray into adjacent areas like CDMO and Specialty Chemicals.

On the Bio products :

The business is working on other plant extracts to expand its product offerings. AzaMax an insecticide was launched in the market.

The Retail stores operated well during the quarter focusing on providing all around agri solutions including products, farm advisory and mechanization services. The business launched

a new e-commerce platform and it is really good response from the end customers. Retail business has improved its operational efficiencies and has leveraged technology to reach out to farmers. In Q4 97% of the stores were profitable as they focus on high margin products and operated with the negative working capital level.

The Company continues to promote Ag-Tech solutions to farmers and have started piloting cold storage solutions through the retail network. It further plans to scale up the drone applications after successful completion of pilot test in its key operating markets.

With that, let me take you through the Company's Financial Performance:

Turnover:

The Company recorded a consolidated total income of Rs. 5,523 crores during the quarter and Rs. 29,799 crores during the full year vis-a-vis corresponding period where the total income was Rs. 4,304 crores for the quarter and Rs. 19,255 crores for the full year. This represents the growth of 28% for the quarter and 55% on the full year. The increase in revenues is attributable to higher raw material prices which has driven or higher MRP and high subsidy realization as far as the nutrient business is concerned.

Nutrients and Allied business contributed 89% share and the remaining 11% is from the Crop Protection business for the quarter and for the full year the ratio is at 91% and 9% respectively.

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The subsidy and non-subsidy share of the business stands at 84% and 16% for the quarter and 87% and 13% for full year.

Profitability :

Consolidated EBITDA for the quarter was Rs. 403 crores against Rs. 380 crores last year and full year it was Rs. 2,926 crores against Rs. 2,150 crores in the last year.

In terms of subsidy, non-subsidy shares stand at 66% and 34% during the quarter and 75% and 25% for the full year. The previous year it was 59% and 41% during the quarter and 70% and 30% for the full year.

Net profit after tax for the quarter was Rs. 246 crores in comparison to Rs. 290 crores for the corresponding quarter last year and Rs. 2,013 crores for the full year against Rs. 1,528 crores last year.

Subsidy during the quarter :

The Company received a subsidy of Rs. 4,483 crores for full year subsidy received amounts to Rs. 12,477 crores. The previous year figures Rs. 7,737 crores for the full year. Subsidy outstanding as from 31st March 2023 was at Rs. 2,378 crores against Rs. 294 crores which was outstanding in the previous year.

Interest during the quarter :

The company earned the interest income this is excluding the IndAS adjustments of Rs. 3.8 crores vis-a-vis the net income of Rs. 32.7 crores the same quarter last year. For the full year net interest income earned is about Rs. 4.3 crores.

During the year the Company had elevated working capital requirements primarily due to the high raw material prices as well as the higher subsidy outstanding from the government which the Company managed through taking suppliers and buyers line of credit.

Coromandel maintained surplus funds of approximately Rs. 3,000 crores in Board ap

proved

securities and these are earmarked for specific growth-related investments apart from funding the capital expenditure program of the Company.

On a net basis, the Company ended the year with a surplus of about Rs. 3,111 crores including cash in hand.

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Credit Rating:

The Company's balance sheet continues to be strong. During the quarter Company long term credit rating by CRISIL has been upgraded from CRISIL AA+ to CRISIL AAA stable and the short-term debt rating continued to be at CRISIL A1+.

The Company's long-term credit rating by India Ratings, a research of FITCH Group Company, continue to be in the AAA stable and short-term rating at A1+.

FOREX :

During Q4 rupee traded in a broad range between 80.89 and 82.96. The Company continued to follow a prudent conservative approach of hedging the FOREX exposure which has immensely helped in limiting the impact of currency fluctuations.

Dividend :

The board in its meeting held on 15th May, 2023 has recommended a final dividend of Rs. 6 per share along with the interim dividend which was declared and paid earlier the total dividend for the year was Rs. 12 per share in line with the prior year.

As the Indian economy continues to progress well , healthy reservoir level, good soil moisture conditions and a forecast of a normal monsoon augers well for the Indian agriculture sector . As a leading Agri Solutions provider Coromandel will continue to promote integrated farm practices and bring prosperity to the farming community.

In terms of financial performance , it has been a great year and we expect the momentum to continue in the coming years.

Thank you for your interest in Coromandel and joining us in the Concall today.

With this, we can open the session for question and answers and we look forward to interaction .

Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani : Ma'am, we had announced investments in Crop Protection and specialty chemicals a few weeks back , any investment that we have frozen on the fertilizer side?

Jayashree Satagopan : What we shared with you Prashant is only part of the overall investment that we had for 2024 and 2025 specifically on Crop Protection and specialty chemicals which is 1 ,000 crores. We also have investment plans for fertilizer , specialty nutrients and the bio products for the Company .

Overall, for 2024 we have capital projects of about 2 ,000 crores that have been identified . For Coromandel International Limited

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fertilizers, we have plans to set up the Nano DAP facility, there is capacity expansions and debottlenecking that is happening in the plants at Vizag and Kakinada Kakinada. Apart from that, we are also looking at increasing the granulation capacity in our SSP plants.

Prashant Biyani : So, out of 2000 around 1 ,000 could be for fertilizers?

Jayashree Satagopan : I would say about Rs. 700 to Rs. 800 for fertilizer.

Prashant Biyani : By when can we set up the granulation facility?

Jayashree Satagopan : The granulation is for SSP - we have powder and we have granulated SSP. So, we are looking at increasing the capacity of granulated SSP. On the fertilizer front, we are working on several actions including use of data analytics, to see how we can improve the capacity for granulation within our existing facilities.

Prashant Biyani : And if we are trying to do it in house , would that expansion be of say more than 10% of the existing sites ?

Jayashree Satagopan : It depends . Currently we are looking at it. There is some work that has already happened on Kakinada which includes a bit of debottlenecking and also using multiple raw material sources which

can actually help in output increase. We are seeing some benefits flowing in FY 23 and we expect it to accelerate during the year . We will continue to work on debottlenecking and increasing the capacity in house depending on the market conditions and as we have maintained earlier we will also look for opportunities to import. You may appreciate during the last year most of the DAP that we sold in the market had come through our imports , because we were able to then purposefully use the facility for manufacturing the other NPK grades. So, we will be looking into all these options to maximize our capacity utilization.

Prashant Biyani : And how are we placed on the channel inventory because the industry I believe is sitting on a higher side of the inventory so if you can just give an idea on our channel inventory position?

Sankarabramanian S.: The channel inventory industry has got a huge amount of stocks of DAP as well as NPK s. Majority of the stocks were lying with importers who have contracted these volumes in the 4th Quarter . As Coromandel we focus more on manufacturing. Our imports are mainly to meet the demands as and when required. So, our channel inventory is one of the lowest and we continue to maintain that. So, we do not have any issue on the channel inventory.

Moderator : Thank you. The next question comes from the line of Naushad Chaudhary from Aditya Birla . Please go ahead.

Naushad Chaudhary : In terms of the cash deployment, I understood you explain your plan for FY24, but looking at the cash flow we have an existing surplus . Beyond FY24 what is the outlook, what are we Coromandel International Limited

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planning and how are we planning to use this cash and which part of the business would attract more investment?

Jayashree Satagopan : As we had indicated in the past we are looking into opportunities to grow the business both organically and inorganically. For the current year, as I was mentioning there is about a 2 ,000

crore of capital expenditure that is being looked into, the cash outflow will be during the year with some spillover into next year. Having said that, we are also looking into further opportunities depending on the attractiveness, the synergies and what it could do to Coromandel in a medium-to-long term, that exercise is on. So, the intent is obviously to see how we deploy the fund into business for us to get a longer term sustainable profitable growth in Coromandel. So, the management is focused and working on that aspect.

Naushad Chaudhary : Can we get into a little bit granularity exactly which area we are looking into you have talked about CDMO in specialty opportunity, but if you can help us understand broadly in which kind of chemistry we must be targeting in which kind of end user industry we are looking at and how would it sync to our existing competencies?

Jayashree Satagopan : See some of these are very strategic in nature as you would appreciate. Last year we looked into a BMCC investment, and we were able to come and talk to you when we were more or less there.

Similarly, there are multiple proposals that the Company is currently looking into. There are high growth opportunities like specialty chemicals and CDMO which we have already spoken, and some investment is committed from the Company. If there are interesting opportunities coming in these areas, we will be looking into it and I would request you to hold on unless we have something which we can specifically talk to you about.

Moderator: Thank you. The next question comes from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

Vivek Ramakrishnan : My questions are on the debt levels in the Company and this year like you rightly pointed out because of increased government subsidies you were able to manage the creditors. The first question that

I had is are these creditors interest bearing in any case or in any way or there is no interest cost in it and the second thing is given your large 2,000 crore CAPEX plan, do you expect that the borrowing levels will go up in the current year.

Jayashree Satagopan : The elevated working capital requirements were met through extended credit terms in some cases while the supplier has sort of accommodated in other cases where we have taken a loan through the bank and there is an interest component into it. As far as capital expenditure program of 2,000 crores is concerned, we intend to fund it internally through our existing resources. Over the last 5 years plus we have not resorted to any long-term borrowings for capital expenditure. I think there will be enough cash accruals that happens on a yearly basis that would be best deployed in these investments.

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Moderator: Thank you. The next question is from the line of Vishnu Kumar from Spark Capital. Please go ahead.

Vishnu Kumar: Just on the NBS rate that you have taken could you just help us understand what is the NP and NPK rates that you have taken and what is the impact in the first quarter sorry this quarter in this 4th Quarter how much impact you have taken?

Jayashree Satagopan : So, Vishnu we have made an estimate on the rate based on the falling raw material prices. As you know the RM prices have been coming down over the last few months and we expect the trend to continue. I do not currently have the rates right in front of me. These are best estimates that we have taken and based on which, the adjustment in books for the quarter has been done. I would also like to indicate that based on our interactions with the DOF we expect the subsidy rates to be moderated on 2 dates, from first of January and then from first of April. As there are two corrections that are likely to happen, it will have a double impact. One is in terms of the subsidy income itself, the other one is in terms of the channel inventories and obviously for the 1st of April there is a channel inventory impact that may come in. So, appropriately this has been considered and factored in. I do not have the exact rates in front of me for NPK, we can share it with you offline.

Vishnu Kumar: So, for both Jan and April both numbers have been already considered, so we should not expect anything in first quarter?

Jayashree Satagopan : As I said we have made a judgment based on what would be the best possible rates and I do not see a reason for any major variation to come in for the quarter.

Vishnu Kumar: Ma'am, on the 1,000-crore investment in the chemicals business where you could just help us understand timelines of plant commissioning what level of contracting are we there and very recently China has again started we understand from multiple companies that they have started dumping a lot of products does it impact at least some part, do we see some impact in our investment theses on this side?

Jayashree Satagopan : Again a very good question Vishnu. Out of the 1,000 crores the first and foremost what we wanted to do was to also purchase additional land for Crop Protection business. We had identified a 50 acre plot in Dahej. In a short time the business has procured the land and it is now ready, it has got registered.

Apart from this, there are three proposals that the business is working on. One is for multipurpose

plants, especially for the fungicide which will be coming up at Ankleshwar . They have submitted the business proposal and it is in the final stages of approval internally. The second large multipurpose plant is planned to be set up in Dahej again in our existing facility that will also be on the fungicide front and the third one which is relating to herbicides is going to be set up in the new

y acquired plot at Dahej.

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The business has identified about 18 molecules which were of f patent in the recent past , three of them will come out of Ankleshwar out of which two of them have al ready been commercialized in the last quarter. As the business case gets developed , we also look into the global trends in terms of pricin g, capacities, existing new capacities that are coming up in China in India and accordingly it gets factored in the decision to invest. So, it goes through very thorough scrutiny before w e put in our money in setting up these plan ts. Unlike in the past , the reason that we are doing a multi purpose plant which also give s flexibility so that we are not stuck with one prod uct. For instance, the Mancozeb plant is only doing Mancozeb , whereas the MPP plant can do Azoxy , Picoxy and few other molecules. It is to give flexibility so that if there is a demand fluctuation or a price fluctuation , the business can accordingly tweak and produce. So, we feel quite comfortable with this approach . In terms of the project timeline, each of the projects as they start is expected to take between 1 8 to 24 months to get completed. T he first set of proposal has come and it is almost in the final stages of approval . The others will come in during the year, get reviewed and approved.

Vishnu Kumar: Any percentage contracted I mean or currently completely open or any contracting is done as of now for the capacity?

Jayashree Satagopan : No, this is not for CDMO we are primarily technical plants for the registrations globally and in India. On the CDMO front there has been interest from some of our innovators . They have c ome and visited our plants and we are making a very humble start in terms of getting an NDA signed and possibly looking at one or two smaller lots which can be given to them for approval.

Moderator : Thank you. The next question is from the line of Tarang A grawal from Old Bridge Capital.

Please go ahead.

Tarang Agrawal : Two, three questions from my side one your manufactured volumes grew by about 10% this year. I think it ha s got to do with the debottlenecking that happened in Kakinada and Vizag, how should we see the manufactured volumes from here on, d oes the business have capacity to grow these volumes in the current year or two years to know that is one. Second for the Crop Protection business for FY 23 if you could give us a sense on the split between ex port of technical , B2B domestic and B2C formulation, how are these in FY22 a nd the third the 2 ,000 crore of CAPEX that ha s being deployed my sense is about Rs. 1,000 crores of Spec -Chem, Rs. 700 to Rs. 800 crores of Fert and the balance Rs. 200 crore to 300 crores, so will of it be deployed in FY23 one and second in the othe r part which is the Rs. 200 crores to 300 crores of remaining figure what would that be in relation to ?

Jayashree Satagopan : As far as the manufacturing volumes of fertilizer is concerned there are two -three components that goes into it. One is the mix. There are certain products if you manufacture the throughput could be higher compared to others. So, we optimize the mix. The second thing is the debottlenecking that happens in the plants and the third is the r aw materials that we use which can also have an influence in the throughput. So, a combination of all of this we achieved closer to a 10% improvement i n the manufactured volume last year. Going forward the re is still lots

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that is happen ing at the plants. We expect a 6% to 10% improvement in the manufacturing volumes even in the coming year a nd that should be possible. As I said the Company consciously looked at importing DAP versus manufacturing, which has helped us in the last year . We are continuing to explore such options to see

how we can manufacture products which can give us higher volume.

As far as CPC is concerned you were looking into the absolute numbers for domes tic formulation to do an exports. During the current year our domestic formulation overall for this segment is roughly about Rs. 700 odd crores and the remaining coming from domestic B2B and exports . Both are i n the similar range about Rs. 780 o dd crores with domestic B2B and the balance coming from exports. As we mentioned in the commentaries earlier , we have seen a good g rowth in domestic formulation B2B , we have seen some growth e xports where we faced headwinds mainly because of the prices of Mancozeb and similar molecules - issues in terms of m ore supply

than demand and the impact from material prices.

The third point was regarding the CAPEX of about 2,000 odd crores. Rs. 1,000 crores goes into CPC mainly for the multipurpose plant using the existing infrastructure with required modifications for specialty chemicals and CDMO. We have a large chunk going into fertilizers and SSP and some amount that goes into bio products that is how the entire 2,000 crore is split into and we expect this cash outflow to happen over a period of couple of years as we place the orders as some of these projects are going to be 18 to 24 months in terms of time taken to complete the construction. At the same time from last year projects, like the SAP-3 and desalinization plant which will be commissioned in July or August this year you may see some cash outflow. So, all of these would be funded from our own internal accruals, and we are not expecting any borrowings. I hope this clarifies your questions.

Tarang Agrawal : Just one follow up what would be the current maintenance CAPEX for your current manufacturing footprint?

Jayashree Satagopan : You can take about Rs. 300 odd crores.

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.

Bharat Sheth : Can you give little more color on these Nano DAP opportunity from two to three years perspective, how much CAPEX we are doing and availability of input whether again it is the same imported or it is a domestically available if you can give little more color ?

Jayashree Satagopan : I think this is an interesting question as Sankar is on the call. I am going to request Sankar to give a color on Nano DAP.

Sankar Subramanian S.: These product we have just in the market we are distributing to the farmers to get their firsthand experience of this product. Our field trials indicate there is a possibility of 50% replacement of Coromandel International Limited

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the current dosages in the various crops and the behavior of this product also varies from crop to crop, crop with higher foliage we have seen good response in some crops like Paddy and wheat the response has been relatively muted. So, at this point of time it is very difficult to see to what extent the demand would pick up because this needs to be adapted by the farmers. So, our focus would be for the next 6 months to try this product the farmers and take their inputs and make those corrections in the product and accordingly our capacity will be moderated depending on the market response. These investments are relatively small and it is faster to make so we do not anticipate any challenge if the demand really picks up.

Bharat Sheth : And it is input availability?

Sankar Subramanian S.: There are no challenges in raw materials. We have a dedicated process and we have no challenge in securing those raw material.

Bharat Sheth : And Jayashree one more question on this chemical side that we say that we will be going for industrial chemical, so can you give little more sense on that?

Jayashree Satagopan : Yes definitely I have Raghu with me and he can share

some of these inputs and I can add subsequent to this comments.

Raghuram Devarakonda : Some of current products itself find used in specialty chemicals industry. So, that is our first phase so that we diversify our customer base and subsequently we plan to leverage our existing facility infrastructure, make similar products, similar chemistries -based products for different targeted facilities in the specialty chemicals space and finally as Jayashree mentioned as far as 1,000 crore investment we are also identifying molecules for which we will be making specific investments to cater to the specialty chemical space. So, these are the three broad phases in which we are looking at this opportunity, starting with our existing products itself as is being capable in specialty chemicals.

Bharat Sheth : But is it possible to give little more color which industry are we targeting I mean as a user based?

Raghuram Devarakonda : Yes for example paints and coatings they use some fungicide that is one example for you.

Bharat Sheth : Is there color on that CAPEX for this industrial chemical?

Jayashree Satagopan : So, the overall CAPEX is about 1,000 crores which includes multipurpose plants and some amount of CAPEX which may be required to do some infrastructural changes to cater to the specialty chemical industry. As Raghu mentioned, there are opportunities with the current intermediates that we are doing which could cater to multiple segments. So, that is the low hanging fruit that we want to first address. The business is also working on further opportunities in several segments in the specialty chemicals area. They will be presenting in the next couple of months a very detailed business plan which will include what does it require further in terms of investment. I think it will be better that we can come back to you in terms of the specifics on Coromandel International Limited

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specialty chemicals probably in the next investor conference call or a little later once we are internally clear and reviewed the proposal for this much more in detail.

Bharat Sheth : Last question sir on CPC side see all supply chain headwinds are almost over so how do we now see the improvement in the profitability in this CPC business?

Raghuram Devarakonda : So, in this business one is as you rightly said on the supply chain side, but also it depends on the agro climatic conditions and the pest incidence there are several other external factors that we need to consider while address already question . So we have a window enough to track these trends in the market and we make sure that you know our top line, bottom line are adequately addressed. There is significant progress being made in the area of improving efficiencies in our operations so that we protect ourselves to a greater extent from the vagaries of external markets . I would say we are very well -placed because of the efficiency improvements and also our internal processes respond to the market trends. So, it is just not supply chain.

Moderator : Thank you. The next question is from the line of Vidit from IIFL Securities. Please go ahead.

Vidit : I just had the first question on the Nano DAP research that we are doing, do we think that how much of a volumes will be replaced by Nano DAP, are we going to push a product by replacing existing volumes, are we going to build upon what we are already selling in the market and secondly in terms of EBITDA per ton that we have guided towards 5 and half to 6 ,000 does Nano DAP also bring in the similar levels of margin or is it significantly different from what we are doing right now?

Jayashree Satagopan : So, on the margin front , I think we would be in a very similar range between last year and the coming year. I am going to once again request Sankar to comment on the Nano DAP the adoption what do we see

we now in the light of what has happened with Nano urea that has been introduced and some of the trials that we have taken in Nano DAP.

Sankar asubramanian S.: At the cost of reputation, I will say we need to wait for the market response. Right now we have got a product which is a full year application and we are targeting those states which has high import content of DAP basically this is going to have a substitute for DAP and adoption makes the difference. So, if there is a yearly adoption if they find the replacement of 50% as we see in our trial results and some of the city trials , we see that there would be a potential replacement of 50% which means the high imported DAP consuming states can find better traction for this Nano DAP and some farmers may take this as an add on as well because it also helps in improving the yield. So, if people are habituated to DAP application at the basal stage as a soil application this comes at a later stage. So, we are not sure at this point but we will see definitely whether it will be an add-on or a substitution. It depends on the results what they experience because it goes with the crop, agro climatic conditions, moisture in the soil and the timing of a application and the combination they do it with other and the spraying practices. So, we need to wait and see it is too premature to comment whether this can be placed DAP immediately. We do see a potential in the long run at least in this period of 5 to 7 years 20% replacement seem to be a definite

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possibility, but these are all empirical data point we have , but we need to wait and see how the farmer adapts in the crop.

Vidit : Just out of the FY23 sales how much would be the imported DAP sales currently?

Sankarasubramanian S.: Coromandel we do predominantly imported DAP only close to 4 lakh tons.

Vidit : We did EBITDA per ton of roughly 6,500 odd tons this year so are we maintaining that guidance going forward just wanted to clarify that?

Jayashree Satagopan : Our EBITDA per ton would be in the range of about 5 ,500 you have to look at the full year basis and that is that is something that we would be in a position to follow up....

Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Equities Private Limited. Please go ahead.

S Ramesh: So I have the following questions. One is in the Crop Protection chemicals business what is the kind of volume growth you have done in domestic and exports in FY 23 and how do you see the volume growth shaping up in domestic and export say in FY 24?

Jayashree Satagopan : We did not have a volume growth in CPC . It has been more or less flat as I was mentioning there were lot of headwinds primarily in Mancozeb and Profenofos and therefore it was wiser on our part not to produce and sell it at a lower price . Going into next year again while we have our own internal budget, the call will be taken depending on how the market conditions come in as far as the largest molecule currently in our portfolio Mancozeb is concerned. We continue to enrich the portfolio and bring in new products which would help us in derisking the old molecules that we currently have.

S Ramesh: So, you are looking at your new investments in CDMO and specialty chemical and the active ingredients to start with, what is the timeline for these investments to start adding to your revenues and what are the kind of percentage margins you will expect compared to the current margins in the CPC business?

Jayashree Satagopan : The projects once it gets approved we are expecting anywhere between 18 to 24 months for completion because these are large plants. One of the three proposals is already in the final stages of approval the other two would come in the next 3 to 6 months' time . These projects , as they get complete

d in three years' time , we expect these to reach their peak capacity . We are expecting 2,000 to 3,000 crore of revenue from these investments to come in. The EBITDA margins should be in the range of 16 % to 18% for the new molecules. Again, as I was mentioning a little while earlier , we are building in lot of flexibility in the plant with the capability to handle multi products so that if there is any challenge in terms of volume , pricing, margin for one of those we can swiftly shift to other molecules and therefore maintain a stable margin profile. So, that is the expectation as far as the CPC investments are concerned.

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S Ramesh: So, if we are looking at talking to innovators those four contracts when do you expect to finalize contracts for the CDMO business in terms of timeline?

Jayashree Satagopan : I should say that this is a little long drawn process establishing connect, the customer is coming and visiting the facility, clearing it, signing up NDA, giving certain molecules for us to work out the initial Proto pack and send it to them for validation. At this point in time , with one of our customers , we are in the final stage of getting the NDA and the initial order. We have hired a business development manager for CDMO who is the pretty new in the system and over a period in time this team will start working with the innovators both in Europe as well as in Japan, have them visit, interact and work through it. So, I think in the next couple of years we should see some good traction in this area. At the same time if there are any other opportunities that comes in our way working with these innovators with our existing facilities per say that will also be explored.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP asset managers. Please go ahead.

Resham Jain: So I have two questions so first is a few years back we used to have this target of having a 50 - 50 split between subsidy and non-subsidy EBITDA, so we have not heard on that because subsidy business has been doing quite well, but going forward let us say three years, four years out how do you see the mix given that there is incrementally higher focus in the non-subsidy business?

Jayashree Satagopan : While we maintain that 50 -50 has to come from subsidy and non-subsidy , the position always has been to look into each of these business on its own merits. As you also observed, the subsidy business has been doing pretty well and therefore we are seeing a benefit of higher EBITDA coming in from that business. On the CPC front , in the past we have not made as much as an investment either in terms of backward integration or setting up new multipurpose plants. So that is currently the focus we generate products can give us margins, but to a certain extent we need to enrich our portfolio which started happening in the last two, three years in terms of the product development team working on multiple molecules coming up with new combinations and let us help our domestic formulation business. However, if you have to look into the global business and export that we have we have to definitely enrich our portfolio and that is the reason for us to work on a long-term strategic plan , identify 18 odd recently patented molecules 30 odd combinations which will suit the requirements of both global and Indian conditions. So, for that a certain amount of investment has been committed. The first step in terms of setting up a plant for Azoxy, Picoxy and Cypro has been done. Further investments will happen in the next one to two years. So, we will see an uptake there and also foray into specialty chemical CDMO which is in the right direction. Leave alone this , there is also a big focus on the specialty nutrient business , because we see that the future of fertilizer

could be in liquid fertilizers, special grades

of fertilizer, slow -release sort and so forth. The Nano DAP is also a step in that direction. This is non subsidy as Nano DAP picks up while it may be part of the nutrient business it also augers well with the overall objective of the Company to focus on the non-subsidy products. Bio

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products is another interesting area while we have been focusing on Azadirachtin in the past , there is scope for us to do more in terms of other plant extracts and the business is actually working on them. You also have a couple of very interesting microbials which are in the good stage of development, tie-ups with the agricultural universities on research is also going to help us in some of these fronts. So, overall, I think there will be a good balance between subsidy and non-subsidy as we go forward. However, the businesses which we are doing and we will

continue to do well and we will have our investments there too. We do not want to be constrained by the fact that we want to do a 50-50 odd subsidy and non-subsidy. I hope that clarifies.

Resham Jain: My second question is on organizational structure we made certain changes and now we have divisional CEOs rather than CEO at the Company level, so we have not operated in this kind of structure earlier, so if you can give or share any thoughts around this because the responsibility seems to be split and there is no one at the top from the CEO perspective?

Jayashree Satagopan : We have had both Shankar and Raghuram with us for sometime and they have been running the operations while we had an MD at the Company level. Both Shankar and Raghu comes with rich experience in their respective fields and we have at a corporate level Mr. Arun Alagappan who is overseeing Coromandel as a whole. This structure provides lot of nimbleness in terms of looking into the businesses per say, helping in quick decision making. Both the directors have been empowered to handle their respective areas. There is a monthly council where we work together with all the business to look at areas where there are best practices to adopt. Each of them have their own areas to focus on growth. As these are large businesses, each one has their own priorities and I think it is best to structure it in a way that can enable sharp focus, growth and explore opportunities to excel. As a Company, we find it very comfortable working through the structure.

Moderator: Thank you. Ladies and gentlemen that was the last question for today. I now hand the conference over to Jayashree Satagopan for closing comments. Over to you, ma'am.

Jayashree Satagopan : Well, thank you all for your continued interest in Coromandel. I appreciate your time and your questions. If there are any further questions that we could respond to you please feel free to reach out to Shanky or to me. We will be happy to connect with you once again.

Moderator: Thank you. On behalf of Phillip Capital (India) Private Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

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Scrip Code: 506395

Dear Sir / Madam,

Subject : Transcript of conference call held on July 28, 2023
This is further to our letter dated July 24, 2023 on the subject.

In this regard, we write to inform that the transcript of the Conference Call held on July 28, 2023 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> as required pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We request you to take this record.

Thanking you ,

Yours sincerely,
For Coromandel International Limited

Rajesh Mukhija
Sr. Vice President - Legal &
Company Secretary
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"Coromandel International Limited
Q1 FY '24 Earnings Conference Call "
July 28, 2023

MANAGEMENT : MRS. JAYASHREE SATAGOPAN – PRESIDENT ,
CORPORATE AND CHIEF FINANCIAL OFFICER –
COROMANDEL INTERNATIONAL LIMITED
MR. SANKARASUBRAMANIAN S. – EXECUTIVE
DIRECTOR - NUTRIENT BUSINESS – COROMANDEL
INTERNATIONAL LIMITED
DR. RAGHURAM DEVARAKONDA – EXECUTIVE
DIRECTOR - CPC, BIO AND RETAIL BUSINESS –
COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. PRASHANT BIYANI – ELARA SECURITIES PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Coromandel International Limited Q1 FY '24 Earnings Conference Call, hosted by Elara Securities Private Limited.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.

Please note that this conference is being recorded.

I now hand over the conference to Mr. Prashant Biyani from Elara Securities Private Limited.

Thank you, and over to you, sir.

Prashant Biyani: Good afternoon, and thank you, everyone, for joining Q1 FY '24 Earnings Conference Call of Coromandel International, hosted by Elara Securities. I would like to thank the management for giving us the opportunity to host the call. From the management side, we have Mrs. Jayashree Satagopan, President, Corporate and CFO, Mr. Sankarasubramanian S., Executive Director - Nutrient Business, and Dr. Raghuram Devarakonda, Executive Director - CPC, Bio and Retail Business. I would request the management to give their opening remarks on the results, post which we will start with the Q&A session.

Thank you, and over to the management team.

Jayashree Satagopan: Good afternoon everyone, and thank you, Prashant, for organizing the conference call.

Let me first give an overview of the business environment experienced during the quarter, followed by the company's performance and then we can have a Q&A session.

On the global economy, there has been a muted recovery in the global growth as inflationary pressure, overall slowdown in the demand and geopolitical issues continue to persist. The commodity prices like energy, fertilizer and metals have dropped from the 2022 peak levels following the build-up of gas inventories in Europe and lower-than-expected recovery in China, although food prices remain stable.

As far as the Indian economy is concerned, it is progressing well and is projected to be the fastest-growing large economy. IMF in its latest economic outlook has revised India's GDP growth upwards by 0.2% to 6.1% in 2023. This reflects the momentum from the stronger-than-expected growth in Q4 as a result of stronger domestic investments.

During the quarter, tax collections remained buoyant. However, the inflationary concerns still persist.

Indian agriculture: After a slow start to the Kharif season, the Southwest monsoons have picked up in the last one month. As on 27th July, the country has received 7% higher rainfall compared to a long period average. This has resulted in improved crop sowing by 1% with major increase coming under paddy and maize.

Amongst our key markets, there has been good recovery in monsoons with the exception of East, with catchment regions of Krishna and Godavari basin receiving good rainfall in July, the

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associated reservoir levels have been continuously improving. As on 27th of July, all India reservoir levels stand at 111% of the long period average. This bodes well for the agri input consumption. And we expect the agri scenario to be favorable in the upcoming months.

Policy updates: During Q1, the government approved the NBS rates for the first half of the year. These are in line with the moderation in raw material prices of key commodities. To encourage balanced use of fertilizers in conjunction with bio and organic fertilizers, government has recently announced PM Pranam (Program for Restoration, Awareness, Nourishment and Amelioration of Mother Earth) scheme. It aims to promote balanced fertilizer usage and incentivizes states to adopt alternate fertilizers. Towards this, government continues to provide support to the industry towards

promoting Nano DAP and Nano-urea fertilizers along with focus on drone-based application deliveries.

Fertilizer industry performance: Global availability of key commodities remained at comfortable levels, and the industry witnessed softening of prices of major raw materials. Domestically, the fertilizer consumption in Q1 was impacted by delay in the onset of monsoon. This resulted in build-up of channel inventory. However, with the revival of monsoons in July, the consumption is fast improving.

For the quarter, DAP and complex fertilizer industry's primary sales volume was marginally up by 1% - Current year, at 54.9 lakh metric tons vis-a-vis a 54.5 lakh metric tons in the previous year, with higher imported DAP sales. DAP and complex fertilizer industry's consumption indicated by the POS sales was up by 4%. In the current year, PoS sales were 38 lakh metric

tons vis-a-vis 36.4 lakh metric tons in the last year.

Coromandel's performance : Coromandel posted a steady performance in Q1 registering a volume growth in fertilizer and sustaining its profitability, despite the challenging business environment of delayed monsoon onset impacting crop growth sowing and agri inputs application. Nutrient and Allied business performance was led by a robust 18% sales volume growth in phosphatic fertilizers.

The Crop Protection segment performance during the quarter was affected by industry headwinds and sub normal rainfall in its key markets.

Coromandel ensured that agri inputs are made available to the farmers in its key operating markets and promoted the use of balanced nutrition and integrated pest management to help rejuvenate the soil and farm productivity.

Company's Nutrient segment performance : Nutrient and Allied business segment revenue increased by 2% during the quarter, registering a growth during the year both in terms of turnover and profitability. On the sales front, the business registered a sales volume of 8.6 lakh metric tons during the quarter 18% higher than the last year at 7.3 lakh metric tons. Manufactured DAP - plus complex volume is 7.6 lakh metric tons, higher by 10% over last year.

Company's market share, including NPK and DAP grew during the quarter to 15.6 % vis-a-vis 13.3% in the last year. In SSP, the quarter 1 sales was at 1.8 lakh metric tons, registering a growth of 13% over previous year. Market share for the quarter went up to 13.7% from 11.9%
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in the last year. During the quarter, our DAP and complex fertilizer plants operated at full capacity and produced 9.4 lakh tons. Last year, the same number was 7.9 lakh metric tons of fertilizer. Phos acid production during the quarter was at 1.1 lakh metric tons, same as previous year.

Major capital expenditure projects, like the sulfuric acid plant and the desalination plant at Vizag are progressing well and are expected to be commissioned in August 2023. During the quarter, the company conducted soft launch of Nano DAP, our cutting-edge nanotechnology-based fertilizer developed at its R&D centre. The product is expected to be introduced in the second half of the year and can provide impetus to sustainable farming practices by providing site-specific nutrition and improving nutrient use efficiency.

As part of the Pradhan Mantri Kisan Samridhi Kendra (PMKSK) initiative, the company is progressing well and has established approximately 8,800 stores till date. These stores complement our retail Mana Gromor stores, ensuring availability of quality agri inputs.

On the Crop Protection side, the business had a tough quarter, especially in domestic markets as high channel inventories, pricing pressure and delayed monsoon arrival impacted the operation.

The export business has performed well and has grown by 17% during the quarter with major increases coming from the Latin American market. The business continued

to work towards

improving its manufacturing efficiency. It is expanding its product portfolio and plans to launch novel combination and technical products during the year.

It has also started the preparatory work for establishing the large-scale multi-purpose plant and has acquired 50 acres of land at Dahej. As part of its expansion in the Specialty Chemicals segment, the company has identified few complementary chemistries and plans to introduce products in the second quarter by leveraging its technical capabilities and existing plant infrastructure.

The bio products business of the company is expanding its non-Azadirachtin portfolio and is working on alternate plant extract based products. Pilot trials have been successful and the business expects to commercialize the product during the year.

Our retail stores operated well during the quarter, focusing on providing all-round agri solutions, including products, farm advisory, mechanization services. Business is also exploring to scale up its financial services offering.

As part of the strategy to identify new growth opportunities in adjacent and step-out areas, Coromandel acquired majority shareholding in Dhaksha Unmanned Systems Private Limited, Dhaksha, a Chennai-based differentiated drone start-up. Dhaksha is a leading player in drone space in India, providing complete range of unmanned aerial systems, technology solutions across agriculture, defence surveillance and enterprise applications.

With that, let me now take you through the company's financial performance.

Turnover : Coromandel recorded a consolidated total income of INR5,738 crores during the quarter vis-a-vis INR5,783 crores for the quarter in the prior year, a decline of 1%. The
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decrease in revenue is mainly on account of the falling raw material prices and subsequently a lower subsidy rate in the fertilizer business compared to the previous year. Nutrient and Allied business contributed 90% share, and the remaining 10% came from the Crop Protection business for the quarter. Subsidy versus non-subsidy share of business stands at 86% and 14% during the quarter. Previous year, it was 83% and 17%,

Profitability : Consolidated EBITDA for the quarter was INR709 crores against INR685 crores during the last year. Subsidy business share in EBITDA stands at 84% during the quarter, previous year it was 77%. Net profit after tax for the quarter on a consolidated basis was INR494 crores in comparison to INR499 crores for the corresponding quarter last year.

Subsidy : During the quarter, company received INR2,069 crores towards subsidy. Comparative figure last year was INR136 crores. Subsidy outstanding as on 30, June 2023 was at INR2,816 crores versus INR2,731 crores in the previous year.

Interest : During the quarter, company earned a net interest income, excluding the Ind AS interest of INR11 crores vis-a-vis the interest income of INR22 crores in the same quarter in the last year. Company maintained its surplus fund in Board approved securities, and these are earmarked for specific growth-related investments.

Credit rating : The company's balance sheet continues to be strong, and long-term rating by CRISIL continues to be at CRISIL AAA/Stable and the short-term rating at CRISIL A1+. The company's long-term credit rating by India Ratings and Research, a Fitch Group Company, continues to be at IND AAA/Stable and short-term debt rating at IND A1+.

Forex : During the first quarter, rupee traded in a relatively narrow range of INR81.62 to INR82.93. Coromandel continues to follow its conservative approach in terms of hedging the forex exposure, and this has immensely helped in limiting the impact of currency fluctuations. With the improved coverage of Southwest monsoon across India, we expect the agri inputs consumption to pick up well in the second quarter.

We are committed to driving integrated farm management practices and introducing novel technologies that can enhance the efficiency of agricultural solutions and improve the sustainability of Indian farms.

Thank you very much for your interest in Coromandel and joining us in the call today. We look forward to your interactions. We can open the session for question and answers now.

Moderator: Thank you very much. Our first question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Sir, can you talk about EBITDA margin per ton for manufacturing in NPK and DAP fertilizer. It seems it has gone up Y-o-Y. So what is the reason for that?

Jayashree Satagopan: Hi Sumant, as I have been mentioning in the past, we should be looking at the EBITDA per ton on an annual basis. There will be seasonalities on a quarter-to-quarter basis depending on the volumes, the raw material prices, the subsidy rate, so on and so forth. So when you look at it on Coromandel International Limited
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on an annualized basis, I think we will be in the range of INR5,500 to INR6,000 as we had indicated earlier.

Sumant Kumar: So this INR5,500 to INR6,000, you're talking about manufacturing NPK and DAP EBITDA per ton?

Jayashree Satagopan: Yes, this is a manufacturing product EBITDA per ton.

Sumant Kumar: Ex of SSP, correct?

Jayashree Satagopan: Yes, This is not SSP. This is only NPK and DAP.

Sumant Kumar: Okay. So my question is the ammonia price has declined significantly. So is that also a reason for margin expansion, or we have already cut the price of NPK or DAP manufacture fertilizer?

Jayashree Satagopan: With the raw material prices coming down, not just on ammonia but across all the key commodities, we have also seen a large moderation that has happened in the subsidy rates effective 1st of April 2023. So MRPs are more or less at the same level. However, there has been a reduction in the subsidy rates. So that takes care of the reduction in the raw material prices to a large extent. What you also see is the plant running at near full capacity, Phos Acid production also at its full capacity, along with the other operational improvements happening at the plant, which is helping to sustain the margin level.

Sumant Kumar: Why I'm asking ammonia because ammonia is one-third of the peak price. And phosphorus is 50% of the peak price. That is why I'm asking, are we getting any benefit of higher decline in raw material prices?

Jayashree Satagopan: Yes, we have seen that in the first quarter. There is a benefit that definitely flows from the low raw material prices and ammonia prices have come down even during the quarter. What it was in the beginning of the quarter and what it has actually closed in the end of the quarter, there is

a difference. So the benefit of raw material prices do flow into the margin. But to some extent, it also gets offset because of the correction that has happened in the NBS rates.

Moderator: Thank you. Our next question is from the line of Nirav Jimudia from Anvil Research. Please go ahead.

Nirav Jimudia: So I just wanted to understand on the SSP side of our business because we have seen last year our volumes going up by 19%. Even in first quarter, we have registered good 13%, 14% of volume growth. And what we could understand is that government is now providing the freight subsidies for sending SSP to the distant regions, which earlier was not the case. Plus, if I go through your annual report, we have revived our old Pali plant capacity which has helped us to improve the production rates. So all these measures, coupled with the fact that government is now incentivizing SSP, if you can share your qualitative thoughts on this. And if it's possible to share how much is the contribution in terms of EBITDA from the SSP business in FY '23 or probably in Q1 of FY '24, that would

be helpful ?

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Jayashree Satagopan: Okay. So there has been good traction from the government in terms of incentivizing the production of SSP units. Apart from the Pali unit, we have also started operations at Ennore.

These are two units in addition to what we traditionally used to operate for SSP plant. That has actually helped us in improving the tonnage of production. Having said that, the freight subsidy that was for SSP was only for a certain point in time. So the industry is continuing to work with the government to ensure that there is freight subsidy that is given. SSP unlike NPK, there are units which are closer to the market. So the intent is to see how SSP production can meet with the demand of the markets closer to the respective areas. That's been the overall philosophy. And unlike in NPK, the major raw material for SSP is rock and to some extent sulfuric acid. While the sulfuric acid prices have trended down, the rock prices are holding at closer to last year's level. Even when the phos acid prices had increased, there was a lag in the rock prices as you all have observed. Now when the phos prices have come down, the rock prices will follow the trend, but it will have a lag effect. And therefore, to some extent, this will impact the margins in the SSP business. Normally, in SSP business, the SSP products have a margin of about INR2,000 to INR2,500 in some cases where we have value-added SSP, it can go up to INR3,000 per metric ton. That's a broad range one has to look into.

Nirav Jimudia: Okay. And ma'am, one more statement in the annual report where we mentioned that through our R&D initiatives, we have identified a suitable substitute raw material. This would probably helped and this was about the Kakinada plant where we were able to increase the production of one of the trains by close to 21%. And with this now, we have an assured supply of that raw material, which earlier was not the case. So if you can just help us understand what is -- what actually we have breakthrough into? And could this be a substantial savings in terms of our fertilizer business where our EBITDA could be improved or could provide some sort of fillip to the absolute EBITDA or even the per ton margins, if you can share your views ?

Jayashree Satagopan: Yes. Now again, a good question, Nirav. What we continuously do is to look out for different sources of raw materials and different types of raw materials. Our plants have the flexibility to operate with different RM in terms of grades, whether it is sulfuric acid so on and so forth. And this is one such initiative that was taken up last year. And when we do such R&D initiatives and get it into production, there could be two things that can happen. Depending on the RM prices, which we are sourcing, there could be savings that can accrue to the company. The second thing, it can help in improving the throughput.

So last year, we had a good improvement that has happened in the throughput while getting into alternate materials. And depending on the price situation, we will take a call whether we have to go with our traditional method or do a combination of those with the newer materials. So that's something that the company continuously does. And thanks to our manufacturing team, they have delivered immense flexibility in terms of processing multiple types and grades of raw material, which is what is giving the flexibility to the fertilizer business in terms of quickly adopting and increasing the throughput.

Moderator: Thank you. Our next question is from the line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

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Tarang Agrawal: Two questions and one clarification from me. For the clarification, the subsidy EBITDA for the base quarter was 87% or 78%?

Jayashree Satago pa

n: I didn't understand your question.

Tarang Agrawal: The subsidy share of EBITDA in the base quarter, that is Q1 of FY '23, was it 78% or 87% ?

Jayashree Satagopan: One second. You're asking the subsidy versus non -subsidy business right?

Tarang Agrawal: Correct.

Jayashree Satagopan: So for the first quarter, the non -subsidy business is at 14%, subsidy business is at 86% this year.

Tarang Agrawal: And last year?

Jayashree Satagopan: Last year, the non -subsidy...

Tarang Agrawal: I'm talking about the share of EBITDA, not the revenue.

Jayashree Satagopan: It was 84% during this year. And in the last year, subsidy business share was 77%.

Tarang Agrawal: Perfect. That's helpful. Two questions, ma'am. One, ma'am, if we see the volumes, there has been a significant uptick in your trading business as well as your DAP business. If you could give us a sense on how the operating dynamics for this market were in this quarter versus the base period. So that's one.

The second question is, was there any provision that you took in Q4 '23 as a matter of prudence and consonance with lightening up of raw materials? If so, could you quantify the amount?

Jayashree Satagopa n: Yes. Tarang, I'm going to just pass on this question to Sankar who's in the call, and I can come back to you on the financials. Sankar, over to you.

S. Sankarasubramanian: Good afternoon. On the volume front , we have taken up DAP trading this quarter, b asically we want to utilize our capacity for our NPK production, and we focused on DAP imports . Hence, we have seen the uptick in our DAP volumes. And also we have imported NPK fertilizer during this quarter. So this has helped us to balance the volumes be tween our own manufacturing as well as imports, and that has also increased the volume s for this quarter.

Tarang Agrawal: Sir, but was there a change in the operating dynamics of the market in this quarter versus the previous quarter for such a sharp delta that we've seen in both DAP as well as trading?

S. Sankarasubramanian: Well, not really , of course it's not a consuming month. It's more of a positioning which happens. So consumption happens only when the season starts in July. So we had adequate volumes through enhanced production. If you look at our production numbers for the last year first quarter and this quarter, there's a significant volume increase in our production because we carried out our annual turnaround in the last month of the previ ous year. So all of our plants ran flat out in the first quarter that has helped us to position the material closer to the marketplace. And that's why you're seeing the significant volume jump in this quarter.

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Tarang Agrawal: Yes, ma'am. On the provision q uestion in Q4 '23 ?

Jayashree Satagopan: So we have made the necessary adjustment in the books as a conservative principle based on the likely subsidy reduction that is supposed to come in. This has also been disclosed in the notes to the accounts. As the new NBS rates have come in, we didn't see a ny material change that warrant s any accounting related disclosure. So all of those have been considered in the previous quarter.

Moderator: Thank you. Our next question is from the line of Vishal B from Bandhan Mutual Fund. Please go ahead.

Vishal B : Just one question. When we look at the prices of raw materials, rock has been pretty steady and whereas acid has come down substantially. So can this lead to compression of spreads for our manufactured portion of DAP and NPK in the coming two quarters?

Jayashree Satagopan: As I was mentioning , Vishal, when the raw material prices have gone up steeply , rock was following. It did not happen simultaneously. Similarly, when we're seeing correction in the phosphorus acid prices, the rock prices are trending d own, but not at that same pace. So you are right , when the acid

prices are lower and the rock prices are slightly higher, the value that capture could be lower than otherwise. But you should also look at it. Coromandel has both integrated manufacturing as well as granulation plants. So when Phos acid prices come down along with all other raw material prices, the granulation plants margin also go up. So this is a very nice balance that we have. We have both backward integrated as well as the granulation plan t, it sort of complement each other.

Vishal B : Okay. So when you say for the full year, INR5,500, INR6,000 per for manufactured, this assumes that the rock should fall subsequently, right? I mean, in case that doesn't happen, then this number could be at r isk in case of that scenario only.

Jayashree Satagopan: This is considering a balance of multiple factors . There is raw material prices, not only of rock , there is phos acid, there is sulfuric acid, there is ammonia, urea. And then there is also the govern ment subsidy related. I mean there is a factor of MRP price increase or decrease. We will be taking into consideration all these factors, we believe that about INR5,500 to INR6,000 is an

achievable margin for the year.

Moderator: Thank you. Our next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth: Congratulations, Jayashree and Sankar, on excellent number in a challenging environment. First, can you give -- throw some light on the economics of Nano DAP and raw material of the availability, whether it's again imported or available domestically? And how do we see these dynamics to play out?

And second, and any color on this our investment in this drone business? So is it generating revenue or not? What is the potential? And when it will start, I mean, contributing to bottom line of the company?

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Jayashree Satagopan: Thank you, Bharat. I'm going to leave this question on Nano DAP to Shankar. And let me come back on the drones.

S. Sankarasubramanian: On Nano DAP in terms of raw material availability, they are all indigenously available and we have established sources for that. So we don't anticipate any challenge. And capacity is coming up in Kakinada, and hopefully, we should be able to commercialize the plant in October. About the prospects, we have been carrying out extensive field tie-ups in the marketplace, and we could see potential close to 50% of current use of DAP can be replaced with Nano DAP.

But these are very early stages. Once the product is commercially available from October onwards, we'll be essentially promoting these products in those states where imported DAP use is in abundance. So we'll be targeting these products, Nano DAP, in the northern markets, especially states like MP, UP, Punjab, Haryana where there is extensive longer use of DAP. So that's our approach.

Jayashree Satagopan: Okay. On the drones, you had a question. As you know this is a start-up where we had earlier invested about 18.5% and are taking it up to 51%. The transaction is yet to get completed. It will hopefully be done by end of July. And the drone company is looking into offerings in multiple segments. They have recently received an order of 400 drones from IFFCO on the agricultural front. And they are working on defence and emergency procurement area for logistics-related drones. Now there are applications on the enterprise side. They have been working with some of the oil majors. And obviously, there is also a play on the defense which can happen at a later point in time.

When we look into the technology itself, we know this is very future-oriented and drones are going to play a major role in each of these areas, all the more agriculture, where we are seeing that labor availability is posing a challenge. And when we use drones especially for our liquid fertilizer, specialty nutrients

or crop protection chemicals, the drones help in ensuring the sprays are even, the efficacy seems to be better. So it is a very good future for the use case for drones. The question is, is it happening today? Yes, it is a start-up. They have qualified in the multiple categories. And with Coromandel coming in, we will be able to provide the management, bandwidth, the guidance and help them actually reach new scale. So that's what is going to be the initial one to two years. As we go along, multiple orders will come, and we expect this to also have a steady stream of income and EBITDA. Obviously, being a 51% company, it will also flow through the company financials and we'll be able to share with you more in detail as we go along.

Bharat Sheth: Can you give some color on the Q2 phos acid price and trend of the other input and simultaneously price of the final product?

Jayashree Satagopan: So, as you know, the raw material prices have all been coming down. So we expect that trend to continue. As far as phos acid is concerned, the price for Q2 is fixed at \$850 per metric ton. And the MRP, as I was mentioning earlier, is a factor of multiple things. One is the raw material prices. The second one is the subsidies that the government is giving. And more importantly, we also need to see what is going to be the affordability of the farmers. So considering all of this,

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the MRP gets moderated during the year. So at this point in time, the MRP prevailing for July is more or less similar to the MRP of the last quarter.

Moderator: Thank you. Our next question is from the line of Arjun Khanna from Kotak Mutual Funds. Please go ahead.

Arjun Khanna: Two questions. The first is in terms of the specialty chemicals CDMO piece. So we've talked about it in the annual report and as part of the press release comment by Executive VC. He talks

about the company identifying new complementary chemistries and plan to introduce these products in Q2. Could you help us with what are these chemistries you are looking at entering into? And would the CDMO discussions with innovator start off only post the MPP in Dahej? Or it's something that could start before?

Jayashree Satagopan: Very good set of questions. Thank you for bringing this up. I have Raghu with us on the line. And I'm going to request him to respond to both the specialty chemicals as well as CDMO as we have seen some good amount of progress in both these fronts in the last quarter. Raghu over to you.

Raghuram Devarakonda: Good afternoon. So on the Specialty Chemicals front, the idea is to use the existing assets to make products that are targeted towards this segment. So we have identified those molecules that we can potentially manufacture using the existing setup. This is in the first phase. The other bit is we already have some of these ag-chem that we are manufacturing. We find that some of those ag-chem molecules are relevant for specialty chemical end use. So we are exploring those as well. So this is in the first phase as far as the specialty chemicals story is concerned. So we should be able to see some action in this area in the current quarter.

Moving to CDMO. I don't know if we covered this in some part, over the previous call, but I will repeat. So we do have inquiries that have come up from some of the Japanese innovators as well as European ones. And as you can appreciate, the gestation period for such transactions do take time. But for the moment, the status is that they are -- some of them have come and done their due diligence. And they are comfortable with what we have in these plants in Gujarat. So it's progressing in the right direction for tapping into the CDMO opportunity.

Arjun Khanna: Sure. Just a follow-up on this. In terms of, say, announcements of contract signing, is this -- would this require the MPP plant to be r

eady at Dahej or existing facilities itself is something that we could process these contracts on when they come?

Raghuram Devarakonda: We have opportunities to do both. So we need to see how it concludes. And once they conclude, we'll definitely come forward and update.

Arjun Khanna: Sure. And in terms of timeframe, we expect this -- the CDMO line business to happen in the next 12 months, 18 months, two years or longer? Is there some timeframe that could be provided?

Raghuram Devarakonda: I think 18 months is a fair estimate as things stand right now.

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Arjun Khanna: Sure. Sir, the second question I had was in terms of the Nano DAP since we are launching in October, I just wanted a sense what kind of capacity are we coming with in terms of how do we see the size of the end market at this point in time and given that it's not under subsidy. So in terms of pricing, et c.. efficacy for the farmer, how do we go about the pricing? And is it sold through those terminals? Or is it a free pricing in the market? Thank you.

Jayashree Satagopan: For the Nano DAP, the initial capacity creation from Coromandel is about 2 crores bottles per annum. This plant will be coming up at our Kakinada facility. And since, this is going to be a product which is not subsidized, the pricing will be based on market conditions. Obviously, given the fact that the company has always been endeavoring and working on keeping the farmers' interest first in line, the pricing will also be on those lines. So as we are closer to the time for launching the product, we will be sharing more particulars with you.

Moderator: Thank you. Our next question is from the line of Naushad Chaudhary from Aditya Birla. Please go ahead.

Naushad Chaudhary: Congrats on a decent set of numbers. Firstly, just a follow-up on the previous question. As we discussed in the last quarter as well, in terms of your cash deployment beyond FY '24. Any incremental development you would like to share with us? How are we planning to deploy in '25, '26?

Jayashree Satagopan: So there are two, three things that we have explained in the past, Naushad, and we just want to reiterate the same. One is there is a good amount of investment that will happen in our core businesses, which is fertilizer and crop protection because we are looking at strengthening our dominant position in fertilizer. At the same time, we're also looking into getting into new technology areas like Nano DAP and other Nano products.

Similarly, on the crop protection, we had earlier guided that we are looking into setting up new multiproduct plant in Ankaleshwar and a new site at Dahej. Apart from this, there are adjacencies that have been identified like specialty chemicals as well as CDMO, which will call for further investment.

The third area that we're looking into is the step out option, which is not part of the core but could provide a good runway for Coromandel in the future years to come. You would have seen in the last year, we have moved into mining, which is adjacent but going backward integrated. This year, we are looking into investment in Dhaksha, which is again for future-oriented

technology, having some adjacencies on the agri space, but also has applications across various other segments. We have been looking into similar growth areas, considering the macro indicators and the trend looking into areas where it can complement our business.

When there are opportunities for both organic and inorganic growth, the company will seriously evaluate and invest. The intent is to see how as Coromandel, we can continue to add value to all our stakeholders. So that's how the cash accumulated by the company will be utilized. You would have also noticed in the past several years, the company has been using its cash reserves for funding all its capital investments.

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The current sulfuric acid plant for example, which is coming up at Vizag, desalination system, or the INR1,000 crores of investment that has been announced for CPC and Speciality chemicals, this is all going to be funded with internal accruals. So I'm sure over the period in time, there will be enough projects that will come our way, which will help in the growth journey and help in purposeful deployment of cash.

Naus had Chaudhary: See, I'm trying to understand in terms of the deployment within fertilizer and non-fertilizer. So broadly, if you have to give us the percentage what percentage would go to fertilizer business in next two to three years? And what percentage would be non-fertilizer investment?

Jayashree Satagopan: The way these days, we look into investment is not fertilizer or non-fertilizer. Fertilizer is a dominant business for us. We continue to be a leading private sector player in this area and we'll continue to invest in that business. It all depends upon the business case. Similarly, there are interesting new areas that are coming like CDMO or specialty chemicals. So each of the projects will get their due share based on the merits of the case. We are not doing a segregation of same amount to invest only so much in a certain type of business. If it is attractive and it makes value in a longer term, there will definitely be investment allocated for that.

Moderator: Thank you. Our next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: So continuing on the discussion on the plans in CDMO and MPP. So if you can help us understand your thought process on CDMO, are you going to be just doing manufacturing contracts? Or will you be involved in the entire innovator process, starting with Microlab, Kilolab testing, filing dossiers and taking it through the commercial launch. What is the thought process in CDMO? And are you looking at only agrochemicals? Or will you also look at pharma?

Jayashree Satagopan: Raghu, do you want to take it or should I?

Raghuram Devarakonda: Yes. See, for starters, we're going to do agro-chem because that's what is familiar to us. And we also have people and connections and relationships with some of these innovators. So it's going to be an agro-chem oriented to begin with. And what were the other questions? Sorry, I didn't catch..

S. Ramesh: The second part is in terms of your overall business model, will you be just doing manufacturing as an extension of the manufacturing of the innovator? Or will you start right from the early stage of initial R&D, product development right through the filing of dossier and then taking it through the commercialization?

Raghuram Devarakonda: That's right. So the eventual destination is what you have described, but you'll appreciate, I mean, the customers would like us to graduate step-by-step. So we're going to start with manufacturing and then graduate step-by-step. So all the conversations that we're having right now is to manufacture their final active ingredient. That's the nature of conversation we are having right now.

S. Ramesh: Okay. So just two related thoughts there. One is the promoter group company, TI, has also decided to enter the CDMO business and they have identified a business model and they have

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got an alliance with Anupam to sign, another emerging CSM company. So is that going to be under a specific agreement between Coromandel and the TI Group that you will not cross each other's stuff? Or what is the understanding within the group? Because it's part of the same group, that's why I'm asking the question from an investor's perspective.

Jayashree Satagopan: Ramesh, each of the companies have their own growth journeys and they have identified mega trends on which they

are working. At this point in time, as Raghu was explaining, we are into agrochemicals. And in agrochemicals itself, there is a huge opportunity for CDMO given the

China plus One. And that's why we have started. There could be opportunity in specialty chemicals as we go along. And that probably is a couple of years down the line. At this point in time, we have not thought as much on the pharma side. The current thinking is around agrochemicals, and at some point in time, getting into specialty chemicals.

S. Ramesh: Okay. If I can squeeze in the last thought on your subsidiaries and associated companies, in Dhaksha and the mining investment, when do you expect these investments to turn profitable on a consolidated basis? And is there any cash loss you'll have to incur in the next four to eight quarters before they turn profitable?

Jayashree Satagopan: No. As far as the BM CC is concerned, there are two steps before we get the rock out of the mine. The basic mining where we remove the over burden, those processes have got stabilized. And we knew as we got into the mining operation, there is a lot that have to be done to get consistent output out of that. So we are in the process of getting the second part, which includes crushing, screening, and then getting the rock out in a consistent manner. And we hope in the next two to three quarters, that process will also stabilize and as shipment happens, that operation should get profitable.

As far as Dhaksha is concerned, it is early start-up, as I was mentioning, they just started getting orders. Coromandel's goal will also be to help them become a player of scale by providing management guidance, inputs, support, so on and so forth. So Dhaksha also will become a profit-making entity because they just started getting the orders. So they are going to be taking a new manufacturing location where the drones will be manufactured, tested and then shipped to various customers. So both of them will go on the right traction and there is enough focus that is being driven by Coromandel to ensure that our investments actually bear the fruits.

Moderator: Thank you. Our next question is from the line of Vishnu Kumar from Spark Capital. Please go ahead..

Vishnu Kumar : On the Chemical business, on the Specialty Chemicals, is there any additional capex in thought as to how much we probably might consider to additionally invest in the next couple of years?

If there is a broad thought on that?

Jayashree Satagopan: So Vishnu currently -- yes. Currently, what we have considered, the INR1,000 crores is mostly going in for agrochemicals. There could be some portion of it which can go in for slight modification or tweaking, alteration of our existing plants, where the products can be meeting the specialty chemical segment. We are in the final stages of getting an overall business case for specialty chemicals, considering certain chemistries which are turning out to be very, very Coromandel International Limited

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attractive. Once that gets completed in the next three to four weeks' time frame, the capital expenditure required for that will also be estimated.

So to your question, the answer is, currently we do not have anything major planned. But based on the business case, I do believe there will be some good amount of investment required for this segment as well.

Vishnu Kumar : Understood. And also the channel inventory, if you could talk about on the fertilizer. We understand channel inventory is slightly higher. And this week, in Telangana, the rains have been pretty excessive in certain districts and some parts of interior Maharashtra, Karnataka are not doing that well. So how do you see the Kharif season -- rest of the Kharif season playing out in terms of volumes?

S. Sankarasubramanian: See, there is a widespread coverage of rain in all our key addressable markets. Even if you see

Telangana got rains recently. Maharashtra and Karnataka also received good rainfall. So in those markets we are operating very significant mileage in terms of brand connect and we don't anticipate any problem. Channel inventory is significantly higher compared to last year around the same time, but we don't see any challenge from our point of view.

Vishnu Kumar : And final question on MRP. You mentioned that we will consider. Is it likely at the end of Kharif because we are seeing a steep fall across even as you mentioned phos acid has come down and other products -- I mean other RM also has come down. Should we expect MRP cut in the next month itself? Or we will wait for Rabi starting to go ahead and announce the cut?

S. Sankarasubramanian: In terms of the price, Jayashree gave numbers, where she said rock prices are holding steady. And also, I think we are seeing the bottom in terms of the global commodity prices. In fact, there is some slight uptick in the price of DAP, urea in the recent past. We have to wait and see and also there can be a potential correction in the subsidy going forward as well. So we will take a view after we have some visibility on how the NBS rates are going to be for the Rabi season and then take a call after that.

Vishnu Kumar : Got it. So as of now, next couple of months, we don't anticipate either a subsidy or MRP, that is if I can ...

S. Sankarasubramanian: No.

Moderator: Thank you. Our next question is from the line of Rohan Gupta from Nuvama. Please go ahead

with your question.

Rohan Gupta: Congratulations on good set of numbers. Sir, on complex fertilizers, I mean overall, I think last year, we produced a 35 lakh tons. I think that is the next -- probably best utilization we can see.

With the DAP manufacturing hardly 4 lakh tons. So almost 80%, 85% -plus is a complex fertilizer production. So do you see that this year, we have further scope for any change in mix and further manufacturing of complex fertilizer while consciously going for trading on DAP?

And how much utilization we can increase further?

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S. Sankarasubramanian: See, our preference always need to focus on NPK production. And given our opportunity on the imported DAP at a price point, it makes sense for us to import DAP better than producing and release that capacity for NPK. And also within NPK, we choose the grades which meets our requirements. These include input raw material prices, whether it's urea, ammonia and phosphate. So that's a flexibility Coromandel enjoys having a wide range of products. We can send over any train, which is the production line for a fertilizer for any grade. So that optimization mix, we keep doing it even within NPKs.

So our utilization will be more or less the same as last year because we also did well. And also we use different types of input raw materials, which can increase the throughput. And we also continuously work on improving the up time of machinery through digital enablement of our maintenance at factory, this has improved uptime and availability of machine. So we do expect incremental volumes to come through, through productivity measures, better raw material mix as well as change in product mix. So production throughput changes depending on the grades we produce. So we keep deploying depending on what subsidy we get and what raw material input prices are.

Rohan Gupta: Sir, Jayashree ma'am also mentioned that you will completely invest in fertilizer business.

However, the growth in the fertilizer industry still will remain muted or maybe at best 3% to 4%. So is this something we are looking at acquiring any assets and that is what's going to drive the efficiency and make the business more sustainable for us? Because if we keep on investing from the current base, the markets may not be growing in that direction, right? So how do we plan to

grow in the fertilizer business?

S. Sankarasubramanian: With the increased demand for food grains and also the change in dietary patterns, the foods and vegetable segment, horticulture segment is growing and this requires nutrient. And India still continues to be the lowest consumption of nutrient across the globe. So going by the trend and the increase in arable land, the need for real improvement is always there. So we'll be definitely looking for enhancing our capacity and coming up with products which can improve the yield. So it may not be the same generic grades of DAP and traditional NPK, it can be coated fertilizer, slow release fertilizers and fertilizers which can improve the fertilizer yield efficiency.

And we have enough space to operate in our key addressable markets where we are currently in and definitely we will look to grow the volume. But first, we will evaluate our brownfield expansions, which means increasing our capacity within our existing facilities before we look out any other organic Greenfield. So we feel with the increased demand for the fertilisers there is enough scope for us to increase the volume and increase the capacity utilization or add-on capacities in our existing facilities.

Rohan Gupta: Sir, do you still envisage roughly double-digit growth for fertilizer business in terms of volumes sustaining for next three to four years, is it possible?

S. Sankarasubramanian: It's very difficult to predict. They've got various factors in terms of monsoon and the spatial distribution of monsoon and the pricing of fertilizer. So we don't want to give any estimates -- but direction-wise, we would like to grow the volume. And we feel there is enough space for us to grow the volumes.

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Rohan Gupta: Sir, just a couple of bookkeeping question. What is the debt number right now? And what is the phos acid prices contract right now?

S. Sankarasubramanian: \$850 is the phos acid price. And what is the first question, is it debt or DAP?

Rohan Gupta: Sure, debt number. Yes. What is the debt on the book right now?

Jayashree Satagopan: So we don't have debt on the books. We don't have any borrowings. There could be some very short-term working capital limits that, which primarily is for managing the day-to-day operations. There are arrangements with the buyers where they extend credit for our imported products

Rohan Gupta: So even short -term working capital, no debt right now on the balance sheet?

Jayashree Satagopan: No. We have from working capital facilities in debt. That will always be there. But nothing for the long term, yes.

Moderator: Thank you. Due to time constraint, that was the last question for our question -and-answer session. I would now hand the conference over to the management for closing comments.

Jayashree Satagopan: Thank you. Thank you very much for the interest and very interesting set of questions. Due to time constraints, there is as much that we could take. And I know there are still a few questions in the queue. Feel free to reach out either to me or to Anuj, and we'll be happy to engage with you. Thank you again.

Moderator: Thank you. Ladies and gentlemen, for the questions that were not answered, you can contact the management off -line. Thank you. On behalf of Elara Securities Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

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Dear Sir / Madam,

Subject : Transcript of conference call held on October 27, 2023
This is further to our letter dated October 19, 2023 on the subject.

In this regard, we write to inform that the transcript of the Conference Call held on October 27, 2023 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> as required pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We request you to take this record.

Thanking you ,

Yours sincerely,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer
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"Coromandel International Limited
Q2 FY2024 Earnings Conference Call "

October 27, 2023

ANALYST : MR. RANJIT CIRUMALLA - IIFL SECURITIES LIMITED

MANAGEMENT : MRS. JAYASHREE SATAGOPAN – PRESIDENT -
CORPORATE AND CHIEF FINANCIAL OFFICER –
COROMANDEL INTERNATIONAL LIMITED
MR. SANKARASUBRAMANIAN S – EXECUTIVE DIRECTOR
- NUTRIENT BUSINESS – COROMANDEL INTERNATIONAL
LIMITED
DR. RAGHURAM DEVARAKONDA – EXECUTIVE

DIRECTOR - CPC, BIO AND RETAIL BUSINESS –
COROMANDEL INTERNATIONAL LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to the Q2 FY2024 Earnings Conference Call of Coromandel International Limited , hosted by IIFL Securities Limited. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.

Please note that this conference is being recorded. I now handover the conference to Mr.

Ranjit Cirumalla from IIFL Securities Limited . Thank you, and over to you, Mr. Cirumalla .

Ranjit Cirumalla : Thank you, Mich ell. Good afternoon all. On behalf of IIFL Securities, I welcome you all to Coromandel International Q2 FY 2024 earnings call. Today we have with us Mrs. Jayashree Satagopan, President, Corporate and CFO, Mr. Sankarasubramanian S., Executive Director - Nutrient Business, and Dr. Raghuram Devarakonda, Executive Director – CPC, Bio and Retail Business. I will now invite Mrs. J ayashree Satagopan to share opening remarks and details on financial performance post which w e will have a Q&A session. Thank you and over to you, ma'am.

Jayashree Satagopan : Good afternoon everyone, and thank you, Ranjit , for organizing the conference call. Let me first give an overview of the business environment experienced during the quarter, followed by the company's performance and then we can have the Q&A session.

As far as the global economy is concerned, it continues to recover slowly and as per IM F's latest projections, global growth is expected to be approximately 3% in 2023 versus 3.5% in the previous year. Energy and fertilizer prices have started moving up from September onwards due to the demand and supply mismatch.

India continues to show resilience, supported by robust domestic demand, strong p ublic infrastructure investment, and a strengthening financial sector. IMF has revised India's GDP growth upwards by 0.2% to 6.3% in 2023.

During this quarter tax collection remains buoyant a nd retail inflation eased to a three month low in September, at around 5%.

On the agriculture side , India experienced below normal Southwest monsoon with the country receiving 6% low rainfall compared to the long period average. There was significant variability across regions and time periods , with India receiving record low rainfall in August followed by surplus in September. The overall crop sowing area remained around last year's level with acreage increase in paddy coarse cereals and sugar cane, and a decrease in pulses and cotton.

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Among our key operating markets, crop sowing in Andhra got impacted while Telangana , Karnataka, Maharashtra and Bengal were close to normal levels. The All India reservoir level stand at 92% of long period average with the southern region at around 64 %. IM D has forecasted a normal Northeast monsoon, which is likely to improve the irrigation prospects for the southern markets.

On the policy update , the governm ent has recently announced the N BS rates for the second - half of FY 2024. With the decline in raw material prices over the last six months, a steep reduction in the nutrient rates has been undertaken. The MSP for upcoming Rabi season has been declared with a 3% to 7% increase taken across the commodities. The government has maintained the criteria of fixing the MSP at least 1.5 times of the all India weighted av erage cost of production. There ha s been strong impetus from the government for drone adoption and the industry players have been encouraged for promoting drone based spraying applications for agriculture through women self-help groups.

On the fertilizer industry performance , the fertilizer raw material

prices remain ed soft and

stable during the first half of the year, but has started moving up from August on wards due to supply side issues. For the kharif season phosphatic industry has performed well, improving its primary sales by around 11%. The overall industry PoS consumption has also moved up by around 24%.

For the quarter , DAP plus complex fertilizer , industr y's primary sales volume was up by 19 %, 77.2 lakh metric ton in the current year vis-à-vis 64.6 lakh metric ton in the previous year.

For DAP and complex fertilizer , industr y's consumption indicated by POS sales volume in the current year is 90.2 lakh metric ton s vis-à-vis 67.2 lakh metric tons in the previous year.

On a year to date basis, DAP and complex fertilizer industries primary sales volume was at 132.1 lakh metric tons vis-à-vis 119.1 lakh metric tons last year.

On the consumption, which is indicated by the POS sales, volume is 128.2 lakh metric tons in current year vis-à-vis 103.7 in the previous year.

Let me come to Coromandel's performance. Coromandel displayed a resilient performance in a challenging business environment, sustaining its profitability and improving its working capital position during the quarter. The company's key operating markets were impacted by sub normal monsoon affecting the agri inputs off take.

Company's Nutrient and Allied businesses focused on the nutrient consumption during the quarter. Lower primary sales by about 7% and fall in subsidy rates resulted in decline in the Coromandel International Limited

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segment revenue during the quarter. However, stable R M prices coupled with backward integration benefits resulted in margins remaining comparable with last year's levels.

On the sales front, the business registered a sales volume of about 11.6 lakh metric tons during the quarter compared to last year's of 12.4 lakh metric tons. On a year -to-date basis, sales volume is about 20.2 lakh metric tons vis-à-vis 19.7 lakh metric tons in the previous year.

Company's market share in Q2 is about 15% and for half year is 15.2%. Last year comparable was 19.2 in Q2 and 16.5 for the half year.

SSP Q2 sales was at 2.1 lakh metric ton versus 2.4 lakh metric tons last year and half year sales is about 3.9 lakh metric ton versus 4 lakh metric tons last year. Market share for the quarter went up to 17.1 % from 16.5% last year. On a year -to-date basis, the market share has gone up to 15.3% from 14.3% in the previous year.

During the quarter, our DAP and complex fertilizer plants operated at about 86% of the capacity. Phos acid production during the quarter was similar to last year's level.

During the quarter, the business commissioned its state -of-the-art sulfuric acid plant at Visakhapatnam with a capacity of about 1650 tons per day with an investment of approximately Rs 400 Crores to improve its backward integration capabilities. With this, Coromandel sulfuric acid capacity will increase to 11 lakh tons per annum from 6 lakh tons per annum, supporting its requirements towards downstream processes involving phosphoric acid and phosphatic fertilizer production. The plant is designed to meet one of the lowest emission standards globally and the steam generated from the plant will be used for captive power consumption. The production from the newly commissioned plant has been stabilized and we have started operating at the desired capacity.

As part of our sustainability initiatives, Coromandel has set up a 6 million litre per day desalination plant at Vizag. With this, close to 1/3 rd of the plant's water requirement will be met through seawater.

During the quarter, the business has introduced Nano D AP, a patented nanotechnology based fertilizer and the initial customer feedback has been encouraging.

The crop protection business of the company registered a healthy volume growth, improving its

performance in exports and domestic formulation segments. However, global industry headwinds, namely higher channel inventory and decline in commodity prices had its impact on price realization. The export segment of the business grew by 29% with major increase coming from South America and Africa markets. The manufacturing units operated at a Coromandel International Limited

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higher capacity, 65% versus 51% last year and focused on improving operational efficiencies. The business has initiated regulatory and infrastructure activities in the new Dahej site and is in the process of finalizing the multiproduct plant project.

On the specialty chemicals front, the business has initiated marketing some of the products to the customers. The company is strengthening its research and technology processes and has identified key products to be developed in the future.

On the CDMO front, the business is closely engaging with customers and has organized few customer visits to its facilities. The interactions have been quite positive so far.

The bio product business of the company improved its procurement during the year. Business is engaged in multiple process improvement initiatives focusing on improved cost efficiencies and yield. It has introduced Neem oil based pesticide Azamax during the first half and plans to introduce non Azadirachtin products in the second -half of the year.

Despite the dry spell in some parts of the South Karnataka and Rayalaseema markets, Retail stores adopted crop specific approach and operated well during the quarter focused on providing all round agri solutions including products, farm advisory and mechanization

services. Overall 93% of stores remain profitable.

On the technology front, company's recent investment in Dhaksha, a differentiated drone startup is progressing well and Coromandel is providing adequate support to the Dhaksha team. It has bagged order for its medium altitude, light weight and heavyweight logistic drones from the Indian Army and has orders for its agriculture drones. Company has also received the 4th type certificate for its battery drones.

As part of its drone spraying services, Coromandel has introduced Grom or Drive initiative. Under this, the company has started offering drone based agri inputs applications through its trained pilots.

During the quarter, the company acquired 16.53% equity in X Machines, and AI based robotic startup focusing on a variety of agricultural operations such as planting, weed control and pest control.

Coromandel is driving company wide digital initiatives including automated dashboards, analytical use cases for improving productivity and cost efficiencies and is in the process of implementation of Salesforce and new dealer portal.

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With that, let me take you through the company's financial performance.

Turnover : The company recorded a consolidated total income of Rs 7,033 Crores during the quarter and Rs.12,771 Crores for the half year versus corresponding period of 10,145 Crores and half year 15,927 Crores. The decrease in revenue is mainly on account of drop in subsidy rates in the fertilizer business compared to last year. Nutrients and allied businesses contributed 90% share and the remaining 10% is from the crop protection business for the quarter as well as for the half year. Subsidy business share in revenue stands at 84% during the quarter and 85% for the half year. In the previous year, it was 89% for the quarter and 87% for the half year.

Profitability : Consolidated EBITDA for the quarter was Rs 1,059 Crores vis-à-vis Rs 1,057 Crores last year and for the half year it was Rs 1,768 Crores vis-à-vis Rs 1,742 Crores during the last year. Subsidy businesses' share in EBITDA stands at 81% during the quarter and 82% for half year. In

the previous year, it was 78% for both the quarter and first half. Net profit after tax for the quarter was at Rs 755 Crores in comparison to Rs 741 Crores for the corresponding quarter last year and Rs.1,249 Crores for the half year against Rs 1,240 Crores in the previous year.

As regards subsidy, there has been a significant improvement on the subsidy side with the company claiming and receiving Rs.4,243 Crores in Q2. For the half year, the subsidy received is about Rs 6312 Crores. Overall subsidy outstanding on 30th September 2023 was about Rs 1,497 Crores vis-à-vis Rs 4,176 Crores in the previous year.

During the quarter, the company earned net interest income excluding the Ind-AS interest of Rs.5 Crores vis-à-vis the net interest expense of Rs 13 Crores previous year. For the half year, the company earned a net interest income of Rs.16 Crores vis-à-vis Rs 8 Crores in the previous year. Company maintained its surplus funds in board approved securities, and these are earmarked for specific growth related investments. The company ended the quarter with a net surplus of about Rs 3,380 Crores.

The company's balance sheet continues to be strong. The long-term credit rating by CRISIL is at CRISIL AAA stable and short-term at CRISIL A1+. During the quarter, the long-term credit rating was reaffirmed as Ind-AAA (stable) by India Ratings and Research, a Fitch group company and the short-term debt rating at Ind A1+.

As far as Forex is concerned, during the quarter the rupee was trading in a broad range from 81.81 to 83.30. Coromandel continues to follow a very conservative approach of hedging the

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Forex exposure, and this has immensely helped in limiting the impact of currency depreciation.

With the forecast of a normal Northeast monsoon, we expect the demand cycle to be conducive in the coming months. Coromandel, with its presence across the farming value chain, will continue to drive sustainable agricultural practices and improve prosperity.

Thank you for your interest in Coromandel and joining the call today. We look forward to your interaction.

Moderator : Thank you very much. We will now begin the question-and-answer session. We will take the first question from the line of Noel Vaz from Union Asset Management. Please go ahead.

Noel Vaz : Thank you for the opportunity. I just had one question regarding the sulfuric acid plant. So,

the Capex is about Rs 400 Crores odd. What is the extent of cost savings that we are looking at the payback period? If you could have some details on that front. Thank you.

Jayashree Satagopan : The Capex as you rightly mentioned is about Rs 400 Crores for the plant. The purpose of setting up the sulfuric acid plant was mainly for securing our supplies and we have deliberated this in the past as well. However, given the way the commodity prices move, the value gap between procuring sulfuric acid in the market and converting sulfur into sulfuric acid could give us a benefit. At the current prices that are prevailing, we think in about two to three years we should get a payback on this project, but again, the main purpose of setting up the sulfur burner is for securing our own sulfuric acid.

Noel Vaz : Second thing would be, actually some clarity regarding subsidy changes. Are we expected to see any kind of provisions related to it in the second-half? Thank you.

Jayashree Satagopan : Your question was not very clear.

Noel Vaz : Sorry about that. There have been some revisions to the NBS rates, right? NBS subsidy. So, I just want to know if there is any kind of provision that we are expecting in the second half of the financial year.

Jayashree Satagopan : We will see that the subsidy realization in the second half is going to be lower because of the lower NBS rates. Having said that, we have also made some rea-

sonable estimates and have

factored it in our Q2 financials. So we may not see a one-time hit coming in the third quarter.

But the overall realization is likely to be lower, and this is a normal trend. When the NBS rate goes up, the realization will be higher, when the rates come down, the realization will be

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lower. The company has been following a consistent policy in terms of looking at what could be the rate and appropriately making the necessary adjustments in the books.

Noel Vaz : Thank you.

Moderator : Thank you. We will take the next question from the line of Tarang Agrawal from Old Bridge Asset Management. Please go ahead.

Tarang Agrawal : Hi, ma'am. Good afternoon. A couple of questions from my side. Specifically on the subsidy.

I could gather that there has been a sharp reduction in the NBS rate and while in the first half the reduction was not as significant as the reduction in the global commodity prices that I think seems to have been made up in the current subsidy. While you have been prudent in terms of providing for it, but purely on a per ton margin basis, how do you see H2 period versus what we have seen in H1 and the previous year as well?

Jayashree Satagopan : You are right, the government has been adjusting the subsidy rates, the NBS rates in line with the raw material prices. We have seen in the first half a very sharp correction in raw material prices compared to what was prevailing in the previous year, and government normally looks into the last six months prices, and they took an adjustment and that is what has happened currently to the new NBS rates for Rabi. When we look into the EBITDA per ton, we normally look at it on a full year basis, we do not look at it on a quarter-to-quarter or just talk first half to second half. The raw material prices currently are in a slightly upward trend. So, if at all the government is going to look at it like last year when they made a correction in the NBS in Jan 1, we believe that could also be in consideration, but we do not know for certain at this point in time. With that background and the backward integration that Coromandel has done both in sulfuric and phosphoric acid plants, we believe on a full year basis, it should not majorly impact the margin per ton. Having said that, with the current visibility that we have, I think it should be in the range of Rs.5000 per ton for the full year.

Tarang Agrawal : That is helpful. The second question, when we came into FY 2024, we were anticipating about anywhere between 6% to 10% volume growth in the Phosphatics business. So far in H1, things have been largely flat on the manufacturing side. So how are you looking at H2, and the third one, if you could give us a split of the 580 Crores Capex in H1 FY 2024? Thank you.

Jayashree Satagopan : See, after almost 3-4 years we have seen that we have got a sub normal monsoon this year and Kharif is a big season. We have seen that August rainfall has been very, very low for the past several decades. September was very high. With so much uncertainty, I think it is only prudent not to go and dump the material in the market and to say that we are showing a volume growth. Therefore, we have been taking a very conservative as well as strategic

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approach in terms of both manufacturing and placing of fertilizers in the market. It is not about placing it with the dealers. We also need to ensure that farmers are able to take and consume it in their field. So, from that standpoint, we feel comfortable in terms of what has been done in the first half given the extreme uncertainties in the monsoon and the reservoir

level . Having said that, with the expectation of a near normal monsoon in the second half of the Rabi season, we expect that the co

nsumption should go up. On your question relating to the Capex, I have earlier also indicated that it is about the sulfuric acid plant. We have a desalination plant that has got commissioned in Vizag. There is a Nano DAP plant that is coming up in Kakinada and there is work that is getting initiated in the crop protection chemicals for the multi-purpose plants and also their regular Capex . Apart from it, we are looking into increasing the granulation facilities in SSP. All of this put together should add up to say, about Rs 500 Crores of Capex during the year.

Tarang Agrawal : Thank you.

Moderator : Thank you. The next question is from the line of Prashant Biyani from Ela ra Securities. Please go ahead.

Prashant Biyani : Thanks for the opportunity. Just continuing on the NBS policy for H2, while I am not looking for any quarterly guidance, but for Q3 whether there will be a significant dip for the industry in profitability or there will be no profit at all on major grades of fertilizer that we are selling as an industry, if you can give some color on that? Not specifically from Coro's perspective, but for any backward integrated player.

Jayashree Satagopan : I think I will give you a very general outline . For companies who are backward integrated , the impact could be much lower compared to companies who are buying intermediates and manufacturing. The second thing is there could also be some MRP increases that could happen given the way that subsidy corrections have happened for the Rabi season. So one needs to keep in mind both these factors and accordingly when you look at it, definitely there is going to be an impact on margins, no doubt at all. More so for SSP than NP K and in NP K when companies are working on the unique grade, the possibility of pricing is better in such grades vis -à-vis the generic grades . Integrated players will do better than non integrated players. Traders may get even more impacted.

Prashant Biyani : How are we placed on the raw material inventory, especially for ammonia and phosphate for Q3? Have we had enough opportunity to buy it at lower cost?

Jayashree Satagopan : So, I think we have this very agile procurement team here and based on the inputs, on the price movements and the capacity that we have for storage of these raw materials , the team

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has been taking very prudent calls and you could see that one of the main reasons for Coromandel profitability in the last few years ., The procurement team has a sense in terms of how the raw material prices could move, and accordingly the purchase decisions are taken . It is also a factor in terms of how much storage capacity we have for each. So long and short, to the extent that we can store , material has been procured, secured and wherever we have to use our backward integrated facilities, the intent is to maximize production from our PA as well as SA plants.

Prashant Biyani : And lastly, how much are we backward integrated in phos acid manufacturing and how much in sulfuric acid?

Jayashree Satagopan : I would say for phos acid slightly above 50% and sulfuric acid could be 60% or so. Yes, it could be around 60%.

Prashant Biyani : Thank you, ma'am. That is it from my side.

Moderator : Thank you. We will take the next question from the line of Akshat Mehta from Sameeksha Capital . Please go ahead.

Akshat Mehta : Thank you for the opportunity. One of the questions that I had is in this quarter, have we included any kind of provision for the changes in subsidy that it has come in October.

Jayashree Satagopan : Sorry I could not follow your question.

Akshat Mehta : My question was that in quarter two, have we taken some kind of provision for the reductions in subsidy that has come in recently.

Jayashree Satagopan : Yes, we have.

Akshat Mehta : If you could quantify that?

Jayashree Sata

gopan : No, I would not be in a position to quantify it now, but we have considered some impact on account of the NBS rates that has been announced.

Akshat Mehta : My next question was, given the Rabi season demand that there will be a normal Northeast monsoon and there will be good demand, but will there be any impact of the reservoir levels in southern region being quite low after kharif season on the demand in Rabi ?

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Jayashree Satagopan : Yes, the reservoir levels are very low in Southern markets. That would have an impact on the soil moisture conditions. We do see that as a constraint, but at the same time, if the rainfall is going to be good, to a great extent it could compensate.

Akshat Mehta : My next question is on the line of Nano DAP. So when are we kind of commercializing the Nano DAP plant?

Jayashree Satagopan : Actually the Nano DAP plant is said to be commissioned in Q3 of this year at Kakinada. We are waiting for some regulatory approvals to start the operations there. Pending the commissioning of the new Nano DAP plant at Kakinada, we have started producing Nano DAP at our pilot plant in Vizag and in September we have also started commercial production and sales, although at a limited quantities and we are seeing that the response from the farmer has been pretty good.

Akshat Mehta : My last question is that if you could throw some light on what has been the progress of specialty chemical during the quarter and going forward when you will be able to kind of give some numbers or Capex requirements on specialty chemicals?

Jayashree Satagopan : As I was mentioning in the past, the intent of getting into specialty chemicals is primarily utilizing our existing assets, for some of the molecules where the applications are beyond agrochemicals. So we have started in a very small way during the last quarter, token invoicing and shipments are happening to some of the specialty chemicals customers already. It is not substantial we are not talking about the absolute numbers at this point in time. But the good news is the traction has begun. Now the business has also worked out certain specific areas where they would like to invest further in terms of building up our own capabilities, infrastructure as we go into a medium-term, and that is where the current focus is on the specialty chemicals business. We will continue to use our existing assets in the near-term and get the customer connects. Start shipping the products to broad base our customers and applications and in the medium-term invest further and deeper into specialty chemicals.

Akshat Mehta : Thank you.

Moderator : Thank you. We will take the next question from the line of Vishal Biraia from Bandhan AMC. Please go ahead.

Vishal Biraia : Madam, for this Nano DAP plant that is coming up, could you tell us as to what is the extent of capacity, and what are the kind of revenue that you would look forward to?

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Jayashree Satagopan : The capacity that we are looking at is 1 Crore bottles per year, which is a 1 litre bottle, and the pricing for these bottles, MRP is about Rs.600. So that is the capacity that we are building up. Depending upon how the response of the market is because this calls for lots of customer awareness and education. If the farmers do not know how it has to be used then it could actually boomerang. We are seeing mixed response from the farmers in the case of Nano urea and therefore from Coromandel's standpoint, there is lot of ground level activity going on in terms of the agronomist reaching out to the farmers, helping them to understand the product better, how to apply so on and so forth. We have also initiated what is called as a Gromor drive, which is using the drones for some of these foliar applications. So

o combining both of

these, we are in for a slow and a steady start with farmers understanding there is an opportunity for us to sell more and these are all modular facilities. So in a quick period of about 8 to 10 months, we should be in a position to add further plant capacities. That is the game plan as far as Nano is concerned.

Vishal Biraia : And just to understand something on the technical side as to your utilization of phos acid here will be how different than the utilization of phos acid for the solid-state complex grades or DAP?

Jayashree Satagopan : Here we do not directly use phos acid.

Vishal Biraia : Could you help me understand as to what would be the substitute for the phos acid here.

Jayashree Satagopan : This is a patented technology and I may not be able to reveal what are the contents and what percentage of what is being used for manufacturing Nano DAP at this point in time. But I should tell you the phos acid, sulfuric acid, the quantum that we use is all going to be for granulation. There is no comparison at all.

Vishal Biraia : And on a steady state basis, once this business stabilizes, what would be the kind of operating margins that you would target?

Jayashree Satagopan : On Nano DAP.

Vishal Biraia : Yes.

Jayashree Satagopan : Nano product must have a very decent margin here. I think it should be pretty healthy.

Vishal Biraia : If it is 20% -22%.

Jayashree Satagopan : Yes, it should be in the range of 20 %.

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Vishal Biraia : Final question. I think it is a continuation of what the earlier participant was asking . When you say Rs. 5000 per ton for the full year for the fertilizer business, this includes SSP.

Jayashree Satagopan : No, normally we do not include SSP. This is mainly for NPK's.

Vishal Biraia : And then could you give as to what would be this number for NPK for the second quarter like for the September quarter, what this number have been?

Jayashree Satagopan : No, I normally encourage to look at a full year number because there are seasonalities, you see subsidy price is up and down, MRP considerations. raw material consideration . So for a seasonal business, given so much of external variations, it is always good to look at an annualized basis.

Vishal Biraia : And just lastly to get to this 5000 number, hypothetically what would be the extent of increase in MRP would you require to get to this number for the balance half of the year looking at the way the, and assuming that the RM prices remain where they are and the subsidy is what it is. There is no upper revision.

Jayashree Satagopan : There could be MRP increases in unique grades . On the generic grades, we need to look at how the industry is taking it up and what is the view of the government.

Vishal Biraia : If you look at the generic grades or let us look at the specialty grade, what would be the extent that you would target to get to this number for the full year?

Jayashree Satagopan : That depends upon the market conditions honestly.

Vishal Biraia : Okay. Fair enough. Thank you.

Moderator : Thank you. The next question is from the line of Vishnu from Avendus Spark. Please go ahead.

Vishnu : Hi, thanks for your time, I am Vishnu from Spark. Firstly , continuing the previous participant 's question, compared to first half most of the raw materials have currently spiked a lot and there is at least Rs.10000 to Rs.12000 correction on an average on subsidy. So second -half, I mean, given it is an election year and if the price hikes do not come even the fertilizer EBITDA still be positive or can it tend to be a bit negative?

Jayashree Satagopan : I think we can talk for Coromandel, given the backward integration that we have, we expect the margins to be positive . We saw a steep correction in raw material prices, and there has Coromandel International Limited

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been some increase in the last couple of months, we really do not know to what extent these increases will sustain or will it again come down because what we saw here before was unprecedented increases. So from that standpoint, we think we will have to go with the market . If the prices continue to be high , there could be some opportunities in terms of our backward integration and value capture. But if prices come down then it is even better. We like to see how the government is going to respond on subsidy. We have seen in the past they have been pretty considerate and they have responded to the industry requirement when there was a price increase , they have increased the subsidy. When the raw material prices are corrected, they have just now reduced the subsidy . I think while there are considerations of election year so on and so forth, we just need to work along with the government as an industry and impress on them on the rising raw material prices, and see how we can help in getting a subsidy rate correction for the fourth quarter.

Vishnu : And secondly, on the subsidy provisioning firstly for kharif they have provided some 38 000 plus another 22 000 they have mentioned so that takes to 60. But whereas in the government budget for NPK we understand only 45000 Crores is provided, so additional 15 000 will have to come through a supplementary grant and would this be normally the total amount gets covered, but this time around the actual NPK is 60 which has provided only 45. So will there be a supplementary grant immediately or after elections only do you think that this will happen? I am questioning from the possibility of a delay on subsidy release in March.

Jayashree Satagopan : Answer honestly, we do not know. The government has been considering and getting supplementary credits for disbursing subsidy . So, we hope they will be able to get it through. This year especially, I have also mentioned that the subsidy disbursements have been pretty good. They do not have any arrears in terms of DBT claims that have been made by the companies. Since we are able to get through these supplementary grants , we should be able to get the subsidy realizations also fast, but in case there is a constraint and it spills over to next year, we have to wait. So, we do not know the answer, but we honestly believe the government will be able to get it through.

Vishnu : And one final question, what will be the stock, that stock of materials that we have sold, and it is still lying with the dealers and distributors, any rough number in million tons 0.2-0.3 or any rough number if you could help us understand.

Jayashree Satagopan : Can we come back on this?

Vishnu : Sure, ma'am. Thank you. Thanks and all the best.
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Moderator : Thank you. We will take the next question from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : Thanks for the opportunity. First on the crop protection side, you did mentioned, we witnessed a good volume led recovery in both domestic and export markets . If you can share some details there, how has been the growth in exports and especially given the negative commentary from most of the global and other domestic players as well , how are we seeing the market there?

Jayashree Satagopan : A little bit in terms of how the global markets have been behaving. As you know, Brazil is our largest consumer of agrochemicals and we have seen that there is a high level of channel inventory in Brazil. Having said that, we also know that the prices of agrochemicals from China has been very, very low. They have been trying to dump their chemicals in the market. So, this has a dual impact. Therefore, if we hear and we witness that exporters are having a tough time, it is very much resonating with the reality

ties in the market. For us, we have done specifically well on three counts, one we have focused on bundling our products instead of just one or two of our technicals, our export has grown by 29%. We were successful in onboarding new customers, we got more than 20 new customers who helped us generate additional sales volumes. Apart from that, there were a lot of dormant registrations which have been activated, which has also helped in increasing the overall export sales. A combination of these activities plus our sales force becoming far more active in these markets have helped in the export sales growth.

Ankur Periwal : Sure, that is helpful. So going ahead as well, we should see a continuation of say a decent growth here given that the new customer addition as well as the geographic expansion that you highlighted.

Jayashree Satagopan : Yes, you are right. We also wish that we should be in a position to grow our export markets well. Equally important is to increase our range of products, which is what we are also trying to address both in terms of technical and in terms of formulation. So that is part of our long-term strategy to see that we add more technicals which are recently off patented and also come up with certain formulations and a B2C light model in select countries which can help grow our export business.

Ankur Periwal : Sure. That is helpful. Secondly, on the crop protection margins, again this quarter we saw a dip probably because of the pricing led competition or the commodity price decline that we are seeing from China. Any thoughts there because what we had highlighted earlier was most of the new product launches, through technicals or through collaboration were margin

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accretive. So is this more a near-term phenomenon and maybe FY 2025 should see a better growth there on margins front?

Jayashree Satagopan : Yes, We have seen this price pressure coming in near term, I do not know whether it will extend to a medium-term because to several experts whom we have spoken and companies whom we have been in dialogue with, nobody is certain about when this China dumping is going to end. So that is one main factor. Some of the companies who are producing certain technicals , as I understand have even stopped production because it becomes more economical to import from China. So that is a short-term phenomenon. Hopefully if the Brazilian market picks up again this year and the demand goes up, we should see some quick wins in terms of the pricing as well as recovery in the margins.

Ankur Periwal : And just one clarification if I may. The Rs. 5000 EBITDA per ton guidance which you gave that is for the current financial year given the subsidy rates ? Any thoughts on FY 2025 and beyond given annually government has been pretty supportive in terms of RM inflation being absorbed in terms of subsidy?

Jayashree Satagopan : I would wait a little bit on this . We have to see how the raw material prices move and the election year, what the government is going to come up with. But as you rightly said, the government has been pretty supportive ; at times , when the raw material prices have gone up they have helped the industry with higher subsidies . So I do expect that trend to continue and if that continues, our margin should hold and also we will work to see how to improve it.

Ankur Periwal : Sure. That is helpful. Thank you and all the best.

Moderator: Thank you. We will take the next question from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh : Thank you very much. Following up on the questions on the crop protection business. Can

you give us some details on the volume growth in the crop protection business in domestic and export markets for the second quarter, and if you can give us some sense in terms of when you expect to complete

the 1000 Crores Capex in crop protection and what is the kind of impact you expect from that, say from FY20 26?

Jayashree Satagopan : Thanks Ramesh. These are nice questions that you come up with. In terms of volume growth, I would say that the export market has volume growth close to about 30% . On the domestic front, formulations had a volume growth, but we did see a contraction in the domestic B2B mainly because of the price pressures and the margin pressures . We had consciously limited our sales into the B2B market , but we focused on growing the formulation business as well
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as the exports. As far as the capital expenditure is concerned of Rs 1000 Crores that has been announced, there are three multi -purpose multi product projects that the business is working on. We have submitted the proposal for one large Capex , and that is currently under the approval process. Given the short -term scenario that we are currently in with the prices showing such a steep fall, especially from China , we are looking into certain other factors as well to ensure that as we set up the MPP, we have the right level of backward integration. The right type of Capex , so that the return on investment can be much faster. So we are currently in the evaluation stage as I mentioned earlier as well , the Rs 1000 Crore investment is for three large plants and it could take a period of about 24 to 36 months in all for us to consume this entire capital. The good news obviously is we have completed procurement and bhoomi pooja for the new herbicide facility in Dahej and the business is setting up the basic infrastructure and is contemplating to set up formulation units because those can be done on a fast-track basis at the Dahej herbicide facility.

S Ramesh : Thank you very much.

Moderator : Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla Sunlife AMC. Please go ahead.

Naushad Chaudhary : Thanks for the opportunity. Two quick questions I have. Firstly, on the Capex space. We are entering a historic high Capex space. So in terms of the management bandwidth, are we okay with the existing, which we have or is there any addition, which we are doing to support the Capex which we are running. If you can, share something on that piece?

Jayashree Satagopan : I quite did not follow your question. Are you asking whether we have enough management bandwidth to execute these large Capex ?

Naushad Chaudhary : Yes.

Jayashree Satagopan : I believe so. We have added quite a few people to strengthen our project team in our businesses both nutrients as well as crop protection as you see the sulfuric acid plant and the desal plant that has been commissioned . It has happened in a record period of 18 months , such a large Capex does not happen in 18 months ' time frame. A similar approach is also being planned for our multi -purpose plants in Gujarat. So I think we have the in -house strength to manage these large Capex projects.

Naushad Chaudhary : Lastly on the thought process of investing in drone business, what is your long -term vision here? How do you see this drone investment can help your core business?

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Jayashree Satagopan : We invested in the drone business almost a year back with a small stake and then we increased it over a period in time . We have found that the application of drones is not just limited to agriculture. It could be for various things . It could be for defense, it could be for logistics, it could be for enterprise, and we are also seeing that the government is opening up opportunities for exports in the non -defense sector . There is also a huge opportunity in terms of training because you need trained pilots to operate these drones. So there are multiple areas where the

drone services can be deployed. So from that standpoint, we believe it is more of a technology game with an adjacency in agriculture. Even in agriculture, given that labor constitutes almost 35% to 40% in terms of the cost of inputs that goes in, drone spraying could be a very good opportunity given the shortage of manpower and the cost. So that is the way one should look into this investment in drones.

Naushad Chaudhary : Sure. Thank you so much and all the best. I will come back in the queue.

Moderator : Thank you. We will take the next question from the line of Gaurav Nigam from Tung a Investments. Please go ahead.

Gaurav Nigam : Thank you for taking my question. Just have one question on this government subsidy

receivable. In the last few years, I have seen that it has been considerably reduced. Just wanted to understand how should we think about the sustainability of reduction in this government subsidy there and what is the reason behind this reduction?

Jayashree Satagopan : As I mentioned earlier, we have been submitting the claims the same day the portal opens. That is number one. Second, there is a lot of activity in the field to ensure there is consumption happening on the ground. The farmers are actually buying and using it. The third obviously is that the government machinery is also pretty fast in terms of processing, and they have been supportive in terms of timely dispersal. All the three have favorably contributed to receiving record subsidies and maintaining the outstanding at a low level. We will continue to do activities from our end and I think the government has been fairly supportive and if this trend continues, we should not see a huge buildup in terms of receivables.

Gaurav Nigam : Just a follow up on that, is this receivable days come down for everyone in the industry or we have some added advantage because of which it has come down more for Coromandel?

Jayashree Satagopan : I honestly do not know. I have been monitoring our receivables and we have been pushing our teams, working very closely with our marketing teams and Agronomists. So I can tell you as far as Coromandel is concerned, but generally the government is also being disbursing subsidy timely.

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Gaurav Nigam : Got it. Thank you.

Moderator : Thank you. We will take the next question from the line of Noel Vaz from Union Asset Management. Please go ahead.

Noel Vaz : I just wanted to get some clarity about the 165 Crore drone order that was announced earlier. Has there been some execution on that and do we have any idea as to what kind of growth prospects that we are looking for or margins on the same? Thank you.

Jayashree Satagopan : Yes. We are in the process of executing these orders. Raw materials have been procured. A new manufacturing site is also being commissioned. It should be ready by December of this year. The existing facility is also being leveraged so that we can do a certain quantum of manufacturing from the existing site.

Noel Vaz : Margins, any idea what could be the margins now or in the future?

Jayashree Satagopan : We have to wait to see the overall margin profile. Currently there is a good amount of spending that is also happening on the technology front, R&D and we do not want to restrict investment in R&D, especially in an area where it is a sunrise industry. It is a startup, and we have to scale up, we have to invest in manufacturing. We have to continue investing in R&D. Those are all happening. I honestly believe this will be a good margin business as we go along, not just in terms of manufacture and sale, but also in terms of services and training.

Noel Vaz : Thank you. That is all from my side.

Moderator : Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Vipulkumar Shah from Sumanga Investments. Please go ahead.

Vipulkumar Shah : Thanks for the opportunity. What is our annual requirement of phos acids and how much we produce captive in-house and the same for sulfuric acid?

Jayashree Satagopan : We require close to about 10 lakh tons of phos acid and depending upon the product mix, we may require about 4.5 to 5 lakh tons of imported acid. I mentioned earlier about 50% plus of our capacity is through our in-house production. On the sulfuric acid front, we would have close to about 60% of our capacity in-house and we will have to import for the balance.

Vipulkumar Shah : So, any plan to expand further in phos acid manufacturing?

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Jayashree Satagopan : The business is thinking about further investments in fertilizer, especially in backward integration. At this point in time these are all in the discussion stage, once we are certain about it, we will definitely come back and have the announcements made.

Vipulkumar Shah : Lastly, regarding this investment in this drone company. Are we involved in the management also or we are just the financial investors?

Jayashree Satagopan : We are involved in the management. We are helping them in setting up the operation, scaling up the operations, putting together the systems, processes, everything. So, it is an integral part of Coromandel.

Vipulkumar Shah : We are one of their biggest customers, right?

Jayashree Satagopan : We are not their biggest customer. They have got orders from the Army for the logistics drones. We have also got a good order from IFFCO for agriculture drones. We have picked up drones and we are doing our Gromor drive, so there are multiple customers for Daksha.

Vipulkumar Shah : Okay, ma'am. Thank you so much and wish you all the best.

Moderator : Thank you. As that was the last question for today, I would now like to hand the conference over to the management for closing comments. Over to you.

Jayashree Satagopan : Thank you very much all of you who have joined the call today and actively participated. In case there are any further questions, please feel free to reach out to us. Thanks again.

Moderator : Thank you members of the management. Ladies and gentlemen, on behalf of IIFL Securities Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2024

Ref. No: 2023-24/115
February 06 , 202 4
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Subject : Transcript of conference call held on January 31, 2024
This is further to our letter dated January 25, 202 4 on the subject.

In this regard, we write to inform that the transcript of the Conference Call held on January 31 , 202 4 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> as required pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We request you to take this record.

Thanking you ,

Yours sincerely,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer
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"Coromandel International Limited
Q3 FY'24 Results Conference Call "
January 31, 202 4

MANAGEMENT : DR. RAGHURAM DEVARAKONDA – EXECUTIVE
DIRECTOR – COROMANDEL INTERNATIONAL LIMITED
MRS. JAYASHREE SATAGOPAN – PRESIDENT ,
CORPORATE AND CHIEF FINANCIAL OFFICER –
COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. ANKUR PERIWAL – AXIS CAPITAL LIMITED
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Moderator: Ladies and gentlemen, good day, and welcome to Coromandel International Limited Q3 FY'24 Results Conference Call hosted by Axis Capital Limited.
As a reminder all participant lines will be in the listen -only mode and there will be an opportunity

for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankur Periwal. Thank you, and over to you, sir.

Ankur Periwal : Yes. Thank you, Ria, and good afternoon, friends. I'm pleased to welcome you all to Coromandel International Limited Q3 and 9 months ending FY'24 Post Results Earnings Call. On the management side, we have with us Dr. Raghuram Devarakonda, Executive Director; and Mrs. Jayashree Satagopan, President, Corporate and Chief Financial Officer. As usual, we'll start the call with a brief introduction from the management side, post which we'll open the call for Q&A session.

Over to you, Jayashree ma'am for your initial comments. Thanks.

Jayashree Satagopan : Good afternoon, everyone, and thank you Ankur for organizing the conference call today. Let me first give an overview of the business environment experienced during the quarter, and we can follow it up with the company's performance and the Q&A session.

As far as the global economic activity is concerned, we saw that it was affected by tight monetary policies and weak global trade growth. As per the World Bank's latest projections, global growth is set to edge down to 2.4% in 2024 vis-a-vis 2.6% in 2023. Recent conflict in the Middle East and disruptions in the Red Sea link has further heightened geopolitical risks and raised uncertainty in the commodity markets. Despite this, India has remained resilient, supported by robust domestic demand, strong public infrastructure investment and strengthening financial sector. World Bank has revised India's GDP growth to 6.4% for 2024 vis-a-vis 6.3% in 2023. During the quarter, tax collections remained buoyant, though the retail inflation rose to a 4-month high of 5.69% in December '23.

On the agriculture side, the country witnessed below normal northeast rainfall during the season. All India cumulative rainfall during October to December '23 was lower than normal by 8%.

The overall crop sowing area remained around last year's levels, with acreage increase in wheat, coarse cereals and oil seeds, while there has been a decrease in pulses and paddy.

Among our key operating markets, crop sowing in Andhra Pradesh, Karnataka, and Maharashtra were impacted. All India reservoir levels stand at 95% of the long period average with Southern region at 70%.

Fertilizer industry performance : Agri input industry experienced a challenging quarter with external headwinds like below normal monsoons and lower crop sowing. The NBS rate for rabi

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season underwent a steep downward revision, which coupled with the rising raw material prices further impacted the industry performance.

For the quarter, DAP and complex fertilizer, industry's primary sales volume was down by 17%. Current year, 58.6 lakh metric tons vis-à-vis 70.9 lakh metric tons in the last year. DAP and complex fertilizer industry's consumption, which is indicated by POS sales volume was also down by 9%. Current year, 67.1 lakh vis-a-vis 74 lakh metric tons in the previous year.

On a year-to-date basis, DAP and complex fertilizer industry's primary sales volume was at 190.8 lakh metric tons versus 190 lakh metric tons last year. DAP plus complex fertilizer industry's consumption indicated by POS sales volume was at 195.3 lakh metric tons vis-a-vis 177.6 lakh metric tons last year.

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Company's Nutrient segment performance : The Nutrient and Allied businesses improved the market share during the quarter amidst drop in volumes. Lower volumes along with the low NBS rates and higher cost of raw material has impacted the business margin during the quarter.

On the sales front, the business registered sales volume of 9.38 lakh metric tons during the quarter, which is 11% lower than last year. On a year-to-date basis, sales volume was 29.5 lakh metric tons vis-a-vis 30.2 lakh metric tons last year, which is low by 2%. The company's market share in Q3 is 16% and on a year-to-date basis, 15.5%. Last year, it was 14.8% in Q3 and 15.9% on a year-to-date basis.

SSP Q3 volumes were at 1.43 lakh metric tons versus 2.16 lakh metric tons last year. And on a year-to-date basis, 5.35 lakh metric tons versus 6.19 lakh metric tons last year. Market share for Q3 is at 15% versus 16% last year. On a year-to-date basis, the market share is at 15.2% versus 14.8% last year.

During the quarter, our DAP and complex fertilizer plants operated at 96% capacity and produced 8.67 lakh metric tons. Last year, it was 9.3 lakh metric tons of fertilizers. Phos acid production during the quarter was similar to last year's level, which is 1.12 lakh metric tons.

During the quarter, the company's state-of-the-art 1,650 tons per day sulphuric acid plant got fully stabilized and is operating at optimum capacity. With this, Coromandel's sulphuric acid capacity has increased to 11 lakh tons from 6 lakh tons per annum earlier. This supports the

requirements towards downstream processes involving phosphoric acid and phosphatic fertilizer production.

During the quarter, company inaugurated a Nano technology center at Coimbatore, which will further its research and development of Nano and Novel products in the agri input space. The company's in-house developed and patented Nano technology-based fertilizer, Nano DAP has received encouraging market response and the company is actively working with the farming community to create awareness and promote the Nano DAP.

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Company had an unfortunate incident in December at Ennore fertilizer facility with an ammonia gas leakage. The company has taken necessary measures to ensure safety of the public in and around the complex. Currently, the plant is closed and the company is in the process of addressing the matter.

On the Crop Protection side, the Crop Protection business of the company reported a healthy volume growth of 21%, improving its performance in exports and domestic markets. While the global market conditions remained very challenging with elevated inventory, demand slowdown and declining commodity prices, the crop protection business has improved its customer base, activated dormant registrations, which has helped in growing the export sales. On the domestic formulation, the business has witnessed an upswing, both in volumes and margins.

Overall, the EBIT margins for the Crop Protection segment grew from 12.4% in Q3 FY'23 to 13.8% in Q3 this year. The business continued its engagement on the CDMO opportunities and has initiated marketing of specialty chemicals products from its current manufacturing facilities. Further, the business is strengthening its research and technology efforts to develop focused chemistries that cuts across both crop protection chemicals and specialty chemicals.

The bioproducts business of the company is acting on multiple process improvement initiatives, focusing on improving cost efficiencies and yield. Neem oil-based pesticide Azamax, and fungicide Adhiraj, launched in Q1 have generated excellent market acceptance and volumes. The business is conducting field trials for new bio solutions and plans to launch the products in subsequent quarters.

Our retail stores adopted crop specific product-focused approach and operated well during the

quarter, despite the reduced crop acreage, enabling it to sustain and improve the earnings.

Overall, 97% of the stores were profitable. In continuation to serve the farming community, the business is expanding its footprint in new markets by adding 50 stores by end of this year.

Company's subsidiary, Dhaksha, a differentiated drone start-up, has been receiving encouraging response from its customers in defense, agriculture and enterprise. It has a strong order book and is ramping up its production capacity. It has recently set up a new state-of-the-art manufacturing facility at Chennai. Coromandel is also actively promoting the usage of drones in agriculture through its Gromor Drive program and also through its vast retail network.

With that, let me take you through the company's financial performance.

Turnover : The company recorded a consolidated total income of Rs. 5,523 crores during the quarter and Rs. 18,294 crores for the 9 months ended 31st December. Corresponding period, revenue was Rs. 8,349 crores for the quarter and Rs. 24,276 crores for 9 months. The decrease in revenue is mainly on account of reduction in subsidy rates and lower volumes in the fertilizer business compared to the last year.

Nutrients and Allied businesses contributed to 89% and the remaining 11% comes from the Crop Protection business for the quarter. For the 9-month period, it was 90% and 10%, respectively.

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Subsidy business share in revenue stands at 82% for the quarter and 84% for 9 months. In the last year, it was 88% for the quarter as well as for 9 months period.

Profitability : Consolidated EBITDA for the quarter was Rs. 358 crores against Rs. 781 crores last year. For the 9-month period, it was Rs. 2,126 crores against Rs. 2,523 crores in the previous year. The subsidy business share in EBITDA stands at 37% during the quarter and 74% for 9 months. The previous year, it was 74% for the quarter and 77% for 9 months.

Net profit after tax for the quarter was Rs. 228 crores in comparison to Rs. 527 crores for the corresponding quarter last year and Rs. 1,477 crores for 9 months against Rs. 1,766 crores last year.

Subsidy : During Q3, the company has received subsidy collection from the government to the tune of Rs. 721 crores. Last year, this amount was Rs. 3,992 crores. During the 9 months period,

subsidy received was Rs. 7,333 crores, previous year it was Rs. 7,994 crores. Subsidy outstanding as on 31st December was at Rs. 2,405 crores.

Interest : During the quarter, company earned a net interest income, excluding the Ind AS lease interest of Rs. 20 crores vis -a-vis net interest expense of Rs. 8 crores in the previous year. For the 9 -month period, interest income of Rs. 37 crores versus Rs. 1 crore in the previous year. The company has maintained the surplus fund in Board -approved securities. And like in the past, these are earmarked for specific growth -related investments. The balance sheet of the company continues to be strong, and the company is currently focusing on tightly managing the working capital situation.

Forex: During Q3, the rupee traded in a tight range of Rs. 82.90 to Rs. 83.43 . Continuing its conservative approach of hedging the For ex exposure , the company has benefited in terms of limiting the impact of currency fluctuations.

New investments : While the short -term business environment remains challenging, Coromandel will continue to invest in value creation opportunities. Towards this, the Board, in its meeting held yesterday, approved the company's plan to expand its backward integration capabilities by setting up a phosphoric and a sulphuric acid plant at its Kakinada Fertilizer Unit, subject to regulatory approvals. This will further improve the company's cost efficiencies, raw material security and can contribute towards the nation's Atmanirbhar Bharat vision.

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As a leading agri solutions provider, Coromandel is committed to improve the availability of agri inputs, drive technology -focused solutions and sustainable agricultural practices.

We thank you for your interest in Coromandel and joining the call today, and we look forward to the interaction.

Moderator: Thank you very much. First question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

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Sumant Kumar: So can you talk about the non -urea fertilizer under price control and government trying to fix profit margin . Also, whatever the unreasonable profit made by the companies that they have to return, so can you discuss about that?

Jayashree Satagopan: Hi, Sumant, the government has issued an office memorandum in January, which gives the broad guidelines in terms of the reasonableness margin for all the fertilizer companies. As you know, even in the past, the government has been working with the fertilizer companies, all the NPK players, whether they manufacture or import , in terms of submission of cost data. Because it is a subsidized business, they have their own ways and means of looking into the cost and ensuring that the companies are able to supply fertilizer at a reasonable price to the farmers. In the recent past, we have also seen that there have been some guidelines by the government in terms of maintaining MRP at certain levels. So they have come up with a guideline recently, which is not so different from the past in terms of the intent to supply fertilizer at a reasonable price to the farmers.

This circular effectively categorizes the companies into 3 segments. The segments are namely integrated manufacturers, manufacturers and importers. Each of them has been given a certain percentage of PBT that they can broadly look at as they work through their MRPs, their cost structures and their pricing. So integrated manufacturers will be able to get a 12% margin. Manufacturers who do not have backward integration facilities, but they do the granulation could get about 10%, and importers about 8%. So these are broad guidelines that they have given.

So I think if you look into most of the fertilizer companies, their performance, these are respectable margins. And there is clarity that's coming in from the government. They are also encouraging companies to look into backward integration so that there is more of self -sufficiency that could come in. That's the way one needs to look into this guideline.

Sumant Kumar: So we are not having any impact considering this 12% kind of PBT currently? Because historically, I have seen our EBITDA margin in the range of 14%, 15% also in the past?

Jayashree Satagopan: This is not at the EBITDA level, Sumant. It's at a PBT level.

Sumant Kumar: Okay, it's PBT level, yes, yes. So we'll not have an impact considering Rs. 5,000 EBITDA per ton you have guided in the past. So we'll not have any impact, considering 12% kind of margin?

Jayashree Satagopan: Yes, we will not have.

Sumant Kumar: Okay. And the second question is, phosphoric acid, can you guide us how much capacity we are going to increase and how much inventory loss in this quarter?

Jayashree Satagopan: We are looking at adding about 650 tons per day of PA capacity as and when we get all the approvals in place. As far as the inventory hit is concerned for the quarter, if I remember right, it is in the range of about Rs. 30 crores or so.

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Sumant Kumar: And we are planning to have a backward integration when the 600 TPD, around 7 lakhs tons cumulatively, so almost we are going to have a backward-integrated company for NPK manufacturing plant?

Jayashree Satagopan: Yes, this will add close to 2 lakh tons of PA at Kakinada.

Sumant Kumar: Okay. Thank you so much

Moderator: Thank you

u. Next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna: Just to clarify, with the latest guidelines, Coromandel will be treated as an integrated manufacturer, would that be the right understanding?

Jayashree Satagopan: Yes. As we have both granulation as well as phosphoric, sulphuric plants here, we would be an integrated manufacturer.

Arjun Khanna: Secondly, there is this evaluation methodology, which has stated that integrated manufacturers, manufacturers and importers of fertilizers will be considered as a separate segment. So essentially, we do import DAP. So would each SKU of import versus manufacturing be treated separately? Would we have to maintain 2 sets of accounts there?

Jayashree Satagopan: Even in the past, Arjun, when we used to submit cost reports to the government, we used to give it separately. All imports have to be shown separately, and we'll continue to show that. As we import DAP or any NPKs, in that case, the data used to be compiled and shared with the DoF on a stand-alone basis that will continue to happen. And for imported items, the margin guideline that has been suggested is 8%.

Arjun Khanna: Right. Sure. So that clarifies that. Secondly, if one looks at -- they have talked about the Board coming back with some sort of unreasonable profit for the previous year. Can you confirm on the call that we would have no impact from that aspect?

Jayashree Satagopan: This guideline is effective 1st of April 2023.

Arjun Khanna: Right. So you're saying the impact, if at all, you would know by the end of the year?

Jayashree Satagopan: Yes, we will be computing it by end of the year, but my initial assessment is it's not likely to have an impact for the current year.

Arjun Khanna: Sure. The last question I have is, in terms of our retail outlets, there is a net MRP minus dealer margin. Now Gromor, given it's a subsidiary, would it be subsumed in that 12% or that's considered separately as a dealer, so that impact would be plus?

Jayashree Satagopan: You're asking about the sales of fertilizer that happens through the retail outlet, right?

Arjun Khanna: Right. Right, which is owned by us, yes.

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Jayashree Satagopan: Yes, it will be taken as a sale and the margin that we make on the sales will be considered as the overall margin for the company.

Arjun Khanna: Sure. So if you didn't have a retail, we could price it differently. Is that the right understanding?

Jayashree Satagopan: No, the retail also gets a similar treatment like a channel partner except that it is all done internally within the company and the so-called dealer margin stays within Coromandel.

Arjun Khanna: Just trying to understand scenarios, ma'am because this is on a percentage basis and not on an absolute basis. So if raw material prices fall substantially, essentially, it would impact profitability for the entire industry. Is that the right understanding?

Jayashree Satagopan: The way one should look at it is if the raw material prices are coming down dramatically, the expectation also is to pass on the benefit to the farmers, right? And the government also has a lever in terms of subsidy. So there are 3 aspects one needs to look into. There is raw material price, there is MRP, which the companies can work with and then there is subsidy element. So all these 3 have to be looked into as a whole. And on that, you work out your revenue, your margins, your margin percentage and, therefore, the profitability.

Arjun Khanna: Sure. Very well understood, ma'am. Just the final question is, if one looks at pricing in the market, one player is significantly more efficient. Essentially, that player's product would be priced lower than other players in the market. Would that be the right understanding?

Jayashree Satagopan: That is true for

any company, any product, right, whoever is having a better process, whoever is most cost efficient, whoever is able to source much better, will have an advantage of pricing it far more competitively or trying to hold on to the price and then make more margins, so there is no difference for a fertilizer industry.

Arjun Khanna: But the latter part may not pan out because you are limited by peak margins.

Jayashree Satagopan: Yes. But the way government has given it's a 12% on the PBT, right?

Arjun Khanna: Right. You're saying that's more than enough to account for everything.

Jayashree Satagopan: I think so. So there are going to be efficiencies, but then the market dynamics sort of plays in. When the raw material prices actually shot up, the government had increased the subsidy to a great extent, while they had asked the companies to sort of maintain the MRP. In free-regime, MRP has to be determined and maintained by the industry players, so there have been interventions & oversight. Since the guideline has just now come in, we also need to go through a couple of cycles to understand how this will pan out.

But I will not get too concerned about it because there is also a differentiation that has happened, and it is at an overall portfolio level. There could be certain products where you will be far more efficient. There are certain products where the throughput may be lower and, therefore, your margin profile could be different. So for manufactured segment, it's a pretty reasonable call at this point in time.

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Arjun Khanna: Ma'am, just because if you look at the formula cost of sales, there's also this net interest and financing charges, expenses, which you are able to claim given that we are a net cash balance sheet, essentially, this component would be absent for us. So essentially, having large cash on balance sheet would be a detriment to a nutrition or a fertilizer player. Would that be a right understanding?

Jayashree Satagopan: One can interpret it that way. But the fact is, on a year-on-year basis, there has also been a good amount of investments that's happening in house. So the new capex that has been announced, the capex that has already happened is all through our own internal accrual. I don't think it's going to impact to a very great extent, considering the current situation. But if one were to theoretically look into it, the answer is, yes.

Arjun Khanna: Sure. Thank you very much and wishing you all the best.

Jayashree Satagopan: Thank you.

Moderator: Thank you. Next question is from the line of Vishnu Kumar from Avendus Spark. Please go ahead.

Vishnu Kumar: I'm following up on Arjun's question only, this guideline seems to actually lead an efficient company or a lower debt company or a cash-rich company, a little bit more on the lower end where it's inefficient, probably a company having higher debt to probably end up making at least, directionally, there is a possibility there. So will this guideline go with multiple iterations with the government before you finalize any conversations will further happen on this side? And that is one.

And secondly, you did mention that there is not much of a change, this is the previous policy and that was already enforced on this one. And why would the government come up at this point in time on this side? Why did they come specifically with further guideline process?

Jayashree Satagopan: Okay. Vishnu, your first question in terms of companies having cash versus debt. When you're having cash, it also comes because of the fact that you've been running the operations very efficiently and you can deploy it for multiple other purposes. Theoretically yes, but if you're going to be highly leveraged, you're also going to incur that cost. And with that, your margins are going to be lower. So what do you really want to see is th

e margin earning capacity with or without an interest cost.

The way the guidelines are, at this point in time and looking at how we have been running the operations, we don't see a risk. If you can do a comparative of several companies in the industry and how well the EBITDA per ton has turned out and, therefore, the margin percentage to see whether a higher debt will be helpful or not. My personal read and assessment, to us, it doesn't impact. The cash will be deployed on more purposeful areas. That's the way I look at it.

On your second question, as I was mentioning, even earlier, there's been a guideline in terms of how the fertilizer companies operate. What is the cost structure, what is reasonableness in terms

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of the government looking into a fair price that has to be maintained for farmers, these have been there. And they have come up now clarifying a couple of things: One is clearly on the GST front because GST is only a pass-through as far as the companies are concerned. It cannot be included. So they have very clearly articulated the GST will not be a cost.

The second thing that they have included is also doing a differentiation between companies who are investing in the country, therefore, they are entitled to earn a better margin compared to companies who are just importing or having a certain level of manufacturing, so they've gone

ahead clarifying their intent. They want to promote more of manufacturing in the country.

Vishnu Kumar: Got it. Ma'am, earlier you were highlighting that if at all, let's say, at some point in time, we would be probably thinking about capacity expansion, the natural way would be to get all the backward integration done, get clarity on policy. And I mean, at least that's what we thought. So at least now from that side, your next phos acid announcement and some policy clarity, we probably have at least the base margins that we can earn. Does this mean that over the next, we should expect some kind of a capacity enhancement announcement or anything that you could help us understand on this side?

Jayashree Satagopan: At this point in time, we want to first focus on the backward integration and getting our own supply security. At an appropriate time, definitely, we can look into further options. We also need to be cognizant of the fact that new technology like Nano has come in. While nano urea has not evoked much encouraging response, the Nano DAP that has been developed by Coromandel through its own in-house R&D center has been received well.

Our Nano plant in Kakinada has to come full stream, and we also want to wait and see how these new technology adoptions are happening. While it is not going to totally substitute, there could be a certain percentage of granulation that can be consumed through the nano fertilizers. Plus, it would take a couple of years for us to get this backward integration done and feel far more secure with our raw material. So both these factors will be considered appropriately, and we will look for capacity expansion.

But in the immediate future, as I had alluded in the past, we are looking at several debottlenecking options. And there is going to be investment that is going to be spent in the coming year for increasing some capacity within our existing plants further to what we have done. So those studies have been completed. So as we complete our business planning exercise, we'll be in a position to let you know what could be the additional or the upside in the existing plants through debottlenecking activity, one can further look at.

Vishnu Kumar: If I may additionally on the CPC and other businesses: one, if we exclude fertilizer and CPC, the balance EBITDA on the all-other segments, SND and multiple other, we're generally seeing a material uptick versus last year, any color on that? In fact, our mathematical numb

er suggests

that we have grown very well on the ex-fertilizer, ex CPC and it's almost yielding a 25%, 30% margins now. Any color on that?

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And also just on the CPC business, if you could talk about the external macro, and you did speak about some improvements and some new products coming up there? This will be helpful.

Jayashree Satagopan: Yes. So our other businesses have also been doing well, SND, organic, retail. Retail has done pretty well despite adverse monsoon conditions that we have seen in the Southern Peninsula.

We have Dr. Raghuram in the call, who is leading retail bio and CPC, and I'd request him to sort of take this question and respond to you, Vishnu. Raghuram, you there?

Raghuram Devarakonda: Yes, Jayashree. So just to briefly describe performance of CPC, bio and retail in that sequence.

As Jayashree mentioned, the volumes have increased handsomely. However, the price erosions have been fairly steep. For those of you who have been tracking this industry, I think you'll be very familiar, the extent of erosion in prices have been upwards of 30%. So as a result, the top line hasn't grown much for CPC. But through efficiency improvements, product mix optimization, catering to profitable customer segments, we have been able to shore up the gross margins. So even the outstandings have come down from an overdue point of view. So many of the business fundamentals are slowly, but surely coming into place. And looking ahead in the future, our new product pipeline is also looking good. But again, those of you who have been tracking this segment will understand that globally, the regulatory environment takes time to approve many of these new products. We have also forged partnerships with some of the Japanese innovators. So not only our generic formulations but also some patented molecule formulations are also in the pipeline.

So as I said, all of those are for the future, and it will take some time. There are CDMO discussions that are maturing well, this is another long lead item for the business. So the future is looking good. A lot of investments are going in on that front, including R&D and building some infrastructure. Even on the previous calls, I've mentioned that as and when many of these fructify, we'll have appropriate press releases at those points in time. For the moment, it will suffice to say that a lot of work is underway. A lot of heavy lifting is going on in the background so that the business is in a good shape and more robust going forward in the next couple of years. In the meantime, as we announced a little while back, we are diversifying into specialty chemicals. Happy to state that some commercial transactions have happened during the quarter, so that beginning has happened. This is another step forward in the right direction for CPC business.

And in retail, primarily, we have been using our databases. We have got more than 3 million farmers in our databases, and we have done some data crunching, data mining to identify those who are repeat purchasers who have been loyal to us, and we are helping them improve their yields significantly and driving word-of-mouth. And the whole trick that has given us the results is to focus on the villages, focus on the key farmers from the databases. Help them improve through our advisory services, integrate products and services like drones, so that we provide that sort of an impact the farmer is looking for. And these people being quite influential in their respective villages, the word of mouth has helped us drive more footfalls into our retail stores.

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The bio business, again, we have been pretty much a one-product company, azadirachtin. And we are the largest manufacturers of this molecule worldwide. So we are trying to reduce the dependence

on azadirachtin and bringing up new products about which you should be hearing over the coming quarters. So these are the 3 main things that we have done in the respective businesses, namely diversification theme, data mining theme and staying focused on products and customers that are profitable. I hope that answered the question.

Vishnu Kumar: Actually, my question was more towards the segment profitability for 9 months. Actually, it looks like it has exceeded the CPC business itself. While we understand why CPC is down, but the segment is this ex-fertilizer and ex-CPC has done phenomenally well. As a suggestion, if we can -- in the presentation, we can show separately the EBITDA for these 3 as a breakup, it will actually be very helpful to track this going forward.

Raghuram Devarakonda: Maybe Jayashree, you may want to take that.

Jayashree Satagopan: Yes. So Vishnu, I'm not sure how you are coming with these numbers. We can take it off-line. And I take your point in terms of getting some more visibility to the other businesses, either through segmental or otherwise, we also want to get this story around, and we'll definitely address that.

Vishnu Kumar: Thank you.

Moderator: Thank you. Next question is from the line of Dheeresh K Pathak from Whiteoak Capital. Please go ahead.

Dheeresh Pathak: So just coming back to the notification again. So is it fair to say that this reasonableness of MRP, this was always there at 12% for all manufacturers in the past. Now it has been more fine-tuned

8, 10, 12 and made it at a portfolio level versus product level, but it was always there.

Jayashree Satagopan: Yes, there has been fine tuning, you're right, putting it at a portfolio level and also segmenting the companies as integrated manufacturers, manufacturers, and importers.

Dheeresh Pathak: Okay. And this 12% PBT margin, when the buildup happens to get to the reasonable MRP, is it going to be on actual basis or is it going to be on a normalized basis? So for example, interest cost, raw material cost, all the other cost when we build up, is it going to be on each company's individual actual cost report or on a normalized basis?

Jayashree Satagopan: It will be on actual.

Dheeresh Pathak: Then what does this 12% mean for a company, let's say, like yourself, if you're investing new capital into backward integration, what does this 12% mean from an ROI point of view?

Jayashree Satagopan: The capital investment has to be looked at it on a stand-alone basis. For instance, if you want to do a backward integration, you will look at what's going to be the ROI for the project, what is the IRR, what's the payback period so on and so forth. And overall, by doing that, if you're still able to make a 12% margin as an integrated player, it still augurs well. My decision to invest in

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a backward integration is not only going to be guided by this. It has to be a separate ROI project for me.

Dheeresh Pathak: I'm not able to understand that because see 12%, we're talking about PBT margin. It does not give us a good understanding of what return is generated on the capital. So if you can triangulate the 12% PBT from a -- what does it mean from a return on capital point of view, right? Because if you have to spend too much on fixed assets, then PBT margin alone itself does not give you enough information, right? So what I'm trying to get to is, what 12% PBT margin, does it compensate enough for the capital that will go into backward integration?

Jayashree Satagopan: At this point in time, given the size of investments that has been happening in the industry, I don't think it will be a deterrent. But we can work out the return on capital employed as well. I personally do not see this 12% being a deterrent for further investments.

Dheeresh Pathak: One last question. The current margins on manufacturing

g is way below the normalized margin

guidance of Rs. 5,000. So if the current subsidy regime continues and the current spot prices continue, it seems that margins are way below the normalized margins. So given that we have flexibility to get up to 12% PBT, the only reason we are not able to increase MRP is because this is an election period. Is that the only deterrent?

Because right now, an efficient player like yourself is earning way below the 12%, below your normalized guidance, and you're still not increasing MRP. So, apart from what I mentioned, is there any other reason that you're not able to get to a normalized margin?

Jayashree Satagopan: See, one must look into it as a cycle, not every year is going to be the same, not every quarter is going to be the same. We normally look into a full year basis. And if you still look at this year on a full year basis, we should be relatively okay. Last quarter has been tough. The NBS rates have been sharply corrected. Last year, in January, there was a downward revision. This year, with the raw material prices going up from August onwards, the industry is hoping and still representing with the government to see if there could be an upward revision in the NBS rate effective 1st of January. At this point in time, seems unlikely, but there has been representation. We are also working through the FAI and along with our other industry counterparts to share with the government the way the raw material prices have moved, there needs to be an interim correction in the NBS rates. Having said that, the current MRPs that we have, given the monsoon conditions, the consumption has also not increased. So there is no point in increasing the MRP and not being able to sell.

There is a propensity of the farmer to pay and that is getting tested. So MRP increase may not help at this point in time. A revision of the subsidy will be very helpful. Representations are being made to the government. Hopefully, if it works, it's fine. Otherwise, we should hope for - the change is coming from 1st of April. And I would also encourage us to look into 1 or 2 periods in time when you will see these type of aberrations happening.

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Moderator: Thank you. Next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.

Bharat Sheth: I have 3 questions. First is, I mean, you clarified on this GST amount is a pass-through and will not be considered as a part, what about the subsidy part? I mean, whether it will be a pass-through or 12% will be calculated on the subsidy amount also?

Jayashree Satagopan: No, it's only for GST because GST is not your income, right? You're collecting and then you're remitting. Whereas subsidy when you look at it, you are not able to fully price the product and, therefore, the subsidy comes in from the government.

Bharat Sheth: Okay. Great. And how much capex have we planned for this phos acid plant, which is almost a 2.5 lakh ton per annum? And post that, how much still we need to have backward integration scope is there, either on phos acid or sulphuric acid? And how much are we getting rock phosphate from our one of the subsidiary or joint venture partner that we have formed in Africa?

Jayashree Satagopan: Okay. The phos acid plant that we are looking at is a 2 lakh ton capacity per annum, and we are looking at an integrated phos acid and sulphuric acid plant. When we did the Vizag expansion, we did the PAP-2 first. And then after a gap of 2 years, we did our SAP 3. Here, we are looking at putting both of them together, and we are waiting for a couple of approvals, which we are expecting in the next 2 to 3 months' time frame.

So it's a pretty large project having both the plants together. And after we complete implementation of these plants, there will still be requirement for import of phos acid.

d. Because

currently, we import somewhere close to 4 - 4.5 lakh tons, again, depending on the grade mix. And after this plant comes in place, we will still have about 2 lakh tons or so, which we might have to import.

I was also mentioning a little while ago, we are looking at expanding the capacities through debottlenecking activities at Vizag and Kakinada and that might also require some more acid for granulation. So considering all of these even after the plant is in place, there will be requirements for imports. Yes, it will not totally do away with it. As far as the rock import is concerned, we have started getting the rock from Senegal, about close to about 1 lakh of tons has come from our mines there.

And very recently, we have been working with one another company to help set up a fixed processing plant, which will get operational in the next quarter and that should help to further stabilize and increase the throughput. So on a normal year basis, we could expect somewhere close to 2.5 lakh, 3 lakh tons and the intent is to see how we can increase it up to 5 lakh tons of rock.

Bharat Sheth: Okay. And last question on the CPC side that we were working on CDMO. What stage we are in this CDMO business?

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Jayashree Satagopan: Yes. Just a little while ago, Dr. Raghu was mentioning about some of the progress there. So on CDMO, there are a couple of companies with whom the business is very closely working on and some tech packs have been shared. The response has been good. So it's progressing well. As you would also appreciate, CDMO is a long lead item, taking anywhere between 2 to 3 years, depending on the innovator with whom you're working and the complexity in the product. We can say that the response has been positive. The progress is going in the right direction at this point in time.

Bharat Sheth: Overall in ballpark number, capex on this SA & phos acid, what would be in your fair assessment?

Jayashree Satagopan: I think it will be in the closer to Rs. 1,000 crores.

Bharat Sheth: Okay, fair. Thank you very much and all the best ma'am.

Jayashree Satagopan: Thank you.

Moderator: Thank you. Next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: First question pertains to the policy margins that have been enumerated, I think, 10 and 12. In your assessment, what historically for yourself and at an industry level, what have been the margins that you've seen as being cyclically average in these 3 categories of trading and manufacturing with backward integration...

Jayashree Satagopan: I can hardly hear you.

Gagan Thareja: Yes. So my question was that while certain margin ceilings have been set or proposed in the document, what in your experience have been the cyclical average margins that Coromandel would have seen or, for that matter, at an industry level would have been historically prevalent?

Just to get an assessment of where they lie or where we can peg them versus what's normal?

Jayashree Satagopan: I may not be able to answer you at an industry level, but if you look at the performance of the companies over the period in time, I don't think that companies have hit this level of PBT at all.

Gagan Thareja: Yes. So my assessment was even at an EBITDA level for this business specifically and not overall Coromandel in aggregation, margins will be closer to 9.5% to 10%. Is that a reasonable assumption?

Jayashree Satagopan: Yes.

Gagan Thareja: Okay. Right. And so from your perspective, this does not impact you in any way in your make versus trade or make versus buy sort of decision at all or in your capital allocation at all whatsoever?

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Jayashree Satagopan: No, our policy has always been to see what we can do in terms of improving the cost efficiencies

in our manufacturing. And wherever there are opportunities for us to look at imports, we do import. For instance, manufacturing DAP versus importing DAP, whichever is more profitable, that's a call we take. And in times when manufacturing of DAP is going to be loss-making, importing of DAP is going to be further loss-making, at the time, we may decide, whether we cut loss and do a DAP manufacturing.

So there is always going to be the cost economics of looking at ensuring that we have the potential to cut our loss if there is going to be a loss making situation or earn decent margins if there is going to be a situation in maximizing it between manufacturing and importing. At the same time, given the fact that we do manufacture multiple grades, there is also an option to import certain grade versus manufacturing because manufacturing of certain type or certain grades in certain plants can help us get a better margin. And this guideline is also talking at a portfolio level for all the grades that are getting manufactured, so there is a good amount of flexibility that's being built in.

Gagan Thareja: So on backward integration, you invested sizably. While you talk of individual projects, can you enumerate for us to what degree these projects increase your level of backward integration and in terms of cost savings or cost advantage or ROI, what does this yield for you?

Jayashree Satagopan: Any time when you're going to just import and granulate when the phos acid prices go up, the granulators don't make money. Then you backward integrate, you buy the rock and you do the phos acid here, there is a value capture. Similarly, when there is a sulphuric acid plant, there is a local feed of sulphuric acid and also there is power generation that comes from the burner. So that is another value capture.

Gagan Thareja: I was just looking to whether you can enumerate it for us, while we understand it at a qualitative level, some degree of enumeration would be helpful?

Jayashree Satagopan: So we look at it on an IRR basis. There is a threshold IRR for a company and there is a certain year of payback when you take up these backward integration projects. And as it is within these parameters, the investments are reviewed and taken up for approvals.

Gagan Thareja: So what is the payback that you generally look for?

Jayashree Satagopan: It varies from project to project. Some projects have a low payback. One commodity super cycle can make the payback in 2 years. Like how we had this Phos Acid prices shooting up a couple of years back, you make the investment, you get the return in a period of 2 to 3 years itself. Sometimes it can be all the way up to 5 -7 years.

Gagan Thareja: And debottlenecking that you're proposing to do would give you what kind of additional capacity?

Jayashree Satagopan: The business is working on the numbers. We are going through the business plan cycle now. And probably in the next call, I'll be able to give you the clarity on it.

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Moderator: The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Just one question on the crop protection side. Your thoughts on both B2B as well as B2C growth and as well as how is the progress going at Dhaksha side?

Jayashree Satagopan: Thanks, Ankur. I'll request Raghu to speak on CPC and probably once he completes, I'll give you a flavor on Dhaksha.

Raghuram Devarakonda : Okay. As I shared a little while back, the headwinds have been quite strong as far as the price realizations are concerned and we are all aware of the monsoon that played out in India in patches and the reservoir levels what we have. So having said all of that, the new products and leveraging the data that we have and making those focused plans for specific districts and markets, targeting specific

crops is helping us.

So in Q3, we grew handsomely in volume terms, and I believe that will help us improve the market share as well because we have got more quantities of our products in the market, both in domestic as well as exports. So I think if we continue on the same path, we become more and more resilient as a company to weather the vagaries of the external environment.

At the same time, internally, we have immensely improved our efficiencies for the technicals that we manufacture. So we have done a lot of work within the 4 walls of our factories to drive up efficiencies, achieve significant levels of cost reduction and, therefore, are able to withstand the competitive pressures in the marketplace.

I think overall, the story has been good for Q3 as far as CPC is concerned on these fronts ie, volume, margin expansion at the gross margin level and also collections. Given the market conditions, collections are improving and exports and domestic trade are doing well for us at the moment.

Jayashree Satagopan: Thanks, Raghu. As far as Dhaksha is concerned, we've been doing pretty well. We've been working closely with multiple segments like agriculture, defense & enterprise. Happy to state that we have close to Rs. 300 crores of order book for Dhaksha at this point in time. This is panning across all the 3 segments I've mentioned. Apart from setting up new training centers where pilots would get trained, there is lot of emphasis from the government for promotion of drones in agriculture, especially through women self-help rules.

They are looking at close to 15,000 drones over the next couple of years and Dhaksha is supplying to IFFCO and to Coromandel. And early next month, we understand that there is going to be a program from the government, promoting these drones for agriculture. Apart from this, the company has been participating in promoting drones for logistics and defense purposes, and that's where the large chunk of the order book is there currently.

Enterprise is also a very interesting solution where they have received a couple of orders. So R&D work is going on. New manufacturing facility has been set up. From next month onwards, the line from the existing facility will be moved there. That should help them in terms of

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continuously working on newer products and scaling up the manufacturing on the existing models they have.

Ankur Periwal: Thank you and that's helpful.

Moderator: Thank you. Next question is from the line of Tarang from Old Bridge Asset Management. Please go ahead.

Tarang: Ma'am, I had actually quite a few questions, but given the constraint, I'll probably request for 2. The first, I believe this might have been answered, but specifically coming to Q3, per ton

manufacturing margins for the Nutrition business, given that our Q2 results were declared after the rabi subsidy announcement. And my sense is there was a provision that was taken in Q2. Considering all of that, what drove such as sharp reduction in the per ton margins?

Jayashree Satagopan: The impact of channel inventory had been taken in Q2 numbers. For the sales in Q3, the subsidy realization is very low as the steep correction has happened in the subsidy rates. Plus, as I was mentioning, the raw material prices, which came down quite well compared to last year started inching up from August onwards. So it's an effect of lower subsidy rates, MRP being held where it is and the raw material prices slightly going up in the context of a not so good season.

Tarang: Got it. Just following up on that. So have we, out of prudence, taken some hit for what we are anticipating in Q4 as well? Or we could see a similar sort of a rundown in Q4 as well?

Jayashree Satagopan: I'm not able to understand your question.

Tarang: Ma'am, my question is that given where the MRPs are today, the raw material

prices and the

subsidy that has already been announced, you would have some sense on the per unit profitability, should the volumes flow through in Q4. So given how Q3 has transpired for us as a part of prudence has Q4 hit also been taken? Or that's something that we'll see in the Q4 numbers?

Jayashree Satagopan: You can't take a hit for future in the current quarter. I haven't picked up any hit of next quarter.

Tarang: Okay. I was just double checking that. Great. Okay. Just last, I mean given what's happening in the crop chemical space, is there some amount of recalibration to the Rs. 1,000 crores, Rs. 1,200 crores outlay that you had announced?

Jayashree Satagopan: There's a lot of activities going on in the Crop Protection front. The current focus has been to see how we can maximize, improve the volumes, run the platform more efficiently. A lot of work has been happening on those fronts, which has actually helped the company get a very good volume growth in the context of what's happening globally, both in exports as well as the formulation.

Last 2 quarters, consistently, we have seen a volume growth that's happening. At the same time, when you look at the raw material, the intermediate prices, while they have been holding, the

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prices of certain molecules have come down sharply because of the China factor. In several cases, we have seen the intermediate prices are higher than the final technical.

Therefore, we are pausing a bit before getting on to the molecules, which have been shortlisted on the multipurpose plants. And also, looking at what could be other processes that can be followed to get a far more compelling cost position. At the same time, there's been a lot of effort that's going on, on repurposing some of the assets for specialty chemicals. And work is also progressing well on the CDMO front. At the Dahej facility where we wanted to get the herbicide plant up and running, there's been some traction in terms of the basic infrastructure.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to management for closing comments.

Jayashree Satagopan: So thank you all for your interest in Coromandel. Good set of questions during the day. If there are any further clarifications or questions that you may have, feel free to reach out to Anuj or me. We'll be happy to connect and interact with you. Thank you, again.

Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

Ref. No: 2024-25/024
May 03, 2024
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Subject : Transcript of conference call held on April 29, 2024
This is further to our letter dated April 29, 2024 on the subject.

In this regard, we write to inform that the transcript of the Conference Call held on April 29, 2024 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> as required pursuant to Regulation 46(2)(a) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take this record.

Thanking you ,

Yours truly ,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:
Page 1 of 18

"Coromandel International Limited
Q4 FY '24 Earnings Conference Call "
April 29, 2024

MANAGEMENT : MRS. JAYASHREE SATAGOPAN – PRESIDENT ,
CORPORATE AND CHIEF FINANCIAL OFFICER –
COROMANDEL INTERNATIONAL LIMITED
MR. SANKARASUBRAMANIAN S. – EXECUTIVE
DIRECTOR , NUTRIENT BUSINESS – COROMANDEL
INTERNATIONAL LIMITED

MODERATOR : MR. HARMISH DESAI – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

Coromandel International Limited
April 29, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Coromandel International Q4 FY '24 Earnings Conference Call hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Harmish Desai from PhillipCapital India Private Limited.

Thank you, and over to you, sir.

Harmish Desai : Thank you, Manuja. Good afternoon, and welcome to the Fourth Quarter and Full Year FY '24 Earnings Call of Coromandel International hosted by PhillipCapital. From the management, we have Ms. Jayashree Satagopan - President, Corporate and Chief Financial Officer; Mr. Sankarabramanian - Executive Director, Nutrient Business.

I would like to thank the management for giving us the opportunity to host this call. We will begin the call with opening remarks from Jayashree ma'am, post which we'll have a Q&A session. Thank you, and over to you, ma'am.

Jayashree Satagopan : Yes. Good morning, everyone, and thanks, Harmish, for organizing this conference call today. Let me give you a brief on the business environment experienced during the quarter, followed by the company's performance and then we will have the Q&A session. I'll try and keep the session short so that we spend more time on the Q&A session.

As far as the Indian agriculture is concerned, India experienced a challenging agri environment during the year. Agri GVA is expected to grow marginally by 0.7% and the second advanced estimates project slight reduction in food grain production during the year. India, as a whole, received a below normal monsoon, 94% of the long period average for the first time in 4 years. This led to lower crop sowing, especially in Coromandel's key markets and has also resulted in lower reservoir levels, further impacting the rabi plantings.

Coromandel's primary markets were severely impacted. Rayalaseema by 13%, North Interior Karnataka by 10%; Coastal Andhra by 3%, Vidarbha 2%, Bengal by 22% and Marathwada by 11%, which has also impacted the agri nutrients consumption in these regions.

On a positive note, the recent forecast by IMD and Skymet have estimated normal to above normal rainfall for kharif 2024, which bodes well for the upcoming agriculture season.

Fertilizer industry performance : Q4 was weak quarter for the industry as phosphatic s point - of-sale consumption declined by 11%. On a full year basis, the consumption improved by 7%.

Detailed volume breakup for the industry and the company are available in the investor presentation placed in the company's website. Lower NBS rates during the second half of the year were not commensurate to the raw material prices, and therefore, impacted the operational viability of the phosphatic players in the industry.

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With the new subsidy rate announced for first half of FY '25, we expect the fertilizer margins to show improvement. Raw material prices have remained stable to soft during the quarter, and we expect a similar trend in the coming year.

Speaking about the company's performance, the NPK volumes were down by 6% in the fourth quarter of the year; and for full year, it was lower by 3%.

Company's market share (POS) in Q4 for NPK and DAP was 24%; and for the full year, it was at 15%. In comparison with last year, it was 25% in Q4 and 17% for the full year. The company's market share (POS) in Q4 for SSP was 17% and for full year was 15%. Last year, it was 16% in Q4 and 14% for the full year.

During the year, the plants

operated close to 95% capacity. And further, the company is planning to debottleneck its granulation capacity in Kakinada and Vizag, adding up to 3.5 lakh tons. Company has just commenced work on the new phosphoric acid and sulphuric acid complex plants at Kakinada with an estimated capex of about Rs. 1,030 crores. These plants are expected to come up in couple of years' time.

Further, the company plans to introduce new Urea SSP product, which has recently been approved by the FCO and brought under NBS. This innovative product will provide sources of N added to the traditional SSP.

On the Ennore plant, the NGT has concluded the hearing and the matter is reserved for orders. We expect the orders to come in soon.

The commercial sales of Nano DAP started from the second half of the year and response from the market has been quite encouraging. We expect to receive approvals for commissioning the 1 Cr bottle capacity for Nano DAP plant at Kakinada very soon. Further to this, the Specialty Nutrients business also plans to double the sulphur production capacity during the year.

On the crop protection chemicals, our business has registered a strong 20% volume growth across the international and domestic markets despite the severe industry headwinds faced during the year. However, the margin pressure persists due to higher inventory in the global markets. The business focused on several WoW and I Care initiatives, which helped in strengthening its cost position to offset some of the pricing pressures in the market. The business introduced 7 new products during the year and it is partnering with innovative companies to launch in -licensing products. The new products turnover index for the year was at 15%. During the quarter, CPC business introduced Prachand . This is a 9 (3) formulation product from ISK.

Formulation business is strengthening its branding capabilities and customer reach. During the year, one of its bi ostimulant brand achieved Rs. 100 Cr mark. The business is planning to set up multipurpose plants for manufacture of 6 new technicals in the coming year.

Our retail stores improved the farm level outreach and operated well during the year. Overall, 97% of the stores were profitable despite the severe monsoon conditions in its key operating

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markets. Retail business is further planning to foray into newer markets by opening 100 new stores in FY '25.

Drone -based spraying services by our retail stores and Gromor Drive initiative taken by the Specialty Nutrients team is progressing pretty well. Coromandel covered more than 25,000 acres during the year.

While Coromandel continues to focus and grow its core businesses, it has been carefully crafting its long -term strategic growth areas, and accordingly, focusing its efforts.

1. Investment in drones : Dhaksha, which is a newly acquired start -up company by Coromandel, is progressing well and has commissioned its new plant in Chennai. Dhaksha's order book stands at around Rs. 250 Cr, and the company plans to service the same in the first half of the year.

2. Efforts in CDMO is progressing well, and Coromandel is in advanced stages of discussion with three innovat or companies. This being a t wo to three year journey, company expects additional traction to build up during the coming year.

3. Foray into specialty chemicals. The company has initiated a small plant at Nimrani to manufacture sodium silico fluorides apart from leveraging its CP C plant infrastructure and also has been acquiring new customers in this space.

4. Coromandel is looking at newer chemistries like fluorination chemistry for its Crop Protection and Specialty Chemicals business. It has identified nine molecules and the R&D team is in the process of finalizing the DOT. The company plans to leverage its unique advantage of having byproducts from its

fertilizer business, which can be source for fluorination chemistries.

5. Investment in AgTech : Coromandel continues to evaluate its interest in AgTech companies and will be investing in them like in the past couple of years.

With that, let me take you through the company 's financial performance.

Turnover : The company recorded a consolidated income of Rs. 3,996 Cr during the quarter ended 31st March 2024 and Rs. 22,290 Cr for the full year vs. corresponding period of Rs. 5,523 Cr for the quarter and Rs. 29,799 Cr for the full year. It registered a degrowth of 28% for the quarter and 25% for the full year. The decrease in revenues has been mainly on account of lower subsidy rates and with lowered RM prices apart from some volume impact in fertilizer business and pricing in the Crop Protection.

Subsidy versus non -subsidy share of business stands at 78% and 22% during the quarter vis -à-vis 84% and 16% last year. For full year, it is 83% and 17% compared to 87% and 13% in the prior year.

Profitability : Consolidated EBITDA for the quarter was Rs. 273 Cr against Rs. 403 Cr last year.

And for full year, it was Rs. 2,399 Cr vis-a-vis Rs. 2,926 Cr in the last year.

Subsidy versus non -subsidy share stands at 53% and 47% during the quarter vis -à-vis 66% and 34% in the last year. And for the full year, 72% and 28% vis -a-vis 75% and 25% in the last year.

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Subsidy : During the quarter, company received Rs. 2,165 Cr towards subsidy claims compared to the last year of Rs. 4,483 Cr. For the full year, subsidy received is Rs. 9,198 Cr and the previous year it was Rs. 12,477 Cr . The government has been prompt in clearing the subsidy

dues, and as of to date, we have received our subsidy claims till March third week. Subsidy outstanding as of 31st March 2024 was at Rs. 1,377 Cr vis-a-vis Rs. 2,378 Cr in the last year. Forex : During Q4, rupee traded within a range of Rs. 82.64 to Rs. 83.71. Coromandel continues to follow a pretty conservative approach in terms of hedging and managing its forex exposure, which has immensely helped in limiting the impact of currency momentum. Dividend : The Board has recommended a dividend of Rs. 6 per share for the financial year FY23-24.

With this, I thank you all for your interest in Coromandel and joining us on the call today and we look forward to the interactions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah V : Ma'am, first question is on fertilizer margin. So we used to give guidance earlier around Rs. 5,000 to Rs. 5,500 EBITDA per ton. So I mean in the current context of subsidy rates, how do we see this for the next year?

Jayashree Satagopan : Yes. Thanks, Somaiah. In terms of margins for next year, we are expecting in the range of Rs. 4,500 to Rs. 5,000 per ton in terms of EBITDA. This considers the NBS rates that have been announced by the government, we expect an uptick of about Rs. 1,500 to Rs. 2,000 coming out of it.

And then there are obviously the initiatives that happen within the company in terms of smart sourcing, operational improvements, so on and so forth. So for full year, one could look into a range about Rs. 4,500 to Rs. 5,000. Obviously, the intent is to see how we can maximize this further.

Somaiah V : Understood, ma'am. And from an industry price increase, how do we see things because earlier there were -- I mean, in one of the calls earlier, we were saying it is also a function of demand. So how do we see demand or inventory that is there in the system? What is the scope for a price increase?

Jayashree Satagopan : Yes. I think that's a very good question, and I have Sankar, who would respond on this.

S. Sankarasubramanian : See, overall price is a function of global prices of input raw materials and commodity prices. We

have seen some softness in the global DAP prices as well as, as you know, the phosphoric acid price for the quarter has also been negotiated at a lower level. So we need to wait and see how the commodity prices play out in the next 2, 3 months. If that warrants a correction, we will look at it. But as we see at this point of time, we should be able to manage with the announced subsidy and the MRP's, which should give us a decent margin.

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Somaiah V : Understood. One final question. On the brownfield expansions on the fertilizer front, so now that we have announced backward integration projects we are doing, work in progress on Crop Protection. So how would we think about it? And when do we actually start planning for this and when we can expect anything on this front on the brownfield expansion?

Jayashree Satagopan : On the Crop Protection front, Somaiah, there are three things that are happening currently. As I was mentioning, there has been very strong industry headwinds. And therefore like many other companies we also took time to reevaluate certain molecules which were earlier short-listed for setting up the multipurpose plant.

Now that we are hearing by fourth quarter of this calendar year the situation is likely to improve based on the inputs that are coming from various quarters. With that and the newer chemistry that we are planning to look into, the business has shortlisted six molecules and the proposal for those MPPs are being put up now. We expect these molecules and the MPP work to be initiated during the year. These are all Brownfields which will come in Ankleshwar as well as in the site that has been picked up in Dahej. There it is a bit of a Greenfield.

The Dahej site is going to be mainly used for herbicide whereas Ankleshwar is being used for insecticides and maybe one or two fungicides. This is the overall game plan. The infrastructure related work at Dahej has already begun and therefore as the proposal gets approved for the MPP, they should be in a position to get started during the year. This has been also factored in the business plan and the capex for FY '25.

Somaiah V : My question was pertaining to the fertilizer segment, just want to understand on the Brownfield in fertilizer segment. So when will we take this up because given that we are already doing on crop protection and backward integration.

So when is this something -- I mean, we will consider doing this and also if you could just help us what are the current capacity and after debottlenecking where this capacity will be in the next couple of years?

Jayashree Satagopan : So currently the focus for fertilizer is to get the PA and SA plant. It is very important and critical for the business to get backward integration of our sources in place. So that's on track.

In January, we had announced for SA, PA . Happy to state that last Friday the Bhoomi Pooja for both the plants were done. And during the year the business is looking at debottlenecking the capacity which will add further 3.5 lakh tons to the existing capacity which means from the current 34.5 we are expecting another 3 , -3.5 lakh tons to get added to the granulation capacity. As we go along depending on the market situation clearly Coromandel will be looking into opportunities for further expansion. But at this point in time , this is what we are considering in our business plan.

Somaiah V : Helpful ma'am. Thank you. I will join back the queue.

Moderator: Thank you very much. The next question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

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Prashant Biyani : Yes. Thanks for the opportunity. Ma'am, what would be the plans for Dhaksha this year, some comments on enhancing its capabilities? What are they working

on in R&D and what could

be the normal business margins as it scales up?

Jayashree Satagopan : Okay. So Prashant, Dhaksha is in a solid start at this point in time. We have set up a new state-of-the-art manufacturing facility at Sholavaram in Chennai which has capacity to manufacture about 400 drones per month for the agriculture drones and about 50 drones on the logistics or defense front. This gives a pretty good capacity for them to scale up.

As I was also mentioning earlier during the call, we have an order book of Rs. 250 Cr and all of these we believe should get executed in the first half of the year. As we complete the execution and delivery of the logistic drones to the government, we expect some repeat orders to come, but one needs to wait and watch.

We are also investing on work that's going on in the R&D side on multiple new type of drones and in the business plan Dhaksha has considered adequate funding for the R&D -related investments that are likely to go up. We think the days are going to be pretty exciting for the Dhaksha drones in terms of scale-up. Margin should be into mid to the high teens to begin with and as they improve on the localization and the operational efficiencies we should see some more improvement in the margins.

Prashant Biyani : Ma'am, one concern about drone industry is that there is a very high competitive intensity. So vis-a-vis its competitors how has Dhaksha placed better if you can highlight that?

Jayashree Satagopan : There is likely to be competition. However, it is early setup where the industry is very nascent. The opportunity for drones is huge whether you take agriculture as a space or you're looking at defense or logistics. So there is scope for many, many more players to come in.

What is important is the company needs to be on top in terms of technology. They must be having a good position to manufacture and do timely delivery , the quality of the drone has to be good. I think from that perspective Coromandel with all its manufacturing experiences in terms of setting together the systems and processes is helping Dhaksha to stabilize and scale up.

Prashant Biyani : Right. Ma'am, on the phos acid and sulphuric acid production how much it was in 4Q and full year?

Jayashree Satagopan : One second. Do you want the production?

Prashant Biyani : Yes. Phos and sulphuric both.

Jayashree Satagopan : So we can put it up in our notes where Anuj will be able to give you these details offline.

Prashant Biyani : Sure. And ma'am, lastly on capex side how much are we investing this year?

Jayashree Satagopan : We have for FY '25 estimated between Rs. 1,200 Cr to Rs. 1,500 Cr overall in terms of capex investment. This is across the multiple businesses that we have.

Prashant Biyani: Right. Thank you ma'am. That's it from my side.

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Moderator: Thank you very much. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : Thanks for the opportunity. First question on the two other new businesses specialty Chemicals as well as the nano fertilizer side. If you could help share some outlook on the capex the revenue time lines and how should one look at these businesses. You did mention on the fluorination chemistries that we plan to expand into but will be helpful to get your comments on maybe new customers and how the discussion with clients is going on over there.

Jayashree Satagopan : Yes. So Ankur, I talked a little bit in terms of how we want to go on the specialty chemicals side. There are two aspects to it . one, leverage the CPC assets . For some of the intermediate molecules , we find customers who are not traditionally in agro chemical space . This will help

us to diversify the customer base, looking to newer opportunities, and secure the customers so that as we scale up, we have

a customer base to whom we can go to. That has already started, and last year, we have clocked close to Rs. 50 Cr in terms of sales to the speciality chemicals - based customers.

The second thing that we are doing is looking into opportunities where we have byproducts, which can become a base for new chemistries like fluorination, here is where the first plant that has come up. It's not a huge investment, but it's an investment in the right direction at Nimrani in one of our SSP plants, where we are using it for making sodium silico fluorides. Similarly, we are looking into opportunities in various other plants and this could become a feeder into spec chem.

In the next 2, 3 years, we expect this business to grow in size. They are coming up with their specific business plans at this point in time. During the year, we haven't factored any specific large investment for spec chem. As I was mentioning, there are 4 or 5 new molecules on spec chem, which is based on fluorination chemistry. As the DoTs gets finalized, they will come up with a business plan, and if required, we will add investment capex during the year.

It looks promising and interesting because we also have the unique advantage of getting this sourced from our existing businesses. Having said that, on the Nano DAP, this is a very interesting product and Sankar being on the call, I'm going to have him respond to the Nano DAP. Sankar?

S. Sankarasubramanian : Yes. The product is quite promising. We launched the Nano DAP in a commercial scale. Last year, we started at the end of the season. And the farmer's response has been quite good. So we hope to expand the volumes next year in the Northern markets.

The facility for manufacturing Nano DAP is coming up in Kakinada. We are waiting for the regulatory approvals and we should be able to start the production sometime in June. We have geared up and there will be an exclusive profit center to manage this business, and we also hope to introduce varieties of Nano DAP as well as Nano urea.

We are in the final stage of getting approached on the government for Nano urea as well. As a product, will be a good alternative to the imported DAP being used especially in the Northern Coromandel International Limited

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markets out of imports. So we hope to see a 20% to 25% replacement happening over the next 3, 4 years and Coromandel is rightfully positioned to take advantage of this opportunity.

Ankur Periwal : That is helpful. Just a follow-up on that. Did I hear it right, you mentioned 20%, 25% utilization next year? This is on 1 Cr bottle capacity?

S. Sankarasubramanian : I talked about the replacement on the imports over a period of 3 to 4 years, we should be able to replace 20% to 25% of imports, which is modular in nature. We can keep adding depending on the needs, it doesn't take much time.

Ankur Periwal : Sure. And just your comment on the margin side for this business. How do you look at that part?

S. Sankarasubramanian : We will be good, but being a new business, requires a lot of concept selling. So we need to invest heavily in terms of educating the farmers to the extent the field engagement activities have been more. Margins are reasonable and it's healthy. That's all I can say at this point of time.

Ankur Periwal : Okay, sure. Ma'am, second bit on the medium-term thoughts on the business overall. If I go back in history, we always had a thought of increasing the non-subsidy EBITDA contribution significantly. The fertilizer business has performed exceedingly well in terms of backward integration and growth. What are your thoughts on that EBITDA mix let's say, 3, 4 years out, if you could highlight that?

Jayashree Satagopan : Yes, Ankur. See, each of the business have their own attractiveness and the growth trajectory. The intent, obviously, is to see how we can propel the growth for the non-subsidy businesses.

S.

And that's why you see that investments are happening in some of the newer chemistries, some of the relatively recently of patented molecules in the Crop Protection segment. We're also looking into getting into CDMO. And then there are adjacencies that set out like the drones and other assets.

So this is a conscious decision to look into other areas for growth. Having said that, each business based on their own ROIs and the opportunities, they will be given their own capital expansion, so on and so forth. So it's not at the cost of one business to another. All the core businesses will have their own opportunities to grow. Where we find it more attractive in terms of newer areas - - adjacencies or step-outs, the company will also be taking bold steps there.

Ankur Periwal : Sure ma'am, that's helpful. Thank you and all the best.

Moderator: Thank you very much. The next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth : Hi ma'am. Thanks for the opportunity and you have answered my question largely on all new initiative. But if you can give a little more color on the retail store strategy as well as the SND where how much is currently the total size? And how do we see the SND going along, which is once we were talking of a big potential? And last one is our acquisition, which we did from E .I.D - Parry earlier, how that business is playing out?
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Jayashree Satagopan : Okay. Thanks – Mr. Bharat, for your questions. As I have mentioned, the retail business has done extremely well during the last year. They continued to grow on their strength for the past two, three years. And despite tough monsoon conditions, across all the stores, we have seen excellent traction, focus and customer engagement activities.

Last year, I would say that we had somewhere close to Rs. 1,700 Cr of revenue from all our retail centers. We have about 750 -odd stores. We're planning to expand by 55 stores in last year, an additional 50 stores in FY '25. That means that the overall number of stores will go about 850 or so. The expansion is going to be not only in AP /TG but also adjacent states, especially like Tamil Nadu.

The retail business not only is focusing on the products, which is our own as well as what we buy and trade from other agri -input companies, it is also focusing on services as a separate focus area. A lot of services in terms of crop advisory is given to the farmers where we do not charge. However, there are services like drone spraying ; we are also looking into insurance for the retail business. All of these will become a bundle which will benefit the farmers overall. So we think retail business is set for a good growth and will continue to be an extremely value -added branding for Coromandel as such with the amount of Gromor branding that we have.

I think you were talking about the specialty nutrient business. Here again, the traction has been good. The first quarter of last year was very tough for the business. However, during the year, they have also registered a good volume growth. We continue to focus on key specific segments, whether it is sulphur or foliar . Nano DAP will also be part of the entire specialty nutrient business while we are internally tracking it as a separate focus area.

On the sulphur front, we are doubling the capacity so that we should be able to provide products for the sulphur segment because the country, as you know, is deficient on sulphur in many parts. So this is something that the business has taken up after a gap of a few years to consciously increase the capacity.

The business that we bought from E.I.D. Parry is bio. Bio has traditionally focused on Azadirachtin . Last two years, we have seen a very high increase in the cost of neem seeds. There have been excellent efforts in terms of cost efficiencies optimizing at t

he plant, the business has done well.

We have been able to take price increases with the customers. And having said that, two years of sustained price increase, we also expect that the customers will look for some reduction or opportunities in the coming year. With a high dependency on neem base, currently the business is looking into various opportunities for diversifying and growing the bioproduct portfolio.

One such activity is primarily in terms of looking at Marigold , which could be used for producing something called as lutein , which can go as a poultry feed. So this is a new area of diversification that bioproducts are looking at. We are also looking into certain biofertilizers like the mycorrhiza . There are a long list of new products, including microbials, which would get introduced during the year.

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We believe that bioproducts per se could be a very attractive segment, not just focusing on neem, neem plus multi other areas. Again, bio is an evolving area, lot of traction, pretty attractive globally. Since we also do a lot of exports, I think in the next two to three years, they should further solidify and become a business of scale for us.

Bharat Sheth : If you can give with this always in three years, what kind of opportunity we are seeing, say, in all these three areas? And SND, what is the current size of the business?

Jayashree Satagopan : SND is about Rs. 600 Cr at this point in time. And as I was telling, retail would add another 100 stores during the year. I think qualitatively, all these businesses are expected to grow, grow at a healthy number, I would think about more than 10%,15% is what one could look at in terms of growth in each of these businesses.

Bharat Sheth : And profitability, if you can give a little just color on broader number?

Jayashree Satagopan : Profitability from the existing bio businesses , we expect them also to improve over a period in

time, because you're getting a healthy mix in terms of various other plant extracts and microbials . Nano DAP is a new concept. Sankar was earlier explaining to you all in terms of the margins, it's healthy, it's a new product, we have to work on a lot of customer advocacy, helping them to understand and then move into a Nano DAP from a traditional DAP.

When I look at it overall, I think it's all in the positive trend. While I may not be able to pinpoint and give you, it is a 0.5%, 1%, 2% improvement in the margins, directionally it's all going up in the right scale.

Bharat Sheth : And can I chip in one more question?

Jayashree Satagopan : Yes.

Bharat Sheth : What I mean, if I'm not mistaken, I heard that we are also launching urea plus SSP product . So if you can give some color on that?

Jayashree Satagopan : Sankar, do you want to touch on this, please?

S. Sankarasubramanian : See, this is a value -added product from the base SSP. S SP contains only P of 16%. We wanted to add Urea to it to have N also, 5% . So if you look at Urea SSP, it will have 1 :2.5 ratio. It's sort of a replica of Diammonium Phosphate. So DAP has got a nutrient -content N &P in the same ratio of 1:2.5 between N &P.

So this has the same ratio, and we thought it makes a lot of sense and a lot of field trials have been carried out and proves that it can be a good alternative to DAP. And Coromandel has taken the initiative and got it included in the FCO and we have set up the facility at Nimrani . And it can be a good alternative for major crops like oilseeds, cotton.

We have just carried out the trials also. It's quite promising. It's the best alternative to imported DAP. Company also gets the N subsidy from the NBS rates for the Urea portion. So Coromandel has been bringing about innovation in SSP. They've added micronutrients to it. So as part of the Coromandel International Limited

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diversified product portfolio of SSP, we are trying to introduce this grade. So next year will be the first full year of operation for us.

Bharat Sheth : Okay, thank you and all the best.

Moderator: Thank you very much. The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna : Sure. Thank you for taking my question. First question just on the Urea SSP. So if we look at the subsidy that we receive for DAP, essentially while you mentioned same ratio that has phosphorous almost 46% , this is significantly lower. So in terms of a sense, it will be a lower price . Is that what we are aiming for?

S. Sankarasubramanian : See, roughly this Urea SSP is one third or so of normal DAP, in terms of the nutrient contents. We also try to see whether we can price, but the benefits are higher here. So the pricing also will be generally based on the farmer acceptance at 1:2.5 of DAP, which is around Rs 1350 -1450/ bag. This goes around 500 rupees because it has got other nutrients other than N PK. SSP by nature contains nutrients like Sulphur, magnesium, calcium .

So the value addition is much more here. So right now we'll try to price it in a way so that it's attractive for the farmers . It will be very attractive for the farmers to try this.

Arjun Khanna : Sure. Very helpful. So just on this question itself, we talked of Nano Urea and we're using Urea SSP. So essentially are we looking at setting up a Urea facility or this would be bought out Urea which we would look to granulate or the production of Nano Urea?

S. Sankarasubramanian : The Nano Urea as well as Urea SSP requires very insignificant volume of Urea. So we are allowed to import Urea for manufacturing in NPKs and SSPs. We'll be importing Urea for this purpose. It doesn't call for setting up a separate Urea plant for this.

Arjun Khanna : Sure. So no major capex on the annual as of now on the Urea side, is that the right understanding?

S. Sankarasubramanian : Absolutely.

Arjun Khanna : Perfect Sir. The second question is, ma'am, on the cash on balance sheet. It seems to have increased further. We have in excess of Rs. 3,000 -odd Cr of cash on balance sheet, investments, etcetera, all combined. How do you see this actually pan out going forward? You did mention capex, but we would have a cash flow generation. So what is our thought process on the cash that continues to grow on balance sheet?

Jayashree Satagopan : One obviously is to use our cash for all our capital expenditure programs. The second one is also to have capital for any further expansion, whether it is on the organic or inorganic. I was mentioning to you we have not factored in any capex as such for spec chem or CDMO because we are still working on the DOTs and the tech packs.

So as and when these get materialized, there will be additional capital expenditure required for these two businesses. We would also be open to look at inorganic opportunities, whether it is in Coromandel International Limited

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the bio space or in the chemical side. If it is attractive and it is synergistic to the business, that will require money and these existing cash should be used for it.

And fourthly, let's not forget the fact that some of our businesses are highly working capital intensive. While the government had given us all the subsidies last year, sometimes there could be situations where subsidy could take a little more time. For instance, end of the year, our receivables are slightly on the higher end compared to the past few years, mainly because of market conditions.

So we want to have kitty which will help us to fund through capex, new business opportunities that we are looking at, organic growth and also support in our working capital.

Arjun Khanna : Fair enough, ma'am. The reason I ask this is in the context of the government circular in terms of

profitability from fertilizers. So the cash on balance sheet works as a negative for us since it's on a PBT basis and the income on cash would actually decrease the margins -- pure margins we can earn from the fertilizer piece. Just wanted your comments on this.

Jayashree Satagopan : Here we are representing to the government because the surplus is of a corporate and meant as a corpus for certain purposes. Each of the businesses have their own cash flow, working capital. We are awaiting some clarifications. Whatever guidelines that the government has, we believe through our representation will be looked into very fairly because it's not for a business. This is for multiple businesses and the corpus has been maintained for a period in time. If you look back three years back, we had some Rs. 3,500 Cr of cash with us, right? So that's the position the company will take.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh : Sir, just to put the discussions on your growth plans, the Specialty Chemicals and investments in chemicals and perspective. So can you give us an idea in terms of when you expect this capex of Rs. 1,200 Cr to Rs. 1,500 Cr to be monetized in terms of revenue and profits? Would it be somewhere in the second half of FY '26? Or can we expect it from the beginning of FY '26? Or will it slip into FY '27?

Jayashree Satagopan : Thanks Ramesh for your question. The capex that we have indicated now is for two major capex. One is our SA and PA plant which is likely to come up at Kakinada. The other one is for the MPPs for crop protection chemicals. SA and PA plant will take two years to get completed and hopefully in FY '26 end or early FY '27 is when those plants will be up and running. So those are planned backward integration projects where you will see the benefits flowing from FY '27. On the MPPs, the business is in the process of setting up the proposals. It could take again 18 to 20 months' time in terms of setting up the facilities and therefore again you should look at a two-year window for looking at the benefits to come in. The rest of the capex for the year is mainly on account of the maintenance capex while there is a Nano DAP facility that will come up and get commissioned where most of the work is completed. We are just waiting for the government approvals to come in. Similarly, Sulphur is a small capacity addition. The rest are not very major. Two big items that have been considered are in these fronts. Hope that clarifies.

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S. Ramesh : Okay. So if you look at the Specialty Chemicals and the S NP revenue, on a background level calculation, your non-subsidized revenues of about Rs. 4,500 Cr, EBITDA of Rs. 600 Cr and if you net out the CPC you are in a non-subsidized business, comes to about Rs. 2,000 Cr, excluding the S NP piece. So if you look at this, excluding the CPC, whatever the non-subsidized business, what is the kind of growth you can expect in that?

And right now, I think your EBITDA margin is about 16% to work out. So is this margin going to be in this range, 16%? Or will you see the margins improve? And what are the top line growth you can expect in the non-subsidized business excluding Crop Protection?

Jayashree Satagopan : As I was just mentioning some time back, Nano is one area which is non-subsidized. It's a new area. We expect a significant growth here. A lot of farmer advocacy is happening and will continue to happen. We don't have a big base for us to start, but the growth here is going to be pretty attractive. On the Speciality Nutrient segment where we have around Rs. 600 Cr of turnover - we are expecting a good amount of growth to come in, mainly on the sulfur side for which a new plant is also getting set up at Vizag.

Nano's growth can be exponential. SND growth anywhere

between 10% to 20%, CPC and

Bio are also expected to grow. In all these businesses, we also expect the margin accretion to happen over a period of time.

S. Ramesh : So just to put all this in perspective if you look at your nutrient business you're talking about 3 lakh to 3.5 lakh tons of expansion. So that will possibly the exit rate will go up by about 3 lakh, 3.5 lakh tons say by FY '25 end. And similarly you are getting some traction in terms of your specialty chemicals where you reported about Rs. 50 Cr that may see some growth. So all the other initiatives may take some time.

So can you give us some indication in terms of how your Senegal mining volume growth can support some operating leverage benefits for nutrient business in terms of both volumes as well as margins? And secondly, on the drones business so you're going to do about Rs. 250 Cr in the first half. If you can give us some indication in terms of the kind of potential revenue you can do in '26, '27 and the kind of EBITDA margins you can earn in that, that will be useful?

Jayashree Satagopan : Okay. So on the nutrients, the first one you wanted to ask how our mining backward integration would help us. As you know, we have invested in BMCC a couple of years back. And last year the overall rock production in the mine had gone up considerably compared to previous year. And in the coming years we are looking at somewhere close to 2.5 lakh to 3 lakh tons of rock to be mined and sent to Vizag for consumption. Senegal is a very important strategic initiative for us. As we are setting up our Kakinada plant for sulphuric acid, we will require more of rock and having our own backward integration in terms of rock will only help us both in terms of supply as well as negotiation with the other rock suppliers.

We expect the rock mining from Senegal to go up to 5 lakh tons. And Shankar and his team has been working closely with the Senegal operations there. Secondly, when you talk about specialty chemicals as I was mentioning it's a close start. We have about Rs. 50 Cr last year and with

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various initiatives that we are looking at and also acquiring new customers we expect this to increase during the year.

And more importantly as the new fluorination-based chemistries for the molecules are firmed up and we start putting up exclusive plant, this will become a new stream of business of some size and scale for Coromandel. So that's the plan. And you were talking about Dhaksha. Dhaksha has the current order book which we expect to execute in the first half. The logistic drones orders as they get completed we can expect repeat orders coming from the government. The team is working on it.

Apart from it, a lot of efforts are going on the R&D side for various types of drones, not just the ones that we are currently doing. Since it is in the R&D stage we may not be able to come and discuss this openly, but a good amount of efforts are going into it. We have formed a steering committee to look into what are the opportunities, doing a stage-gate process to ensure that everything is on track and we're able to deliver on the R&D commitments timely. So this is a very new and interesting area, lot of processes are being put in place so that there is a good amount of management time that goes into ensuring that the investment in Dhaksha is actually helping in terms of scaling the business. Margin should be attractive as we go along.

S Ramesh: Thank you very much. I will join the queue. I wish you all the best.

Jayashree Satagopan : Thank you.

Moderator: Thank you very much. The next question is from the line of Rohan Gupta from Nuvama Wealth Management. Please go ahead.

Rohan Gupta : Yes. Hi ma'am, good afternoon. Ma'am on the margin, you are talking about still Rs. 4,500 to Rs. 5,000 per ton for the current year

and we are quite confident about it. However, last two quarters have been sub -Rs. 2,000 kind of margins, that's what we understand.

So given the current Kharif season rates, subsidy rates are already out by the government and we do not see that any further revision in near term if that doesn't happen then do you think that this margin which you're talking about maybe difficult to achieve or you expect that in second half with the increased volume and also from the value added we can achieve these numbers?

Jayashree Satagopan : Good afternoon Rohan. As I was mentioning, there has been a revision in the NBS rate between various product category there. One could look at Rs. 1,500 to Rs. 2,000 increase in the overall subsidy. The current quarter and the past quarter has been pretty tight and as you all know this is mainly driven by two factors.

One is a lower NBS rates which is not commensurate to raw material prices. Secondly, the RM value that started cooling had shot up in between. However, we are seeing a trend for RM to be soft to stable as we go along into FY '25 plus the sulphuric acid plant which has got operational will also bring in more operational efficiencies and also savings in terms of power cost.

So all of these put together, that's why I gave a broad range which one should look at for EBITDA per ton as we get into FY '25. And as you know, there are lots of percentage. Things

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could become favourable. When the raw material prices went up, the value capture was quite high in Coromandel. There is another one in terms of subsidy rate that the government is looking at when it comes to the second half. Third is the season per se. If it is good, farmers will need fertilizer, and we are also hoping with the elections getting over, there will be more flexibility in terms of pricing to the market. So all of these one should bear in mind as we look into the sales and margins for the coming year.

Rohan Gupta : Ma'am, as far as the pricing in the market, even post election, I think that we have been closely monitoring that from last 2, 2.5 years since the prices have gone up. The government has been very sticky as far as the DAP pricing is concerned in the market. I mean, what gives us the confidence that there may be possibility and opportunity to tinker with the market prices as far as DAP or maybe even complex or constant? I mean the government has not only just looking and then monitoring it?

Jayashree Satagopan : The government has been very supportive, giving high subsidies. And let's also think about it, how much subsidy that the government would want to continue to provide to the companies? They're also talking about direct transfers to farmers, which has been on the agenda for quite some time. We do not know how all of these are going to pan out. And therefore, somewhere there's a belief that there would be some amount of flexibility, which is given to the company rather than only relying on the subsidy element that the government will increase or decrease. So that's the broad thinking. Having said that, I would have Sankar to also share his perspective as he works closely with the industry and the ministry.

S. Sankarasubramanian : See we will be responsible in fixing the right MRP, which we need to have for the level of investment and the cost what we incur. So to that extent, I think, government always supports the decision keeping the farmers' interest in mind. Well, margin accretion will happen more in terms of improved operational efficiencies, as Jayashree said. Sulphuric acid plant total benefit will flow in and we've also been working on improving our efficiencies and the backward value chain in Senegal also will add to the improved profitability. And also, we have to understand that, as a company, we focus more on the unique grades. In fact, last year, our unique grade

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volume s have grown up significantly and we'll continue to focus on those unique grades.

So our aim in terms of improving the EBITDA margins are not the increasing prices, but by improving our operational efficiencies, bringing the value -added products while the farmer reaps the benefit. In fact, we are looking at more of fortification as our plan for our generic grades. We'll add zinc & boron to it. And we have been fairly successful in SSP. We may repeat the story in fertilizer as well, and we have plans to do it. So our aim will be to focus on costs; improve operational efficiencies; product mix; our unique grades, which brings in value purpose to inform us so that it doesn't feel the impact of the price change .

And I think going forward also, we should be able to sustain the momentum because the international prices also are coming along, and our ability to smart purchase at the right time also helps us. That's what's differentiating Coromandel from others. Our procurement efficiency is one of the best and that also helps us to sustain with momentum even in the challenging environment.

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Rohan Gupta : Helpful, sir. And Sankar, sir, you also mentioned that over next maybe 2 to 4 years, you see that the Nano DAP can replace probably 20% to 25% of imported DAP in the current -- I mean, that's what the government is looking like. Sir, any idea or indication you can share that how -- what kind of market share we are looking in a Nano DAP?

So I think that the competition is going to definitely pick up in Nano categories. And what kind of sustainable margins? We still have no clarity that what kind of margins are there in Nano product categories across. So if you can just share that what kind of market share and what kind of margin one can expect from Nano DAP ?

S. Sankarasubramanian : See, this is a new product, new segment and we have got our own innovative product. It's unique in nature. We don't compare with others. And we have got very good response in the marketplace . So I would say what capacity we can do, rather than putting market share at this point of time, it is -- more players are welcome here. But our ability to connect with the farming community, ability to execute with the farmer and our brand loyalty will definitely help us to sustain the momentum that we have received in the last 6 weeks of introduction. It's very promising now. All I can say is we will try and keep on improving our capacity utilization, we'll try to add capacities. It will be very difficult to put any market share at this point of time because this market is just opening up now.

And also, this product is not only constrained to domestic market. We have huge opportunities to exports as well so we'll also be trying to see how best we can leverage on our global presence as well. So the potential is there as a replacement, but also in certain crops the farmer's behaviour is also as an add-on. Some of the crops where they don't use DAP, there they are trying to use this as they make it convenient for pulses or for green grams. So there's a lot of different experiences. It's for the farmers to decide and accept this product. So potentially that's what I can say. And the products also will evolve. There will be multiple grades which can come in. We have to wait and see. It's too early to make observations on the market share.

Rohan Gupta : Sir, any indication on margins also? Gross margin?

S. Sankarasubramanian : Margins are basically good, but we need to make a lot of investments on farmer connect programs and creating awareness and carrying out a lot of test and field trials. But definitely, I can say it is very healthy at this point of time. It's a non-subsidy business, and the margin are even better than the Specialty Nutrients margins what we make.

Rohan Gupta : Okay, so that's very helpful. T

Thank you so much.

S. Sankarasubramanian : Thank you .

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Ms. Jayashree for closing comments. Thank you, and over to you, ma'am.

Jayashree Satagopan : Yes. Thank you all for joining us today. I know that there were a few more in the queue. We'll be happy to take your questions. Feel free to reach out to Anuj or me for any clarifications. And we will also be soon setting up a meeting in Mumbai where we will come and meet up with Coromandel International Limited

April 29, 2024

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some of the investors and analysts. We'll be glad to interact further. Thank you once again for your interest in Coromandel and have a great day.

Moderator: On behalf of PhillipCapital India Private Limited , that concludes the conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

S. Sankarasubramanian : Thank you.

Call: Aug 2024

Ref. No: 2024-25/076 August 14, 2024
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

D

ear Sir / Madam,

Subject : Transcript of conference call held on August 9, 2024

This is further to our letter dated August 9, 2024 regarding audio recording of conference call with analysts and investors.

I

In this regard, we wish to inform that the transcript of the Conference Call held on August 9, 2024 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> as required pursuant to Regulation 46(2)(a) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

W

e kindly request you to take the above submission on record.

T

hanking you ,

Y

ours truly ,

For Coromandel International Limited

B.Shanmugasundaram

C

ompany Secretary & Compliance Officer

E

ncl. a/a:

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“Coromandel International Limited Q1 FY25 Earnings
Conference Call”

August 09, 2024

MANAGEMENT : MR. S. SANKARASUBRAMANIAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER ,
COROMANDEL INTERNATIONAL
MS. JAYASHREE SATAGOPAN -- PRESIDENT
CORPORATE AND CHIEF FINANCIAL OFFICER ,
COROMANDEL INTERNATIONAL
DR. RAGHURAM DEVARAKONDA -- EXECUTIVE
DIRECTOR , CPC (BIO PRODUCTS AND RETAIL),
COROMANDEL INTERNATIONAL
MODERATOR : MR. PRASHANT BIYANI – ELARA SECURITIES PRIVATE
LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to the Coromandel International Limited Q1 FY '25 Earnings Conference Call hosted by Elara Securities Private Limited.

As a reminder, all the participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prashant Biyani from Elara Securities Private Limited.

Thank you, and over to you, sir.

Prashant Biyani : Good afternoon, everyone. Thank you for joining our Q1 FY '25 Earnings Con Call of Coromandel International.

From the Management side, we have Mr. S. Sankarasubramanian – MD and CEO; Ms. Jayashree Satagopan – President Corporate and CFO; and Dr. Raghuram Devarakonda – Executive Director (CPC, Bio and Retail business).

First of all, many congratulations to Mr. Sankarasubramanian on being elevated to the role of MD and CEO for the Company .

I would request the management to give their "Opening Remarks " on the Results , post which we will start with Q&A session. Thank you, and over to the management team.

Jayashree Satagopan : Good afternoon, everyone, and thank you, Prashant, for organizing this call today. Let me give a brief on the business environment experienced during the quarter, following which we can go through the Q&A session.

Indian Agriculture :

After a slow start to the season, the Southwest monsoons have seen a swift recovery from July onwards. As of 4th August, India has received 106% of the long period average rainfall . With the exception of Odisha, Coromandel 's key operating markets have received above normal rains. Reservoir status, especially in Southern regions, have increased considerably, up by 52% compared to last year. Crop sowing have also picked up. As on August 2, it is up by 3% to 90 million hectares, which is approximately 83% of the country 's normal sowing area. There has been a good support from the government on the farm income side, through higher MSP announced for Kharif 2024 and direct income transfers schemes like PM -KISAN, Rythu Bandhu, et cetera.

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Industry Performance:

Phosphatic consumption for the industry increased by 11% during the quarter. This was led by improved NPK consumption, which went up by 42%, indicating a positive shift towards balanced nutrition. Detailed volume breakup for the industry and the Company is available in the investor presentation placed on the Company 's website. With active monsoon, there has been a good fertilizer offtake and there is likelihood of channel inventory getting normalized by end of Kharif. Given these higher reservoir levels, we expect a good Rabi season as well. DAP prices, after reaching the lows, have started to move up due to the supply side curtailment mainly from China. On the crop protection side, there has been strong domestic market demand. Global ag chem market situation is also improving. We have seen that the inventory is getting normalized.

On the Company 's Performance:

The Nutrient segment, the NPK and DAP primary sales volumes for Coromandel was close to last year 's level at 8.4 lakhs tons in quarter 1. Between the NPK and DAP sales, the Company has increased the NPK sales share to 87%. Unique product sales stand at 31%. The share of the manufacturing sales also improved in the overall mix. Company has increased the POS sales for the quarter by 32% to 4.8 lakh tons.

The Company 's PoS market share stands at 11.7% compared to 9.7% a year ago. Plants operated close to 96% capacity, focusing on a prudent product mix. Company 's Ennore plant is a

waiting

final clearance from the authorities to start its intermediate production. It has carried out the annual turnaround and has received clearances from the technical suppliers like PKIS and MECS. The new sulphuric acid plant commissioned at Vizag in 2023 is operating close to full capacity and has improved backward -integration capabilities in addition to generating captive power from the waste heat recovery.

Further the Company has received all the statutory clearances for its proposed phosphoric acid and sulphuric acid plant in Kakinada and we have commenced activities during the quarter and major orders have been released. To improve the operational efficiency and throughput at its

phosphatic mine, at BMCC Senegal, the Company is setting up a fixed processing plant, which is expected to be commissioned in the second quarter of the year. Senegal Rock is currently being blended and used in its Vizag operations. During the quarter, the business introduced Urea Super Phosphate and Paramfos Plus, which offers balanced nutrition through availability of multiple nutrients.

On the Nano front :

During the quarter, the Nano facility in Kakinada has been commissioned. The business is giving required impetus to promote the product by strengthening the marketing structure and have been continuously engaging with the farmers to pushing the product as an alternative to conventional DAP.

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On the Crop Protection side of the business :

The volumes have improved by 5%, driven by growth in both technicals and formulations.

During the quarter, the export volumes have seen an increase. However, the prices continue to be soft. Company's focused Specialties and new products have performed well. The business continues to adopt Crop -solutions approach to capture the market demand.

The business introduced 10 new products during the 1st Quarter, including 4 patented products, and it's in licensed insecticide formulation Prachand. We are seeing encouraging response in the market and the business plans to introduce such novel formulations in the coming periods by partnering with the global innovators. The share of the new product sales has improved over the quarters. And in the 1st Quarter of FY '25, it was at 22%. This has also resulted in margin accretion for the business. The business has also finalized plans for the setting up multiproduct plants for herbicides and fungicides manufacturing.

On the Retail side :

The business continues to perform well despite late monsoon arrival in its catchment regions. It is strengthening the digital footprint at farm level outreach. During the quarter, business has opened 22 new stores.

On the Bioproducts side :

The business focused on expanding its product portfolio to diversify its sales. During the quarter, it has ventured into microbial space in addition to foraying into Home & Garden segment. Three new products including Mycorrhiza, NPK Consortia have been introduced.

On the technology front :

Coromandel increased the shareholding in Dhaksha. This is a drone manufacturing company, where Coromandel had invested earlier. The overall stake has moved up to 58% through fresh issue of shares with an investment of Rs. 150 crores. The proceeds from this fundraise will help Dhaksha in strengthening its research and development effort, cater to servicing large orders and also meet up its working capital requirements. Further, Coromandel invested Rs. 24 crores in Ecozen, to increase its stake to 5.54%. With increased consumer acceptance and demand for sustainable solutions, Ecozen has been delivering strong results.

With that, let me take you through the Company's Financial Performance:

Turnover :

The Company recorded a consolidated total income of Rs. 4,783 crores during the quarter vis-a-vis Rs. 5,738 crores in Q1 of last year. The decrease in revenue has been

mainly on account of

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lower subsidy rates. Subsidy, non-subsidy share of business stands at 81% and 19% during the quarter. In the previous year, it was 86% and 14% in Q1.

Profitability :

The consolidated EBITDA for the quarter was Rs. 506 crores against Rs. 709 crores in the corresponding period last year. The decrease in EBITDA is mainly due to the lower NBS rates and increased raw material prices in fertilizer that we witnessed during the quarter. The Company has improved its non-subsidy EBITDA mix during the quarter, which stands at 25% versus 16% in the previous year.

Subsidy :

During the quarter, Company received Rs. 987 crores towards subsidy claims, comparative figures last year was Rs. 2,069 crores. Government has been prompt in clearing the subsidy dues. As of today, we have received subsidy claims till the first week of July. Subsidy outstanding as of June 30, 2024, was Rs. 1,970 crores versus last year, it was Rs. 2,816 crores.

On the FOREX front :

We have seen the rupee trading in a relatively narrow range and the Company continued to hedge

its exposures on a conservative basis.

Thank you all for your continued interest in Coromandel and joining our call today. We look forward to the interaction.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Nirav Jimudia from Anvil Research. Please go ahead.

Nirav Jimudia : I have 2 questions. So, one on the Crop Protection side. So, as per the annual report, what we have written is that on the cost side, we have transitioned from, let's say, DMT to DMPAT. I am guessing this is for the acephate production, which we are undergoing. And you have also mentioned that we have undertaken cost reduction initiatives, predominantly the war on waste, to reduce the specific consumption of RM and utilities. So, if you can just help us understand how both of this could help us in terms of cost savings on an annual basis, some understanding on the same, ma'am.

Jayashree Satagopan : Yes. Thanks, Nirav, for the question. If you look into both our businesses, Fertilizers and Crop Protection, fertilizers have been highly backward integrated. Whereas in Crop protection, we are taking steps now to the extent possible, and it is feasible to do backward integration in the Crop Protection as well. As we know, when we do the backward integration, it helps us on 2 fronts.

One is to help secure the raw materials at the right price. The second one, it could also be cost savings, buy versus make. So, in the DMPAT, very recently we have got the business case

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approved. And it's a smaller capacity plant, which will come up in the next 6 to 8 months' time.

This will help us to be a little more competitive in the Acephate space. The war on waste initiative, current year will be the third year, where the business has been successfully able to identify multiple opportunities across various functions, manufacturing, processing or process engineering, looking into every aspect to optimize and reduce the waste.

This has actually helped the business during the last year when there were extreme pressures in terms of prices and the business was able to use these savings from war on waste initiative to competitively bid and expand our customer base. So, this is continuous focus area, and there's a lot of efforts that have gone successfully to reduce the cost and the business will continue to focus on this.

Nirav Jimudia : So, ma'am, based on the plant work we are going to commission over 6 to 8 months, how much of our requirement from the outside world would come down with the commissioning of this plant?

Jayashree Satagopan : So, for DMPAT, we are expecting about 20%, 25% of our requirements would be in-house. And depending on how

this goes at a later point, we can look at additional capacity.

Nirav Jimudia : Ma'am, secondly in the annual report, like, last year, we have launched some close to 7 products.

If I see Q1 cumulatively, we have launched close to 10 products on the Crop Protection side. If you can just help us understand because in the annual report, we have written that our capacity across the plants is close to 90,000 tons for technicals. So, with these new products coming in, what could be the market size of such products in India? Does it qualify for the export opportunities also? And along with it, if you can also share the mix between the technical and the formulation sales in FY '24 and Q1 of FY '25? And lastly, how much we are backwardly integrated for our formulation sales through our technical plants?

Jayashree Satagopan : All right. So, your first one was relating to the number of products that we have introduced - last year 7; this year 10. If you look at the history of Coromandel, we have been a bit slow in terms of introduction of new products. When we look into the entire product range, go crop by crop, this we are talking mainly on the formulation front. There were obvious gaps if we were to take any particular crop, like Rice or Cotton or specific fruits and vegetables. So, the team had identified all the crops, so that when a farmer comes to Coromandel, we are able to give them all the solutions and not say we have only a few select products to cater to their requirements. So, there is a change in the approach.

The second one was also to look into patented products where we work with the global innovators and get those products in the portfolio, which will possibly have lesser resistance since they are new to the pests. So, this was a revised approach. In last couple of years, we have seen a large number of formulations that have got introduced, and this has been received pretty well. As I was just mentioning a few minutes back, we have seen that almost 22% of the sales in the domestic formulation today is coming from new products. When I say new product, these

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are products that have been introduced in the last 3 years. So, that's one. The second one we are talking about is in terms of the share of formulation in the overall business, which is around

30%. Technical continues to be a large portion of the Crop Protection sales. Formulation still has a long runway. We're in the right direction. Currently, it's about 30%.

And when we look into the formulation, I would say by far several of these formulations, wherever we have technical, we use the technicals to formulate. But that is not a constraint. In some cases, where we have to buy technical, either from new players who are manufacturing it domestically or if we have to import we do that and then those formulations are sold in the market. Raghu, you may want to add anything further.

Raghuram Devarakonda : Yes, sure. So, as Jayashree mentioned, I think what we have gone through the press is about the formulation of new products. We also have plans to launch some new technicals for which the internal processes have been completed. So, you should hear about it shortly once we have the execution underway. So, we have a few technicals also, which will be launched. I mean, these are new products for us. Obviously, none of these are new to the industry as far as technicals are concerned. But there are some of those, I mean, at least 4 of the 10 that we launched are patented. So, these are absolutely new in the industry, addressing some of the farmers requirements.

So, having said that, in terms of backward integration and leveraging our capabilities in the technical side of things, we are waiting for these new technicals to come on stream in the next 6 to 9 months, we hope to complete the projects that will further strengthen our competitiveness in the market while we continue to leverage our existing molecules that we manufacture. And we are extending the longevity of existing molecules by developing new products, which are 2-way combinations, 3-way combinations other than just keeping them as solo.

As you may be aware, the solo molecules have a tendency to develop resistance, while combination formulations extend the life of these molecules, because of their multiple modes of attack on the pest. Because pest can develop resistance that easily, because there are multiple things that are acting on the pest, maybe in the digestive system or the nervous system and so on, while the solo will be affecting this one of those mechanisms. So, I hope between the two of us, we have addressed the question.

Nirav Jimudia : Absolutely, sir. Just a small clarification. This 90,000-ton capacity is purely the technical side of the business, right?

Raghuram Devarakonda : That's right.

Moderator : The next question will be from the line of from S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh : So, if you look at the nutrient business, what is the understanding you have in terms of potential increase in the NBS rates in the second half or when the industry have to go for an increase in
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retail prices, given the recent increase in the input cost and the subsidies being frozen at April.

What is the current thought process there?

Jayashree Satagopan : Sankar?

S. Sankarasubramanian : Good afternoon. Currently, the subsidy, which has been announced for Kharif, will operate up to September. And if you notice, there has been a compression in margin in the Kharif, basically because of increase in the commodity prices, and the subsidy notified in February-March, factored the raw material prices which prevailed in the previous year. So, there's always a little bit of a lag between the subsidy rate and the actual raw material price rate. So, we need to wait and watch that, based on the current raw material price trend, which has been rising now, there is a possibility that subsidy will factor in the increase in the input cost. So, it's a function of commodity prices, and hopefully that will be taken care of in Rabi season. So, hopefully, we should see that major product price increase gets absorbed in the NBS rates as and when it gets announced for Rabi.

S. Ramesh : So, if you look at your Crop Protection business, when you say that the domestic market is looking up and the international business also stabilizing, do you see the decline in prices getting arrested? What was the decline in prices in the overall equation between volume and prices for your Crop Protection revenue performance?

Jayashree Satagopan : So, Ramesh, this needs to be looked into 2 aspects. On the formulation business, as I was mentioning earlier, this is mainly for the demand in India. We are seeing that the prices have stabilized. The new product introductions have helped the Company, so the margins have seen an accretion. Whereas in the technical front especially in our export, we have seen that while there has been a volume increase, there is still price pressure that continues. We expect this to continue for another quarter or 2, because China continues to be dumping and the prices of the AIs are still much lower.

S. Ramesh : Is it possible to quantify what is the reduction in the realization in the export market?

Jayashree Satagopan : I can come back to you, Ramesh.

S. Ramesh : And just one last thought. In terms of your plan for increasing the profitability of BMCC, what is the timeline you have to see that JV turning EBITDA positive and eventually cash positive

based on the investments you 're making?

Jayashree Satagopan : Which one you 're asking, sorry?

S. Ramesh : I am asking about BMCC, the Senegal JV. Right now, in the share of JV, there is a loss. So, in

terms of your initiatives to invest in capacity and increase the productivity there, what is the timeline and what is the investment required? And how long do you think it will take before you are able to generate positive EBITDA and then eventually positive profit after tax?

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S. Sankarasubramanian : See, as far as Senegal operation is concerned, last year was the first year, and we could stabilize the production and we started using the Senegal rock stabilizing the Vizag operations. So, to that extent, there has been a positive move in the last year. And we have also taken a decision to move away from the setup what we had last year to a fixed processing plant and that plant commissioning is underway. Hopefully, we should be able to complete the trial run by end of September. And this is an off -season period for mining operations and probably in the second half, we should be able to stabilize the production, and we will get the steady material coming into the Vizag operation s. So, second half, we can see a positive traction on the BMCC operations. And overall for the year, we should be able to reach what we indicated for this current financial year.

Jayashree Satagopan : Ramesh, on your question relating to the volumes and price. The volume uptick in Q1 on export has been close to about 12%, and the price pressure has been more or less in the same range.

Moderator : The next question will be from the line of Vipulkumar Shah from Sumangal Investment. Please go ahead.

Vipulkumar Shah : So, my question is what is our annual Phos -Acid requirements for manufacturing the 3.5 million ton of NPK fertilizers. Our capacity right now is 0.5 million ton and same for sulfuric acid also.

S. Sankarasubramanian : See, as for the Phos Acid , the requirement is a function of the product mix ., if we use a high Phos Acid grade like DAP, then the requirement goes up. But looking at the mix, what we generally follow, we optimize the product mix depending on the commodity prices. It can be anywhere in the range of 5.5 lakh tons to 6 lakh tons. And this is over and above the captive production, what we have at Vizag. And partially, some of its requirements has been coming from Vizag to Kakinada, predominantly we import acid only for the Kakinada operations. So, we can say our net -phos acid requirement will be in the range of 4 lakh tons to 4.5 lakh tons, sometimes it goes down to 3 lakh tons, sometimes it goes up to 5.5 lakh tons.

In the case of sulfuric acid, as you all aware, that we have commissioned the plant last year and it is going good . Imported sulfuric acid which used to be in the range of 1 million tons can potentially come down by almost 5 lakhs tons, on annual basis . In the 1st Quarter , we have ramped up the production of sulfuric acid, and we have done more than 100% of rated capacity. So, full year basis, still, we will continue to import sulfuric acid close to 6 lakh tons to 8 lakh tons. Again, it depends on the product mix. Some grades of NPK require more sulfuric acid. So, we can say, our import requirement of sulfuric acid has come down by 30% to 40%.

Vipulkumar Shah : So, once this new capacity of Phos -Acid comes online, still we will be importing Phos -Acid ?

S. Sankarasubramanian : Yes, it will be less. It will be in the range of 2 lakh tons to 3 lakh tons . We will continue to import, and we have dedicated long-term contracts. So, there are no challenges.

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Moderator : The next question will be from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani : Ma'am, subsidy for Q2 will also be lower on a Y -o-Y basis. So, what efforts are we taking to reduce the pressure on profitability in Q2?

S. Sankarasubramanian : See, as I said, it 's a function of our raw material price and the product mix and also the

commodity price, how we are procuring. So, always we have ensured efficient procurement compared to the competition in the industry. And also, we have improved our captive production, both on sulfuric acid and phos acid front . And that is really helping us in the way the commodity prices are behaving at this point of time, now that all the raw materials are going up and we have good, long -term contract. So, we hope to see improvement in margins, coupled with our efficiency improvement, blending of our own rock, which is coming from Senegal. So, all this will help us to have an improved margin in the Q2. So, going forward, we have to see in terms of the subsidy rates for Rabi, how the commodity prices behave. But definitely, it will be much better than what we witnessed in Q1.

Jayashree Satagopan : Just to add to Sankar, the whole industry came out of a bad Rabi season. The soil moisture

conditions were not good, and there was also a high channel stock. So, in Q1 across the industry there was some level of discounting. With the rainfalls coming and reservoir levels becoming much better, I think there is normalization that's happening there. And Prashant, that also needs to be factored in when you look at the margin for the second quarter.

Prashant Biyani : Ma'am, how much was the revenue from Dhaksha in Q1? And if you can provide some updates about the new product development and demand and inquiries from various industries?

Jayashree Satagopan : Yes. So, Dhaksha, one needs to look at in 2, 3 different ways. They had Rs. 280 -odd crores of defense order book. And there were some agriculture -related orders that they were executing during the quarter. What has happened for Dhaksha is, Agri drone s that have got produced and distributed, whereas on the defense front, 106 drones have been manufactured. We are waiting for the PDIs to happen, post which the shipments of these drones to logistics requirements will be taken up.

In the meantime, there are efforts which are ongoing. As you know, Coromandel had injected about Rs. 150 crores of equity into Dhaksha. This is mainly for multiple R&D projects they are working on. And this is a technology play where we expect a lot more R&D work to happen, to be on the forefront and also ensure there are new applications that are getting developed. So, that's what is happening on with Dhaksha. To your specific point in terms of the turnover, the turnover for the quarter was Rs. 17 crores.

Prashant Biyani : And ma'am, what would be the outlook on raw material for fertilizers? And how much was Nano fertilizer volume in Q1?

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Jayashree Satagopan : Sankar, you want to take this one?

S. Sankarasubramanian : Yes. Raw material prices behave in different ways. At this point of time, there has been some hardening in raw material of prices of ammonia and urea, but we have to take it quarter -by-quarter. And we could contract Phos Acid price, at a competitive rate for Q2, which is fairly much better positioned for the Company like us who are focusing on domestic manufacturing. And also, there is a visibility on potash price, which as compared to last year, has come down to \$283 from \$319. So, for the key ingredients of phosphoric acid and potash, the prices are relatively stable and much better than the rates which have prevailed in earlier quarters. And for the other raw materials, we have to take those in quarters. I would say that there's a reasonable visibility in terms of the input cost as we move to the Q2. In terms of the Nano, it is in early stages. As you know, the Nano application happens after 20, 40 days of crop sowing. But in spite of that, we have positioned the material in the channel. So, right now, Coromandel have crossed 10 lakhs litres of Nano, which is a very significant volume, and we do it in a very systematic way in term

s of convincing the farmers and doing education across the country. And hopefully, we will see improved traction on Nano volumes as we move into Q2 when the consumption starts sometime in mid -August. But the initial response has been pretty good.

Moderator : The next question is from the line of Darshita from Antique Stock Broking. Please go ahead.

Darshita Shah : Firstly, congratulations to Sankar sir for the elevation. My first question was with respect to the Rs. 3,500 special DAP subsidy that the government has recently announced. Given that nothing has been announced on the NPK side, are we looking at taking some price hikes in the NPK products?

S. Sankarasubramanian : See, our pricing call is a function of input costs and the market response . As Jayashree informed, we need not go in for an MRP increase per se, but we may require moderating the trade discount which was passed during the off -season period. So, that would be sufficient at this point of time. And with the revised price contracts happened for phosphoric acid and potash, at this point of time, we don't look at correcting the MRPs for the NPK. The main tradable product, that is DAP, we predominantly import and we don't manufacture. We still continue to operate at the current MRP, and we are also looking forward to support from government towards additional compensation for the increase in cost what we're incurring. And hopefully, if it comes through, that will also help us to bring down the negative pricing we have on the DAP .

Darshita Shah : I don't know if you gave that number or not, but I missed that probably. What is the PA price contract we are looking at?

S. Sankarasubramanian : We have finalized the PA price at \$950 for Q2. This price will prevail up to September. There is a marginal increase of \$2 over the previous quarter price .

Moderator : The next question will be from the line of Ranjit from IIFL Securities. Please go ahead.

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Ranjit Cirumalla : The first one is on just a bit of a confirmation of the guidance for the fertilizer segment EBITDA per ton still stays intact or are we going to relook at that?

Jayashree Satagopan : That is intact. We spoke about Rs. 4,500 to Rs. 5,000 for manufactured products. I think that's pretty much intact.

Ranjit Cirumalla : Yes. And the second one is on the growth projects. So, in addition to what we have announced, if you can also guide us about how to look at the Company probably 2 to the 3 years' down the line. Fertilizer segments and the other adjacencies that we have been doing. So, you have spoken about drones. But in addition to drones, we also have been speaking about a lot in the Spec Chem of the chemical side, even in some part of the bulk chemical side. If you can just highlight about these two or three avenues and how much should we be able to grow in these segments?

Jayashree Satagopan : So, first of all, before we get on to the adjacencies, I would just want to say that we are focused on core strength. On the Nano, this will be the first year and we are expecting a good uptick to happen. Let's see how the consumption picks up in August, September. While the results during the trials have been encouraging, we need to continue to work with the farmers. So, that's one focus area. The second one is to see how we can improve our share in sales for formulation, which the team has done a very good job in the 1st Quarter, and we expect it to pick up during the rest of the year. So, this is in terms of the core.

When we look into adjacencies, as it was mentioned in last call, we had set up a small facility at Nimrani, which is mainly for sodium silico fluorides. And we have started commercial production and sale of those. Similarly, lot of opportunities have been identified internally, which could be using the existing assets. As we have seen that the prices of the AI

s have come

down during the last 1.5 years is not only for agrochemicals, we are seeing a similar trend in overall chemical space. Therefore, while we have identified select molecules both in Crop Protection and in Specialty Chemicals, using newer chemistries, we are just seeing how to get the business case more attractive. So, that's what is happening on the adjacency space, especially on the Specialty Chemicals. The smaller efforts, testing the waters, getting the products out, establishing the customer base is going on well. And CDMO with 3 innovators, there has been good dialogue that is happening, that really is progressing well. It's 2, 3 years journey. So, we can only say at this point in time, it's progressing in the right direction.

S. Sankarasubramanian : Just to add to that, see, the core business on fertilizers, we have been working on debottlenecking our plants and that project is underway. If you notice, we have been operating at 95% capacity. And currently, we are embarking on P A-SA plant, which is progressing well. So, with a greater visibility on input raw materials, both phosphoric acid and sulfuric acid, and also likely stabilization of rock from Senegal, now it gives us much more visibility to expand capacities in our existing facilities.

So, as a Company, we have been always prudent in capital investment, and we are looking for brownfield expansion. So, we are happy to share that we have got approval during this quarter

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to expand our capacity at Kakinada by another million ton. So, as and when the right opportunity comes, we will be looking to expand the capacities as well for granulation so that it will be in line with our intermediate capacity expansion and also will help to grow the top line. So, besides looking adjacencies, we will also be looking to grow the core business what we are currently doing.

Jayashree Satagopan : Raghu, would you like to comment a little more on the CDMO side, please?

Raghuram Devarakonda : I think that's the most comprehensive answer we can give at the moment other than getting into details like where are we with the samples, where are we with the tech packs and CAPEX development. So, those I don't think would be necessary to share at the moment. So, the progress is happening as planned. And these prospective customers are continuing to engage with us. And both the teams are working a lot more closely. So, it's going in the right direction. So, we have more than 1 lead, and they are maturing. We're not taking the different stages that one has to go through. So, it's auguring well.

Ranjit Cirumalla : So, one bit on that. I believe the team would be in place. So, probably the kind of a skill set that would be required for the CDMO kind of a business are slightly different than earlier with that.

Raghuram Devarakonda : Yes. So, we have also identified where the infrastructure will come. We have got a dedicated team for both sales and operations, including R&D. Inside our R&D, we have a carve out for CDMO opportunities. And those resources are all full time dedicated to this opportunity.

Ranjit Cirumalla : One question for Sankar sir. We have kind of a high capability in the phosphorous chemistry, and there is a lot of talk on the phosphorous chemistry for the new age businesses. So, are we kind of exploring those opportunities or it is still early to talk about those?

S. Sankarasubramanian : You're absolutely right. In fact, that will be the focus area for us. Currently, we leverage phosphoric acid for fertilizers production. But as part of the diversification, we will definitely look at phosphoric based other derivatives. We have some game plans in terms of using them for purified phosphoric acid, which has got wider applications besides fertilizers, into food sector as well as the battery chemicals. And also, it provides opportuni

ty to produce specialty fertilizers

like MAP, as well as purified DAP, which is required for Nano production as well. So, I think that will be the area sort of step out for the Nutrient business, besides what Raghu and Jayashree talked about on Specialty Chemicals. In the case of Nutrient, that will be the step out beyond the core fertilizer business. And we are in the initial stages. We will be able to share more as we move into the Rabi season, but definitely, we are looking at it.

Ranjit Cirumalla : That's quite helpful. So, everything put together, is it fair to assume that probably incremental 10% to 15% of the growth can accrue from these initiatives that we are taking? Or we're not in the near term next 1, 2 years, but we're definitely in 3 to 5 years' timeframe?

Jayashree Satagopan : Yes.

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Moderator : The next question will be from the line of Falguni Dutta from Mansarovar Financials. Please go ahead.

Falguni Dutta: Sir, I just have 1 question, which is on Nano fertilizers, the urea or DAP. Going by the acceptance that you see, what percentage of our domestic demand, let's say, in 2 years from now can be taken over by the Nano variety of be it of urea or DAP?

Jayashree Satagopan : There has been a good amount of traction in the last couple of years in the Nano space. For Nano DAP, it's the first year of operations for us. Based on various inputs that we keep hearing, over the next 3 to 5 years, the expectation is about 20%, 25% will be substitution.

Falguni Dutta: I missed you. You said over in the next 3 to 5 years, about 25% of substitution can happen as regards DAP consumption, right?

Jayashree Satagopan : Yes.

Falguni Dutta: And the same would go for Nano urea?

Jayashree Satagopan : It's possible. But Nano urea, we haven't seen as much of results. The last 2 years, IFFCO has been marketing Nano urea. We haven't seen that level of traction; the DAP looks a little more promising. We have introduced the Nano DAP; there is work going on in our R&D center on other Nano products as well.

Falguni Dutta: And ma'am, one more question, which is on the MRP and subsidy for DAP. So, going by where they are currently, should we, I mean, see the margins to remain similar at Q1 levels? Or do we see any change there on going by the current subsidy and MR P for DAP and NPK?

S. Sankarasubramanian : Shall I take that?

Jayashree Satagopan : Yes, you can go ahead.

S. Sankarasubramanian : See, as far as DAP is concerned, we are trying to meet the market demand, especially wherever NPK supplies cannot be met. Ideally, we feel as an industry, we should go for more balanced nutrition, which is good for the farming community. So, our focus is more on NPKs. And we can see that improved traction in the 1st Quarter. If you see the consumption as well as the sale of NPKs, have gone up significantly, whereas DAP has come down more due to the function of availability.

So, our endeavour will be to convert DAP into NPK. Having said that, the government is also seriously considering compensating the industry, wherever the switchover may take time from DAP to NPK. And that we need to meet the immediate requirement of farmers. We will try and meet the requirement, but the government is also looking to compensate additional cost,

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whatever we incur. So, that should come in any time now. So, if that happens, that improves the viability of either DAP imports or DAP manufacturing, either of it.

Moderator : The next question is from the line of Bharat Sheth from Quest Investments. Please go ahead.

Bharat Sheth : Just 1 question, which is, first of all, we have on the Nutrient business, you said that we have already taken approval for 1-million-ton additional capacity. So, looking at overall business, we are generating very good

case as well. So, if we want to go with this 1 million along with the backward integration or only purely granulation part. If we are going for with backward integration, then how do we really see the way I mean, volatility, in past, we have seen again that kind of volatility affecting our Company?

S. Sankarasubramanian : See, we are already doing that backward integration. As you're all aware, we are putting phosphoric acid, sulfuric acid integrated facility at Kakinada. So, to that extent that will help in supporting the additional granulation. And also, the product mix makes a difference. The margins maybe a challenge for generic grades. But as a Company, we strongly believe in making a unique product offering to the farming community. And we have a wide range of unique products along with micro nutrients.

So, our new facility, as and when we decide, we will have certain unique grades, which will not have pricing pressure, which can be well received from the farmers, whose nutrient use

efficiency would be better. So, we do expect that the additional granulation facility will definitely be a win-win for both farming community as well the Company in terms of the payback. Of course, backward integration will be useful. But in any commodity business, it will not be advisable to do 100% backward integration. These 2 commodity prices behave in highly volatile manner. So, we always would prefer to keep some portion of open input sources rather than creating our own investment. And we will also be prudent on our capital investment in creating this new capacity.

Bharat Sheth : Can you give some ballpark figure of that CAPEX that we may need to incur for the same?

S. Sankarasubramanian : Maybe too early to comment on, but I can definitely tell you, it will be far lower than the typical Greenfield project. Since it's going to be a Brownfield, which means the common infrastructure, tankages, other related infrastructure will not be required, it'll be more focused on the operating asset trying to produce the product. So, it will be far lower than that. And we always be capital light on these investments.

Bharat Sheth : And second on the Nano DAP, when we are talking of reaching, say, 25% of the requirement or demand in the next 3 years. So, what kind of a CAPEX that we may need to incur for the same?

S. Sankarasubramanian : For Nano, it's not a major investment. We have already invested in a state of the Art plant at Kakinada, which has been commissioned and we can improve the capacity in a batch mode. It will not be a significant investment. Here again, we have the existing infrastructure created and Coromandel International Limited
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already in place. So, we should be able to scale up the volumes in a shorter period of time, and it is not a very significant CAPEX.

So, on the replacement part of it, we have to wait and see because as Coromandel, we are very responsible in terms of promoting this product and we have to see as the phosphatic industry, we are the largest importer of DAP. Our effort would be to substitute this DAP import through Nano. So, our focus would be on those states where currently DAP is serviced through imports. And we have a feel at least 2 million tons should get replaced in at least 2, 3 years' timeframe. Coromandel and other players have also started getting into this product and we don't see any challenge in creating the capacities to meet such sort of a demand.

Bharat Sheth : And sir, when we reach, I mean, 25% kind of our business meeting from this Nano DAP, what kind of approximately that in rupee term turnover will be there sales that do you expect?

S. Sankarasubramanian : See, this replacement what we are talking about is at the industry level, not at the Company level. Currently, if you look at the Nano product or bottle it's 50% of the DAP price. If DAP is getting sold at Rs. 1,350, Nano DA

P part icle will be sold at Rs. 650. So, we can roughly say that turnover will be 50% of the turnover of DAP.

Bharat Sheth : And profitability?

S. Sankarasubramanian : Regarding the subsidy component, here, there is no subsidy component. So, to that extent you can say that 50% of the DAP MRP will be the value of Nano DAP.

Bharat Sheth : And approximately, if you can give some ballpark, I mean, profitability because here it will be in percentage term?

S. Sankarasubramanian : Yes, you can do the math, 2 million ton into 1,350. Roughly it should be in the range Rs. 1,000 crores, Rs. 1,500 crores at the industry level. But I need to get back to you on the right math.

Bharat Sheth : And profitability?

S. Sankarasubramanian : Profitability, it's too early to look into it. We have to see. Because this product being concept selling, it requires a lot of spending on the field level in terms of field promotion engagement.

And initially, we are not looking at the profitability, it's more to facilitate the farmers to go in for an environmental friendly product and make them affordable, improve the use efficiency. It can have a decent margin and with reduced subsidy being not part of the sale price it'll be less working capital intensive as well. It will take some more quarters to play out before we start talking about margin on Nano DAP.

Moderator : The next question will be from the line of Vishnu Kumar A.S. from Avendus Spark. Please go ahead.

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Vishnu Kumar : Sir, you spoke about the new 1 million ton, I mean, we are talking about some approvals. I mean, in terms of final investment decisions, what are the events that are contingent upon like on for us from here to when we are going to announce this project? And what is the time line from there to get this on the ground? And what will be the backward integration as an overall Company at that level?

S. Sankarasubramanian : What is your last question? Can you please repeat the last part? I'll answer that.

Vishnu Kumar : After everything put together, let's say, whenever we get this 1 million ton on the ground, at that

level, what will be the Phos -Acid integration and sulfuric acid integration on that complete level, whenever we do to?

S. Sankarasubramanian : See, in terms of the investment decision, our internal project team is investing on phosphoric acid and sulfuric acid. So, currently, our plates are full. So, once we reach some certain level of project execution in the intermediate capacity, which we are creating in Kakinada, we may take investment decision at that time. And after we take final decision and take all approvals, it may take 18 months to create this new capacity. So, that's the timeline we have.

And in terms of the intermediate requirement, it's a function of the product mix what we are going in for in the new plant. As I mentioned in my earlier communications, we are looking at value -added products. And we can fairly say 60% to 70% of the expanded volumes we should be able to meet at our own source. And the new capacities what we create also always will have some provision to increase the production beyond the rated capacity. So, we have to wait and see. It's too early to do it. But fairly, 60%, 70% of backward integration will be there.

Vishnu Kumar : The final decision is this year, or we will have to wait for next year probably to hear more from you?

S. Sankarasubramanian : We don't want to pre -empt it. What I can say is we have these regulatory approvals in place. We will go through the process before we formally communicate.

Vishnu Kumar : And 1 final question, sir. As the new boss of the Company, I mean, you're a fairly well -run Company. So, what will be the top 2, 3 KRAs to probably take the Company to the next level that you are probably going to embark on?

S. Sankarasubramanian : It's not yet 1 -day old. So

, I don't want to come to the decision, which are the areas we'd work on. As you rightly said, it's a very well -managed Company and long -term strategies are already in place. Our focus would be to ensure that we sustain the value addition, what we do on core business and building the capacity and create a strong front end in the main business where we operate.

Besides that, the non -subsidy businesses like Crop Protection and Specialty Chemicals, we will have the focus going forward to ensure that our overall EBITDA margin improves. And also,

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we talked about in the call, about our step outs that we are planning, in the phosphate -based value -added products. So, that will also be the area. We will be able to give more clarity probably after a quarter, but it will be the ongoing process of identifying the newer opportunity to ensure that we get better returns for all the stakeholders.

Moderator : Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Jayashree Satagopan : So, thank you all for joining us and appreciate your interest and questions. In case you have any further clarifications, feel free to reach out to us. We will be happy to take that. Thank you.

Moderator : On behalf of Elara Securities Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

Ref. No: 2024-25/111
November 4, 2024
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Transcript of conference call held on October 25, 2024

This is further to our letter dated October 25, 2024 regarding audio recording of conference call with analysts and investors.

In this regard, we wish to inform that the transcript of the Conference Call held on October 25, 2024 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> as required pursuant to Regulation 46(2)(a) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take the above submission on record.

Thanking you ,

Yours truly ,

For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:

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"Coromandel International Limited Q 2 FY25 Earnings
Conference Call "

October 25, 2024

MANAGEMENT : MR. S. SANKARASUBRAMANIAN – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER ,
COROMANDEL INTERNATIONAL LIMITED
MS. JAYASHREE SATAGOPAN -- PRESIDENT
CORPORATE AND CHIEF FINANCIAL OFFICER ,
COROMANDEL INTERNATIONAL LIMITED
DR. RAGHURAM DEVARAKONDA -- EXECUTIVE
DIRECTOR , CPC (BIO PRODUCTS AND RETAIL),
COROMANDEL INTERNATIONAL LIMITED
MODERATOR : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS
LIMITED

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Moderator : Ladies and gentlemen , good day, and welcome to the Coromandel International Q2 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors . Thank you, and over to you, sir.

Nitin Agarwal : Thank you , Siddhant . Hi, good afternoon everyone , and a very , very warm welcome to Coromandel International Q2 FY '2 5 Post -Results Earnings Call hosted by DAM Capital Advisors Limited.

On the call today we have representing Coromandel International Management, Mr. Sankarasubramanian S. – Managing Director and Chief Executive Officer, Dr. Raghuram Devarakonda – Executive Director (CPC , Bio and Retail Business), and M s. Jayashree Satagopan – President (Corporate) and CFO.

I will hand over the call to the Coromandel Management Team to make the “Opening Comments ” and then we will open the floor for questions. Please go ahead , sir.

S. Sankarasubramanian : Good afternoon , everyone , and thanks , Nitin , for organizing this Q2 call for Coromandel. First I will give you the overall business environment what we witnessed during this quarter followed by our business performance and Jayashree can take us through on the financial updates . Then we can have Q&A session.

As you all know, the monsoon has been good at 108% of the long -term period average and we have witnessed a strong Kharif season. Actually , our s outh markets received 114% of the normal rains .

Northeast monsoon which is likely to bring rains to Rayalaseema and Coastal Andhra has started on a strong note, and we do expect a very strong Rabi season. IMD is predicting a bove normal monsoon , and as we speak , the reservoir levels are looking very healthy. The storage, especially in the southern markets are much better than what it was in the last year.

Also , the crop acreage was good in Kharif. Except for cotton, rest of the crop s we have witnessed growth over the last year and better than the average of five years as well. So, we do expect this positive trend to continue in the Rabi season with improved reservoir levels and increased acreages. Overall , food grain output is likely to be good , which is very good from the food inflation point of view.

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On the policy front also, the government has been increasing the MSP , and there has been a recent announcement on increasing MSP for the Rabi season. It has been a 2% -7% increase in number over the last year for various crops.

Also, the government has been advocating the PM-PRANAM scheme and they have released funds to farmers to improve the liquidity in the market.

As you all know, the NBS rates for Rabi have already been announced ahead of time. There has been marginal increase in the nutrient rate for P, whereas N and S have seen some reduction. Government, in order to focus on availability of DAP, has given special package for DAP and also encourage industry to actively source DAP and agreed for compensation beyond certain cutoff rates. So overall, there have been some challenges in supply chain linkage due to global geopolitical situations. There has been a challenge in DAP availability, which is improving now. On the industry front, raw material prices have started moving up in the recent past. After reaching the lows in June, July, we have seen spikes happening due to Middle East flare-ups and also due to limited

participation by China in exports. Certain supplies of raw materials have been impacted due to production outages for certain industry players .

The industry's production more or less has been maintained well, and there has been a growth in production by 4%. Of course, the imports are down due to supply -related challenges, and the consumption has moved up because of the good monsoon, especially on the NPK side.

If I have to look into Kharif consumption data, it's very heartening to note that the NPK has witnessed a significant growth of a million -ton, an increase of 18% over the corresponding period of last year, replacing DAP. And this is a good trend to be in , because this encourages balanced nutrition, and that is what Coromandel has been advocating for many years now.

So, consumption overall has been down basically due to a drop in DAP consumption, made up adequately by NPK. Potash has largely moved up due to improved availability . In Single super phosphate , there has been a margin al reduction , but the industry is moving more towards value -

added products.

Overall, I would say that the industry performance in a given situation of global commodity supply chain challenges has performed well, and the farmers have started using more of agr inputs to improve productivity.

Coming to specifically Company 's performance in Q2, fertilizer plants operated at over 100% capacity. Production during the quarter was at 8.8 lakh tons , 13% growth over last year, being one of the record performance for fertilizer operations.

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During this quarter, we restarted our phosphoric acid, Sulphuric acid plant at Ennore. Our project announced in the early part of the year in April for Phosphoric acid and Sulphuric acid facility at Kakinada is progressing as per plan . We have released major orders and there has been good progress during this quarter.

This project is likely to be commissioned by March '26, and hopefully when this plant is ready, overall 60% to 70% of our captive acid requirements will be met internally , giving us a lot of operational flexibility and raw material security.

Recently , we announced acquiring the additional stake in BMCC, basically to consolidate our position. Currently, we hold 45%. With this announcement of additional acquisition of 8.8%, we will be crossing 50%. We will be holding 53.8%.

We are also in the process of stabilizing our fixed processing plant at Senegal, which is just commissioned last week. And hopefully, we should streamline the production and see increased volumes coming into India. During the quarter, we have significantly increased the usage of Senegal rock at Vizag and ensured the output of acid is in line with our expectation.

As part of our expansion plan, having created raw material linkages for both acid and rock, as a next logical step, the Board in its meeting held yesterday approved the Company 's plan to expand the granulation capacity by 7.5 lakh tons. This will be a Brownfield expansion coming up within Kakinada, which will take the capacity of Kakinada plant from 22.5 lakh tons to 30 lakh tons, making it as the largest fertilizer complex in the country.

This is in line with the government 's thrust on Atmanirbhar Bharat in phosphatics . With a lot of global challenges in availability , Government has been encouraging industry to go in for captive production. As a Company , we have been consciously securing our raw materials. And now phosphatic s facility is also coming up. As next logical step , we have decided to move in for granulation train .

As you all know that industry is still importing 6 to 7 million tons of DAP and NPKs, especially major imports coming to north part of India. And that is where Coromandel is looking to fill this and substitute the imp

orted DAP with NPKs.

We have been a strong player in NP and NPKs in the southern part of India. And now we will try and see how we replicate this story in the north to replace the imported DAP. This will also help in balanced nutrition, improving the yield for the farming community.

Overall, on the operational side, the business has registered a very strong volume growth during this quarter. On a quarterly basis, we have done 13% volume growth over the last year and 7% on a half yearly basis. On a half yearly basis, we have reached 21.5 lakh tons, which is one of the record sales volumes we have done in the recent past.

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On the consumption basis, our market share has gone up for the quarter. During this quarter, there has been a significant increase in our consumption market share from 17% of last year to 20%.

During Q2, our SSP sales volumes have grown by 9% . We have started focusing more on differentiated fertilizers like Gro Plus, which has got micron utrients in SSP.

During this quarter, we have launched the Urea SSP, which is basically a combination of N and P in SSP. It has got the same ratio of N and P, similar to what we have in DAP. It has been very well received in the market and can be a good substitute and alternate for DAP . And the advantage what we have is that we get freight subsidy for this product. So, as a business , SSP has turned out well this quarter, with the focus on unique grades and also differentiated products and U rea SSP.

As you know we are into drone spraying services. We have created separate vertical . We have been driving this business for the last two quarters. And we have done 40,000 acres. We have this unique advantage of having drones supplied from our group Company , Dhaksha . We have also partnered with some of the institutional players in this segment to improve the drone spraying services.

Another business which we started off last year in November, Nano DAP, has been received very well in the marketplace. During this quarter, we have focused mainly on the consumption part, whatever we placed in the earlier quarters. A lot of market development activities and awareness campaigns have been carried out. We have engaged with various research institutes in terms of improving and ensuring that this product brings in desired impact for the farmers in terms of replacing DAP. Slowly, awareness is coming in and we are getting good response, especially for the crops with higher foliage. Government has also been giving thrust to this product as a good alternative to DAP. So, we will be scaling up these volumes and we have created the state-of-the-art plant in Kakinada and hopefully we should do better in the coming quarters.

On the specialty fertilizers, our volumes have grown compared to last year and we have done very well on the sulfur segment. Especially states like Karnataka and Maharashtra, we have performed very well on the specialty nutrient category. We are also in the process of establishing additional capacity for sulfur, which will be coming up by the end of Q3.

Overall, the nutrient business has done very well in a given situation of volatile commodity prices. We are able to focus on our own unique grades and give trust to the business.

Crop protection business, which had soft quarters in the last year, has really played out well during this quarter. The business has improved on the top line as well as on profitability. The margins have moved up. In the formulation business segment, there has been a volume growth of more than 20%, thanks to the new formulations we have introduced during this half year.

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They are all performing very well and received well in the marketplace, and we co

ntinue to work

with innovators to bring such new products to improve our formulation business in India.

Thanks to the positive response to Mancozeb demand in the global market, there has been a considerable uptake in volumes and exports have grown by 10%. It's been good revival in demand for Mancozeb and anticipating this, we are also trying to see whether we can increase our capacities to meet the market requirement. This buoyancy in Mancozeb demand is likely to sustain for the coming quarters as well.

As you all know, in yesterday's Board meeting, the Board approved putting up a multi-purpose plant at Ankleshwar. This is again a Brownfield expansion we are looking to put up for fungicide plants for recently off-patent molecules. We will be amongst the first ones to get into this product. In terms of volume may not be significant, but they are high value and generate a good amount of top line and we will be focusing in Latin American markets as well as formulations for the domestic market.

We will be investing 170 crores in this plant which will take 18 months to come in and in parallel we are working on product registrations as well as scaling up volumes in the period to come.

This will also help us to understand new chemistries and bring in new process technologies, which will help us to attract CDMO players who are looking to tie up with us. So, this will be a good start on the CDMO opportunity which we have been talking about for the few quarters.

So, we will continue to engage in these prospective discussions with innovators, and we will continue to focus on R&D trials to come up with a new set of molecules. This investment of multi-purpose plant is the beginning, and we need to add some more in the days to come to see that we grow the crop-protection business on a faster pace.

On bioproducts, where we are one of the largest players in the neem-based bio-pesticides, we are trying to diversify this segment. We improved our sourcing capability to set up the new systems to handle the neem seeds. We sourced neem at competitive price which will help us to have some visibility on the margin structures in the coming quarters.

In retail business, where we have a significant presence in the Southern markets and is one of the largest player in the agri-rural retail chain, we have done very well across the product categories. Our non-fertilizer segment has grown well, thanks to increased footfalls in our retail outlets.

We have opened 45 new stores during the half year. Retail is a way for us to expand and improve the business. We have seen that whatever new products we are introducing in various business segments, retail could scale up the volumes and go to market much better than the trade channel.

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Retail has launched Nano DAP and they have received very good response. The direct connect with customers is really helpful to understand the psych of the customer and ensure that we position the products well.

So, overall, across all the business verticals, the company has done well. And while in terms of

overall profitability it may be marginally lower than last year, but in terms of sequential performance over the previous quarters, we have grown both on top line and as well as bottom line. And our Q2 performance is also better than street expectations.

I would now request Jayashree to take us through financial performance. And then we can have Q&A later.

Jayashree Satagopan: Good afternoon, everyone. And thanks, Sankar. The financial performance for the quarter and the half year is as below.

As far as the turnover is concerned, the Company recorded a consolidated total income of Rs. 7,498 crores during the quarter and Rs. 12,281 crores during the half year, vis-a-vis the corresponding period of

Rs. 7,033 crores and Rs. 12,771 crores, respectively. This marks a growth of 7% for the quarter and a degrowth of 4% for the half year. The decrease in revenues is mainly on account of drop-in subsidy rates in the fertilizer business as compared to last year. Subsidy business' share in revenue stands at 84% during the quarter and 83% for half year. During the previous year, it was 84% for the quarter and 85% for half year.

On profitability, the consolidated EBITDA for the quarter was Rs. 975 crores, as against 1,059 crores in the previous year. For half year, it was Rs. 1,481 crores, vis-a-vis Rs. 1,768 crores during the previous year.

Subsidy business' share in EBITDA stands at 73% during the quarter and 72% for the half year. The corresponding numbers of the previous year was at 81% and 82%, respectively.

Net profit after tax in the quarter was Rs. 659 crores in comparison to Rs. 755 crores for the corresponding quarter last year and Rs. 968 crores for the half year, as against Rs. 1,249 crores in the previous year.

As far as subsidy is concerned, during this quarter, the Company has received Rs. 2,868 crores towards subsidy claims. In the previous year, this amount was 4,243 crores. For the half year ended, the Company received Rs. 3,855 crores of subsidy. The previous year, the corresponding number was 6,312 crores. Subsidy outstanding as on 30th September 2024 was at 1,714 crores. In the previous year, this number was 1,497 crores.

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The Company had closed the quarter with net cash, which is including deposits, mutual fund investments of Rs. 4,214 crores and it is focused on improving the working capital levels to further enhance the net cash position.

As far as FOREX is concerned, recently we have seen the rupee depreciating. Coromandel continued to maintain a conservative position and hedged its exposure accordingly.

We thank you all for your continued interest in Coromandel and joining our call today. We look forward to the interactions and the question and answers.

Moderator: Thank you very much, ma'am. We will now begin the question-and-answer session. Our first question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Ma'am, what drove the profitability improvement in crop protection and especially the non-subsidy non-CP business?

Jayashree Satagopan: Hi, Prashant. Thanks for your question. In crop protection business, we have seen a good growth happening in the domestic formulation business. And during the first half, the Company introduced 10 new products including one patented molecule of ISK. So, all these products have received very encouraging response and that has to some extent showed the profitability. Apart from that, some of the cost measures that have been taken at the plant over the past couple of years have also led to a better cost position compared to the previous year's, which has also helped in showing up the margins.

Prashant Biyani: And ma'am, on the non-subsidy non-CP part?

Jayashree Satagopan: The non-subsidy non-CP part is mainly specialty nutrients. Some of it is also in the retail business, and we also have the recent launch of Nano products. The specialty nutrients business has been doing pretty well. It's continuing its trend like in the past years, and there has been some good actions in terms of sourcing the materials at the right cost. And these have also contributed in improving the margin.

Prashant Biyani: Ma'am, secondly, if Sankar sir can answer this, rock prices have increased off-late, I guess from the lows. And how are we stocked up on the inventory of Rock phosphate, till which month?

And do you also expect phosphoric acid prices to increase from here? If yes, then what could be the immediate

levels that we can look at?

S. Sankarasubramanian: See, phosphoric acid price for the Q3 is yet to be settled, but there will be a definite increase compared to what it is right now because the DAP prices have moved up and generally, these prices do move in tandem with the DAP. Other input prices have gone up, so the industry is negotiating to get better rates, but there will be an increase over the previous quarter.

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In terms of the Rock prices, the advantage what Coromandel has got in terms of access to mines , understanding the cost structure and increasing the supply from Senegal is helping us to manage better in terms of the Rock sourcing. We always ensure that we cover for three to four months ahead considering the sailing time and also the challenges what we have in the geopolitical situation. And to that extent, always we have a positive carry on strategic materials like Rock phosphate.

Prashant Biyani: Sir, then going forward, if you see the ammonia prices , subsidy on N has reduced, but prices have increased. So, how would it change the complex portfolio mix for you going into H2? Will it be more towards NPK only? And if then, in which grade it will be?

S. Sankarasubramanian: See, this has been a temporary phenomenon . There have been some production outages by large players in the Middle East and prices should soften. Probably one month spike is there, but we don't expect this to sustain for a long time. So, ammonia prices can come down.

Having said that, the Rabi subsidy is what has been already announced. So, we need to see how we optimize the product mix and also there can be some flexibility in terms of the farm gate prices later December , going into January, which could help us to pass on this cost if this cost is likely to remain where it is now. But I don't believe that these higher ammonia levels are likely to remain.

There can be some temporary challenges in the margin structure , but it should get normalized, and we do keep optimizing the grades , there is a flexibility in switching over from one NPKs to another NPKs , and we have pricing flexibility and input cost advantage . And our own captive production of sulphuric acid and Phos Acid also help us to sustain the margin.

Prashant Biyani: And ma'am, lastly , before I jump back into the queue , how much was the revenue from nano - fertilizer as well as Dhaksha in Q2?

S. Sankarasubramanian: Nano -fertilizer in terms of our focus for Q2 as I mentioned was more on the consumption side . We have done roughly 16 .8 lakh one liter bottles in terms of the volumes , during the first half. We can scale up the volumes and we will be focusing on doing it in Q3.

In terms of the Dhaksha probably we will address it separately or Jayashree can add that . Mainly its orders are in terms of agri drones, which Coromandel has purchased , and there are some balance orders executed with other fertilizer companies as well. Other defense orders are in pipeline waiting for the execution to happen.

Moderator: Our next question is from the line of Parth Mehta from Vallum Capital . Please go ahead.

Parth Mehta: Just wanted to ask , so you mentioned that the new MPP in the crop protection side will help meet the growing demand for the identified products in domestic and export geographies. If you

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could just help me which are the products that you have identified and in the domestic and the export geographies that would help us grow.

S. Sankarasubramanian: I think Raghu is on the call . Raghu probably can take through , but we don't want to get into specifics on which products for obvious reasons , but broadly , Raghu can talk through on what we are trying to focus on.

Raghuram Devarakonda : I think at the moment whatever

Sankar mentioned , for the obvious reasons , we don't want to divulge their specific names , but as you are aware dependence on Mancozeb is quite significant . So, with this approach , it's going to broaden our portfolio in fungicide and thereby de-risking dependence on that. And besides the CAPEX will take a while to execute as well. Once we go live, I am sure we can share more details on the specific products. Suffice to say that these are relatively younger products . I think again Sankar in his initial address mentioned that these are recently off-patent molecules so that there is a longevity and therefore , there can be sustained demand for such molecules going forward . And these contemporary AIs lend themselves to good combination . So, they combine very well with other molecules . So, we plan to formulate some novel mixtures in the meantime , some of which are already in the pipeline for registration . So, by the time the CAPEX gets executed , we will also be receiving some of these registrations so that we can quickly leverage the capacities that are coming online. I hope that kind of addresses your question.

Parth Mehta: Yes, that was helpful . And I just wanted to understand are we coming up with any of the new molecules that are being developed in our R&D or are they more of from the tie-ups that we have done.

Raghuram Devarakonda: So, as you are aware , we are a generics player , but for the new molecules , I mean when you say new, if they are patented , we are in the process of bringing such molecules from innovators . We are not innovators . We don't do discovery on our own . There are plans for bringing in patented

molecules through our distribution channel globally.

Parth Mehta: Just last one if you can help me, how is the Chinese molecules fairing out right now in the export market scenario situation globally in terms of volumes or prices?

Raghuram Devarakonda: Yes, at the moment, the prices have bottomed out is the general sentiment globally, and the expectation is that they will start going up sometime middle of next year, that is the calendar year. And I mean, these prices we believe are not sustainable for too long because the Chinese would also like to recover whatever they have invested in. So, because of the previous, as you may be aware, there was a glut in the system, the inventory in the pipeline as well as there was a drop in the commodity prices in Brazil for soybean, cotton and so on, which kind of reduce the grower's willingness to spend money on additional sprays.

So, all of those are easing up, particularly the inventory is nearly gone. The excess capacities will continue to haunt. Maybe the smaller players, the marginal players would have been pushed

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out. So, the total available capacity might have shrunk. And thirdly, the commodity prices are also expected to go up.

So, all the three factors that led to a significant price drop are now easing off. So, that should eventually lead to an improvement in prices. So, this is what we understand of the scenario as far as the Chinese players are concerned in the market.

Moderator: Thank you. Our next question is from the line of Vishnu Kumar from Avendus Spark. Please go ahead.

Vishnu Kumar: In terms of the fertilizer business, the operational profitability is better than expected for most of us. So, is there anything that we have done differently or is the vault, because we understand that pricing was relatively not that great for us, given the RM and the end market prices. So, what has led to kind of slightly better, at least from what we were considering? Is it any operational costs or mix? Any help would be great.

S. Sankarasubramanian: As you are aware that last year we commissioned Sulphuric acid plant and that's been well timed and very

helpful. When the global Sulphuric acid prices went up, we could produce Sulphuric acid at a much lower price. And also the power generation, what we envisaged, we could operate our turbines at full capacity and that has significantly reduced the conversion costs.

So, our ability to scale up the projects to 100% plus capacity, improved operational efficiencies, ensuring that the intermediates like phosphoric acid where we capture the value addition, we operate at full capacity and the timing of our raw material purchases and the type of rock what we use and the sources of acid we use is completely different.

We have product flexibility in terms of optimizing the NPK mix, depending on the subsidy and the market price, ability to source and use different types of raw materials, whether it is rock or acid, and our intermediate capacity is helping us to generate power and also alternate water source like RO plant which we put up last year, all these been helpful to manage this sort of a volatility in commodity prices and come back with the margins. Had the commodity prices have been stable, our numbers would have been much healthier than what we are reporting now.

Vishnu Kumar: How much would probably be a structural cost savings for us like as you mentioned on the power and the RO and water, others I understand can move up and down. So, how much could be a structural cost savings that we are going forward we should see?

S. Sankarasubramanian: See, Sulfuric acid alone can potentially give us close to 160-170 crores per annum, both in terms of the delta between the imported sulfuric acid price and the cost of production and the power generation. So, half year will be somewhere between 40 -45 crores and that can get doubled. It's not only helping us in bringing down the cost but also in terms of the environmental norms, and we are one of the world class facilities with norms much less than the global standards.

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Vishnu Kumar: Sir, also on the, you mentioned that this quarter or rather we have seen in Kharif that the DAP consumption has been markedly lower and NPKs probably come up well. Is it this, this is because of the profitability for traders was very low or since from a import replacement angle government would probably want us to probably import lesser DAP. So, should we see structurally this is going to be a theme for, so DAP will go down? Is this a more of a short-term issue or like we will bounce back and DAP will come back?

S. Sankarasubramanian: No, absolutely. In fact, it looks to me a structural shift which is happening, especially in the North markets, which are predominantly using DAP for many years. To some extent, the shortfall in the availability has also helped people to try out the NP grades like 20:20 as well as NPK grades. And government also encourages balanced nutrition, and it's a combination of multiple things. Lack of availability, making people to look for alternates and that has helped in

improving the volume of NPK fertilizers by a million ton. And there has been a general increase over the last four years in terms of the share of NPKs versus DAP in the overall phosphatics. This augurs well and this helps in multiple nutrients. As a Company like Coromandel, we are not only focusing on primary nutrients in NPK but also trying to see whether we can add secondary nutrients like boron, zinc and come up with unique grades.

So, more and more, I think industry should move towards customized fertilizers. That's what our approach would be to ensure balanced nutrition, improve productivity for the farmers and the government is also supporting for this.

Vishnu Kumar: This 0.75 million ton of capacity, when are we likely to have it, in terms of commercial sales, when should we begin? And in the interim to capture the ma

arket before we launch the product,

are we going to do additional marketing and how should we see the approach from now to when the plant comes in?

S. Sankarasubramanian: Good question. The plant will take two years to come in and rightfully we can't be waiting for the capacity to come in and start selling. In fact, currently our volumes could have been much better if we had additional production. We are operating at 100% capacity. We are supplementing it with imports. Our imports are predominantly on DAP. In fact, currently our sale volumes are much higher than what we produce. Our overall production is in the range of 31 to 32 lakh tons, whereas we are inching towards 40 lakh tons. So, we will try to grow this volume for the next two years as well until we have our own capacity.

So, we will be also focusing on newer geographies, northern markets where our efforts will start now in terms of seeding the market with NP, NPK fertilizers and developing our market for these grades. It may take a while before the switch happens from DAP to NPK and that's what we will be exactly doing during this project implementation time so that as and when the plants are ready, we will be able to supply those materials from our own manufacturing facility. Till such time, we will be meeting it with imports.

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Vishnu Kumar: So, this area that we will target will still be within the zone where our freight subsidy is there or we will stretch it outside also.

S. Sankarasubramanian: In Phosphatics freight subsidy operates across India up to 1,400 kilometers. So, I don't see any challenges.

Moderator: Thank you. Our next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: So, just two, three questions. The first one is you mentioned in your opening remarks that you have opened 45 new stores in this quarter. Is that correct?

S. Sankarasubramanian: 45 new stores in half year

Resham Jain: This will be possibly the highest number of stores you have opened it seems. So, what is the strategy on the retail front, let's say, over the next two, three years?

S. Sankarasubramanian: We are very keen to increase the footprints, and we have enough space to operate even in our key markets like Andhra, Telangana where we may look to increase the numbers from what we are in. At least currently we are around 750 to 800 stores. Our aim would be to increase it by another 20% at least in the coming two or three quarters.

But we are very, very cautious in terms of where we are opening. So, we ensure that we break even at the earliest. Based on our learning curve, we don't take longer period nowadays to reach the break-even level.

So, our choice of location and the product segments and categories will play an important role.

Our aim is to scale up the volumes, not only to certain markets, but also look at pan India. So, we may be looking at western markets as well where we can target certain geographies and crop segments. So, our aim would be to increase our retail footprints, and we got our model right.

Our ability to connect with farmers has been far better than what it was few years before. So, we will try and expand and exploit this opportunity.

Resham Jain: So, sir, from number perspective, these 750-800 stores can go to what number, let's say, in next three years?

S. Sankarasubramanian: We are in the discussion stage. We can let you know once we come up with strategy. I don't see why can't we double it in next two, three years' time. But still in the drawing board. As I mentioned that we are not in a hurry to increase the centers, but we will do it in a systematic and cautious way.

Resham Jain: So, the second question is the incremental or higher subsidy for DAP versus NPK. So, does that mean that our o

verall production will be higher of DAP versus NPK, at least in the near term?

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S. Sankarasubramanian: As a Company we have been focusing on NPK productions and we import DAP . We will continue this strategy.

Resham Jain: Despite the higher subsidy for DAP, that doesn't change anything from your overall production mix perspective.

S. Sankarasubramanian: Yes, but additional compensation in DAP is helping to manage the gap between the subsidy and MRP versus the cost. It doesn't add really to the margin. So , our strategy would be to optimize our production towards NPK and import DAP to meet the supply commitment .

Resham Jain: And sir, just your guidance on the overall non -subsidy piece, which has been doing quite well both from revenue as well as profitability perspective. Over the next 2 -3 years, given there are multiple projects which are going on, how should one look at the overall non -subsidy piece?

S. Sankarasubramanian: See, crop protection is one area where, as Raghu mentioned, we missed out in terms of market growth because of the gestation period involved in terms of putting up facility and product registration . So, a lot of efforts have gone in the last 2 -3 years in identifying the new molecules and a lot of R&D trials have happened. So, hopefully , we will be releasing every year some new products.

As you have seen this year, we have done 10 formulation products , which have increased the domestic formulation sales. We are also looking to introduce new generation molecules to reduce our dependency on Mancozeb and increase our presence in Latin American markets. So, we will be driving our focus on CPC to capture as much as possible both in the domestic and global markets.

Specialty nutrients have been growing steadily. We have been improving our top line by 10% and EBITDA has been consistently growing. That is one category we will try and see how best we can improve. In single super phosphate, which we don't talk much, but we have been consistently growing on volumes and bringing in value -added products and capacities have been growing up. So, while it is also part of the subsidy business, we have changed the overall approach to this business and that is running out very well for us in terms of the new grades volumes and improved margins and profitability .

Besides this, in retail , we have seen increased footfalls in all our retail outlets and that is helping us to scale up the non -fertilizer category where we make margins. So, our focus would be to increase the volumes of non -fertilizer category in the retail segment .

Bio business is a very niche segment . Currently we are focusing on export markets , and with our neem base, we are trying to diversify other product categories . We are looking at new product segments in bio. So, that is also likely to see traction in the coming periods.

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We have reached some size and scale in fertilizer business , we have done adequately on backward integration, and we will continue to grow the piece in terms of mining, improving the value chain . In terms of the volume with this announcement of capacity, we are there as being the largest supplier in the phosphatic segments.

So, our focus from coming quarters will be on driving the other non -fertilizer segments to grow on the top line and also look out for step out opportunities which are available . As and when it materializes , we will be able to articulate. So, our aim would be to grow more on the non -subsidy piece in the coming quarters.

Moderator: Thank you. Our next question is from the line of Bharat Sheth from Quest Investment . Please go ahead.

Bharat Sheth: Sankar, my question is , from three years ' perspective , what would be our capacity for this

trient business including SSP and how do we see what kind of a backward integration is that point of time we will have in terms of whether sulfuric acid or rock, phosphoric acid and how that will play out ?

And second thing , when you are talking of this replacement of DAP with NPK , so how much scope is also there for replacing DAP with phosphate SSP ? So, if you can give some more color and how that thing will really play out , and last question is on the Nano DAP. So, how much that will also over a three -year period , if you can give some color?

S. Sankarasubramanian: The fertilizers I think with the current capacity of 35 lakh, de -bottle necking which is happening right now and the new capacity of granulation 7.5 lakh tons what we have announced, our overall capacity will go up to 45 lakh tons in the next two years ' time. With import of 5 lakh tons at least we can be a 5-million -ton player on base phosphatic fertilizers, plus we have SSP of a million ton. Plus, we do MOP and Urea of a million ton.

So, effectively , if you look at the fertilizer segment, it's 6 million tons of phosphatic plus a million ton of Urea plus half a million ton of MOP . That's the size we are looking at as far as the fertilizer business is concerned.

And in terms of Nano, like I mentioned that we are not in a hurry. We are actually ensuring that the farmers understand the product and they come back, and they use it as a replacement, not as an add-on. We are doing the brand promotion and channel engagement, and we are doing it in large scale pan-India. Definitely, we see the promising future for Nano, not only in India, but we are looking at export opportunities. A lot of inquiries have come from Latin American markets, and we can scale up our volumes. And that's a good business segment to be in, supplementing our specialty fertilizers, which we have grown over a period of time.

I don't remember what is your third question next? One is on the fertilizer. Other one is on ...

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Bharat Sheth: What kind of backward integration that we will have? I mean, once we reach this NPK capacity or this DAP capacity of say with this expansion, how much of backward integration we will have?

S. Sankarasubramanian: See, I think we will be close to 60% of the total intermediate capacity requirement and we keep some import to trade-off because there are always opportunities available to buy at low prices for products like sulfuric acid. So, we may not go in for 100% and phosphoric acid, at least you can say that to be 60% of the total requirement will be backward integrated.

In terms of rock, we will see how it goes with the current mining operations. With the expansion of phosphoric acid plant at Kakinada, our requirement will be in the range of 2 to 2.5 million tons and our aim will be to see how best we can increase our mining operations.

Once we are successful with the current mining operations, we may also look at increasing our mining presence. So, that will be our overall game plan, but as of now we are quite comfortable with the capacities what we have for intermediates.

Bharat Sheth: Jayashree, would you like to give some more color on this Dhaksha, how are we playing out, how much order do we have in and how do we expect over a couple of years?

Jayashree Satagopan: Thanks, Mr. Bharat Sheth, for this question. On Dhaksha, currently the focus is on two areas. One is the defense orders that have been procured for about 240 crores. The team is in the process of executing the order. So, we are awaiting the PDI from the government authorities. Once it is through, over the next two quarters, the defense drones should be completed and shipped. So, that's the main focus.

Apart from this, there is a lot of activities going on in terms of the agricultural drones.

Currently,

the large players with whom Dhaksha has been engaged are the fertilizer companies. New team members have been recruited both for sales and service so that they can work along with the other major agro-chemical companies as well to see how we can get some agriculture-related orders.

There is also work going on with the government in this respect because the Namo Didi Drone scheme also will come into play as we expect during the later part of this year. While all of these is happening on the execution front, the team continues to participate in some of the other newer drone development by the R&D team. So, that work is also parallelly happening.

So, in the next two to three years depending upon the execution of these orders, Dhaksha should be able to garner more orders to come from the defense. The R&D work that is happening on the newer drones as well as improvements in the agricultural drones should also help it to consolidate and get better.

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Bharat Sheth: And last question on say, since we are sitting with 4,000 plus crore kind of net cash, so what will be our capital allocation including for Dhaksha additional investment, then other facility? So, if you can share more color?

Jayashree Satagopan: I think the cash that we have, like in the past we have indicated, it will be mainly for the business growth within Coromandel. So, each of the businesses come with their own proposals for growth.

You would have also seen that in this Board meeting, there has been a sizable capital that has been approved by the Board for both nutrients as well as crop protection businesses. If there are further opportunities that are there, either in the core or adjacencies or any step outs, some of this cash that has been built up will be appropriately used. All of it depends upon how strategic is it, what are going to be some of the financial parameters that it meets up with. So, that has been the norm with which we have been looking into allocating the capital.

On the same front, if there are interesting opportunities like we had Dhaksha coming up in the past or BM CC-related investments that had happened in the last two years, those also could be funded through this pool of surplus that has been accumulated.

Bharat Sheth: So, how much can revised CAPEX for this year, next year and for 2027 do we have in plan?

Jayashree Satagopan: So, this year, we are more or less in line with what has been estimated and indicated to you all. The main CAPEX for this year has been this sulfuric acid and the phosphoric acid plant of 1,000 plus crores, which has been announced for Kakinada. So, that spans over a period of a couple of years until March 2026. Similarly, the two major CAPEX programs that have currently been announced will also go for the next two-year period.

As Sankar was also mentioning, there are a lot of projects that the teams are looking into to see how we can accelerate some of the growth initiatives within the Company. And as we roll up the business plan for the year, I am sure that we will come up with some more interesting proposals and subsequently taking the management and the Board approvals. We will be happy to share it with all of you.

Moderator: Thank you. Our next question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Sankar sir, the point that you outlined regarding capacity of say 4.5 million ton and import of 5 lakh ton, sir, where would we be seeding or selling these volumes? Would it be in our core and periphery markets? And how much volume do we do right now say in North and regions around North? And where could that volumes be in the next five years?

S. Sankarasubramanian: See, the primary market, AP, Telangana, Karnataka and tertiary markets, both Maharashtra and

Bengal, we have been fairly supplying now. We don't have any presence in some of the key Coromandel International Limited
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states like MP, UP and Rajasthan. If you look at next two, three years, a lot of irrigation projects are likely to come up in MP and Maharashtra also is adding additional crop acreages. So, we have done a detailed amount of strategic approach for additional volume. What I can say is we will be looking for North markets where we don't have significant presence in terms of NPKs. While we are supplying SSP and also specialty fertilizers, we have not supplied NP and NPKs. Our aim would be to create those and seed markets there first. And of course, our existing core markets, primary markets, our aim would be to capture the additional volume through our retail outlets.

As I mentioned earlier that we will be increasing our footprints in the key markets. So, our additional volumes can come here. And we don't see a challenge of selling like 50,000 tons between these markets. As India continues to import 6 to 8 million tons, and there can be a potential increase in volumes of overall industry size likely to move up in the next three years, absorbing this additional volume would not be a challenge and we have a blueprint developed for the same.

Prashant Biyani: And sir, do we have a fertilizer business presence right now in UP or Rajasthan side to make the market ready for our large volumes in 2-3 years?

S. Sankarasubramanian: We have a significant presence in SSP. We are promoting value-added products there. We have presence through specialty fertilizers. Of course, crop protection, we have separate teams selling there. And with Nano being a pan-India operation, and we have presence in Northern markets. So, I think as a Company, we will be moving towards more of an all India player for the nutrients. Rather than looking at the key South markets, we look at pan-India operations with a complete range of product portfolio right from SSP to DAP and Nano and specialty fertilizers. The whole market is available for us. So, that's the way we will look at and try to expand our volumes.

Prashant Biyani: And where do we stand in terms of latest business developments in Spec-Chem or CDMO, if anyone can answer that?

S. Sankarasubramanian: CDMO, we have been evaluating some opportunities and our initiative on a multi-purpose plant is also a step in that direction to see how we can showcase our capabilities which can help in attracting the innovators. And Spec-Chem, we are again in the drawing board in terms of looking at the key segments where we want to go in. And probably once that fine print emerges in the next two quarters, we should be able to articulate our strategy much more sharper.

Moderator: Our next question is from the line of Ranjit from IIFL Securities. Please go ahead.

Ranjit: The first question is on the MPP CAPEX. So, I believe this since you commented that this is a recently off-patent products I believe to be SDHIs, the question is how far would we be backward integrated into this or we are only going to target the manufacturing of technicals and would be importing the intermediates?

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S. Sankarasubramanian: Raghu, you want to address that?

Raghuram Devarakonda: So, as an approach to manufacturing, obviously cost efficiencies are something that we need to keep in mind. So, the backward integration is still a point where we have significantly many suppliers for the key starting material.

So, that is how far we go and that depends on the molecule that we are planning to manufacture or the set of molecules in the multi-product plant. So, depending on the molecule, we have figured out up to which point we need to backward integrate. We can't go right up to the end. Th

ere is no need also because that is going to inflate CAPEX significantly. So, we have planned it in such a way that we will be able to source in an effective manner and then process the material to make the technical AIs.

Now, as far as the downstream products are concerned, as I mentioned, we are not stopping with just making AIs, but in parallel, for some of them we have already received the registration, for some we are going to receive the registration for some of the formulations that we can produce using the AIs that we plan to manufacture with this multi-product plant. Both backward and forward, we are putting in the effort to extract maximum value out of this.

Ranjit: Second question is to Sankar sir. In the last call, you had mentioned the couple of plans. One is what we have seen the Board approving on the CAPEX front. You also had mentioned b unching out of fertilizers and foraying into related chemistries. So, is there any progress on that front and by when can we expect an announcement on that front?

S. Sankarasubramanian: As I told last time, we have now commen ced our granulation project. We need to keep something for next quarter as well. We are working on it. As and when it materializes, definitely we will come back. It is very much in our radar. We will get you to know soon.

Moderator: Thank you. Our next question is from the line of Rohan Gupta from N uvama We alth. Please go ahead.

Rohan Gupta: Sankar sir, you mentioned that almost in the next two years, you plan to definitely overall complex fertilizer to 4.5 million ton, another trading and even further in SSP and Urea, MOP trading and all that. I think that you have always been mentioning that the fertilizer margins you have always been targeting with a close to Rs. 5,000 to Rs. 6,000 per ton. That gives a clear picture about the fertilizer business over next two years.

Sir, on non-fertilizer business, you have stopped giving and sharing that is slightly more detailed at how you think that in next two to three years, whether the fertilizer business contribution to EBITDA will be 50% or less than that and al l. So, where you see that the other businesses, I mean non-fertilizer business piece will be contributing to the profitability o r EBITDA in next three years?

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S. Sankarasubramanian: See, as always mention ed, I don't want to grow one business at the cost of other. Fertilizer will have its own growth traction. Obviously, significant share comes from fertilizer, but a lot of efforts have been taken in the last year on non fert segment and also going on now. Raghu has been driving the new products, been engaging with various innovators. So, I think the real growth in CPC is yet to play out. Our decision to invest even when the Chinese prices a re the lowest shows our interest on growing th e crop protection business. And definitely you will continue to see the volume growth happening in crop protection. Many of the actions what we have initiated last year will start yielding itself and we have pipeline of new products coming in. See, with the current range of molecules, what we have, whatever we are doing, we are doing the best both in terms of top line and the bottom line. If we have to grow, it can be through inorganic or it has to be through organic. Organic takes its own time, and that's what we are focusing on now. And as and when any opportunity comes to grow inorganically, we may even look at that.

It's very difficult for me to put the timeline and the timeframe by which we will increase the share to 50%. All our efforts and investments and strategies will be to increase the balance towards non-subsidy business. As and when we get clarity and then we may do investments, we will definitely share that at appropriate time.

Rohan Gupta: Also s

ir, with the government focus on some non-supportive policies on policy front on fertilizers, do you see that there is a need in future that you have to dem erge this business because of the working capital related challenges and the interest cost portion where the government wanted to cap the profitability? So, you see that to benefit from that, I mean, you need to leverage the balance sheet while the Company itself is generating solid cash flows. So, do you see that that you have to dem erge the fertilizer business to be the part of the, I mean, to benefit from the government policies in future?

S. Sankarasubramanian: Any such restructuring will be to only create shareholders' value. It can not be based on any policies or any current regulations. We need to see as we go along and government always encourages integrated play, and they have been encouraging industry to go in for backward integration.

So, I think they also support in terms of ensuring that the incremental margins are retained in the

business and reinvested in the business to grow the capacity. So, we will be continuously engaging with the government. That may not be the reason why we need to restructure. If there is a value creation opportunity for the shareholders, then we may look at this, but not from the policy point of view.

Moderator: Thank you. Our next question is from the line of Suman t Kumar from Motilal Oswal. Please go ahead.

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Sumant Kumar: Last year we talked about the 1,000 crore CAPEX in-crop protection. So, can you talk about the timeline of the capitalization of the asset and the commencement?

S. Sankarasubramanian: I don't know what you are referring to. Probably it maybe CAPEX plans of specialty chemicals & CDMO. I think I have answered there in terms of work in progress. We are going back to the drawing board in terms of identifying the segments in which we want to operate in specialty chemicals. And you know, in terms of CDMO, it's a long-term process. We are engaging with various potential innovators and partners. It will take some time. So, as soon as it materializes, we will share it. But our investment will be based on after signing up and identifying right partners. We may not do upfront investments.

Sumant Kumar: The technical plant also will take time.

S. Sankarasubramanian: See, we are making a beginning now. This multi-purpose plant, what we are doing has got potential to add another line in the same civil structure. We are in discussion stage at the various stages of a CDMO engagement, we may not be able to disclose at this point of time. We may do it and take up the investment as and when we sign up the commercials with the potential partners.

Moderator: Our next question is from the line of Himanshu Binani from Anand Rath. Please go ahead.

Himanshu Binani: So, sir, I have two questions. One is on the share of the unique grades to the overall volume. So, what has been the share basically for the second quarter?

And the second question was largely around that since we have been like backward integrating for quite some time and that has been like able to reap benefits and going forward also with the kind of like cost savings which we have outlined particularly from the sulfuric acid as well as from the phosphoric acid plant and the energy savings also. So, I do understand that yes, the RM prices globally has been like volatile as well as the subsidies from the government. So, the question was like how do we see the EBITDA per ton moving? So, our guidance has been somewhere around the Rs. 4,500 to Rs. 5,000 per ton. So, do we see that it should like increasing going forward? So, how should one actually look into this?

S. Sankarasubramanian: Yes, the sustainable EBITDA, the range what you are indicating, we are quite com

fortable with

that and the reason being that our improved value addition and increased intermediate capacities is helping us to sustain this margin in spite of huge volatility in the global commodity prices.

We are able to absorb the price shock and the challenges and subsidies and able to come up with this number because of our increased share of captive manufacturing of both Phosphoric acid and sulfuric acid. If the environment improves, definitely the margin should also go up. But as I mentioned earlier, but for these challenges in commodity prices, our margins would have been much higher than what it is now.

In terms of share of unique grades, I think my colleague says it's around 36% on the overall phosphatics volume. That's the number for this quarter.

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Himanshu Binani: 36%?

S. Sankarasubramanian: Yes.

Himanshu Binani: For this quarter?

S. Sankarasubramanian: Yes.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

S. Sankarasubramanian: Thank you very much. Thank you for your insightful questions. Very helpful and definitely we look forward to such fruitful interaction, which helps us to sharpen our thinking as we grow to build this business. Thank you very much for your interest in Coromandel.

Jayashree Satagopan: Thank you all and wish you a very Happy Diwali.

S. Sankarasubramanian: Happy Diwali to everybody. Thank you.

Raghuram Devarakonda: Happy Diwali. Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

Ref. No: 2024-25/135
February 6, 2025
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Transcript of conference call held on January 31, 2025
This is further to our letter dated January 31, 2025 regarding audio recording of conference call with analysts and investors.

In this regard, we wish to inform that the transcript of the Conference Call held on January 31, 2025 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> as required pursuant to Regulation 46(2)(a) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take the above submission on record.

Thanking you ,

Yours truly ,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:
Page 1 of 17

"Coromandel International Limited
Q3 FY'25 Results Conference Call "
January 31, 2025

MANAGEMENT : MR. SANKARASUBRAMANIAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – COROMANDEL
INTERNATIONAL LIMITED
DR. RAGHURAM DEVARAKONDA – EXECUTIVE
DIRECTOR , CPC, BIO PRODUCTS AND RETAIL –
COROMANDEL INTERNATIONAL LIMITED
MRS. JAYASHREE SATAGOPAN – PRESIDENT ,
CORPORATE AND CHIEF FINANCIAL OFFICER –
COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. RANJIT CIRUMALLA – IIFL CAPITAL

Coromandel International Limited
January 31, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Coromandel International Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. I now hand the conference over to Mr. Ranjit Cirumalla from IIFL Capital. Thank you, and over to you, sir.

Ranjit Cirumalla: Thank you, Muskan. Good afternoon, everyone. Welcome to the Coromandel International's Q3 FY '25 Earnings Conference Call. We thank the management for giving us this opportunity to host the earnings call today.

From the management, we have with us Mr. Sankarasubramanian, Managing Director and Chief Executive Officer; Dr. Raghuram Devarakonda, Executive Director, CPC, Bio Products and Retail; and Mrs. Jayashree Satagopan, President, Corporate and CFO.

We would begin the call with an opening remarks from the management, post which we will have a Q&A session. Over to you.

Sankarasubramanian: Good afternoon, everyone, and thanks, Ranjit, for organizing this conference call. I'll give a brief overview on the business environment and the company performance and Jayashree will take you through the financials, then we can have a Q&A session at the end.

On the agriculture scenario, the rainfall, northeast monsoon, which is the major rainfall activity over South Peninsula, especially in our markets of Andhra, Rayalaseema and Tamil Nadu and Karnataka, has been good, and all regions have reported good rains, especially in October, December period - majority of these regions received above normal rains.

Also going by the early estimates for the next cropping season, global weather models are predicting La Nina to neutral conditions to prevail, which augurs very well for the agriculture scenario for the next season. Thanks to good monsoon, reservoir levels are comfortable, especially in the southern part, with most of the regions reporting high storage compared to last year's normal level, although levels are lower in the northern region.

The conducive environmental conditions have resulted in improved crop sowing. As on 24th January, we could see 2% growth in the crop sowing reaching to 66 million hectares. Being the rabi season, wheat is a predominant crop with 31 million hectares, pulses 14 million and oil seeds at 9 million hectares.

The first advance estimate of the major agri crops projected kharif food grain output at 167 million tons which is 9 million tons more than last year. Record output of paddy and maize is expected in the current season. The gross value added for agri and allied industries is also expected to grow at 3.8% compared to last 1.4%, making it the fastest-growing sector in the country.

On the policy side, there has been good development in terms of infrastructure strengthening. Government has recently announced the work under Ken-Betwa River Linking Project that intends to bring 3.5 million hectares under assured irrigation. Further, there has been renewed

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impetus for completion of Polavaram Project in Andhra, and that can bring in another 1 million hectares of land under irrigation especially in our core markets.

As you are aware, the government has been closely engaging with the industry to ensure availability of fertilizers. And during the rabi period especially in the initial sowing stage, the industry and government has worked together and ensured availability of DAP in the northern markets and also availability of alternate grades of NP & NPKs.

To support this, government has also announced a special package of Rs. 3,500 per metric ton, which got extended beyond 31st December until further orders. Besides this one-time package, they have also extended additional price compensation beyond purchase price of DAP in order to ensure availability of DAP. As company and as industry, we are working towards balanced nutrition and trying to see how best the shift can happen from DAP to NPK.

On the industry side, fertilizer raw materials have been fairly stable, except for sulfur and sulfuric acid due to demand coming from China and Indonesia. Phos Acid price for Q3 has been fixed at \$1,055, \$5 reduction over the previous quarter. Also, there has been a corresponding reduction in rock prices we have witnessed.

Overall, I would say the raw material prices remain reasonably stable and likely to remain stable in the fourth quarter with the easing of geopolitical tension across the globe.

For the 9-month period phosphatic fertilizer production for the industry has gone up by 5% to 11.3 million tons. Of course, imports were lower to 5.6 million tons, almost 20% lower basically due to supply chain disruption of DAP.

On the consumption side, it is one of the best season industry has ever witnessed. In this period,

the year -to-date consumption has grown by 6% to 20 million tons versus 18.9 million tons last year. Also, we have seen the shift happening between DAP even though the availability was less, but farmers have opted for NPK. I would say, 1 million ton shift has happened from DAP to NPK, especially in the northern markets, and the response to the grades likes 20 -20 has been good.

Overall share of NP / NPKs has moved up to 58% from 49% and Q3 also witnessed significant uptick in demand and consumption rose by 27% due to improved agro-climatic situations. The SSP industry consumption also has grown by 3% on a year -to-date basis. Especially in Q3, it has grown by almost 59%.

In Crop Protection, global markets are seeing gradual reduction in the channel inventory levels with improvement in consumption. Some of our key molecules have received good interest from the market, and we expect the situation to further improve in the coming periods.

Coming specific to our company performance for Q3, Coromandel has reported a very resilient performance with overall increase in volumes across the business segments and improved operational efficiencies due to higher throughput especially of intermediate phosphoric acid and sulphuric acid, low conversion costs and improved power generation in the fertilizer unit s.

Besides that , all business segments have grown new products and value -added products.

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Our plants operated at 95% capacity, producing 8.4 lakhs tons of NPK. We registered record phosphoric acid production in Q3 and the new sulphuric acid plant which was commissioned in the last year has been operating on 100% -plus capacity . This has helped the business to capture value on power savings. Also in the volatile price s of sulphuric acid, it was very advantageous for the business to have access to a captive sulphuric acid. Our ongoing project at Kakinada for setting up 2 lakh tons of phosphoric acid and related sulfuric acid is progressing well and we expect the plant to be commissioned by Q4 of next year.

As you all know, we announced investment in additional capacity of 7.5 lakh tons of NPK facility at Kakinada. Last week, we carried out Bhumi Pooja to initiate the project activity, and we are in the final stage of negotiating with technology provider s and business partners and ensure that this project will come up in the next 24 months and be there for commercial production from Q4 of 2027.

On the marketing side, we have significantly improved our volumes. Primary sale of NPKs in Q3 stands at 11.4 lakh tons as against 9.4 lakh tons we had last year corresponding period, registering growth of 21%. It's heartening to not

e that our consumption has been extremely good.

There's been an increase of 73% in consumption and it stands at 12.7 lakhs tons as against 7.3 lakhs tons we had last year . This has considerably reduced the channel inventory for the company . Our ability to take the material to northern markets has been very useful to balance our presence in case of any uncertainties. For the 9 -month period, our consumption based market share has moved up to 17% as compared to 13% last year.

The company is strengthening its marketing infrastructure, and during the quarter inaugurated central soil and leaf testing lab, a state -of-the-art facility at Kakinada. We also set up a polyhouse facility near Hyderabad to drive research in protective agr iculture space. SSP also registered a quarterly volume growth of 29% with a major share coming from value -added products like Gro Plus and urea SSP.

On the specialty nutrient business, which mainly relates to water soluble fertilizers, secondary and micronutrients and organic fertilizers, we had a very good quarter. The business could recoup the volumes lost out in kharif and they could show improved v olumes specifically in organic fertilizers. The business commissioned bentonite sulfur plant, which has improved the capacity from the current levels.

On Nano DAP, our agronomy team has been continuously engaging with the farmers across the country and carrying out field trials, and the response has been quite positive. And during the 9 months period, we have sold 25 lakh bottles, constituting almost 40% of the total sales that has happened in the country.

As you all know that we have also started the Gromor Drive, which is a drone spraying activity . In the last 9 months , we have covered more than 1.1 lakh acres, including the services rendered through our retail outlets. These spraying services, besides providing benefit of cost and convenience to farmer, can also considerably save 90% of the water during input applicatio n as

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compared to conventional methods. This will be one of the activities which Coromandel will be scaling up as we move forward in the next 2 years.

Crop Protection has done well in the domestic formulation segment registering growth of 15% and global export market registering growth of 5%. Business also improved its margin structure - EBIT has improved by 8%, especially driven by domestic B2B and formulation segment. Overall, EBIT margin for the segment is at 14.3%. The new products introduced during the year have performed very well, and the share of sales on new products for the year stands at 24% as against 14% we had last year. In export, our key products have started receiving increasing demand driven by positive momentum in Brazil.

The business has initiated activities for its multi product plant at Ankleshwar, which was approved by the Board in the last Board meeting, and we are progressing well to commission the plant in 18 months' time.

Bioproducts business improved its margin during the quarter, though, export volumes have got impacted, and there's been a delay in securing orders which will come through in the fourth quarter. Business is looking at collaborative opportunity on the Aza side, expanding the product portfolio beyond Aza.

The company is collaborating with a global trading company based out of Europe for niche product segments similar to a CDMO opportunity, which can open up doors for future engagements and can take the bio business to the next level.

It's also testing out the new products in plant extracts and microbial space. I'm happy to share that a lot of products are on the final stage of approvals and registration.

In CDMO, we continue to engage with multiple customers, and we are in the stage of sample submission. Further engagement will happen before we commence the operations.

Retail business delivered

very strong performance during this quarter and the business has performed well across all the segments. Fertilizer has done extremely well through the retail outlets and we have also improved the performance on all other verticals - Crop Protection sale has considerably improved. Specialty Nutrients has grown well, and business has also increased organic fertilizers volume. Business is in the process of adding new stores, have added 18 stores during this quarter, and now the total store count has moved to 810.

The retail business is also focusing on creating exclusive crop protection, liquid fertilizers and drone spraying service stores under the brand name of CoroCare and they are doing the pilot for 3-4 stores. If it works well, it will be extended to more number of stores across AP, Telangana and other states. These are the initial observations on the business performance. I will request Jayashree to cover on the financial side.

Jayashree Satagopan: Thank you, Sankar. Good afternoon, all. Let me take you through the financial performance for the quarter and for year -to-date.

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Turnover : The company recorded a consolidated total income of Rs. 7,049 crores during this quarter and Rs. 19,330 crores for the 9 months ended 31st December, registering a growth of 28% for the quarter and 6% for the 9 months. The increase in revenues is mainly on account of higher volumes in the business.

Nutrients and Allied businesses contributed 91% share and the remaining 9% comes from Crop Protection business. For the 9 -month period, it was 90% and 10%, respectively. Subsidy businesses' share in revenue stands at 84% for the quarter and 83% for 9 months. During the previous year, it was 82% for the quarter and 84% for 9 months.

Profitability : The consolidated EBITDA for the quarter was Rs. 722 crores as against Rs. 358 crores during the last year. For the 9 -month period, it was Rs. 2,202 crores as against Rs. 2,126 crores during the last year.

Subsidy businesses' share in EBITDA stands at 69% during the quarter and 71% for the 9 months. Previous year, it was 37% for the quarter and 74% for 9 months. Net profit after tax for the quarter is Rs. 508 crores in comparison to Rs. 228 crores for the corresponding quarter last year and Rs. 1,476 crores for the 9 months against Rs. 1,477 crores during the last year.

Subsidy : During quarter 3, the company received subsidy amount of Rs. 2,036 crores. Last year, it was Rs. 721 crores. For the 9 -month period, subsidy received totals to Rs. 5,892 crores. And in the last year, it was Rs. 7,033 crores. Subsidy outstanding as on 31st December, 2024, was at Rs. 2,095 crores.

Balance sheet : The company's balance sheet continues to be strong. Focus on working capital improvements has helped in augmenting the cash position. Company intends to utilize the investable surplus for its capital investments as well.

Incentives on capital investments : The company had applied to the AP government for availing incentives on the large capital investments that's being made in the state. This has been

favourably considered by the State Industrial Promotion Board.

Tax matters : The company has successfully applied and has been receiving GST refunds.

During the quarter, the company engaged proactively with the GST authorities and represented the matter relating to a demand of Rs. 589 crores against the earlier GST applications and refunds received. The company has recently received a favourable order from the GST Commissioner.

Interest : During the quarter, the company earned net interest income, excluding the Ind AS lease adjustments, of Rs. 51 crores viz -a-viz Rs. 31 crores in the last year. For the 9 -month period, company earned a net interest income of Rs. 68 crores vis -a-vis Rs. 53 crores in the last year. Company continues to deploy the surplus funds in Board

-approved securities and will be

deploying them further for its future strategic investments.

Forex : During the later part of the third quarter, the U.S. dollar strengthened against most currencies, with the Republicans winning in the U.S. Elections and Donald Trump getting back to power. Indian rupee, like other global currencies, witnessed a sharp depreciation moving from Rs. 83.79 to Rs. 85.68 during the quarter. Coromandel continued to follow a prudent

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conservative approach of hedging the forex exposures, which has immensely helped in limiting the impact of the currency depreciation.

Dividend : The Board in its meeting held on 30th January 2025, has approved an interim dividend of Rs. 6 per share.

Thank you all for your interest in Coromandel and joining the call today. We look forward to the interactions.

Moderator: Thank you very much. The first question is from the line of Nirav Jimudia from Anvil Research. Please go ahead.

Nirav Jimudia: Ma'am, I have two questions to ask. So one on the agro side. Ma'am, if you can share what was the volume growth for Mancozeb in 9 months of FY '25 vis -a-vis of 9 months of last year as well as also if you can share that like recently, we have seen the prices of Mancozeb in the international market moving up. So how much of that is captured in Q3? And how much it is still left to be captured going forward?

Jayashree Satagopan: So, Nirav, thanks for your question. I'm just going to get the volume data out. Meanwhile, in terms of the Mancozeb prices, I'm going to request Raghu to give you a bit of an update.

Sankarasubramanian: So my suggestion would be, instead of specific products and pricing, let's look at the macro picture. I would request Raghu to respond to it. But we'll not get into the specifics on the product pricing and volume at this stage.

Nirav Jimudia: Fine, fine, fine. Sir, also, if you can share like last year, we produced close to around 70,000 tons of technicals out of over 90,000 tons of production capacity. So how are we looking FY '25 and FY '26 in terms of the production of technicals, given the kind of newer products we have launched on the formulation side? This along with if you can combine the volume data growth for Mancozeb, that would be helpful.

Sankarasubramanian: Raghu, I'll briefly touch upon before you comment on Mancozeb.

Raghuram Devarakonda: Sure.

Sankarasubramanian: It may not be appropriate to look at absolute volume of technicals because more and more new products are coming in, which are high value and low volume. Some molecules also go out of the system. So it may not be appropriate to look at tonnage as the indicator for the future growth prospects. Rather we should look at whether we have got registration for new generation molecules, which can improve the overall business prospects and the margin structure.

There are enough opportunities available for us to scale up the production. And recently, in yesterday's Board meeting also, we have taken approval to enhance the capacity of our technical facility. Besides the multiproduct plant for which we took approval, we are looking at some brownfield capacity expansion, which may come up between Sarigam and Dahej.

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So we are looking at the current business environment, opportunity that it throws up in terms of the registration, and the countries in which we operate. We are planning to take advantage of the market situation and increase our volume growth.

Definitely, the capacity utilization may come down due to monocrotophos moving out, but we are repurposing these plants with new technicals and new products and the products which have been initiated in the beginning of this quarter are in the final stage and will be completed by March. And this will come into next year

in production, and we'll be launching the products and brands both in domestic and global markets.

Raghu may supplement with any volume data relating to Mancozeb.

Raghuram Devarakonda: So primarily, just to add, I think specifically the Technicals that we are talking about, as we have mentioned in the previous interactions, we are expanding our product portfolio to enter herbicide also, so that we get a good balanced portfolio of insecticides, fungicides and herbicides with a view to support our formulation foray .

We have made a foray into selling formulations in the exports market as well. So with that objective, we have invested in the back end to make some technicals so that we produce ample quantity both to support the B2C as well as the B2B opportunity.

Nirav Jimudia: Got it, got it, sir. Sir, second question is on the SSP side. So if you can share your thoughts here because last year was bad in terms of the SSP. But given the kind of price increases and the shortages, what we have seen on the DAP side, possibly SSP being a good substitute, how do you see the volume growth for SSP in FY '25 and FY '26?

And also, if you can share like what sort of margins per ton we are currently making on the SSP side? Because in one of the interactions earlier, ma'am mentioned that like we were anywhere between Rs. 1,500 to Rs. 2,500 a ton of SSP margin. So if you can share your thoughts here, that would be very helpful.

Sankarasubramanian: SSP has definitely revived. In fact, current year performance is much better. As you rightly said, due to the shortage of DAP and also the good monsoon situation, there has been a spike in SSP volume. In the case of Coromandel, more than chasing volume, we have looked at value -added products. We have a unique product, which is base SSP plus micronutrients like zinc and boron, which can be a potential alternate to DAP, which has been doing extremely well. We have scaled up the volume of these variants. In fact, the major share of our volume growth, which happened in this quarter has come from these differentiated products like Gro Plus.

Also, as you are aware, we have introduced urea SSP, which besides P , contains N as well. And this is again a one -to-one alternative to DAP. This has also been very well received in the market.

So our aim in SSP business is to focus more on value -added granulation products. And accordingly, we are increasing our capacity to produce urea SSP. The plant which came up in Nimrani for urea SSP has been operating at full capacity. Now we are trying to add this facility at Udaipur, which is another plant for SSP. And going forward, more than 50% to 60% of the total SSP volume will come from these differentiated products, which improves the margin structure. You are absolutely right, the margins are in the range of Rs. 1,500 to Rs. 2,000, but it

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can potentially go up with the increased share of these unique grades. As you know, we have plants across the country, and we have capacity close to 1 million ton.

This year, we had some challenges in availability of sulfuric acid, and we couldn't scale up the volume. But going forward, our aim would be to reach 1 million ton capacity in 2 years' time, probably taking it to 8 lakh tons next year and thereafter 1 million ton, and that too with focus on the specialty grades, which are as good as any other NPK products.

Moderator: The next question is from the line of Prashant Biyani from Elara Securities.

Prashant Biyani: Congratulations on great set of numbers. Sir, POS volume this quarter has been very strong across India in both urea and complex. What is driving this? And would it mean that Q4 dispatches should again be seeing double -digit growth for us?

Sankarasubramanian: So overall monsoon condition, reservoir levels and crop acreages are up , due to which the consumption has g

one up significantly. In fact, as you're all aware, in the year beginning, the channel was carrying higher inventory that partially got reduced in kharif.

Now in this Q3, there's a significant reduction in the channel inventory. As you all know, in most of the markets, the crop season comes to an end by February middle or end. The consumption may not happen from March until season starts in May. But having said that, we could see a significant improvement in POS volume even in January.

So this is really helpful in terms of reducing the channel inventory, thereby unlocking the subsidy amount which is stuck in the system. It's good. It augurs well for the next kharif season where the industry can build up inventory and meet the market demand. But the volume growth is contingent upon the capacity and the import tie -up, which has happened.

So it won't be a double -digit growth. It will be as per our plan. And as you know, fourth quarter, we generally take annual turnaround. So our volumes will be more or less aligned with the market demand. That's the way we have been doing every year.

Prashant Biyani: Sure. Sir, for FY '26, what kind of volume growth are you looking at? And it will be contributed by incremental volumes would be contributed through manufacturing or trading?

Sankarasubramanian: See, it will be a combination of both. Very difficult to put a number, but we have been carrying out some debottlenecking of our facilities at Kakinada as well as Vizag. And that will be really

adding to the volume increase next year. Also in our Ennore plant where we have currently restarted only phosphoric acid and sulfuric acid, we are yet to start the granulation plant. We are trying to repurpose this plant for any alternate range of NPK fertilizers. So there is a potential volume increase for manufacturing from Ennore and also by debottlenecking the capacities at Kakinada and Vizag.

Besides that, we may resort to imports, especially DAP. As a company we manufacture NP / NPKs and we import DAP. Sometimes we also resort to NPK. As a strategy, we have decided to scale up the volume in the next 2 years to ensure that whenever the new plant comes up, we

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develop the markets, especially in the northern states of MP, Rajasthan and Uttar Pradesh, so that we'll be able to easily absorb the volumes as and when the plant is commissioned.

Prashant Biyani: Right. Sir, for this quarter, I think there is a dip in non-subsidy non-CP EBITDA, the segment which comprises of spec chem, organic nutrients, retail and others. Is the reading right? And if yes, what is driving this decline? And I was a bit confused because in your initial commentary, you told that specialty nutrients business was good, but this non-subsidy non-CP EBITDA is showing some decline. If you can confirm that?

Sankarasubramanian: I don't know how you arrive at the math. All these are part of the Nutrient segment, both specialties as well as retail comes under the Nutrient segment and that has grown. Our retail stores have done extremely well on the volumes across categories and most stores have become profitable.

And specialty nutrients have also grown on volume terms compared to last year, both top line and profitability has grown for this segment as well. We have improved our Nano DAP volumes as well compared to last year. So probably there can be a marginal reduction in the bio business where the export orders we executed last year has not happened to that extent.

Moderator: The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management.

Arjun Khanna: Congratulations on a great set of numbers. The first question is in terms of supply chain. So we are setting up a new granulation train. So we had acquired a stake in Baobab Mining. Any other such acquisitions on the anvil? We had talked about securing rock phosph

ate. We haven't seen

any such acquisitions or such tie-ups post this one. Would like to hear your comments on the same.

Sankarasubramanian: For the new granulation capacity, the phosphoric acid required is 2,00,000 tons. We are putting up a new plant that will take care of Phos acid. For the corresponding sulfuric acid needs also, we are putting up a plant. For ammonia, we have a long-term contractual arrangement. So we don't see any challenge.

For phosphoric acid, we require rock. We have fair visibility on the sources of rock. You are right, Baobab Mines, we are scaling up. During this quarter, we have commissioned the fixed processing plant and the operations are getting stabilized. At this current rate, we are able to ship out 1 ship every 45 days. And soon that will get reduced to 30 days with improved throughput. So we do expect Baobab Mining can scale up volume to 3,00,000 tons next year and in the following year up to 5,00,000 tons, which is a significant supply to meet the Kakinada rock requirement for the new phosphoric acid plant. So we don't anticipate any challenge in terms of securing rock phosphate for the new plant. It will be driven by Senegal supply plus other existing sources where we have long-term contracts.

Arjun Khanna: Sure. That's helpful. And at 5,00,000, would that entity be profitable?

Sankarasubramanian: Yes. It should, with the cost structure once the volume improves. Currently, the cost structure is a little on the higher side because of the lower output, but when the output gets stabilized, we

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are highly confident that we'll be much more competitive. More than looking at the stand-alone profitability of Baobab, we look at the complete value chain of phosphoric acid as a value addition and also our ability to buy rock from other sources at a competitive price.

Our understanding of mining, our understanding of rock market is definitely helpful to secure the entire volume at the most competitive price. So I don't look at Baobab on a stand-alone profitability basis. On an integrated basis, it makes a lot of strategic sense for the company.

Arjun Khanna: Sure. Very helpful, sir. Sir, the second question is on the retail piece. You also did allude to it. What would the turnover be of this business, say, in the third quarter and in 9 months? And in terms of year-on-year, how are we looking at scaling this up going forward?

Sankarasubramanian: As per the segmental, we don't put out the separate top line and profitability. But what I can say

is that it has grown significantly. On Q3 alone, the top line growth is 20%. And in terms of bottom line growth, we have seen significant improvement.

In bottom line on retail, we capture only the retail margin, we don't capture the entire margin because that remains with the respective SBU s in terms of captive products. Only for the third party, the entire margin goes into the retail business. There has been 17% growth in the profitability as well.

Besides revenue and profitability, it improves our ability to scale up the new products. So we have seen in the last few quarters, whatever new products in Crop Protection or specialty segments or organic, the ability of retail to connect with and communicate with the farmers and scale up the volume has been tremendous. This has given enough confidence to us to enhance the number of centers from the current level. The last time also, we spoke about doubling the centers from current levels, and we are on that path. We'll be adding significant number of stores in fourth quarter as well. So strategically, I think upside of retail is still yet to be played out.

Arjun Khanna: Sure. Sir, what would be the number of stores as on 31st of December? And would it be PBT positive as a whole?

Sankarasubramanian: Absolutely. 810 stores.

Arjun Khanna: 810?

Sankarasubramanian:

Yes.

Arjun Khanna: And you said we are looking at doubling it over 2 years to maybe 1,500 plus by FY '27?

Sankarasubramanian: Correct.

Moderator: The next question is from the line of Somaiah from Aventus Spark.

Somaiah: The first question is on the volumes that we have done, 11% growth. Could you help us understand how much was contributed from our core region? And how did we benefit from the northern market expansion? And also, if you can give some color on the northern market expansion, which are the regions and how you are planning it for the next 1 year?

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Sankarasubramanian: See, this quarter, basically rabi season, the activity is more in the northern markets compared to the south market, especially in the month of November. And as I mentioned in my earlier communication, as part of our strategy to increase the availability of fertilizers in the northern market, we started sending shipments to state of Madhya Pradesh, Uttar Pradesh, Rajasthan. The volumes, of ~3.1 lakh tons have come from north and central. If I have to compare the earlier year corresponding period, it was around 1.6 lakh. So we can say we have doubled our numbers as compared to last year corresponding quarter.

This is a strategic call we have taken to ensure that we move to northern markets for our NP / NPK and position ourselves as a pan -India player in the fertilizer, especially phosphatic business. We have significant presence through single super phosphate, specialty nutrients and Nano and we have a complete range of product portfolio. While we have been focusing on primary markets of Andhra, Telangana, Karnataka and Maharashtra, we started focusing on these secondary markets.

Somaiah: Got it, sir. Sir, also, could you give some color on the global phos acid market, how you are seeing in terms of supply -demand dynamics and also on rock? Is this a year where there is a good amount of supply and the demand is kind of normalizing compared to last year?

Or you see still things to be on the tighter front because phos acid prices have kind of slightly gone up now. Now we are at Rs. 1,050-odd levels. So just wanted to understand your thoughts on the supply -demand dynamics.

Sankarasubramanian: So phosphoric acid globally, most of the countries have started securing fertilizers for their domestic use. So to that extent, there is no significant addition to the global trade of phos acid. But the sources which have been supplying acid, especially to Coromandel, we continue to receive those supplies. In fact, we have diversified our phos acid sources to more than 6 to 7 and derisked ourselves.

Besides various sources, we are putting up a new phosphoric acid plant of 2,00,000 tons. We don't see much challenge in terms of availability of phosphoric acid. Whatever is required, we should be able to tap the market and make it available.

And in terms of the rock, we have a significant requirement both for Vizag and Kakinada.

Currently, we have 1.5 million tons we consume in Vizag. It may go up to 2.3 million, 2.4 million tons when we commission Kakinada plant. But we have stable sources from African countries, and we don't see any major challenge.

The current pricing scenario, Phos Acid prices generally track DAP prices. And as a country and as a company, we are in a position to negotiate terms in line with the DAP price movement and ammonia prices. That has been the trend in the past. And India was able to negotiate better price as compared to global prices prevailing in Europe and other parts of the world.

In terms of the rock pricing, as I mentioned in my earlier communication, there has been reduction in rock price in the last quarter. And going forward also, I expect some softness in
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rock phosphate, which we could see especially

for SSP use and also for our main Phos acid production.

We are not expecting any challenge in securing raw material as well as the prices.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congratulations on a good set of number. First question on the fertilizer margin outlook. We had highlighted during our management interaction earlier around 40 -odd percent jump in overall fertilizer margin. Just wanted to understand the time lines for it and whether the change in SSP portfolio, the differentiated products that we are making is a top -up to that 40% jump or is it including in that guidance that you had given earlier?

Sankarasubramanian: This I refer in the context of the value addition what we'll get once we commission sulfuric acid, phosphoric acid plants at Kakinada . And as and when this plant gets commissioned, the improved conversion cost efficiency and the value addition what we have and our ability to secure rock from our captive mines, we should be able to achieve this sort of improvement in the EBITDA margin probably in 2 years down the line. And that also includes the portfolio of SSP.

Ankur Periwal: Sure, sir. And just secondly, your thoughts on the Crop Protection business, especially on the export side. The pricing -led competition that we had been seeing earlier , are we now expanding into newer geographies as well? Or the growth focus from crop protection perspective will be largely on India as a market in terms of in -license and combination products and export will be taking a back seat? Your thoughts there?

Sankarasubramanian: No, we'll be growing in all the 3 segments, whether it is exports , B2B or B2C. And the main reason we are expanding capacity is to cater to all the 3 segments . We are also diversifying our presence . Price fluctuations do happen in any commodity.

We've seen in the recent past that there has been an increased demand and uptake of these molecules because of the additional spraying , especially by Latin American growers . The lowering of inventory is helping us to get the better price. Our focus will be to see how best we can increase the volume in the export market. Right now, we predominantly focus on B2B. We are trying to see how we can formulate and sell various technicals .

While we are preparing ourselves for introducing and registering new products, we are also in parallel working on creating the market opportunities to participate in B2C, especially in Latin America. and Southeast Asian countries. We are also initiating registration in Europe and U.S. So we will definitely continue to focus in export market.

Of course, India is not to be left out. In India market, as I mentioned in my last earnings call, we are bringing back the focus with our wide range of 14 technical active ingredients that we manufacture , which provides us with enough opportunity to scale up the branded volumes.

We are coming up with new combinations and formulations, and we'll give an aggressive push to the domestic formulation business . This may not require capex , but its more in terms of brand
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building and strengthening product management approach. We are updating our organization structure to suit the revised need s.

Our aim would be to grow all the 3 segments. And whatever the residual capacity is there to optimize the operations at our plant, we will focus on B2B domestic as well.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: Congratulations. So if you look at the volume growth for the industry in exports, numbers range 30%, 40%, 50%. So in terms of the volume growth expectation in exports next year on this base, what is a realistic assessment of volume growth possible for the industry in your company?

Sankarasubramanian: Raghu, you want to take th

at?

Raghuram Devarakonda: As Sankar mentioned, the outlook is quite positive. Having said that, from a value perspective, for many of the active s because we still largely do business in actives, the prices, while they have stabilized, they are at a fairly low level. So therefore, volume becomes an important play to keep the overall sales at an even field.

So having said that, that is the reason why we thought we could foray into the formulation

segment where not only we capture a decent amount of top line, but also the margins. So in that regard, the thrust that the management is taking, is putting more money into registration. So when there is so much of competition on generic actives, the only way to make money would be to enhance our presence in the formulations market, both in India and abroad. So when you say volume, our growth expectation is buoyant in both actives as well as formulations. But as a company that is making a more recent foray into formulations, its outlook for formulation growth is on the higher side in exports, specifically that you ask. Does that answer?

S. Ramesh: Okay. That is fair enough.

Raghuram Devarakonda: There is a shift. Yes, there is a shift. So the thrust is more on formulations, yes.

S. Ramesh: Okay. And in terms of the nutrient business, based on the October NBS rate, is there any under recovery in the fourth quarter? And how do you see that being reset in the April subsidy? What is the indication you're getting from the government?

Sankarasubramanian: See, there are some uptick in raw material prices like sulphur, sulfuric acid. And definitely, DAP margin-wise, it is not good enough for us to produce and sell. So we have been representing to the government. And also certain NPK grades like N-10, there has been challenges because of very low subsidy on potash. As the industry, we have been representing to the government to make those corrections and also consider additional costs.

If you ask me for the fourth quarter at this point of time, in certain products, it looks okay, but for certain grades, there is a shortfall in margin. We will be continuously engaging with government and hope to see some correction happening in the next year.

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S. Ramesh: Okay. One last thought on the minority interest accounted in the consolidated results, I presume it's mostly based on your Dare Ventures and your drone subsidiary. So when do you think the drone and Dare Ventures subsidiary impact on your consolidated numbers turn positive?

Sankarasubramanian: Jayashree, you want to take that?

Jayashree Satagopan: Yes. You're right, Ramesh. Most of our subsidiaries, which are less than 50% is getting counted as a minority interest. As far as the subsidiaries are concerned, the larger entity that is into operations is the drone subsidiary. Here, as you know, we had received the orders from the emergency procurement team on defence and the order book is about Rs. 250-odd crores.

Dhaksha is awaiting the PDI so that the shipment of these drones can be made. Pending that, we are just focusing on the agri drones business at this point in time, and also training of pilots. So we expect in the coming year quite a positive traction in the drone company operation.

Dare Ventures is nothing but an entity which looks into investing in new ag-tech start-up companies. Like, for instance, we had invested in a company called Ecozen, which is into solar power related and then X Machines, which is into small agri robotic applications.

So Dare Ventures is just a small investment arm, but there are other entities, which are subsidiaries globally, which hold primarily registration for exports in the CPC segment. So the main one is the drones company, which we believe, with traction building up on agri as well as some turnaround on defence, should do well in the coming year.

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Moderator: The next question is from the line of Bharat Sheth from Quest Investment.

Bharat Sheth: Congratulations on good set of numbers. Sankar, if you can give a little more color, say, where we are talking of, say, reaching SSP 1 million tons. So what kind of a blended will be, let's say, out of that mixture of SSP and urea? And if you can also share the profitability part, how is it with this mixture will be having higher than the SSP and/or sitting somewhere in what kind of a range?

Sankarasubramanian: From the value-added products, both urea SSP and Gro Plus when we reach scale, I expect 60% to come from these 2 products. And balance 20%, 25% will come from normal granulated SSP with zinc and balance can be powder SSP.

So blended margin with this sort of a combination of 60:40 should go to Rs. 2,500 per ton.

Currently, base SSP is powder SSP and granulated SSP in the range of Rs. 1,500 to Rs. 1,800.

And the other products are in the range of Rs. 2,000 to Rs. 2,500. So blend with the increased volume of this Gro Plus and urea SSP should take the margin up for SSP.

Bharat Sheth: How much? Sorry, can you repeat?

Sankarasubramanian: Sorry?

Bharat Sheth: This blended margin, how much you said? Sorry, I missed it.

Sankarasubramanian: Rs. 2,500, you can take as blended margin.

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Bharat Sheth: Okay. And secondly, if you can give a little more color on our specialty nutrient business. So what is the size? And how do we see with this expansion in geography also?

Sankarasubramanian: Which business? I'm not clear.

Bharat Sheth: Special nutrients. SND.

Sankarasubramanian: In Specialty nutrients, we operate on pan-India basis. And especially in Western Maharashtra, Rajasthan, MP, UP, Punjab, Haryana, these are all the key markets for the specialty nutrients.

We have increased our sulfur capacity also and have put up a new plant.

We have seen 30%, 40% volume growth in specialty nutrients in the retail centers, especially in AP, Telangana. We also sell in other common markets through fertilizer channel, whether it is Karnataka, Andhra, Telangana or other parts of India. So, we have a combination of retail network, exclusive markets, predominantly for horticulture crops and drip irrigation and also we sell through common markets. We have introduced seaweed granules this year. Right now, we are doing it with a third-party product. If the volume scales up, then we may put up new facility to make our seaweed granules. And we are also scaling up volumes on organic potash.

Our focus will be to scale up the volume and create capacities. In fact, we are reaching the size and scale, we are seriously looking at manufacturing some of the raw materials to reduce our dependence on imports from China. That provides opportunity because global players of specialty nutrients are also looking for India sourcing. They are trying to shift the manufacturing source from China to India. If that happens, that provides additional opportunity for companies like Coromandel to come up with these raw materials because water-soluble fertilizers use MAP, SOP and potassium nitrate.

We are also seriously evaluating as part of our growth strategy to create a back-end value chain for specialty nutrients and also be a global supplier. I strongly believe water-soluble fertilizers, high-end specialties, organic and bio will be the next phase of growth, and we are currently positioning ourselves for that.

Bharat Sheth: So currently, what is the size and profitability? Is that fair understanding, earlier, we were talking of around 20% kind of EBITDA margin.

Sankarasubramanian: Absolutely. It has the potential to generate EBITDA margin of 20%, 25%

Bharat Sheth: And what is current size?

Sankarasubramanian: I think with their currently placing as well.

Bharat Sheth: And currently, how -- what is the size

?

Sankarasubramanian: It will be in the range of Rs. 550 crores to Rs. 600 crores on an annualized basis. Our aim would be to see how do we double it in the next 2 years' time.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investment.

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Vignesh Iyer: My first question was on the line of sulfuric acid, due to backward integration, can you tell me how much did we save instead of, say, importing the same in this quarter as well as quarter 2?

And second question is, how has the price of sulfuric acid played out in, let's say, last 4 to 5 months? I mean if you could quantify like in January, how much it has increased as compared to maybe September or October level?

Sankarasubramanian: It used to be in the \$80, \$85 range, that has moved up to \$100. And we do have a combination of annual contracts and the spot contracts. So if you can say the average around \$90 to \$100 has been the sulfuric acid price if they import.

On the value addition, what we get in terms of manufacturing sulfuric acid, we have two benefits, cost of production versus imported sulfuric acid as well as the power savings. I may not have an exact number for the quarter, but I can say roughly Rs. 180 crores is the 9 months benefit we have realized on account of sulfuric acid value addition.

Vignesh Iyer: That is your Vizag and Ennore plant together, right?

Sankarasubramanian: Vizag. We have got new sulfuric acid capacity in Vizag.

Moderator: The next question is from the line of Liju Dalu from Antique Stock Broking.

Liju Dalu: Sir, my question was in terms of the unique grade share to the total fertilizer volume this quarter. So if you could share that number?

Sankarasubramanian: For this quarter is around 34%.

Liju Dalu: 34%, yes. That's it from my side.

Moderator: As that was the last question for the day, I now hand the conference over to the management for closing comments. Over to you.

Sankarasubramanian: Thank you very much. We will continue to do our best to improve our performance in the coming quarters. Thank you for your active support. Thank you, Ranjit.

Jayashree Satagopan: Thank you, all.

Moderator: Thank you. On behalf of IIFL Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

Ref. No: 2025-26/015
May 9, 2025
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra-Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of conference call held on May 2, 2025

This is further to our letter dated May 2, 2025 regarding audio recording of conference call with analysts and investors.

In this regard, we wish to inform that the transcript of the Conference Call held on May 2, 2025 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> as required pursuant to Regulation 46(2)(oa)(ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take the above submission on record.

Thanking you,

Yours truly,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:

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"Coromandel International Limited Q4 FY '25 Earnings
Conference Call "

May 02 , 2025

MANAGEMENT : MR. SANKARASUBRAMANIAN S. – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
DR. RAGHURAM DEVARAKONDA – EXECUTIVE DIRECTOR
(CROP PROTECTION , BIO PRODUCTS AND RETAIL)
MS. JAYASHREE SATAGOPAN – PRESIDENT , CORPORATE
MR. DEEPAK NATARAJAN – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to Coromandel International Limited Q4 FY '25 Earnings call hosted by Nirmal Bang Institutional Equities Private Limited.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. S. Ramesh. Thank you and over to you, sir.

S. Ramesh: Good afternoon, ladies and gentlemen. On behalf of Nirmal Bang Equities, I am delighted to invite all of you for the 4 Q FY '25 Earnings Call with the Management of Coromandel International. The Company is represented by Mr. Sankarasubramanian – MD and CEO; Dr. Raghuram Devarakonda – Executive Director (CP, Bio and Retail); Ms. Jayashree Satagopan – President (Corporate); and the new CFO – Mr. Deepak Natarajan.

So let me hand over the call to Sankar for his opening remarks. Over to you, sir.

Sankarasubramanian S.: Good afternoon everyone. And thanks, Ramesh, for organizing this call. Let me give a brief on the business environment experienced during the year, and then we will talk about the Company's performance, followed by a Q&A session.

India experienced the positive Agricultural environment during 2024-25, aided by above normal monsoon and higher reservoir levels leading to higher crop sowings. As per the latest estimate for 24-25, the food grain production is estimated at 331 million tons, an increase of close to 5% over the last year. As per the National Statistical Office, the gross value added in Agriculture and allied activities for the Financial Year 24-25 is projected to grow by 4.6% as against 2.7% last year, and this reflects a positive turn around in the Agri sector. With good monsoon during rabi, reservoir levels as on date are much comfortable at 36% compared to 30% last year, with South, Central and West regions well above last year's level.

Going forward, the weather forecasting agencies like Sky met and IMD have estimated normal to above normal monsoon for the upcoming kharif season. Our key operating markets are expected to receive good rains. IMD will issue an updated forecast providing region-wise view in the last week of May. Summer sowings have started on a positive note. As on 18th April, the crop sowing stood at 7 hectares compared to 6 hectares last year.

Coming to the policy front:

India's irrigation infrastructure has been making a lot of progress. The area under assured irrigation has increased from 45% in 2010 to 55% in 2021, resulting in increased cropping intensity. In its budget, Andhra state has committed an outlay of Rs. 18,000 crores for various irrigation projects, which include Polavaram, to be implemented in FY25-26. Similarly,

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Telangana state also got the clearance for integrated Sitarama lift irrigation and Sitamma Sagar multipurpose project which is expected to bring close to 8 lakh acres under assured integration. Direct income schemes like PM Kisan are gaining good traction. Andhra Pradesh Government has recently announced implementation of another similar scheme, which proposes to deposit Rs. 20,000 annually, including the PM Kisan scheme of Rs. 6,000 into farmers' account. As you all know, Telangana has also introduced the Rythu Bharosa scheme, and it intends to provide cash transfer of Rs. 12,000 per acre annually. All these augurs well to increase disposable income in the hands of the farmers.

The Government has announced nutrient-based subsidy rates for 25-26, with the increase in P rate almost 42%, in line with in

crease in global DAP prices and increase in other input raw material prices. The cabinet has also extended one-time special package of Rs. 3,500 per metric ton on DAP beyond the subsidy rate for the period up to 30 September '25. It has also given additional compensation to make DAP imports viable.

During the last year, most of the fertilizer raw material prices remained broadly stable, slightly at a higher level. Recently, sulfur, sulfuric acid prices went up as a result of demand from China, Indonesia and Morocco. The phosphoric acid price for Q1 has been fixed at \$1,153/ton, reflecting an increase of \$98 per ton over the previous quarter. This is perfectly in line with the significant increase in DAP price witnessed during this period.

During the year, domestic phosphatic industry increased its production by 9% to 15 million tons.

There has been a significant shift in the consumption mix, with NPK sales moving up by 28% to 14 million tons and replacing the DAP shortfall, especially in central and northern markets despite the lower MRP of DAP. Looking at the whole year number, the share of NPK has moved up to 60% as compared to 51% in the last year. DAP supplies were impacted due to lower supplies from China and also MRP restrictions affecting the viability of imports for the domestic as well as import of DAP.

During the year, the crop protection industry experienced reasonably stable volumes. And going forward into 2025, the market is expected to be relatively positive with stabilizing agrochemical prices, improved inventory situation and favorable weather conditions in Europe, Asia and Brazil. Some of our key molecules have received good interest from the market and we do expect the situation to further improve in the coming periods.

Coming to Company's performance for the year :

Our manufacturing plants undertook capacity debottlenecking to deliver the highest ever volume of 33.3 lakh tons with a high level of safety and environmental management. Our Ennore unit safely resumed the phosphoric acid and sulfuric acid plants after obtaining all necessary statutory clearances. The company's Phos Acid production, including Ennore, went up by 6% during the year. The major backward integration projects for Phosphoric Acid and sulfuric acid plants at Kakinada are on track and are expected to be commissioned in the current Financial Year 2024-25.

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26. We have also initiated work on the Brownfield granulation train at Kakinada which is expected to come on stream in the year 2026-27.

Company has obtained all requisite approvals from Government of Senegal and has increased the shareholding in the mining Company BMC C to 54%. With this, BMCC has become a subsidiary of Coromandel. It has stabilized production through setting up a fixed processing plant. The throughput has significantly improved over the earlier quarters, resulting in the business achieving operational profitability in the last two quarters. Going forward, we do expect a consistent supply of rock phosphate from BMC C, which can meet one-third of total rock requirements for Coromandel. Company has also signed a long-term contract with Ma'aden, one of the world's largest producers of phosphatic fertilizers for the long-term supply of DAP and NPK fertilizers.

On the marketing side :

Coromandel registered record sale of phosphatic fertilizers and record consumption in the year 2024-25, increasing the volume by 13%. The share of unique grades stands at 35%. On a consumption basis, the market share for Coromandel has improved to 18% from 15% over last year. As part of its market diversification approach, Company has forayed into north and central markets, and have received good response, making Coromandel a pan-India player in fertilizers.

On the SSP front :

Sales volumes for the year were up by 18%, with

the major growth coming from differentiated variants like Gro Plus and Urea SSP.

Coromandel's drone spraying services, delivered through Gromor Drive initiative and retail centers, achieved significant scale covering close to 2.2 lakh acres and is witnessing strong adoption by the farming community.

Specialty nutrients business, mainly comprising of water-soluble fertilizers, secondary and micronutrients and organic fertilizers had a good year. The volumes have been consistently growing year after year. The business also introduced crop-specific and state-specific products to expand its portfolio. The business commissioned sulfur plant to double its capacity. Business is also evaluating creating water soluble fertilizer capacity by leveraging its strengths in phosphates.

Nano DAP business continued its focus to promote awareness of the product. During the year, the Company has marketed 26 lakh bottles, maintaining a market share of 33%, achieving close to 80% of liquidation. Business is also seriously evaluating the export opportunities of Nano DAP across various countries.

Coming to Crop Protection and Bio business :

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The revenue from crop protection business was up by 7% to Rs. 2,637 crores, led by higher sales in formulation which has grown by 16%, export grown by 5%, and bio growing by 9%. EBIT has grown by 25% to Rs. 365 crores as improved demand for its key molecules in domestic and

export markets and performance of new products and captive molecules enhanced the profitability for the business. Share from sales of new products in formulations is at 21%, up from 15% last year.

In Bio Products business :

Despite a slowdown in Azadirachtin in the export market, the business achieved volume and sales growth. As part of its diversification strategy, it expanded into non - Azadirachtin plant extracts and launched VAM based biofertilizers. The business has also built in-house fermentation microbial R&D capabilities and plans to launch microbial crop protection products in FY 25-26.

During the year, the Coromandel signed a definitive agreement to acquire controlling stake in NACL Industries. The proposed acquisition will position Coromandel as one of the leading players in the Indian crop protection sector with a wide range of Technicals and pan-India presence in domestic formulations business. This will help in expanding Coromandel's scale, accelerating entry into contract manufacturing business, fast tracking new product commercialization and expanding its product portfolio. We expect the transaction closure and regulatory approvals to come through by Q2 of this year.

Coming to Retail :

During the year, the retail business of the Company expanded its footprint by adding another 130+ Mana Gromor centers in Andhra, Telangana, Karnataka. Also, we forayed in new markets like Maharashtra and Tamil Nadu. We are expanding our digital presence through My Gromor app and other social media platforms. With 99% of the stores profitable, we are looking at expanding our presence in coming years.

With that, I will now hand over to Jayashree to take you through the Company's financial performance. Over to you, Jayashree.

Jayashree Satagopan: Thanks, Sankar. A good afternoon, everyone. Let me quickly take you through the Company's financial performance.

In terms of the turnover, the Company recorded a consolidated total income of Rs. 5,114 crores during the quarter, and Rs. 24,444 crores for the full year vis-à-vis the corresponding period of Rs. 3,996 crores for the quarter, and Rs. 22,290 crores for the full year. This registers a growth of 28% for the quarter and 10% for the full year. The increase in revenues has been mainly on account of growth in volumes registered across all our businesses.

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The breakup of subsidy and non-subsidy share of business stands at 79% and 21% during the quarter. In the corresponding quarter of the previous year, the percentages were 78% and 22%, respectively. For the full year, it's 82% and 18%. For the corresponding period in the last year, it is 83% and 17%.

As far as profitability is concerned, the consolidated EBITDA for the quarter was Rs. 426 crores against Rs. 273 crores during the corresponding quarter of previous year. For the full year, it was Rs. 2,628 crores against Rs. 2,399 crores during the last year. The increase in EBITDA is mainly due to volume growth across the businesses and margin expansion in our CPC business. Subsidy/non-subsidy shares stand at 67% and 33% during the quarter. For the corresponding quarter of the previous year, it was 53% and 47%. For the full year, the break-up is 70% and 30%. The corresponding figure for the previous year is 72% and 28%.

The Board had approved a final dividend of Rs. 9 per share. This includes a normal final dividend of Rs. 6 per share and a one-time special dividend of Rs. 3 per share.

On subsidy, during the quarter, the Company received Rs. 2,190 crores towards subsidy claims. The comparative figure in the last year was Rs. 2,165 crores. For the full year, the subsidy received is Rs. 8,082 crores. Previous year it was Rs. 9,198 crores. The Government has been prompt in clearing the subsidy dues. As of today, we have received our subsidy claims till the third week of March. Subsidy outstanding as on 31st March 2025, was at Rs. 1,654 crores.

During the previous year, it was Rs. 1,377 crores.

As far as FOREX is concerned, you would have seen that the rupee was pretty volatile during the quarter. We traded in a broad range of Rs. 85.39 to Rs. 87.71. Coromandel continues to follow a conservative approach and has hedged most of its exposures.

I have with me Deepak Natarajan, who has recently joined us as CFO of Coromandel. And let me hand over the call to him for a brief introduction. Thank you all for your interest in Coromandel and for joining us for the call today. Deepak, over to you.

Deepak Natarajan: Thank you, Jayashree. Good afternoon, everyone. Pleasure connecting with you all. Myself, Deepak Natarajan. I come here with about 25 years of work experience. Last five years, I used to work for Tata Projects Limited, and then prior to that with GE for 10 years and Cisco for six years. So that's my brief background. I look forward to connecting with you going forward in

the subsequent quarters in more detail. Thank you.

Jayashree Satagopan: With that, we can open the session for questions , and we look forward to the interactions.

Moderator: Before that, I would now like to hand the conference over to Mr. S Ramesh. Thank you and over to you , sir.

S. Ramesh: Hello. Let me, on behalf of Nirmal Bang and myself, first thank Jayashree for being very receptive to the investor questions and increasing the level of disclosure in the Company . And
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let me also take this opportunity to welcome Deepak Natarajan . Welcome , Deepak, pleasure to have you on the call . And look forward to continuing our association. So let me now hand over the call back to the Company . And moderator, you can announce the Q &A, please.

Moderator: Thank you so much. We will now begin the question -and-answer session. The first question is from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani: Yes. Thank you for the opportunity . And congrats on the good set of numbers . On the N ACL, how do we plan to turn around N ACL? And by when can we see N ACL aligning with our crop protection division margin?

Sankarasubramanian S.: Right now , we are waiting for regulatory approvals, which may take another two to three months

, post which we should take stock of what are the opportunities available. As we mentioned earlier , we need to put the processes back on track . We will be working on procurement efficiencies which can improve the EBITDA margin. The funding is coming through for them, so they should be able to increase the level of production and operation . Some molecules what they deal with are seeing price improvement in the marketplace. So, our aim would be to continue what they have been doing well and try and see how we restore the margins before we look at introducing new molecules and new products. They do have spare capacity which can be leveraged. They have an R&D set up which can be synergized.

Prashant Biyani: Sure. Sir, we also had a plan of investing Rs. 1,000 crores in crop protection , sp-chem, CDMO . Now post this acquisition, do we see that Rs. 1,000 crores CAPEX being trimmed ? And if yes , by how much?

Sankarasubramanian S.: No, I would not say it will be trimmed. It will be moderated because the active ingredient capacity creation can be slowed down since we have spare capacities which can be leveraged. So that helps us in two ways, reduce our cash outflow , at the same time to go to market faster . The time it takes to set up the facility can be shortened considerably through retrofitting existing facilities. In terms of other investments in CDMO and specialty chemicals, there are new business opportunities which may be , depending on the new molecules , chemistry may require investment. We are evaluating the products which we need to get in specialty chemicals , and we are also in discussion with various players on CDMO opportunities.

Prashant Biyani: Right. And , sir, regarding our agreement with Ma'aden, annually how much fertilizers do we plan to import with them in total?

Sankarasubramanian S.: Right now , the contract is for 300,000 tons and we can potentially go up to 0.5 million tons. Our aim would be to see how much we can enhance our D AP imports from Ma'aden over a long period , so that will help us to maximize our NPK production in our existing facilities.

Prashant Biyani: Okay . This 3 lakh is per annum .

Sankarasubramanian S.: Yes.
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Prashant Biyani: Okay . And sir, before I join the queue, last question, how is our CAPEX plan going on ? And how much do we plan to invest this year on various projects?

Sankarasubramanian S.: Projects what we announced last year, phosphoric acid , sulfuric acid are progressing well. 45% of the project has been completed , both on P A SA, and we are on track to commission this during the last quarter of the current financial year. As far as granulation train , we have commenced the project in January and that will take 18 to 20 months to complete. That will come on stream by 26-27. Besides that, in the next year, we will be looking to expand our capacities and active ingredients at Dahej for CPC , and we are also looking to debottleneck our facilities both in Kakinada and Vizag to increase the fertilizer volumes , besides other normal sustainable CAPEX . We will also look at inorganic opportunities as and when they arise , which can be complementary to our product portfolio .

Prashant Biyani: Right. I shall join back the queue . Thank you so much.

Moderator: Thank you. The next question is from the line of Rahul Jain from Clearwater Partners. Please go ahead.

Rahul Jain: Yes. Thank you so much . And congratulations on a good set of numbers. I just had a follow -up on NACL . So, as already told by you that the approvals will come in Q2 , and only after that will you decide. But then if I take a 10,000 feet view, say , three years from now where do you actually see NACL ? So before acquisition you must have set some targets , so where do you see NACL say three years from now?

Sankarasubramanian S.: NACL is

to get back in terms of capacity utilization . They have invested in Dahej facility, which is not operational fully , so our aim would be to see how we can get those new molecules in place and operate those active ingredients and bring the capacities of the AI at full level. And the second segment is domestic formulation , they have strong brands, and we should try and see how best we can grow the formulation business and change the product portfolio .

Rahul Jain: Sir, at full capacity , sir, what could be the potential top line that this Company could generate based on the current pricing scenario?

Sankarasubramanian S.: Too early to comment on it , and they should at least minimum go back to the numbers what they have achieved two years before .

Rahul Jain: Okay . I have one more follow -up on this acquisition itself. So , Coromandel today has some Rs. 2,500 crores, close to Rs. 2,600 crores of crop protection business, NACL as it is, does some Rs. 1,450-odd crores . And the ballpark calculation if I do , then at full potential they could do some Rs. 2,500-odd crores of top line. Is there any plan of creating a separate entity where the crop protection division of Coromandel and NACL merge , and that becomes your crop protection entity and the Coromandel becomes a pure clay fertilizer entity? Any thoughts on this?

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Sankarasubramanian S.: No, there is no such plan . At this point of time , currently we are trying to run NACL as such , and we will achieve the targets what we set ourselves at the time of acquisition . At Coromandel , the crop protection business has its own set of product pipeline and strategic plans to expand capacities. Both will leverage the synergies but will continue to operate this way. Let us see at an appropriate time what the best options are for the investors and we will do that.

Rahul Jain: Okay . Thank you so much.

Moderator: Thank you. The next question is from the line of Ankur from Axis. Please go ahead.

Ankur Periwal: Yes. Hi sir. Thanks for the opportunity. So , first question on the crop protection side . So one, if you can highlight what has been the volumetric growth for the full financial year . And just a follow -up on that, what could be the growth outlook here given the price deflation trend that we have seen historically and hopefully it 's settled now? And your outlook on the margin side?

Sankarasubramanian S.: See, we operate in different segments, very difficult to put one number to the volume part of it . In B2B, we measure in volume , and in the case of domestic formulation we track in rupees crores . Putting a number in terms of the volume may not be meaningful. I would suggest we should look at high-end, double -digit growth for the next year across these three segments, domestic formulation, domestic B2B, and exports market. Outlook is quite positive basing on the success we had on new product introduction in the current year. We have a pipeline of products coming in next year as well, which will continue to take higher share of new products in the overall portfolio and will improve the margins. So , all I can say is our turnover for the next year can be on the high double -digit side, supported by a healthy profitability margin, with the changing portfolio towards high margin products.

Ankur Periwal: Sure, sir. Okay , fair enough. And just secondly on the fertilizer side, given the new capacity coming in probably by FY '27, what is the timeline that we are looking at for a full ramp -up over here , given the capacity expansion as well as the backward integration ? And again , your earlier guidance of 4 0% jump in EBITDA margin on the fertilizer side, what timeline can we think of over there?

Sankarasubramanian S.: In the case of intermediate capacity of phosphoric acid , sulfuric acid, which will get commissioned

in the fourth quarter of the current year , we can expect the full plant to come in in the next year 26-27 because we will be stabilizing our production in the fourth quarter of the current year, which means next year will be the full year of operation . Our aim would be to achieve the rated capacity for phosphoric acid and sulfuric acid plants .

In the case of granulation plant , it will get commissioned in the third or fourth quarter of 26-27. From the marketing side, we have already taken steps to create seed marketing in the northern markets to absorb the additional volumes . Also, we are expanding our retail footprint across various states. So , there will not be any challenge in absorbing the additional volume. Our aim would be to achieve the full expanded capacity in the first year of operation. As India being a

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net importer of fertilizer and we being a strong player in phosphatic fertilisers , we do not feel any challenge in operating plant at the full capacity with the first full year of operation.

Ankur Periwal: Great , sir. That 's helpful . And thank you for the detailed answers . And congratulations , Mr. Deepak, for joining in . And thanks Jayashree ma'am for your support over the years. Thank you.

Moderator: Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla. Please go ahead.

Naushad Chaudhary: Hi, thanks for the opportunity and congrats on a good set of numbers. First one on the nano DAP , sir just wanted to check how is the traction there , are we experiencing repeat buying here ? And if things go as we have expected from this product, can this travel to the world, can this product travel ? And if we succeed , what do you think how big can this product be for us in next three, four years ?

Sankarasubramanian S.: Thank you for the good question. I am pretty confident that this product definitely will scale up in the coming years. We have been very systematic in our market approach and we are not pushing the product. We are generating a pull . We are working with the various ICAR institutes across the country and going through detailed evaluations on various crops . And based on the response we are very confident that partially this can replace DAP . Every acre , as I mentioned earlier, instead of two bags, one bag can be cut out and Nano DAP 1 liter bottle can be used. And we find that the response to the crop has been pretty good in the crops with high foliage . During this year , we sold 26 lakh bottles, and we have seen 80 % to 90% of liquidation which is very creditable . We are confident that going into next year we will be able to improve the volumes . Thanks to our retail stores , we are able to communicate with the farming community, explaining the importance of providing these eco-friendly phosphatic fertilizers , which is going to be a game changer for the industry as a whole.

If everything happens in the way we expect, we do expect the replacement of 2 million tons of DAP in another two- or three years ' time. This has been our initial estimate as well. We also find that there is a positive response from various countries for this product and we have taken Government of India approval to export this as well. So , we have the capability to increase the capacity in a modular way, and we should be able to ramp up the volumes quickly. I am personally confident that this can be one of the significant business units for Coromandel in the coming years.

Naushad Chaudhary: Interesting. Second, on the retail side of business we have indicated , we have added 100 more stores, and we have indicated to almost I think double it in the next two, three years. If you can help us understand in terms of overall economics how much CAPEX and working capital required per store , what is the current financial status

of all 900 put together , and how it should look like in the next two, three years ?

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Sankarasubramanian S.: The retail has been a pretty good growth story for us. In fact, more than 90%, 95% of the retail stores , are in the profit zone now, we have added another 130 . Based on our learning curve , now we are able to get the breakeven point in a shorter time frame of six months. As we understand the portfolio, as we understand the customer preferences and the white spaces , we could reach the breakeven point much faster. We understand how to reach the customer, how to introduce new products. I think retail overall has become very profitable and it 's a multi-label store. It doesn 't depend on our own products.

Here again we educate the farmers on what is the right set of products to apply to increase their productivity. We provide services and have seen the drone spraying has been received very well for the farming community. Wherever we do drone spraying , there is a spike in crop protection offtake. So , we are pretty sure that retail is a way to go forward. In terms of investment, as of now, we are only on a rental basis. We do not own the stores . And working capital also , considering the pull it generates, I think we are able to leverage better on the sourcing part. Currently we are running the business on negative working capital.

There may be an initial challenge in absorbing the fixed cost as we ramp up these stores, but I am sure for the next two to three years we are confident that we should be able to increase the footprint to 3 times the numbers what we have . This is the way to go forward, and we will put all our efforts and leverage on the digital analytics part to ensure we get this right on the day one onwards.

Naushad Chaudhary: Thank you , sir. I will come back and thank you and all the best.

Moderator: Thank you. The next question is from the line of Viraj from SIMPL . Please go ahead.

Viraj Kacharia: Hi, Sankar. Thanks for the opportunity . Just a couple of questions , first on the NACL part. Just

wanted to get your thoughts on what attracted you towards the Company , other than the fact that it's underutilized in terms of capacity utilization. But broadly in terms of the portfolio mix of the business per se, what is that attracted you the most ? And just an extension of that is , if I were to look at our experience in terms of Sabero acquisition and our journey into crop protection over last 8, 10 years , what are the similarities or differences in terms of business on acquisitions you see between NACL and the other two?

Sankarasubramanian S.: See, NACL is again more or less similar to our business model , focusing mainly on generic space . But the important aspect is , they have been the supplier of choice for the major MNC s for many years. In fact, what we call modern time CDMO , most of those manufacturing capabilities were set up by NACL much earlier. To the extent their plant facilities and the processes have been set up in such a way to produce high quality products . That is something which is very critical and useful for businesses like AI manufacturing . Besides that, they have a good set of NABL accredited R&D facilities . They have been working on a complementary set of chemistries to what we are working on, including the latest fluorination chemistry , which will be helpful as we go into future molecules which are based on fluorination chemistry.

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They have spare capacities and have also built very strong brands in Indian market. India is a large market for domestic formulation, and they have built brands of larger size . They operate in key markets which are , again , complementary to our markets. So , we see a lot of cross learning between both the

entities which will help to grow the business overall. Comparing this to Sabero , Sabero is more of an AI play in the export market , whereas Nagarjuna has got all three segments, domestic formulations , B2B , exports , sort of CDMO type of operations. So I think these two are completely different. The only challenge would be , being in a genetic space margin structure may not be as high as what we expect with the new chemistries. That is the change we can bring about. I hope I have answered your questions .

Viraj Kacharia: Yes, that 's very helpful. Thank you. Just two questions. One is on the NACL . If you look at the 10-year history , the operating margins has been around 8 % to 9% . And this is despite of a very sizable domestic B2C business. So if you look at other generic player s with AI, even they are in upwards of, say, low -teens margins. So just trying to understand where is the drag in the margin profile in that business. And the second question is for specialty nutrients and the retail part of Coromandel --

Moderator: Sorry to interrupt. Sir, could you move a bit away from your phone , you are very static.

Viraj Kacharia: Yes, the second part of the question is more on the scalability and profitability, especially for the retail business and specialty nutrients . If you can just give some color and the part to the aspiration we would have in those two segments ?

Sankarasubramanian S.: Yes, I will take the second question first. Specialty is a highly profitable business, but involves a lot of concept selling , the volume scale up will be steady. We have been working on it over the period and various products in the product portfolio are developed in -house based on our R&D. EBITDA margin is also quite healthy, between 18 % to 20% , and we have been growing consistently in the top line in the last few years at 15 % to 20 % . And we are sure we will continue to grow that , and that is also a focus area for us.

These are outside the subsidy gambit and its way to go forward in terms of introducing more nutrient efficient products to the farming community. SND will be focusing on creating some backward integration on the key raw materials which are currently imported . We are looking to capture the value chain in S ND and sustain volume growth. Many of the key raw materials are currently being imported from China, so we are looking to create capacities to ensure that we have a steady supply chain , as well as we can increase the margin for this business.

On the retail, as I mentioned, we are doing well. This has not been exploited fully , according to us. We have created the funnel through which many products can come in . As the base SBUs, like CPC and specialty nutrients and bio business start introducing new products , our aim would be to introduce those products through retail which are high margin, which will also help in retail to breakeven much faster. It is profitable now , and I am sure with the increased centers, increased revenue, profit margin should grow .

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Coming to your first question in terms of NACL margin, it operates in the generic space . With the way the AI prices have behaved in the last few years , there has been significant contraction in the AI margins . That is impacting on the overall margin portfolio , even though the formulation

bit commands higher margin. So , the weighted average margin is much less due to suppressed AI prices. We do expect , in the coming years , the active ingredient prices to improve , which in turn can improve the margin structure for NACL. NACL used to make margins in the range of 10% to 11% in the past, which came down to 4%, 5%. Our aim would be to first restore the margin back to 10 % to 11%, get the capacities back on track , and try and see how we build this margin by adding new products in the portfolio.

io . That will be our approach.

Viraj Kacharia: Sure. I will come back in queue. Thank you very much.

Moderator: Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla. Please go ahead.

Naushad Chaudhary: Thanks for the opportunity again. Two clarifications , sir. First on the jump in the sulfuric acid prices, do you think the real impact has not yet come ? Because recently also it has jumped substantially , the subsequent quarters should see major benefit of that or what 's your stance on this thing , sir?

Sankarasubramanian S.: See, sulfur prices have really shot up , that has played out in the Q4. In fact , you can see some slight compression in the margin. But you can also realize that phosphoric acid prices have gone up to that extent . So, the value addition on phosphoric acid remains the same , to the extent of sulfur prices the phosphate price has gone up. Now the end product prices on NPK fertilizers will get corrected as we move forward , besides DAP , to absorb this price increase. But having said that, there are also other soft spots like ammonia where the prices which were prevailing at \$400 have come down to \$330. These pluses and minuses do happen, and overall, I think with the announced subsidy rates the business is reasonably confident of achieving the margins what it's set out for every year .

Naushad Chaudhary: Okay . And on the manufactured volume growth , this year I think we have optimally utilized the capacity which we have . For next year, do we think we will have capacity constrained on the manufacturing side of volume growth for F Y '26? Though '27 we are coming up with Kakinada, by '26 do you think that trading portion would be higher because of the capacity constraint?

Sankarasubramanian S.: The two things we need to note , one is, we are debottlenecking our Kakinada plant , and that benefit is to flow in for next year . We also keep tweaking the product mix to increase the throughput. So that can also aid us in increasing the volume . Ennore annual granulation facility is still not back on track. We are working with various regulators to see how best we can get back on track on the granulation facility . So, debottlenecking of Kakinada , Ennore coming back on track & the product mix , along with the imported NP /NPKs to do the seed marketing in north should provide required impetus on the volumes , so that when the new capacity comes in we are able to sell the volumes in the first year.

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Naushad Chaudhary: Alright , sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Hello , sir. Yes, there are few things I wanted to know for Quarter 4, firstly on the Phos Acid prices if you could share. So what I was asking is , basically I wanted to know prices of a few chemicals. That is, what is the price that was there for phosphoric acid in Quarter 4 , firstly ? Secondly, we wanted to know how has the price for sulfur panned out from quarter three to Quarter 4 versus sulfuric acid from quarter three to Quarter 4. If you could give us the data per ton.

Sankarasubramanian S.: PA prices , as I mentioned earlier, it has moved up from \$1,055 to \$1,153; up by \$98. Sulfur moved up by almost \$120. What used to be \$180 moved up to \$300 plus. On sulfuric acid, which used to be \$70, \$80, moved up to \$100, \$105. So these are the spikes which have happened from Q3 to Q4.

Vignesh Iyer: Okay . So I mean, how do we see , I mean, our internal estimate on, is there a lag between that sulfur and sulfuric acid price? We might see some more increase that is possible on sulfuric acid side of it , I mean , going ahead with the season having more requirement towards fertilizers etc .?

Sankarasubramanian S.: I think Sulfur

has reached the peak. Our view is sulfur should moderate from here . based on some support in demand from Indonesia for a different industry , and also China imports it peaked in Q4 . Sulfur as a global commodity is in surplus and needs to come down. So , we do expect sulfur to soften in the coming months . Sulfuric acid, again, is a function of demand /supply , and I do expect it to remain static here and soften from here. Globally, commodity prices are not going up , whether it is corn or soya and which can dampen the global fertilizer and food prices as well , as affordability index is coming down for the farmers. So , I do expect the commodity prices to soften in the coming quarters.

Moderator: Thank you. The next question is from the line of Somaiah V from Avendus Spark Institutional Equities Private Limited. Please go ahead.

Somaiah Valliyappan: Sir, the first question is on fertilizer margin in Q4, you did mention there is a slight compression there. Is it entirely attributed to sulfur or is there anything that changed on a quarter-on-quarter basis? For instance, was there any inventory impact that had a bit of an impact on margins?

Sankarasubramanian S.: So, of course, sulfur played a role. But other than that, there's no inventory impact. Rather we have improved on the channel inventory with improved liquidation. The fourth quarter is always a soft quarter with annual turnaround happening and in many of the intermediate plants we take annual shutdown. So to that extent, the value addition was relatively less. So it is in line with the past trend, and nothing special happened in the fourth quarter.

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Somaiah Valliyappan: Got it, sir. Sir, also earlier we used to give our manufactured EBITDA per ton guidance. We used to have this Rs. 5,000 per ton. So does that still hold good in the current context where we are in terms of subsidy allocation for kharif and where raw material prices are?

Sankarasubramanian S.: Yes, we should be able to sustain that margin.

Somaiah Valliyappan: Got it, sir. Sir also on crop protection, quite a strong growth this time. So we used to be roughly around 50:50 percent in terms of exports and domestic, is the mix currently similar or has it changed? That's one. And second, if you could just help us in terms of, I think, earlier you did mention in terms of what are the factors that drove a sub-segment within crop production, if you can just give some more color on it.

Sankarasubramanian S.: Raghu, do you want to take that?

Raghuram Devarakonda: As Sankar mentioned, part of the growth has come because of the introduction of new products in the B2C segment. And there is an uptick in Mancozeb demand in LATAM. So primarily, these two have contributed to the growth between exports and domestic B2C.

Somaiah Valliyappan: Sir, exports what would have been the growth? And the domestic B2C what would have been the growth? And Mancozeb, are we seeing any price realization improvements?

Raghuram Devarakonda: Yes, we have seen marginal improvement. The other fungicides are not picking up in terms of their costs or prices, so Mancozeb cannot indefinitely increase in price because then there will be a shift between the molecules. So, while we have seen an uptick, it's not like something extraordinary. The volume growth has been pretty good year-on-year as far as Mancozeb is concerned in the exports market. So specific statistics, I think somebody had already asked about volume growth, maybe I will address your question and the other question together. So the volume growth for exports has been close to 9%. And in terms of B2C it's in excess of 24% volume growth. I hope it answers your question.

Somaiah Valliyappan: Sure sir, it does. And also, what would be the value growth in exports and B2C?

Raghuram Devarakonda:

As I said, the prices have also moved out somewhat, so in exports you will see a pretty decent growth. But as far as domestic market prices are concerned, it has either been flat or it has gone down in some cases. So maybe give me some time, I will try to dig it out. I do not have it in front of me.

Sankarasubramanian S.: Raghu, I have this data. In terms of the formulation business, there is 16% growth in value terms.

And for the quarter, we saw a good jump, 31%. In fact, if you see, the share of CPC revenue has increased in this quarter, mainly driven by domestic formulation business, thanks to the new molecules we had, 31% growth happened in Q4. And for the full year, there's a 16% growth.

Raghuram Devarakonda: So as you can tell, while there is a volume growth, there's a bit of price erosion resulting in overall value growth of 16% when the volume growth has been 24% plus in the domestic market.

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Sankarasubramanian S.: Yes, absolutely.

Somaiah Valliyappan: Sure, sir. Thank you. That's helpful.

Moderator: Thank you. The next question is from the line of Himanshu Binani from Anand Rath. Please go ahead.

Himanshu Binani: Hi, sir. Thank you for taking my question. Sir, I just missed the last participant's question in terms of the EBITDA per ton guidance. So we are speaking to that Rs. 4,500 to Rs. 5,000 sort of number for FY '26, right?

Sankarasubramanian S.: Yes, very much.

Himanshu Binani: And sir secondly, if you can like help me with this unique grade share to the overall manufactured volumes for Q4 as well as for April '26.

Sankarasubramanian S.: 35% for the full year basis.

Himanshu Binani: Okay, got it. And sir, one last question basically on the retail side of the business, so can you help us understand the metrics in terms of the revenue, cost for like setting per store, and the absolute break even number at what revenues we breakeven? Any color on that would be like very helpful.

Sankarasubramanian S.: I would prefer to take it offline. I don't want to put this out. Initially it used to take two years, then we reduced it in a year, now we are able to do it in six months, basically because we are able to identify the right location for the stores and the products have improved significantly.

Moderator: Thank you. The next question is from the line of Ranjit from IIFL Capital Services. Please go.

Ranjit Cirumalla: Yes. So thank you for the opportunity. I just wanted a bit more insights on the two new hirings that we have made. One is the VP Nano Fertilizers and the VP Strategic Initiatives. What would be the KRAs for these two new hirings?

Sankarasubramanian S.: See, in the case of VP Nano, as the name suggests, he will be a business head for the nano fertilizers, both in domestic and export markets, besides focusing on exports for specialty fertilizers. He has rich experience in crop protection space, and having worked in Latin American market, we have hired him back for driving the nano business initiative in Coromandel. With respect to VP Strategic Finance, as a Company we are looking for growth opportunities. We have created an M & A cell, basically to provide financial insights into the business evaluation of the new targets, and for that we have taken this person on board. So his experience in business valuations and financial metrics to evaluate the targets will come in handy for us to look at the new inorganic opportunities for growth.

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Somaiah Valliyappan: Thank you, that's helpful. Second question, coming back to the fertilizer guidance, back in December 2024 we had guided for a 40% jump in EBITDA per metric ton for our fertilizer business in two to three years' time frame, that still stays intact, right?

Sankarasubramanian S.: Yes. When the

plant gets commissioned, the value addition of the plant flows in, we should see that sort of improvement. That is likely to happen in the fourth quarter when PA-SA plant gets commissioned. Post that, the increase will play out from there on. Then after that the improvement will happen once we get the new granulation plant in place.

Somaiah Valliyappan: Sure, sir. Thank you. That's all from my side.

Moderator: Thank you. The next question is from the line of Vibhu Kumar Shah from Sumangal Investments. Please go ahead.

Vibhu Kumar Shah: Hi sir, thanks for the opportunity. Sir my question relates to subsidy and non-subsidy profits. So where do you see non-subsidy profit reaching percentage wise three years down the line, sir?

Sankarasubramanian S.: Currently I think it's around 70:30, on the subsidy and non-subsidy share on the profitability.

See, fertilizer also is likely to grow with the expanded capacities and increase in intermediate capacities. And we are focusing on CPC growth opportunities now. Ideally, we want to put the number 50:50 but not at the cost of slowing down on fertilizers. So, while we aim for that number, fertilizer is also growing good, and we are diversifying the portfolio. And our aim would be to strike a right balance between the fertilizers and non-fertilizer businesses. It's very difficult for us to put the number at this point in time with the way the Nutrient business is shaping up. We will invest and we will focus on non-fertilizers, especially CPC in the coming years.

Vibhu Kumar Shah: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from B & K Securities. Please go ahead.

Rohit Nagraj: Yes. Thanks for the opportunity and congrats on good set of number. The first question in terms of the R & D capabilities for both Coromandel and NACL, so whether there is any complementary impact on this? And in terms of incremental product development or funnel, are we going to optimize the effort given that now we are a same Company and there could be some overlaps which might be there. So just brief about that would be helpful. Thank you.

Sankarasubramanian S.: No, absolutely, we will leverage the synergy benefits between both the entities, leverage on their expertise. As I mentioned in my earlier remarks, they are good in fluorination chemistry, they have got certain capabilities and Coromandel has developed certain chemistries over a period of time. We will try to optimize between both the companies and try to see how we consolidate and get the synergistic value out of the development efforts. It may even include getting some infrastructure synergies as well. So, we may consolidate the R&D facilities in a single location

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to leverage the size and scale and attract talent and pool up together their efforts in introducing

the new products. Definitely, this will be leverage d.

Rohit Nagraj: And in terms of the number of personnel in both the companies, how are they in terms of PhD etc.?

Sankarasubramanian S.: So you are talking about R&D personnel?

Rohit Nagraj: Yes, yes, that 's right.

Sankarasubramanian S.: I think we have close to 100 and they have close to 50, 55. And roughly 160, 170 members is what we are talking about on a combined, only for CPC. But Coromandel has got some Nutrients related as well.

Rohit Nagraj: The second question is, I missed your recent remarks, so are there any targets in terms of synergy benefits that you have given out for the three years? You explained some R&D prospect that you will be getting certain synergies, are these a t financial targets that we are looking at?

Sankarasubramanian S.: Very early days, we have to wait for the regulatory approvals and get that production and sales on track first. We need to put our heads tog

ether and then put these numbers against each of

these, whether its procurement efficiency or new product introduction or the market synergies or the R&D development. Probably six months down the line we should be able to answer it more appropriate ly.

Rohit Nagraj: Sure. Thanks for answering. Thank you.

Moderator: Thank you. The next question is from the line of Shri Kumar Shah from Sam eeksha Capital. Please go ahead.

Kumar Shah: So if you can share manufacturing EBITDA per ton for FY '24 and FY '25? That's the first.

Second, SSP EBITDA per ton for FY '24 and FY '25? And what is our trading margin EBITDA?

Sankarasubramanian S.: I will get back to you on this, th e segment wise EBITDA margins. I will ask Anuj, investor relation s, to communicate with you on this.

Moderator: Thank you. The next question is from the line of Mr. S Ramesh from Nirmal Bang I nstitutional Equities Private Limited. Please go ahead, sir.

S. Ramesh: Thank you. So before we close the call, just I would like to have your thoughts on the very high debt in N ACL and the high interest cost. So what is the timeline you expect to reduce the debt burden and interest cost in N ACL? And if you look at the overall CPC business, you said there is some pricing pressure in the domestic markets. So assuming that the inventory related pressure in the domestic market is out of the way, will you see the pricing power coming back and domestic formulation?

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Sankarasubramanian S.: Yes, definitely, our overall approach to the formulation business will be synergized with the Coromandel way of doing business, and that should bring discipline in the market placement and the working capital needs, and that should improve the profit margins and formulation. We do expect the disciplined approach to grow the formulation business. So, I think over a period of time, with the plants operating at full capacity, including the new Dahej plant, we should see some improved cash flow and liquidity coming into the system. And we should bring down the debt. But these debts have been secured for the CAPEX investments, and it may take a while to pay them back. At this point, on a standalone basis, it is difficult to put the timelines. But our effort would be to see they have good control over the working capital, release the cash to pay off the debt and bring down the interest cost.

S. Ramesh: Okay. With that, let me thank all the investors and analysts for joining the call. And my sincere thank s and gratitude for the management for giving a good insight on the business and answering all the questions. Let me hand over the call back to Sankar for his closing the marks. Thank you very much, sir.

Sankarasubramanian S.: Well, thank you, Ramesh. Thank you for your insightful questions. And definitely, we will be more responsible in ensuring that we deliver on what ever w e commit. And looking forward to future interaction. Thank you very much.

Sankarasubramanian S.: Thank you.

Raghuram Devarakonda: Thank you.

Moderator: Thank you. On behalf of Nirmal Ban g Institutional Equities Private Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

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"Coromandel International Limited
Q4 FY '24 Earnings Conference Call "
April 29, 2024

MANAGEMENT : MRS. JAYASHREE SATAGOPAN – PRESIDENT ,
CORPORATE AND CHIEF FINANCIAL OFFICER –
COROMANDEL INTERNATIONAL LIMITED
MR. SANKARASUBRAMANIAN S. – EXECUTIVE
DIRECTOR , NUTRIENT BUSINESS – COROMANDEL
INTERNATIONAL LIMITED

MODERATOR : MR. HARMISH DESAI – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Coromandel International Q4 FY '24 Earnings Conference Call hosted by PhillipCapital India Private Limited . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Harmish Desai from PhillipCapital India Private Limited. Thank you, and over to you, sir.

Harmish Desai : Thank you, Man uja. Good afternoon, and welcome to the Fourth Quarter and Full Year FY '24 Earnings Call of Coromandel International hosted by PhillipCapital. From the management, we have M s. Jayashree Satagopan - President, Corporate and Chief Financial Officer; Mr. Sankarasubramanian - Executive Director, Nutrient Business.

I would like to thank the management for giving us the opportunity to host this call. We will begin the call with opening remarks from Jayashree ma'am, post which we'll have a Q&A session. Thank you, and over to you, ma'am.

Jayashree Satagopan : Yes. Good morning, everyone, and thanks, Harmish, for organizing this conference call today. Let me give you a brief on the business environment experienced during the quarter, followed by the company's performance and then we will have the Q&A session. I'll try and keep the session short so that we spend more time on the Q&A session.

As far as the Indian agriculture is concerned, India experienced a challenging agri environment during the year. Agri GVA is expected to grow marginally by 0.7% and the second advanced estimates project slight reduction in food grain production during the year. India, as a whole, received a below normal monsoon, 94% of the long period average for the first time in 4 years . This led to lower crop sowing, especially in Coromandel's key markets and has also resulted in lower reservoir levels, further impacting the rabi plantings.

Coromandel's primary markets were severely impacted . Rayalaseema by 13%, North Interior Karnataka by 10%; Coastal Andhra by 3%, Vidarbha 2%, Bengal by 22% and Marathwada by 11%, which has also impacted the agri nutrients consumption in these regions.

On a positive note, the recent forecast by IMD and Skymet have estimated normal to above normal rainfall for kharif 2024, which bodes well for the upcoming agriculture season.

Fertilizer industry performance : Q4 was weak quarter for the industry as phosphatic s point - of-sale consumption declined by 11%. On a full year basis, the consumption improved by 7%. Detailed volume breakup for the industry and the company are available in the investor presentation placed in the company's website. Lower NBS rates during the second half of the

year were not commensurate to the raw material prices, and therefore, impacted the operational viability of the phosphatic players in the industry.

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With the new subsidy rate announced for first half of FY '25, we expect the fertilizer margins to show improvement. Raw material prices have remained stable to soft during the quarter, and we expect a similar trend in the coming year.

Speaking about the company's performance, the NPK volumes were down by 6% in the fourth quarter of the year; and for full year, it was lower by 3%.

Company's market share (POS) in Q4 for NPK and DAP was 24%; and for the full year, it was at 15%. In comparison with last year, it was 25% in Q4 and 17% for the full year. The company's market share (POS) in Q4 for SSP was 17% and for full year was 15%. Last year, it was 16% in Q4 and 14% for the full year.

During the year, the plants

operated close to 95% capacity. And further, the company is planning to debottleneck its granulation capacity in Kakinada and Vizag, adding up to 3.5 lakh tons. Company has just commenced work on the new phosphoric acid and sulphuric acid complex plants at Kakinada with an estimated capex of about Rs. 1,030 crores. These plants are expected to come up in couple of years' time.

Further, the company plans to introduce new Urea SSP product, which has recently been approved by the FCO and brought under NBS. This innovative product will provide sources of N added to the traditional SSP.

On the Ennore plant, the NGT has concluded the hearing and the matter is reserved for orders. We expect the orders to come in soon.

The commercial sales of Nano DAP started from the second half of the year and response from the market has been quite encouraging. We expect to receive approvals for commissioning the 1 Cr bottle capacity for Nano DAP plant at Kakinada very soon. Further to this, the Specialty Nutrients business also plans to double the sulphur production capacity during the year.

On the crop protection chemicals, our business has registered a strong 20% volume growth across the international and domestic markets despite the severe industry headwinds faced during the year. However, the margin pressure persists due to higher inventory in the global markets. The business focused on several WoW and I Care initiatives, which helped in strengthening its cost position to offset some of the pricing pressures in the market.

The business introduced 7 new products during the year and it is partnering with innovative companies to launch in-licensing products. The new products turnover index for the year was at 15%. During the quarter, CPC business introduced Prachand. This is a 9 (3) formulation product from ISK.

Formulation business is strengthening its branding capabilities and customer reach. During the year, one of its biostimulant brand achieved Rs. 100 Cr mark. The business is planning to set up multipurpose plants for manufacture of 6 new technicals in the coming year.

Our retail stores improved the farm level outreach and operated well during the year. Overall, 97% of the stores were profitable despite the severe monsoon conditions in its key operating

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markets. Retail business is further planning to foray into newer markets by opening 100 new stores in FY '25.

Drone-based spraying services by our retail stores and Gromor Drive initiative taken by the Specialty Nutrients team is progressing pretty well. Coromandel covered more than 25,000 acres during the year.

While Coromandel continues to focus and grow its core businesses, it has been carefully crafting its long-term strategic growth areas, and accordingly, focusing its efforts.

1. Investment in drones: Dhaksha, which is a newly acquired start-up company by Coromandel, is progressing well and has commissioned its new plant in Chennai. Dhaksha's order book stands at around Rs. 250 Cr, and the company plans to service the same in the first half of the year.

2. Efforts in CDMO is progressing well, and Coromandel is in advanced stages of discussion with three innovator companies. This being a two to three year journey, company expects additional traction to build up during the coming year.

3. Foray into specialty chemicals. The company has initiated a small plant at Nimrani to manufacture sodium silico fluorides apart from leveraging its CPC plant infrastructure and

also has been acquiring new customers in this space.

4. Coromandel is looking at newer chemistries like fluorination chemistry for its Crop Protection and Specialty Chemicals business. It has identified nine molecules and the R&D team is in the process of finalizing the DOT. The company plans to leverage its unique advantage of having byproducts from its

fertilizer business, which can be source for fluorination chemistries.

5. Investment in AgTech : Coromandel continues to evaluate its interest in AgTech companies and will be investing in them like in the past couple of years.

With that, let me take you through the company's financial performance.

Turnover : The company recorded a consolidated income of Rs. 3,996 Cr during the quarter ended 31st March 2024 and Rs. 22,290 Cr for the full year vs. corresponding period of Rs. 5,523 Cr for the quarter and Rs. 29,799 Cr for the full year. It registered a degrowth of 28% for the quarter and 25% for the full year. The decrease in revenues has been mainly on account of lower subsidy rates and with lowered RM prices apart from some volume impact in fertilizer business and pricing in the Crop Protection.

Subsidy versus non-subsidy share of business stands at 78% and 22% during the quarter vis-à-vis 84% and 16% last year. For full year, it is 83% and 17% compared to 87% and 13% in the prior year.

Profitability : Consolidated EBITDA for the quarter was Rs. 273 Cr against Rs. 403 Cr last year.

And for full year, it was Rs. 2,399 Cr vis-a-vis Rs. 2,926 Cr in the last year.

Subsidy versus non-subsidy share stands at 53% and 47% during the quarter vis-à-vis 66% and 34% in the last year. And for the full year, 72% and 28% vis-a-vis 75% and 25% in the last year.

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Subsidy : During the quarter, company received Rs. 2,165 Cr towards subsidy claims compared to the last year of Rs. 4,483 Cr. For the full year, subsidy received is Rs. 9,198 Cr and the previous year it was Rs. 12,477 Cr. The government has been prompt in clearing the subsidy dues, and as of to date, we have received our subsidy claims till March third week. Subsidy outstanding as of 31st March 2024 was at Rs. 1,377 Cr vis-a-vis Rs. 2,378 Cr in the last year.

Forex : During Q4, rupee traded within a range of Rs. 82.64 to Rs. 83.71. Coromandel continues to follow a pretty conservative approach in terms of hedging and managing its forex exposure, which has immensely helped in limiting the impact of currency momentum.

Dividend : The Board has recommended a dividend of Rs. 6 per share for the financial year FY23-24.

With this, I thank you all for your interest in Coromandel and joining us on the call today and we look forward to the interactions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah V : Ma'am, first question is on fertilizer margin. So we used to give guidance earlier around Rs. 5,000 to Rs. 5,500 EBITDA per ton. So I mean in the current context of subsidy rates, how do we see this for the next year?

Jayashree Satagopan : Yes. Thanks, Somaiah. In terms of margins for next year, we are expecting in the range of Rs. 4,500 to Rs. 5,000 per ton in terms of EBITDA. This considers the NBS rates that have been announced by the government, we expect an uptick of about Rs. 1,500 to Rs. 2,000 coming out of it.

And then there are obviously the initiatives that happen within the company in terms of smart sourcing, operational improvements, so on and so forth. So for full year, one could look into a range about Rs. 4,500 to Rs. 5,000. Obviously, the intent is to see how we can maximize this further.

Somaiah V : Understood, ma'am. And from an industry price increase, how do we see things because earlier there were -- I mean, in one of the calls earlier, we were saying it is also a function of demand. So how do we see demand or inventory that is there in the system? What is the scope for a price increase?

Jayashree Satagopan : Yes. I think that's a very good question, and I have Sankar, who would respond on this.

S. Sankarasubramanian : See, overall price is a function of global prices of input raw materials and commodity prices. We

have seen some softness in the global DAP prices as well as, as you know, the phosphoric acid price for the quarter has also been negotiated at a lower level. So we need to wait and see how the commodity prices play out in the next 2, 3 months. If that warrants a correction, we will look at it. But as we see at this point of time, we should be able to manage with the announced subsidy and the MRP's, which should give us a decent margin.

Somaiah V : Understood. One final question. On the brownfield expansions on the fertilizer front, so now that we have announced backward integration projects we are doing, work in progress on Crop Protection. So how would we think about it? And when do we actually start planning for this and when we can expect anything on this front on the brownfield expansion?

Jayashree Satagopan : On the Crop Protection front, Somaiah, there are three things that are happening currently. As I was mentioning, there has been very strong industry headwinds. And therefore like many other companies we also took time to reevaluate certain molecules which were earlier short-listed for setting up the multipurpose plant.

Now that we are hearing by fourth quarter of this calendar year the situation is likely to improve based on the inputs that are coming from various quarters. With that and the newer chemistry that we are planning to look into, the business has shortlisted six molecules and the proposal for those MPPs are being put up now. We expect these molecules and the MPP work to be initiated during the year. These are all Brownfields which will come in Ankleshwar as well as in the site that has been picked up in Dahej. There it is a bit of a Greenfield.

The Dahej site is going to be mainly used for herbicide whereas Ankleshwar is being used for insecticides and maybe one or two fungicides. This is the overall game plan. The infrastructure related work at Dahej has already begun and therefore as the proposal gets approved for the MPP, they should be in a position to get started during the year. This has been also factored in the business plan and the capex for FY '25.

Somaiah V : My question was pertaining to the fertilizer segment, just want to understand on the Brownfield in fertilizer segment. So when will we take this up because given that we are already doing on crop protection and backward integration.

So when is this something -- I mean, we will consider doing this and also if you could just help us what are the current capacity and after debottlenecking where this capacity will be in the next couple of years?

Jayashree Satagopan : So currently the focus for fertilizer is to get the PA and SA plant. It is very important and critical for the business to get backward integration of our sources in place. So that's on track.

In January, we had announced for SA, PA. Happy to state that last Friday the Bhoomi Pooja for both the plants were done. And during the year the business is looking at debottlenecking the capacity which will add further 3.5 lakh tons to the existing capacity which means from the current 34.5 we are expecting another 3, -3.5 lakh tons to get added to the granulation capacity. As we go along depending on the market situation clearly Coromandel will be looking into opportunities for further expansion. But at this point in time, this is what we are considering in our business plan.

Somaiah V : Helpful ma'am. Thank you. I will join back the queue.

Moderator: Thank you very much. The next question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani : Yes. Thanks for the opportunity. Ma'am, what would be the plans for Dhaksha this year, some comments on enhancing its capabilities? What areas are they working

on in R&D and what could be the normal business margins as it scales up?

Jayashree Satagopan : Okay. So Prashant, Dhaksha is in a solid start at this point in time. We have set up a new state-of-the-art manufacturing facility at Sholavaram in Chennai which has capacity to manufacture about 400 drones per month for the agriculture drones and about 50 drones on the logistics or defense front. This gives a pretty good capacity for them to scale up.

As I was also mentioning earlier during the call, we have an order book of Rs. 250 Cr and all of these we believe should get executed in the first half of the year. As we complete the execution and delivery of the logistic drones to the government, we expect some repeat orders to come, but one needs to wait and watch.

We are also investing on work that's going on in the R&D side on multiple new type of drones and in the business plan Dhaksha has considered adequate funding for the R&D-related investments that are likely to go up. We think the days are going to be pretty exciting for the Dhaksha drones in terms of scale-up. Margin should be into mid to the high teens to begin with and as they improve on the localization and the operational efficiencies we should see some more improvement in the margins.

Prashant Biyani : Ma'am, one concern about drone industry is that there is a very high competitive intensity. So

vis-a-vis its competitors how has Dhaksha placed better if you can highlight that?

Jayashree Satagopan : There is likely to be competition. However, it is early setup where the industry is very nascent. The opportunity for drones is huge whether you take agriculture as a space or you're looking at defense or logistics. So there is scope for many, many more players to come in.

What is important is the company needs to be on top in terms of technology. They must be having a good position to manufacture and do timely delivery, the quality of the drone has to be good. I think from that perspective Coromandel with all its manufacturing experiences in terms of setting together the systems and processes is helping Dhaksha to stabilize and scale up.

Prashant Biyani : Right. Ma'am, on the phos acid and sulphuric acid production how much it was in 4Q and full year?

Jayashree Satagopan : One second. Do you want the production?

Prashant Biyani : Yes. Phos and sulphuric both.

Jayashree Satagopan : So we can put it up in our notes where Anuj will be able to give you these details offline.

Prashant Biyani : Sure. And ma'am, lastly on capex side how much are we investing this year?

Jayashree Satagopan : We have for FY '25 estimated between Rs. 1,200 Cr to Rs. 1,500 Cr overall in terms of capex investment. This is across the multiple businesses that we have.

Prashant Biyani: Right. Thank you ma'am. That's it from my side.

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Moderator: Thank you very much. The next question is from the line of Ankur Periwal from Axis Capital.

Please go ahead.

Ankur Periwal : Thanks for the opportunity. First question on the two other new businesses specialty Chemicals as well as the nano fertilizer side. If you could help share some outlook on the capex the revenue time lines and how should one look at these businesses. You did mention on the fluorination chemistries that we plan to expand into but will be helpful to get your comments on maybe new customers and how the discussion with clients is going on over there.

Jayashree Satagopan : Yes. So Ankur, I talked a little bit in terms of how we want to go on the specialty chemicals side. There are two aspects to it. One, leverage the CPC assets. For some of the intermediate molecules, we find customers who are not traditionally in agro chemical space. This will help us to diversify the customer base, looking to newer opportunities, and secure the customers so that as we scale up, we have

a customer base to whom we can go to. That has already started, and last year, we have clocked close to Rs. 50 Cr in terms of sales to the specialty chemicals - based customers.

The second thing that we are doing is looking into opportunities where we have byproducts, which can become a base for new chemistries like fluorination, here is where the first plant that has come up. It's not a huge investment, but it's an investment in the right direction at Nimrani in one of our SSP plants, where we are using it for making sodium silico fluorides. Similarly, we are looking into opportunities in various other plants and this could become a feeder into spec chem.

In the next 2, 3 years, we expect this business to grow in size. They are coming up with their specific business plans at this point in time. During the year, we haven't factored any specific large investment for spec chem. As I was mentioning, there are 4 or 5 new molecules on spec chem, which is based on fluorination chemistry. As the DoTs gets finalized, they will come up with a business plan, and if required, we will add investment capex during the year.

It looks promising and interesting because we also have the unique advantage of getting this sourced from our existing businesses. Having said that, on the Nano DAP, this is a very interesting product and Sankar being on the call, I'm going to have him respond to the Nano DAP. Sankar?

S. Sankarasubramanian : Yes. The product is quite promising. We launched the Nano DAP in a commercial scale. Last year, we started at the end of the season. And the farmer's response has been quite good. So we hope to expand the volumes next year in the Northern markets.

The facility for manufacturing Nano DAP is coming up in Kakinada. We are waiting for the regulatory approvals and we should be able to start the production sometime in June. We have geared up and there will be an exclusive profit center to manage this business, and we also hope to introduce varieties of Nano DAP as well as Nano urea.

We are in the final stage of getting approached on the government for Nano urea as well. As a product, will be a good alternative to the imported DAP being used especially in the Northern

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markets out of imports. So we hope to see a 20% to 25% replacement happening over the next 3, 4 years and Coromandel is rightfully positioned to take advantage of this opportunity.

Ankur Periwal : That is helpful. Just a follow-up on that. Did I hear it right, you mentioned 20%, 25% utilization next year? This is on 1 Cr bottle capacity?

S. Sankarasubramanian : I talked about the replacement on the imports over a period of 3 to 4 years, we should be able to replace 20% to 25% of imports, which is modular in nature. We can keep adding depending on the needs, it doesn't take much time.

Ankur Periwal : Sure. And just your comment on the margin side for this business. How do you look at that part?

S. Sankarasubramanian : We will be good, but being a new business, requires a lot of concept selling. So we need to invest heavily in terms of educating the farmers to the extent the field engagement activities have been more. Margins are reasonable and it's healthy. That's all I can say at this point of time.

Ankur Periwal : Okay, sure. Ma'am, second bit on the medium-term thoughts on the business overall. If I go back in history, we always had a thought of increasing the non-subsidy EBITDA contribution significantly. The fertilizer business has performed exceedingly well in terms of backward integration and growth. What are your thoughts on that EBITDA mix let's say, 3, 4 years out, if you could highlight that?

Jayashree Satagopan : Yes, Ankur. See, each of the business have their own attractiveness and the growth trajectory. The intent, obviously, is to see how we can propel the growth for the non-subsidy businesses.

S.

And that's why you see that investments are happening in some of the newer chemistries, some of the relatively recently of patented molecules in the Crop Protection segment. We're also looking into getting into CDMO. And then there are adjacencies that set out like the drones and other assets.

So this is a conscious decision to look into other areas for growth. Having said that, each business based on their own ROIs and the opportunities, they will be given their own capital expansion, so on and so forth. So it's not at the cost of one business to another. All the core businesses will have their own opportunities to grow. Where we find it more attractive in terms of newer areas - - adjacencies or step-outs, the company will also be taking bold steps there.

Ankur Periwal : Sure ma'am, that's helpful. Thank you and all the best.

Moderator: Thank you very much. The next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth : Hi ma'am. Thanks for the opportunity and you have answered my question largely on all new initiative. But if you can give a little more color on the retail store strategy as well as the SND where how much is currently the total size? And how do we see the SND going along, which is once we were talking of a big potential? And last one is our acquisition, which we did from E.I.D - Parry earlier, how that business is playing out?

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Jayashree Satagopan : Okay. Thanks – Mr. Bharat, for your questions. As I have mentioned, the retail business has done extremely well during the last year. They continued to grow on their strength for the past two, three years. And despite tough monsoon conditions, across all the stores, we have seen excellent traction, focus and customer engagement activities.

Last year, I would say that we had somewhere close to Rs. 1,700 Cr of revenue from all our retail centers. We have about 750-odd stores. We're planning to expand by 55 stores in last year, an additional 50 stores in FY '25. That means that the overall number of stores will go about 850 or so. The expansion is going to be not only in AP/TG but also adjacent states, especially like Tamil Nadu.

The retail business not only is focusing on the products, which is our own as well as what we buy and trade from other agri-input companies, it is also focusing on services as a separate focus area. A lot of services in terms of crop advisory is given to the farmers where we do not charge. However, there are services like drone spraying; we are also looking into insurance for the retail business. All of these will become a bundle which will benefit the farmers overall. So we think retail business is set for a good growth and will continue to be an extremely value-added branding for Coromandel as such with the amount of Gromor branding that we have.

I think you were talking about the specialty nutrient business. Here again, the traction has been good. The first quarter of last year was very tough for the business. However, during the year, they have also registered a good volume growth. We continue to focus on key specific segments, whether it is sulphur or foliar. Nano DAP will also be part of the entire specialty nutrient business while we are internally tracking it as a separate focus area.

On the sulphur front, we are doubling the capacity so that we should be able to provide products for the sulphur segment because the country, as you know, is deficient on sulphur in many parts. So this is something that the business has taken up after a gap of a few years to consciously increase the capacity.

The business that we bought from E.I.D. Parry is bio. Bio has traditionally focused on Azadirachtin. Last two years, we have seen a very high increase in the cost of neem seeds. There have been excellent efforts in terms of cost efficiencies optimizing at t

he plant, the business has done well.

We have been able to take price increases with the customers. And having said that, two years of sustained price increase, we also expect that the customers will look for some reduction or opportunities in the coming year. With a high dependency on neem base, currently the business is looking into various opportunities for diversifying and growing the bioproduct portfolio. One such activity is primarily in terms of looking at Marigold, which could be used for producing something called as lutein, which can go as a poultry feed. So this is a new area of diversification that bioproducts are looking at. We are also looking into certain biofertilizers like the mycorrhiza. There are a long list of new products, including microbials, which would get introduced during the year.

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We believe that bioproducts per se could be a very attractive segment, not just focusing on neem, neem plus multi other areas. Again, bio is an evolving area, lot of traction, pretty attractive globally. Since we also do a lot of exports, I think in the next two to three years, they should further solidify and become a business of scale for us.

Bharat Sheth : If you can give with this always in three years, what kind of opportunity we are seeing, say, in all these three areas? And SND, what is the current size of the business?

Jayashree Satagopan : SND is about Rs. 600 Cr at this point in time. And as I was telling, retail would add another 100 stores during the year. I think qualitatively, all these businesses are expected to grow, grow at a healthy number, I would think about more than 10%, 15% is what one could look at in terms of growth in each of these businesses.

Bharat Sheth : And profitability, if you can give a little just color on broader number?

Jayashree Satagopan : Profitability from the existing bio businesses, we expect them also to improve over a period in time, because you're getting a healthy mix in terms of various other plant extracts and microbials.

Nano DAP is a new concept. Sankar was earlier explaining to you all in terms of the margins, it's healthy, it's a new product, we have to work on a lot of customer advocacy, helping them to understand and then move into a Nano DAP from a traditional DAP.

When I look at it overall, I think it's all in the positive trend. While I may not be able to pinpoint and give you, it is a 0.5%, 1%, 2% improvement in the margins, directionally it's all going up in the right scale.

Bharat Sheth : And can I chip in one more question?

Jayashree Satagopan : Yes.

Bharat Sheth : What I mean, if I'm not mistaken, I heard that we are also launching urea plus SSP product. So if you can give some color on that?

Jayashree Satagopan : Sankar, do you want to touch on this, please?

S. Sankarasubramanian : See, this is a value-added product from the base SSP. SSP contains only P of 16%. We wanted to add Urea to it to have N also, 5%. So if you look at Urea SSP, it will have 1:2.5 ratio. It's sort of a replica of Diammonium Phosphate. So DAP has got a nutrient-content N & P in the same ratio of 1:2.5 between N & P.

So this has the same ratio, and we thought it makes a lot of sense and a lot of field trials have been carried out and proves that it can be a good alternative to DAP. And Coromandel has taken the initiative and got it included in the FCO and we have set up the facility at Nimrani. And it can be a good alternative for major crops like oilseeds, cotton.

We have just carried out the trials also. It's quite promising. It's the best alternative to imported DAP. Company also gets the N subsidy from the NBS rates for the Urea portion. So Coromandel has been bringing about innovation in SSP. They've added micronutrients to it. So as part of the Coromandel International Limited

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diversified product portfolio of SSP, we are trying to introduce this grade. So next year will be the first full year of operation for us.

Bharat Sheth : Okay, thank you and all the best.

Moderator: Thank you very much. The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna : Sure. Thank you for taking my question. First question just on the Urea SSP. So if we look at the subsidy that we receive for DAP, essentially while you mentioned same ratio that has phosphorous almost 46% , this is significantly lower. So in terms of a sense, it will be a lower price . Is that what we are aiming for?

S. Sankarasubramanian : See, roughly this Urea SSP is one third or so of normal DAP, in terms of the nutrient contents. We also try to see whether we can price it, but the benefits are higher here. So the pricing also will be generally based on the farmer acceptance at 1:2.5 of DAP, which is around Rs 1350 -1450/ bag. This goes around 500 rupees because it has got other nutrients other than N PK. SSP by nature contains nutrients like Sulphur, magnesium, calcium .

So the value addition is much more here. So right now we'll try to price it in a way so that it's attractive for the farmers . It will be very attractive for the farmers to try this.

Arjun Khanna : Sure. Very helpful. So just on this question itself, we talked of Nano Urea and we're using Urea SSP. So essentially are we looking at setting up a Urea facility or this would be bought out Urea which we would look to granulate or the production of Nano Urea?

S. Sankarasubramanian : The Nano Urea as well as Urea SSP requires very insignificant volume of Urea. So we are allowed to import Urea for manufacturing in NPKs and SSPs. We'll be importing Urea for this purpose. It doesn't call for setting up a separate Urea plant for this.

Arjun Khanna : Sure. So no major capex on the annual as of now on the Urea side, is that the right understanding?

S. Sankarasubramanian : Absolutely.

Arjun Khanna : Perfect Sir. The second question is, ma'am, on the cash on balance sheet. It seems to have increased further. We have in excess of Rs. 3,000 -odd Cr of cash on balance sheet, investments, etcetera, all combined. How do you see this actually pan out going forward? You did mention capex, but we would have a cash flow generation. So what is our thought process on the cash that continues to grow on balance sheet?

Jayashree Satagopan : One obviously is to use our cash for all our capital expenditure programs. The second one is also to have capital for any further expansion, whether it is on the organic or inorganic. I was mentioning to you we have not factored in any capex as such for specialty chemical or CDMO because we are still working on the DOTs and the tech packs.

So as and when these get materialized, there will be additional capital expenditure required for these two businesses. We would also be open to look at inorganic opportunities, whether it is in Coromandel International Limited

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the bio space or in the chemical side. If it is attractive and it is synergistic to the business, that will require money and these existing cash should be used for it.

And fourthly, let's not forget the fact that some of our businesses are highly working capital intensive. While the government had given us all the subsidies last year, sometimes there could be situations where subsidy could take a little more time. For instance, end of the year, our receivables are slightly on the higher end compared to the past few years, mainly because of market conditions.

So we want to have kitty which will help us to fund through capex , new business opportunities that we are looking at, organic growth and also support in our working capital.

Arjun Khanna : Fair enough, ma'am. The reason I ask this is in the context of the government circular in terms of

profitability from fertilizers. So the cash on balance sheet works as a negative for us since it's on a PBT basis and the income on cash would actually decrease the margins -- pure margins we can earn from the fertilizer piece. Just wanted your comments on this.

Jayashree Satagopan : Here we are representing to the government because the surplus is of a corporate and meant as a corpus for certain purposes. Each of the businesses have their own cash flow, working capital. We are awaiting some clarifications. Whatever guidelines that the government has, we believe through our representation will be looked into very fairly because it's not for a business. This is for multiple businesses and the corpus has been maintained for a period in time. If you look back three years back, we had some Rs. 3,500 Cr of cash with us, right? So that's the position the company will take.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh : Sir, just to put the discussions on your growth plans, the Specialty Chemicals and investments in chemicals and perspective. So can you give us an idea in terms of when you expect this capex of Rs. 1,200 Cr to Rs. 1,500 Cr to be monetized in terms of revenue and profits? Would it be somewhere in the second half of FY '26? Or can we expect it from the beginning of FY '26? Or will it slip into FY '27?

Jayashree Satagopan : Thanks Ramesh for your question. The capex that we have indicated now is for two major capex . One is our SA and PA plant which is likely to come up at Kakinada. The other one is for the MPPs for crop protection chemicals. SA and PA plant will take two years to get completed and hopefully in FY '26 end or early FY '27 is when those plants will be up and running. So those

are planned backward integration projects where you will see the benefits flowing from FY 27. On the MPPs, the business is in the process of setting up the proposals. It could take again 18 to 20 months' time in terms of setting up the facilities and therefore again you should look at a two-year window for looking at the benefits to come in. The rest of the capex for the year is mainly on account of the maintenance capex while there is a Nano DAP facility that will come up and get commissioned where most of the work is completed. We are just waiting for the government approvals to come in. Similarly, Sulphur is a small capacity addition. The rest are not very major. Two big items that have been considered are in these fronts. Hope that clarifies.

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S. Ramesh : Okay. So if you look at the Specialty Chemicals and the S NP revenue, on a background level calculation, your non-subsidized revenues of about Rs. 4,500 Cr, EBITDA of Rs. 600 Cr and if you net out the CPC you are in a non-subsidized business, comes to about Rs. 2,000 Cr, excluding the S NP piece. So if you look at this, excluding the CPC, whatever the non-subsidized business, what is the kind of growth you can expect in that?

And right now, I think your EBITDA margin is about 16% to work out. So is this margin going to be in this range, 16%? Or will you see the margins improve? And what are the top line growth you can expect in the non-subsidized business excluding Crop Protection?

Jayashree Satagopan : As I was just mentioning some time back, Nano is one area which is non-subsidized. It's a new area. We expect a significant growth here. A lot of farmer advocacy is happening and will continue to happen. We don't have a big base for us to start, but the growth here is going to be pretty attractive. On the Speciality Nutrient segment where we have around Rs. 600 Cr of turnover - we are expecting a good amount of growth to come in, mainly on the sulfur side for which a new plant is also getting set up at Vizag.

Nano's growth can be exponential. SND growth anywhere

between 10% to 20%, CPC and

Bio are also expected to grow. In all these businesses, we also expect the margin accretion to happen over a period of time.

S. Ramesh : So just to put all this in perspective if you look at your nutrient business you're talking about 3 lakh to 3.5 lakh tons of expansion. So that will possibly the exit rate will go up by about 3 lakh, 3.5 lakh tons say by FY '25 end. And similarly you are getting some traction in terms of your specialty chemicals where you reported about Rs. 50 Cr that may see some growth. So all the other initiatives may take some time.

So can you give us some indication in terms of how your Senegal mining volume growth can support some operating leverage benefits for nutrient business in terms of both volumes as well as margins? And secondly, on the drones business so you're going to do about Rs. 250 Cr in the first half. If you can give us some indication in terms of the kind of potential revenue you can do in '26, '27 and the kind of EBITDA margins you can earn in that, that will be useful?

Jayashree Satagopan : Okay. So on the nutrients, the first one you wanted to ask how our mining backward integration would help us. As you know, we have invested in BMCC a couple of years back. And last year the overall rock production in the mine had gone up considerably compared to previous year. And in the coming years we are looking at somewhere close to 2.5 lakh to 3 lakh tons of rock to be mined and sent to Vizag for consumption. Senegal is a very important strategic initiative for us. As we are setting up our Kakinada plant for sulphuric acid, we will require more of rock and having our own backward integration in terms of rock will only help us both in terms of supply as well as negotiation with the other rock suppliers.

We expect the rock mining from Senegal to go up to 5 lakh tons. And Shankar and his team has been working closely with the Senegal operations there. Secondly, when you talk about specialty chemicals as I was mentioning it's a close start. We have about Rs. 50 Cr last year and with

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various initiatives that we are looking at and also acquiring new customers we expect this to increase during the year.

And more importantly as the new fluorination-based chemistries for the molecules are firmed up and we start putting up exclusive plant, this will become a new stream of business of some size and scale for Coromandel. So that's the plan. And you were talking about Dhaksha. Dhaksha has the current order book which we expect to execute in the first half. The logistic drones orders as they get completed we can expect repeat orders coming from the government. The team is working on it.

Apart from it, a lot of efforts are going on the R&D side for various types of drones, not just the

ones that we are currently doing. Since it is in the R&D stage we may not be able to come and discuss this openly, but a good amount of efforts are going into it. We have formed a steering committee to look into what are the opportunities, doing a stage-gate process to ensure that everything is on track and we're able to deliver on the R&D commitments timely. So this is a very new and interesting area, lot of processes are being put in place so that there is a good amount of management time that goes into ensuring that the investment in Dhaksha is actually helping in terms of scaling the business. Margin should be attractive as we go along.

S Ramesh: Thank you very much. I will join the queue. I wish you all the best.

Jayashree Satagopan : Thank you.

Moderator: Thank you very much. The next question is from the line of Rohan Gupta from Nuvama Wealth Management. Please go ahead.

Rohan Gupta : Yes. Hi ma'am, good afternoon. Ma'am on the margin, you are talking about still Rs. 4,500 to Rs. 5,000 per ton for the current year

and we are quite confident about it. However, last two quarters have been sub -Rs. 2,000 kind of margins, that's what we understand.

So given the current Kharif season rates, subsidy rates are already out by the government and we do not see that any further revision in near term if that doesn't happen then do you think that this margin which you're talking about maybe difficult to achieve or you expect that in second half with the increased volume and also from the value added we can achieve these numbers?

Jayashree Satagopan : Good afternoon Rohan. As I was mentioning, there has been a revision in the NBS rate between various product category there. One could look at Rs. 1,500 to Rs. 2,000 increase in the overall subsidy. The current quarter and the past quarter has been pretty tight and as you all know this is mainly driven by two factors.

One is a lower NBS rates which is not commensurate to raw material prices. Secondly, the RM value that started cooling had shot up in between. However, we are seeing a trend for RM to be soft to stable as we go along into FY '25 plus the sulphuric acid plant which has got operational will also bring in more operational efficiencies and also savings in terms of power cost.

So all of these put together, that's why I gave a broad range which one should look at for EBITDA per ton as we get into FY '25. And as you know, there are lots of percentage. Things

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could become favourable. When the raw material prices went up, the value capture was quite high in Coromandel. There is another one in terms of subsidy rate that the government is looking at when it comes to the second half. Third is the season per se. If it is good, farmers will need fertilizer, and we are also hoping with the elections getting over, there will be more flexibility in terms of pricing to the market. So all of these one should bear in mind as we look into the sales and margins for the coming year.

Rohan Gupta : Ma'am, as far as the pricing in the market, even post election, I think that we have been closely monitoring that from last 2, 2.5 years since the prices have gone up. The government has been very sticky as far as the DAP pricing is concerned in the market. I mean, what gives us the confidence that there may be possibility and opportunity to tinker with the market prices as far as DAP or maybe even complex or constant? I mean the government has not only just looking and then monitoring it?

Jayashree Satagopan : The government has been very supportive, giving high subsidies. And let's also think about it, how much subsidy that the government would want to continue to provide to the companies? They're also talking about direct transfers to farmers, which has been on the agenda for quite some time. We do not know how all of these are going to pan out. And therefore, somewhere there's a belief that there would be some amount of flexibility, which is given to the company rather than only relying on the subsidy element that the government will increase or decrease. So that's the broad thinking. Having said that, I would have Sankar to also share his perspective as he works closely with the industry and the ministry.

S. Sankarasubramanian : See we will be responsible in fixing the right MRP, which we need to have for the level of investment and the cost what we incur. So to that extent, I think, government always supports the decision keeping the farmers' interest in mind. Well, margin accretion will happen more in terms of improved operational efficiencies, as Jayashree said. Sulphuric acid plant total benefit will flow in and we've also been working on improving our efficiencies and the backward value chain in Senegal also will add to the improved profitability. And also, we have to understand that, as a company, we focus more on the unique grades. In fact, last year, our unique gr

ade

volume s have grown up significantly and we'll continue to focus on those unique grades.

So our aim in terms of improving the EBITDA margins are not the increasing prices, but by improving our operational efficiencies, bringing the value-added products while the farmer reaps

the benefit. In fact, we are looking at more of fortification as our plan for our generic grades. We'll add zinc & boron to it. And we have been fairly successful in SSP. We may repeat the story in fertilizer as well, and we have plans to do it. So our aim will be to focus on costs; improve operational efficiencies; product mix; our unique grades, which brings in value purpose to inform us so that it doesn't feel the impact of the price change .

And I think going forward also, we should be able to sustain the momentum because the international prices also are coming along, and our ability to smart purchase at the right time also helps us. That's what's differentiating Coromandel from others. Our procurement efficiency is one of the best and that also helps us to sustain with momentum even in the challenging environment.

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Rohan Gupta : Helpful, sir. And Sankar, sir, you also mentioned that over next maybe 2 to 4 years, you see that the Nano DAP can replace probably 20% to 25% of imported DAP in the current -- I mean, that's what the government is looking like. Sir, any idea or indication you can share that how -- what kind of market share we are looking in a Nano DAP?

So I think that the competition is going to definitely pick up in Nano categories. And what kind of sustainable margins? We still have no clarity that what kind of margins are there in Nano product categories across. So if you can just share that what kind of market share and what kind of margin one can expect from Nano DAP ?

S. Sankarasubramanian : See, this is a new product, new segment and we have got our own innovative product. It's unique in nature. We don't compare with others. And we have got very good response in the marketplace . So I would say what capacity we can do, rather than putting market share at this point of time, it is -- more players are welcome here. But our ability to connect with the farming community, ability to execute with the farmer and our brand loyalty will definitely help us to sustain the momentum that we have received in the last 6 weeks of introduction. It's very promising now. All I can say is we will try and keep on improving our capacity utilization, we'll try to add capacities. It will be very difficult to put any market share at this point of time because this market is just opening up now.

And also, this product is not only constrained to domestic market. We have huge opportunities to exports as well so we'll also be trying to see how best we can leverage on our global presence as well. So the potential is there as a replacement, but also in certain crops the farmer's behaviour is also as an add-on. Some of the crops where they don't use DAP, there they are trying to use this as they make it convenient for pulses or for green grams. So there's a lot of different experiences. It's for the farmers to decide and accept this product. So potentially that's what I can say. And the products also will evolve. There will be multiple grades which can come in. We have to wait and see. It's too early to make observations on the market share.

Rohan Gupta : Sir, any indication on margins also? Gross margin?

S. Sankarasubramanian : Margins are basically good, but we need to make a lot of investments on farmer connect programs and creating awareness and carrying out a lot of test and field trials. But definitely, I can say it is very healthy at this point of time. It's a non-subsidy business, and the margin are even better than the Specialty Nutrients margins what we make.

Rohan Gupta : Okay, so that's very helpful. Thank

you so much.

S. Sankarasubramanian : Thank you .

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Ms. Jayashree for closing comments. Thank you, and over to you, ma'am.

Jayashree Satagopan : Yes. Thank you all for joining us today. I know that there were a few more in the queue. We'll be happy to take your questions. Feel free to reach out to Anuj or me for any clarifications. And we will also be soon setting up a meeting in Mumbai where we will come and meet up with

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some of the investors and analysts. We'll be glad to interact further. Thank you once again for your interest in Coromandel and have a great day.

Moderator: On behalf of PhillipCapital India Private Limited , that concludes the conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

S. Sankarasubramanian : Thank you.

Call: Aug 2025

Ref. No: 2025-26/038
August 1, 2025
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra-Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of conference call held on July 25, 2025

This is further to our letter dated July 25, 2025 regarding audio recording of conference call with analysts and investors.

In this regard, we wish to inform that the transcript of the Conference Call held on July 25, 2025 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> as required pursuant to Regulation 46(2)(oa)(ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take the above submission on record.

Thanking you,

Yours truly,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:
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Coromandel International Limited
1Q FY '26 Post Results Conference Call
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Moderator: Ladies and gentlemen, good day, and welcome to Coromandel International Limited 1Q FY '26 Post Results Conference Call. As a reminder, all participant lines will be in the listen -only mode

and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

I now hand the conference over to Mr. Manish Mahawar. Thank you, and over to you, sir.

Manish Mahawar: Thank you, Bhavya. On behalf of Antique Stock Broking, warm welcome to all the participants on the 1QFY26 earnings call of Coromandel International. Today, we have Mr.

Sankarasubramanian S., Managing Director and CEO; Dr. Raghuram Devarakonda, Executive Director, CPC, Bio Products & Retail; Mr. Deepak Natara jan, CFO, on the call.

I would like to hand over the call to Mr. Sankarasubramanian for opening remarks, post which we will open the floor for Q&A. Thank you. And over to you, Mr. Sankar.

S. Sankarasubramanian: Thanks, Manish. Good afternoon, everyone. I'll give a brief on the overall business environment we experienced during the year, followed by company's performance, and thereafter, we can take your questions. On the agricultural scenario, after an early onset of Southwest monsoon in May, country as a whole received above normal rains during the first half of the Kharif season. As on date, we have received 105% of the long period average rainfall. While regional variation exists, there has been good recovery, especially over the last fortnight, and overall agriculture scenario remains positive.

During the month of June, there has been some mismatch in the rainfall distribution, especially in the southern states, that has really caught on in the last 2 weeks. Reservoir capacities are also up from 38% last year to 61% up to last week with healthy levels across all regions. The South, which is a key market for Coromandel, 70% of the capacity has been reached in the current year as compared to 48% in last year, giving promising outlook for the crop sowing.

As a result, healthy crop acreage has happened so far, moving up by 4%. Coming specific to individual crops, rice has grown by 13% and coarse cereals by 14%. There has been a negative sowing in cotton and oil seeds. So overall, we have achieved 71 million hectares crop sowing as against the Normal Kharif sowing of 110 million hectares, which shows 70% of the sowing has already happened.

On the policy front, the government has provided strong support for farm income through increased minimum support prices for Kharif 2025, and direct income transfer schemes such as PM Kisan and Rythu Bharosa, Annadata Sukhibhava. All these are all progressing as planned by the govt.

Cabinet has recently approved Dhan -Dhaanya Krishi Yojana scheme to focus on improving incomes in 100 districts having low productivity, cropping intensity and credit disbursement through improvement in crop diversification, post-harvest storage, irrigation infra and credit access.

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During the quarter, the government approved the continuation of the modified Interest Subvention Scheme. Under the scheme, apart from 1.5% of interest subvention provided to eligible lending institutions, farmers making prompt repayment of loans will be eligible for additional incentive, thereby reducing their interest rate on KCC loan to 4%.

Specific to fertilizer policy, government has been ensuring adequate availability of DAP and has been engaging with the various global players. Government delegation visited Saudi recently and secured long-term supply of close to 3.1 million tons for the next few years. This will be extremely useful as India imports close to 5 to 6 million tons of DAP.

Considering the importance of DAP requirement, the government

has also come up with

additional compensation for DAP beyond certain threshold levels, which was announced in the early part of Kharif and that is likely to continue for the second quarter as well.

On the industry performance, all key raw materials witnessed firmness in Q1. Processed phosphates like DAP continued to climb as absence of China and lesser supply from Russia has significantly tightened the market supplies for DAP. Shortfall in supply from China so far has been made up from sourcing DAP from rest of the world.

In line with the increase in global prices of DAP, and also India CFR price of DAP, Phos Acid price has also significantly gone up from \$1,153 in Q1 and has been concluded at \$1,258 for Q2. Domestic phosphatic industry registered a strong quarter, driven by improved sentiment, improved consumption of fertilizers, which has gone up by 9% to 4.5 million tons. Early monsoon arrival, lower level of inventory and higher sowings contributed to this improved consumption trend.

NPK segment continued to grow well and constituted 65% share in the overall sales. The last year trend of increased demand for NPKs replacing DAP augurs well for India, especially considering the fact NPK provides a balanced nutrition much required for the crop as against deploying DAP. On the supply side, production and import of phosphatic were up by 5% to 9%. Production continued to remain healthy at 37 lakh tons for the quarter for DAP and NPK.

After a lot of efforts from industry as well as from the government, the import of DAP and NPKs

has managed to move up in the last few weeks. And the first quarter witnessed 19 lakh tons as against last year's 17.6 lakh tons.

Overall, the consumption has gone up by 9% at the industry level, mainly driven by NP, NPKs, which has grown by 34% from 22 to 29 lakh tons, whereas DAP registered degrowth. This indicates the farmer preference for balanced nutrition and the choices they have made depending on the availability despite the fact that DAP pricing continues to remain low as against higher NPK pricing.

It's heartening to note that single superphosphate has witnessed robust growth of 25%, moving up from 9.8 to 12.2 lakh tons, and urea registering increase of 12% over the last year.

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Potash consumption as primary sales have moved up, but imports came down considerably due to delay in price negotiation, which was subsequently settled at a very competitive pricing in comparison to China price, and that assures supply of potash in the coming months. While the import for the first quarter is lower at 71%, consumption moved up by 46% to 4.6 lakh tons.

Coming to agrochemicals, Globally, there has been a reduction in the channel inventory compared to last year. Pricing pressure on certain molecules has reduced compared to last year but still challenge persists in the current year as well.

However, favorable monsoon conditions in the domestic market really aided in widespread spraying coverage across the region, generating demand for crop protection. With the overall buoyancy in the marketplace, farmers have started resorting to high-end products like specialty fertilizers, Bio products, which has seen uptrend during this quarter.

Coming to company's performance during this quarter. Our performance has to be seen in the context of overall environment. Due to the early onset of monsoon, the increased crop sowings improved the demand for the agri inputs, whether it's fertilizer or specialties and organic. At company level, the performance across business segments has been quite healthy, mainly driven by operational excellence, procurement efficiencies and very effective marketing communication.

Our plants operated at full capacity of 8.4 lakh tons in Q1, registering 6% volume growth. We continue to operate our newly commissioned sulfuric acid plant at

100% plus capacity

utilization, and our phosphoric acid volumes were also up by 23%.

A lot of digital analytics intervention, improving the uptime of our plants in both Vizag and Kakinada was really helpful in increasing the throughput efficiency, conversion cost reduction, and the company has been leveraging effectively digital tools to manage and maintain operational effectiveness in their plants.

The production of NPK and DAP moved up from 7.88 to 8.37 lakh tons, registering growth of 6%. Phosphoric acid moved up by 23% during this quarter with the resumption of Ennore plant also coming back on track.

As you all know, we announced backward integration projects of phosphoric acid and sulfuric acid and the project is progressing well. And almost we have completed 70% of the project milestone in terms of machineries as well as civil construction. The plant is likely to be commissioned in Q4 of this current financial year.

The company's rock phosphate project at BMCC has significantly increased its throughput and has stabilized its operation and helping in meeting company's rock requirement. As you all know, the company is currently holding 53.8% stake in the Babob Mining and Chemicals Corporation at Senegal. And yesterday, Board has approved increasing the stake by an additional 17.7% to reach 71.5%.

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Senegal is of extreme importance for the new plant, which is coming up at Kakinada, where we plan to use Senegal rock, meeting 40% of the new plant requirement. So we feel the improved operational efficiency at Senegal and increased throughput in the coming years will help us to secure at least captive rock sourcing close to 25% of our annual requirements.

Our granulation project that is expected to add 7.5 lakh tons of additional capacity is on track and is likely to be commissioned by end of FY26-27. To support this, company is setting up a bagging facility also, which will help in reducing operational costs and facilitate smooth movement of the goods.

During this quarter, as you all know, the Coromandel signed a long-term agreement with Maaden of Saudi Arabia, a leading fertilizer player, mainly to secure DAP shipments. We have also been contracting ammonia shipments for our operations at Kakinada.

On the marketing front, Coromandel achieved record primary sales volume of 11 lakh tons, marking a 31% growth, establishing itself as a leading marketer of phosphatic fertilizers in the country with an improved market share of close to 18% on the NPK segment.

Share of unique grades, which differentiates us from the rest of the players, stands at 34%, improved from last year level of 31%. We continue to expand in Central and Northern India, aligning with our strategy to diversify markets and prepare ourselves for the upcoming increase in capacity.

The POS consumption improved by 46% during this quarter to 7 lakh tons, reflecting improved farm level engagement activities and a favorable agri environment. The market share on the consumption basis has improved to 16% as compared to 12% of last year. With the better price realization on the Rabi produce, the market collections for the business has been quite robust. And also, we are happy to note that the government has been prompt in settling the subsidy dues as well. SSP business has recorded a volume growth of 20% to 1.9 lakh tons with special focus on differentiated products, which are unique to Coromandel, the share of which has reached 37%.

We've also been persisting with our drone spraying services under the brand of Gromor Drive. And in first quarter, we have covered 25,000 acres. The initiative has received highly encouraging response from the farming community, and we are planning to double the fleet size of drones by procuring them from Dhaksha, and we hope to reach at least 0.5 million acres of drone spraying in the current year. Coromande

I am taking this initiative more to provide comprehensive solution to the farming community, at the same time helping in preserving and conserving the water as drone spraying can cut down water requirement by almost 90% and can be reduced to one-tenth of the total water otherwise required per acre. Specialty Nutrient business as a company had a strong quarter, registering volume growth of 12%, while organic fertilizer volumes has improved by 29%. Our Nano DAP business has made a good progress, and we have been very, very systematic in creating awareness campaigns across India, carrying out a lot of field demos, presenting the research institute's trial results to the farmers, generating the demand, and focusing on educating the farmers to adopt this product for

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partial substitution of DAP, which is also not available in adequate volumes. Going forward, the business aims to broaden its portfolio from institutional partnerships and tap into export markets as well to enhance its market presence. The company is also looking at diversifying the product portfolio by looking at Nano NPKs as well. The company has also launched Nano Urea through its retail outlets during this quarter and continue to responsibly educate the farmers in appreciating the use efficiency of this technology.

During the quarter, Coromandel signed a definitive agreement to form a joint venture with Sakarni Plaster for the manufacture and sale of phospho gypsum based green building materials. This JV enables synergies in adjacent areas by converting its industrial byproduct gypsum into value-added construction material.

Crop Protection and Bio segments of the company delivered robust set of numbers in Q1, revenue growing up by 31% to Rs 725 crores and EBIT moved up by 77% to Rs 111 crores. In exports, we brought in differentiation in terms of our mancozeb margins, volumes, target markets and have received very good response in major consuming markets as the demand for the product has moved up due to its extension on maize crop. Domestic market benefited from the early monsoon arrival that resulted in growth across B2B and B2C segments.

Business introduced 10 new products during the quarter, including one in-licensing product. We continue to focus on increasing the share of new products. Overall, three insecticides, three herbicides, three Bio products and one PGR were launched, including one in-licensing and three 9(3) formulations.

On the in-licensing product, Nitenpyram is a globally acclaimed sucking pest insecticide in-licensed from one of our strategic partners. We'll continue to drive this business. We have also started focusing more intensely on the domestic formulation segments and expanded our geographies by significantly improving our presence in additional 40 territories and also increasing our field strength. All this will play in the next coming quarters in terms of increased share of our domestic formulation business.

On the Bio business, there has been a revival in demand for the biopesticides in the global markets, especially from U.S. and we continue to receive the orders from Europe. The business has been focusing on diversifying the portfolio beyond neem-based, and they are in the various stages of registering the new products like microbials. The business has created a separate marketing team, as it involves concept selling to educate the farming community to adopt the Bio products.

In July 2025, Coromandel received Competition Commission approval for the newly-acquired NACL and is awaiting SEBI clearance to launch open offer. Once we get the approval, we'll conclude the transaction of buying out the promoter stake and complete the acquisition formalities, including open offer. With improved liquidity and market sentiment, business is doing well and we will try and realize the synergy benefits

envisaged earlier at the time of acquisition.

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On the retail business, the business has reported strong performance in Q1 with growth in revenue and profitability across various segments. 73 new stores were opened during the quarter, and business is on track to increase the store count by adding 400 stores during the year. The business is enhancing its customer outreach through strengthened e-commerce and digital platforms and will be the only player to make a door delivery of key agri input products besides providing spraying services.

With these initial remarks, I will hand over to Deepak to take you through the company's financial performance. Over to you, Deepak.

Deepak Natarajan: Thank you, Sankar. Good afternoon, everyone. The company recorded a consolidated total income of INR7,126 crores during the quarter versus INR4,783 crores in Q1 of last year, registering a growth of 49%. The increase in revenues has been mainly on account of higher subsidy rates and volume growth across all our business segments. The subsidy share of the business stands at 83% during the quarter compared to 81% in the previous year same quarter. In terms of profitability, the consolidated EBITDA for the quarter stands at INR782 crores against INR506 crores in the previous year, registering a growth of 55%. The increase in EBITDA is driven mainly by volume growth, higher subsidy rates and margin expansion in crop protection and all the other businesses.

Profitability share of subsidy business stands at 68% during the quarter.

In terms of subsidy, during the quarter, the company received INR1,300 crores towards subsidy claims from the government compared to INR987 crores in Q1 of last year. Government has been prompt in clearing the subsidy dues. As of today, we have received our subsidy claims until July first week. The subsidy outstanding as at quarter end June 30, was INR2,911 crores.

In terms of forex, during Q1, the rupee traded in the range of INR83.76 to INR86.91 to USD.

Coromandel continues to follow a prudent and a conservative approach of hedging our forex exposure and that has immensely helped in limiting the impact of currency volatility.

Thank you for your interest in Coromandel. Looking forward to your interactions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Prashant Biyani from Elara Capital.

Prashant Biyani: Sir, congrats on great set of numbers and congrats on being elected the Co-Chairman of FAI.

Sir, my first question is on the China specialty fertilizer ban. Do we have plans to start manufacturing specialty fertilizer in a big way in India and capture the market leadership here as well? And secondly, on rare earth minerals, sir, do we have any plans to enter the space of rare earth mineral extraction?

S. Sankarasubramanian: Thank you. Very insightful question. Both are very, very relevant. We are equally concerned on the supply of raw materials for Specialty Nutrient business. We are evaluating opportunities of creating capacity for some of the key raw materials and as a fertilizer player, our ability to reuse

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the by-products which are generated out of the process is quite helpful. We are evaluating the investment to create capacities for our captive consumption as well as it provides opportunity for us to export to Europe and various other NPK players globally. Also, it will meet the domestic demand of the rest of the players in the country.

On the rare earth minerals. We'll get back to you once we do evaluation. We are trying to focus ourselves mainly on the phosphate-based derivatives. We have not looked at extraction of rare earth minerals.

Prashant Biyani: Sure. Sir, your view on what could be the NBS subsidy for H2, not the number, but directionally,

how it could be, because internationally, we are seeing raw material prices have been going up?

S. Sankarasubramanian: Logically, subsidy should go up.

Prashant Biyani: Right. And sir, on BMCC, what is the current output? And how much do we plan to scale it up to? Our earlier plans were to scale it up to 5 lakh tons, but do we plan to scale it further beyond 5 lakh tons, and by when?

S. Sankarasubramanian: If everything goes well this year, FY25-26, besides 2 to 3 months of rainy season when we don't operate, we should come closer to 300,000 tons to 400,000 tons per annum, which will be a remarkable achievement. Being the first year of capacity, we are reaching 100%. Hopefully, we should double it in the next 2 years. We can do this with not significant investment.

Moderator: The next question is from the line of Somaiah V from Avendus Spark.

Somaiah V.: Sir, the question is on the DAP market. This has been tight for some time now. So do we see, in the next 6 months or 9 months, any major supply that could come from global players by adding capacity or anything that could change in this market that could ease out a bit in terms of global supply, or the existing tightness can continue for some more time in your view?

S. Sankarasubramanian: See, China is major source for India in the last few years. It has completely dried up in the current year. So that is creating the demand -supply mismatch. But we are confident that from Middle East sources, increased volumes can come through and make up for the volume drop from China, and that should considerably ease the situation.

While there can be a timing mismatch going forward, with the capacity expansion happening in Middle East, we are reasonably confident we should not face any challenge on DAP availability going forward.

The companies are also creating capacities which will come up on stream in the next 2 years.

With the stable policy and the reasonable market price and also the inclination of the farmers to make a switch from DAP to NPKs, this will get balanced out. Also globally, commodity prices are not going to go up for various reasons. And I don't see any reason why for India alone DAP price should go up. I have a strong view, if appetite for DAP for the forthcoming rabi seasons are met, DAP prices should soften from there on.

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Somaiah V.: Got it, sir. Sir, second question is on the margin. So we earlier had guided -- I mean, in terms of our expectation around the manufactured margins of around INR5,000 per ton. Updated thoughts on that. That's the first part. Second, in the current quarter, the quarter gone by, Q1, I mean, what was the impact of sulfur, sulfuric acid prices directionally?

Because I think in Q4, you had alluded because sulfur prices being higher at close to \$300. So how did things change on a quarter-on-quarter basis and how things stand today? I mean, are we seeing sulfur market easing out a bit or still it continues to remain tight? That's the second part. Third part to the margin question itself, as you mentioned, phosphoric acid prices have gone up. Does this warrant a price hike from our side to maintain margins what we are looking out for FY '26?

S. Sankarasubramanian: In respect of sulfur, sulfuric acid price, it continued to remain firm. Sulfuric acid is around \$120.

And sulfur prices peaked to \$300 plus, and has started softening now. It has come down to \$275.

So we do hope that sulfur prices have reached the peak and can only come down from here on.

On the manufactured margin, our normative EBITDA per metric ton of INR5,000 will sustain during this year. That's our hope, and we'll strive to do that.

In terms of the phosphoric acid price change, it's in line with the global commodity prices, especially DAP increase. This may warrant some correction in certain NPK grades, because we should be aware

of the fact that both phosphoric acid and potash has gone up during this quarter.

. Of course, price change on account of DAP, phosphoric acid, and imported DAP prices will be compensated in the form of subsidy. That's what we foresee at this point of time.

Somaiah V.: Just one small clarification, sir, regarding the sulfur, sulfuric acid impact in the quarter.

Compared to Q4, it would have had a negative impact because prices have gone up. Just directionally, just want to understand?

S. Sankarasubramanian: Yes, it has impacted the value gap on captive phosphoric acid because we consume sulfur to produce sulfuric acid, which in turn is used for phosphoric acid, and imported sulfuric acid price has also gone up. To that extent, there has been a marginal reduction in the value addition. But with phosphoric acid going up, again, the value gap will widen further going into next quarter as well.

Our procurement efficiency of long-term contracts, some of the formulas are slightly different from spot purchases. We are fairly getting insulated. That's what I mentioned in my opening remarks on the procurement efficiency. So we have been managing it quite well.

Moderator: The next question is from the line of Puran Mangilal Tak from Oracle Capital Services.

Puran Mangilal Tak : So my question was on the -- like Coromandel is using different grade of phosphoric rock to produce phosphoric acid. So I just wanted to understand that does it impact the conversion rate of rock to acid? And what is the current conversion of rock to acid? And in the annual report also, like we are doing research on how to use that different grade of rock. So does -- like it has improved our conversion rate or conversion of rock to asset has improved over the 5 years? Just wanted to know that.

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S. Sankarasubramanian: Good question. Coromandel is differentiated from the rest of the players in the industry mainly by focusing on sourcing rock from multiple sources. So at any point of time, we have 4, 5 grades of rocks and 4, 5 grades of acid we use in our plants, driven by the necessity because as our volumes going up, our demand for acid goes up. And that is where our pilot plant at Vizag comes handy in terms of trying out various blends of rock and different proportion and different P2O5 content.

The new plant, which is coming up in Kakinada is also being designed to handle low-grade rocks and the metallurgy of the machineries are accordingly tuned to handle low-grade rocks. Once we design it for low-grade rock, the higher grades can give better throughput. So this has been

taken care of, and that's the core strength of Coromandel. At any point of time, we use more than 3 grades of rocks to produce without compromising on the output, without compromising on the quality.

Puran Mangilal Tak : And can you give us, like what is the current conversion rate. Like how much rock we require to produce acid, blended, just wanted directionally ?

S. Sankarasubramanian: Roughly, you can take, around 3.5 tons to 3.75 tons of rock may be required per ton of acid, and that depends on the P2O5 content. Suppose if we use low grade, it may go to 4 tons, 4.25 tons. If we use high grade, it will come to 3.25 ton. On a blended basis, you can take this sort of number.

Puran Mangilal Tak : Okay. And my next question was on the -- like as Coromandel has the largest depot network among the peers. So just wanted to know that what is our depot in our value chain. And like as I have met the Gromor retailer, so he said that now Coromandel is shifting to direct delivery to farmers. So like conversion like from the last 5 years. So like is there any cost improvement or this cost savings from direct delivery to farmers?

S. Sankarasubramanian: I didn't understand the first part of it. Can you please repeat the first part of the question, initially? Pu

Puran Mangilal Tak : So like Coromandel has the largest depot network overall in India?

S. Sankarasubramanian: Are you talking about retail network?

Puran Mangilal Tak : No. Depot .

S. Sankarasubramanian: On the door delivery, we started this initiative in the last 2 quarters. We have been doing it to ensure that the farmers get delivery of the products like an urban consumer. And we started on a pilot scale. It's picking up momentum. And it is aided by our e-commerce platform, which we created to deliver all the agri input products at the doorstep for the farmers.

We have piloted in a few districts. Working well. We'll be scaling up. And we also have our own MyGromor e-com platform, on which the farmers can place an order and the delivery can be made. This is picking up.

While it may not be value accretive in terms of the cost versus additional margin, but it provides customer lock-in for us. And we feel, as part of an agri solution to the farming community, we

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should facilitate this. We will try to expand this to many markets, and we have seen the benefit of this as well.

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Funds.

Naushad Chaudhary: Congrats on a good set of numbers. A few questions and clarifications. First, as we are expanding in non-South market, can the volume growth also be attributed to channel filling as well?

S. Sankarasubramanian: Consumption also has grown well. While I agree with you, we've grown beyond South markets, we have done volumes in North markets, but they are all on a cash basis and collection has been good and the consumption also happened. Consumption share also has gone up during this quarter.

Naushad Chaudhary: And what is the goods return policy we follow?

S. Sankarasubramanian: In fertilizer, there's no concept of goods return. In crop protection, we have a framework. It's not very high. It's not very significant. We don't push volumes. We only place it to the extent of the demand. And for some key specialties, there are no returns. Wherever it is required, depending on the monsoon failure and genuine considerations, we do consider goods return.

That is restricted only to Crop Protection business. So we don't have to really worry about the first quarter, whether it's a push sale that has driven the volumes. They are all quality sales and will be backed by the consumption.

Naushad Chaudhary: Sure. Second, on the prices of sulfuric and phos acid both, and because we are backward integrated, ideally, it should have helped us in terms of the EBITDA per ton, right? Because these 2 prices have gone up, we are backward integrated and the finished product prices would get adjusted accordingly. So it should be good for us?

S. Sankarasubramanian: Yes and no.

Naushad Chaudhary: Okay. Can you elaborate on this? And are you in a position to quantify how much it would have helped?

S. Sankarasubramanian: These are volatile commodity prices, no one single factor can influence. It's multiple factors.

How do you optimize your rock usage? How do you source ahead of time and how do you price your end products? It's completely dynamic. On a normative basis, we ensure that we get that average EBITDA of INR5,000 what we have been talking about. So sometimes it goes down marginally, sometimes it goes up. But on an annualized basis, this is what we aim for.

And also besides these cost factors, we also work on improving our productivity throughput. We have set up a digital excellence center in Vizag and follow Industry 4.0 practices. We have connected all the plants with sensors to track the performance and improve the uptime of machineries.

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So these sort of efficiency and productivity improvement is always helping us to expand the margins. There are multiple

factors we try to work on to mitigate the impact from high volatility in commodity prices.

Naushad Chaudhary: Sure. On the subsidy outstanding number, if I look at as a percentage of revenue, historically, it remains around 30%, 35% of the quarterly sales number versus this quarter, it looks around 41% despite very high base that quarter revenue. Is there anything to read or worry here on the subsidy side?

S. Sankarasubramanian: No, no. First quarter, the primary sale is higher and the consumption is low because the season starts in third, fourth week of May. So it's a function of channel inventory which is there at the end of the quarter. But once the consumption begins in July, we can see a significant reduction in the channel inventory.

Naushad Chaudhary: And last on the subsidy and non-subsidy EBITDA mix, if you can share?

S. Sankarasubramanian: I think it's around 65% to 67% share of subsidy business as against last year of 70%. There has been significant improvement in non-subsidy during this first quarter.

Moderator: The next question is from the line of Jayshree Bajaj from Trinetra Asset Managers.

Jayshree Bajaj: My question is like earlier, you have said that the regulatory approval of NACL acquisition will come in quarter 2 of this year. So is there any update? And we are planning for the capacity -- we are working on capacity expansion like Kakinada expansion and multiproduct plant, phosphoric, sulfuric acid plant, and this acquisition also. And the company is working on 0 net debt-to-equity ratio. So like in future, debt will be required in this FY '26?

S. Sankarasubramanian: Good question. In terms of the NACL, we have got the Competition Commission approval, and we are waiting for SEBI clearance. We hope we get this in Q2 and should be able to complete the transaction. This is as far as the NACL acquisition is concerned.

In terms of the project capex, we have committed quite a few capex and we've been implementing. Close to INR2,000 crores, we'll be spending. That will be dipping out of the surplus what we have generated over the period of time. And also, we are investing in the acquisition.

So at some stage, company may have to resort to long-term funding, especially considering the fact the interest rate on long-term funding is at the lowest level. As soon as we have the right investment decisions, we'll be more than keen to support this with the debt instrument, which provides necessary tax hedge as well.

Jayshree Bajaj: Okay, sir. And is there any strategic plan you are working on Crop Protection segment after acquisition of NACL?

S. Sankarasubramanian: Yes. As part of the strategy only we have acquired NACL. We are also looking to expand our product portfolio. We have been launching new products. Last year, we have done 10 products. This year, first quarter, we have launched 10 new products. Our aim would be to get more in -

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license unique molecules, 9 (3) registrations, and we have created a product pipeline. We are also trying to increase the branded formulation business in domestic market from the current levels.

On a combined basis, we want to be a significant player in the formulation business as well. Our multipurpose plant capacity creation, what we have announced 2 quarters before, we are trying to evaluate the feasibility of looking at facilities in NACL before we commit in separate capex. Our aim would be to grow CPC business in the coming years and all our initiatives and investments will be towards that.

Moderator: The next question is from the line of Ankur from Axis.

Ankur: Congratulations on a good set of numbers. First question on the Crop Protection side. With NACL being under our fold as well effectively, what are your thoughts in terms of ramping up, whether it is in terms of the product portfolio that we have or it is the geographical network? And

along with that, your thoughts on expansion into the other products on the Specialty Nutrient side or the water soluble fertilizer side?

S. Sankarasubramanian: On NACL, as I mentioned, we have a complementary set of active ingredients. Except for one molecule, rest of the products are different and they have a different customer tie-up. We operate in different geographies. So to that extent, we'll continue to improve the overall combined turnover in the global markets.

On the domestic side, again, they have very strong presence in the Northern market. We have significant presence pan-India. They have strong brands. We try to see how best we can leverage on a combined basis to increase the presence in the formulation market.

For capacity creation, we will try and put up a new plant only after exploring opportunities of leveraging the current facilities in both the companies. On the R&D front, we could synergize efficiency and technology. They have fluorination chemistry, which we can leverage effectively.

We have some by-products coming out from our phosphate, which can be leveraged in future for developing fluorination chemistry-based agrochemicals and for other applications. So we have quite a few areas where we can work together and make the value. This is on agrochemicals. On the Specialty Nutrients, we have doubled our sulfur capacity last year, commissioned the plant. We are also looking at expanding our water-soluble range by introducing new products. As I spoke some time back, to ensure raw material security, we may look at investing in some of the key raw materials required for manufacturing water-soluble fertilisers, which not only provides raw material security for our products, but also create new opportunities to participate in the global market requirements.

On the Bio side, we are trying to expand the product portfolio to go beyond Neem-based biopesticides and introducing microbials. We are strengthening our field teams to increase the volume of sales within India and exports. We have ambitious growth plans on Specialty Nutrients and Bio products, and we are looking for partnerships in this area to bring in R&D to introduce new products.

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On organic, we have increased our presence across various product ranges. We are also looking to put up a granulation facility for specialty granulations, which includes seaweed and other related specialty products. So we have concrete game plan to grow these 2 segments. We will see the results in the coming quarters.

Ankur: Sure, sir. Just one follow-up on that. So for all this expansion, the INR2,000 crore capex that we have envisaged for, let's say, this financial year, FY '26, this will be over and above this or a large part of this is already covered in this capex?

S. Sankarasubramanian: Sorry, can you please repeat initially, I missed out that point.

Ankur: Yes, no worries. So the expansion that we are looking at across these product areas, this will be an incremental capex, which will be over and above the INR2,000 crore capex that we had called out for. Would that be a right assumption?

S. Sankarasubramanian: Yes.

Ankur: Sure. And broadly, if you can quantify what sort of investments are we looking at here over a maybe 2-year, 3-year window? That is one. And secondly, we have also set up an MPP for the new age technicals at Dahej. So if you can put some more light over the re?

S. Sankarasubramanian: Yes. The investment can be in the range of INR300 crores to INR500 crores across various product categories in these business segments. On Dahej facility, the sort of technicals we like to put up the facility will depend on the new product registrations which are coming through from the global markets.

It will be a multipurpose facility with fungibility on switching over from one active ingredient to another one.

We are in the evaluation stage. We'll take a call once we firm up on the product portfolio.

Ankur: Great, sir. Just last one follow-up, if I may. You initially mentioned on the BMCC annual run rate, the rock which is getting supplied to India. I missed that number. If you can help the annual run rate that we are working at right now, the rock phosphate supply from BMCC for us?

S. Sankarasubramanian: This year, as I said, can be between 300,000 to 400,000, and our aim is to double in the next 2 years.

Moderator: The next question is from the line of Riju from Antique Stock Broking.

Riju: If I look at your numbers for this quarter, so there is a sharp jump in the depreciation. This was mainly on account of the BMCC acquisition that we have done in the March? Or any other component is there?

S. Sankarasubramanian: Good observation. This is due to consolidation of BMCC, which has become a subsidiary company, and this mainly relates to amortization of overburden expenditures, which follows the mines accounting. It gets amortized over the mine life. This gets classified under the depreciation.

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Riju: So the INR120 crores kind of a run rate, so that is going to be there for the full year, or how we can look at this number?

S. Sankarasubramanian: Yes, it can be estimated around that level. Actually, we can say that on a consolidated basis. Only thing is, in the second quarter, when there is monsoon, there may be a marginal reduction in the production level. So to that extent, it can come down. Again, it will get normalized in Q3 and Q4.

Riju: Got it. And sir, if you could help us understanding the revenue run rate for BMCC, it will be very much helpful. Revenue run rate.

S. Sankarasubramanian: Revenue? For the quarter or full year, you are asking?

Riju: For the full year.

S. Sankarasubramanian: Depending on the volume, you can take around INR350 crores to INR400 crores.

Riju: Understood. Yes. And in terms of our subsidy business, so this quarter you have seen a sharp improvement in terms of overall EBITDA for the subsidy business. So how much that was driven by the inventory gain. So if you could give some light on that?

S. Sankarasubramanian: See, always as a company, ahead of the season, we stock up material and there will be some inventory gains definitely which flow into the quarter. First quarter always has this advantage of the lower raw material prices, especially when the prices go up.

So that has flown into this quarter, but also you should appreciate the fact there's been increase in the fresh raw material purchases as well. So to that extent, the inventory gains have been offset by the increase in raw material prices of sulfur, sulfuric acid, phosphoric acid, exchange rate. So many factors are at play. Very difficult to put a number separately, but I would say that average EBITDA remains where it is.

Riju: Understood. And sir, one last bookkeeping question, if you could clarify. In terms of our Crop Protection business, so how much was the domestic business and how much was the export?

S. Sankarasubramanian: Overall, company level?

Riju: And for the Crop Protection business.

S. Sankarasubramanian: Crop Protection, 40% is exports, 60% is domestic B2B and formulation.

Moderator: The next question is from the line of Ajit from Nirzar Enterprises.

Ajit: Sir, my first question is on geographical expansion, which we have mentioned in our annual report that we will be entering into -- or we have entered into central and northern states of India like U.P., Rajasthan, M.P. Sir, what is our strategy in these states? Considering the fact that we will have additional transportation cost, so how competitive we will be in terms of pricing? And do we have any plans to set up our plant anywhere in these states of India?

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And my se

cond question is on, sir, urea superphosphate. Sir, can this be served as replacement for conventional urea? And are there any plans to enter into urea manufacturing?

S. Sankarasubramanian: On the expansion to northern markets, as I've been telling in the past as well, we are coming up with additional capacity at Kakinada, close to 7,50,000 tons, and we are developing the seed markets in Central and Northern India to move these materials from Kakinada to markets like Rajasthan, M.P., U.P. And as you know, in the current policy framework, railway freight is reimbursed by the government. So to that extent, our MRP will be as competitive as any other players in that state. We don't have immediate plans to set up any facility in the North, but we do have SSP facilities in many of the northern states, and we have been doing business. This movement of NPKs to these markets will be a portfolio expansion. We do sell Crop Protection, we sell Specialty Nutrients, we sell single super phosphate. With that, we are adding NPKs now.

And in terms of next question, you had one more query, if I remember right. Can you please repeat the last one?

Ajit: Urea phosphate product. Is it replaceable? And do we have plans to enter into urea manufacturing?

S. Sankarasubramanian: No, urea phosphate does not require that much of urea. We don't have any immediate plans to set up any urea manufacturing, which is quite capital intensive and there is less return. So we have no plans at this point of time. With regard to urea SSP, we can import urea what is required for manufacturing this. Requirements are not very high. We have set up the facility in Nimrani and now in Udaipur. We are looking to replicate this in Ennore as well. And the ratio of NP in this grade is 5:15, which is sort of lower version of DAP. We can call this a shorter DAP. 2, 2.5 bags of urea SSP can replace DAP, and that is how we have been educating the farmers about it.

And this product can be efficiently manufactured at a competitive cost and make it affordable for the farmers as well. And we can avoid import of DAP, which is not available as of now. This is our strategy behind this, and whatever urea required for this will be imported by us.

Moderator: The next question is from the line of Viraj from SIMPL.

Viraj: Yes. Most of my questions have been answered. Just 2. Somewhere earlier in the opening of the call, you said that the prices of DAP is even higher than some of the NPK products we sell in the marketplace. So in that perspective, if you look at our share of unique grades, one would think that you would have seen a much more higher offtake of those products in Q1 vis-a-vis what traditionally you would have sold.

So while we have seen an increase, one would think probably even more higher offtake. So just trying to understand, was supply a constraint on our side, which we couldn't maximize, or was there any other reason? That is one.

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And second is something you just said to the previous participant on the urea manufacturing or even for, say, NPK. Now globally, if you can just give some perspective, are you seeing any major expansion happening in NPK, DAP or in urea space globally? And internally for us, if we were to look at manufacturing set up in either of the 2, say, hypothetically in North, what milestones or what parameters you will be looking for before deploying capital?

S. Sankarasubramanian: As far as global capacity creation is concerned, on phosphate side, global players are increasing capacity. A leading player in Morocco as well as Saudi, they are expanding capacities. And that to a great extent can absorb a sharp decline in export from China. So India stands to gain on that. India is trying to be self-sufficient on urea. With many of the government-owned undertakings being revived, the volumes are fairly met. We do expect t

he import of urea to come down in the coming days. If consumption gets moderated, we should see a gradual reduction in urea imports. Coming to specifics on capacity creation, in North or South, greenfield capacity creation is highly prohibitive in terms of cost and the return structure. And the first and foremost is the raw material security. So unless we have a clear visibility in terms of securing the base raw materials, it may be difficult to set up the facility.

And that too greenfield facility will have huge investments and challenges in securing raw materials. So at this point of time, the capacity creation can be through brownfield expansion or through inorganic. It can't be a greenfield. It's my understanding. But having said that, we need to see how the industry plays out.

As you all know, P&K overall industry volume is close to 20 to 24 million tons, 14 million tons is NPK and 10 million tons is DAP, and we are still net importer of DAP and NPK. So an opportunity exists in India to create capacities, but the policies need to be conducive, stable, providing reasonable returns, and the company should be able to secure raw materials. So if these challenges can be managed, then the capacity can come up.

Viraj: And on the unique grade offtake in Q1, given where the pricing dynamics played out between DAP and NPK?

S. Sankarasubramanian: DAP price is fixed at INR1,350 / bag. Other MRP is on the higher side. Actually, the Q1 is the initial sowing stage. The unique grades don't go in the initial stage. It's only urea, DAP, NP grades. Unique grades will go as top dressing at the time of flowering and then later during fruiting stage. So to that extent, you can see the increase in share of volume happening in Q2 and Q3. And our focus remains the same. We bring in differentiation. We add micronutrients. Grades like SSP plus Boron plus zinc plus SSP plus urea, our share of volumes in the first quarter has gone up significantly. So we are moving away from traditional SSP powder to value-added granulated products like this. We have been focusing on bringing the new products and the aim would be to come up with slow release, controlled release fertilizers, coated fertilizers. So these are all the areas we'll be working on in the future.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

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S. Ramesh: Congratulations on the results. Sir, if you can confirm the start-up date for the granulation plant, because you mentioned FY 27-28. When exactly would you be completing the granulation project?

S. Sankarasubramanian: I think '26, '27 fourth quarter, which means that calendar year '27 January, that quarter, we should commission the plant.

S. Ramesh: Okay. And secondly, in the results, when you look at the segment numbers, are we seeing BMCC at EBITDA positive in terms of the nutrient segment? And when do you see that happen?

S. Sankarasubramanian: It's already EBITDA positive in Q1.

S. Ramesh: Okay. And can you give us the volume growth for domestic formulations, exports and the biological pesticide?

S. Sankarasubramanian: In respect of formulation business, our volume growth is 33%. Exports is close to 20%.

S. Ramesh: And in Bio?

S. Sankarasubramanian: Both volume and value. Bio has doubled because of some early orders we secured from U.S. and European markets. So it's almost 100%, I would say.

S. Ramesh: Export you said is 20% in value terms?

S. Sankarasubramanian: Yes.

S. Ramesh: Okay. So where do we go from here in terms of the Crop Protection business segment, because there is a considerable improvement in the share of crop protection. So are you seeing this as a trend in the next 2, 3 years? And would that improve the overall blended EBITDA and return for the company?

S. Sankarasubramanian: Absolutely. This year is going to be extremely

good for Crop Protection. The major share of profits are coming from Crop Protection, and we keep increasing our capacity. We keep introducing new molecules. We have systematically worked on bringing new products and all

this will yield results in the coming years. The momentum what we are seeing this year will continue in the years to come.

S. Ramesh: Okay. Is it possible to give a timeline as to when you expect the NACL to turn around and become profitable?

S. Sankarasubramanian: NACL is in a window closure period. I don't want to comment at this point of time. Once they publish the results, you will see.

Moderator: The next question is from the line of Himanshu Binani from Anand Rathi.

Himanshu Binani: So sir, my question was largely on the NACL side basically. So in the past, you have talked about getting into the CRAMS side of the business in the CPC segment. And in NACL, what I

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understand is that we do have a facility out there. So are we going to use that? Or we would be like using our own thing or we would be like doing an organic thing in this?

S. Sankarasubramanian: So we'll be leveraging the capacities, whether it is in Coromandel or NACL, They have the required expertise and the plants are designed for CRAMS. We will be definitely leveraging some of the objectives and synergy benefits we articulated at the time of acquisition as well.

Himanshu Binani: Yes. So by when we can expect the NACL integration to be done in Coromandel?

S. Sankarasubramanian: Right now, we are in the process of completing the open offer after SEBI approval, and then it becomes our subsidiary, and will run as a separate entity. That is the strategy at this point of time. What is going to happen in the future, we need to study. The main aim would be to ensure that whatever we have articulated at the time of acquisition, we deliver those numbers for NACL.

Moderator: Ladies and gentlemen, this was the last question. And I now hand the conference over to Mr.

Sankarasubramanian for the closing comments. Thank you, and over to you, sir.

S. Sankarasubramanian: Thank you. Thank you, everyone, who participated in the call and their insightful questions. And definitely, some of the areas where you have identified, we'll definitely work on. And with your support and guidance, we'll definitely come up with good performance in the coming quarters.

Thank you, Manish, also for arranging this call.

Moderator: Thank you. On behalf of Coromandel International Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Ref. No: 2025-26/071 November 7, 2025
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip Code: COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / M adam,

Subject : Transcript of conference call held on October 31, 2025

This is further to our letter dated October 31, 2025 regarding Conference Call to discuss financial results of the Company for the quarter and half year ended September 30, 2025 audio recording of conference call with analysts and investors.

In this regard, we wish to inform that the transcript of the Conference Call held on October 31, 2025 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> as required pursuant to Regulation 46(2)(a)(ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take the above submission on record.

Thanking you ,

Yours truly ,

For Coromandel International Limited

B. Shanmugasundaram

Company Secretary & Compliance Officer

Encl. a /a:

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“Coromandel International Limited Q2 FY '26 Earnings
Conference Call”

October 31, 2025

MANAGEMENT : MR. SANKARASUBRAMANIAN S – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER ,
COROMANDEL INTERNATIONAL LIMITED
MR. DEEPAK NATARAJAN – CHIEF FINANCIAL
OFFICER , COROMANDEL INTERNATIONAL LIMITED
MODERATOR : MR. HARMISH DESAI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator : Ladies and gentlemen , good day, and welcome to the Coromandel International Limited Q2 FY '26 Earnings Conference Call , hosted by PhillipCapital (India) Private Limited.

As a reminder , all participant s' lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Harmish Desai from PhillipCapital. Thank you , and over to you, sir.

Harmish Desai: Thank you, Sahab. Good evening and welcome to the Second Quarter and Half-Year FY '26, Earnings Call of Coromandel International Limited hosted by PhillipCapital.

From the Management, we have Mr. Sankarasubramanian S. – Managing Director and CEO and Mr. Deepak Natarajan – Chief Financial Officer.

I would like to thank the Management for giving us the opportunity to host this call.

We will begin the call with 'Opening Remarks' from Mr. Sankarasubramanian S, followed by Mr. Deepak Natarajan for update on 'Financial Performance', post which we will have a 'Q&A session'. Thank you, and over to you, sir.

Sankarasubramanian S: Good afternoon, everyone. And thanks, Harmish, for organizing this call. I will give a brief on business environment experienced during Q2, followed by company's performance.

India as a whole received the above normal monsoon at 108% of the long-period average, with widespread rains across India, except for few pockets in Eastern India. This resulted in higher Kharif acreage of 1%. The major gains were recorded in rice, pulses, and coarse cereals, whereas cotton and oilseed recorded lower sowings.

However, excess, unseasonal rains, which happened in August and September, affected the standing crops and also impacted the application of crop inputs as well as specialty products.

Northeast monsoon, which brings major rains in Tamil Nadu, Rayalaseema, Andhra, and Karnataka, also began on a positive note, and IMD has forecasted above-normal rains at 112% of the long-period average for the season. The reservoir levels are quite healthy, standing 4% above last year level and also 16% above normal storage. Overall, we are looking for a very bountiful Rabi season. South India is 123% of the long-period average in terms of reservoir level, which is very good for our key addressable markets.

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On the policy front:

The Government has been taking proactive steps in Agriculture and announced the MSP revision for the Rabi marketing season, with overall increase of 4% to 10% taken across various crops.

As you know, during this quarter, the self-reliance in pulses mission was launched, which is aiming to make India self-sufficient on pulses production. Outlay of INR 11,000 crores has been earmarked for this, and this is expected increase output of 23 million tons of pulses in Financial Year '24-'25 to 35 million tons in 2031, through increased coverage, guaranteed procurement, and quality seed distribution and enhanced value chain support.

Along with various other reforms taken on the GST front, Agri input sector has also been considered for the GST correction, which has been very beneficial for the sector. For several products such as micronutrients and biopesticides, Agriculture machinery, and solar equipment, the rates have been reduced from 12% to 5%. And industry has passed on the benefits of these rate revisions to the farming community.

In respect of fertilizer, as you know, we have this inverted duty structure where output is 5% and input is ranging between 5% to 18%. This time, GST announcement has come in for reduction of GST rate for Ammonia and Sulphuric acid from 18% to 5%. So, in the case of fertilizer industry, the inverted

duty structure remains and the credit accumulation happens. We have been pursuing with the government to give clarity for refund of these accumulated credits. But with this rate revision, the accumulation for the industry has come down, which is a good sign. And as you all know that NBS rates, which gets announced once in 6 months, have been announced for this Rabi season, with a 10% increase for P and status quo maintained for N and K.

While this may not be reflective of the current raw material prices, as we have seen some spurt happen in the Ammonia and Sulfuric acid prices in the recent past. But we do expect that raw material prices will soften over a period of time. Certain raw material inputs like urea or rock phosphate, we have seen softness, and even the international DAP prices have started softening, which will cascade into other input raw material as well.

So, I think as responsible industry players, we will ensure that with this announced subsidy, with better negotiating ability on the raw material side, we should be able to sustain the operations and production and ensure the availability of fertilizer to the farming community. The prompt announcement of the NBS rate is very helpful in giving clarity ahead of the Rabi season.

Coming to industry performance:

Raw materials are almost steady across various categories except for the spike which happened in Ammonia and Sulfur in the middle of the quarter. The sulfur prices went up, and ammonia, because of unplanned shutdown happened in the Middle East, hardened during the end of the

quarter. Phosphoric acid price has moved up marginally from \$1,258 to \$1,290, that ensures the availability of critical input for the ensuing Rabi season. So, we do hope that there should be a downward correction in sulfur prices in the days to come. International DAP prices, with improved availability, have started softening, and I hope this trend will continue, which augurs well for our sector.

If you all look at the consumption of phosphatics, overall it remained close to last year level, but it is heartening to note that the share of NPK in the overall phosphatic consumption has moved up to 64%. If you all recollect, this used to be 50-50 in favor of DAP and NPK, and this has moved up to 64%, which is good for balanced nutrition. Slowly, the adoption of NP/NPKs in the Northern markets has started increasing, and this augurs well for Coromandel, which is predominantly into NP/NPK manufacturing.

I think during Q2, the industry has worked very closely with the government in ensuring availability of DAP. The imports have gone up significantly during this quarter, and also on half-yearly basis, adequate DAP has been procured, which ensures that the industry carries enough inventory as we move to the Rabi season.

Overall, because of the unseasonal rains witnessed in August and September, the consumption for industry has dampened. Otherwise, it would've grown much better than what it has been now. Still, its consumption is healthy at 121 lakh tons for the half-year, and imports have gone up significantly, as I mentioned, mainly driven by DAP. Industry continues to sustain the production of both DAP and NPK in spite of various geopolitical challenges. The industry could secure raw materials and ensure production is happening.

In the crop protection sector, overall inventory hangover has got normalized, and this is helping in improved volume of fake of key molecules. In India, the excess unseasonal rains of August-September impacted the spraying application in Kharif window. However, with the improved outlook for the Rabi season, these volumes will be made up in the Rabi season.

Coming specifically to company's performance:

I am very happy to report very resilient performance by Coromandel for the quarter across all business segments, thanks to improved offtake of Agri inputs. Company's fer

tilizer plants

operated above its capacity, producing close to 9.1 lakh tons of NPK, up by 3% over last year. This could have been better except for some stock outage we had due to Ammonia disturbance witnessed during September.

It's very important to note that the company's Phosphoric acid facility has reported enhanced production through de-bottlenecking efforts, and that is reflected in the financials, is up by 13%. The production for the half-year has been healthy at 17.5 lakh tons, 5% growth over last year, and Phosphoric acid has grown up by 17% over last year with the same plants what we established up till last year.

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Backward integration project for Sulfuric acid and Phosphoric acid is coming up in Kakinada. It is progressing well. 90% of the project targets have been achieved. And I am sure mechanical completion will happen in the coming quarter, and the commissioning of plants should happen in January. This is going to be the state of the plant with the new technology. It is also helping generating power, which can meet the entire power requirement of Kakinada. It is completely going to change the cost profile of the Kakinada operations from being an importer of acid to integrated play.

And as you all know, we have been securing rock phosphates from Senegal and the operations are getting stabilized. With the timing of the commissioning of this plant and Senegal rock getting blended with existing rocks, we are very confident of ramping up the Phosphoric acid volume in a short period of time. We can see this benefit flowing into the fourth quarter of this year.

We have initiated activities on NPK capacity enhancement at Kakinada for a million ton capacity. It is likely to be completed by third quarter of next year. The project is progressing well. As you all know, the company also signed up strategic supply contracts with Maaden for DAP, the Saudi Arabian phosphatic major, and also for securing long-term rock contract from Jordan.

On the marketing side:

We are happy to state that we have become the largest marketer for phosphatic fertilizers in the country. Our consumption-based market share in H1 stands at 19% versus 17% last year. In Q2, we registered a volume increase of 7%, marketing over 14 lakh tons of NPKs and DAP. Share of unique grade stands at 36%, similar to last year. Our H1 volumes are up by 17%. In line with our approach to expand presence in Northern and Central India, we have enhanced our sales to 200,000 tons in the first half. This seed marketing effort will augur well as and when the new plant gets commissioned next year.

SSP volumes were close to last year level in Q2 and is 6% up over last year for H1. We have

completely changed the business profile of SSP. Instead of chasing volumes, we are focusing on value-added products like Groplus, Gro Alpha, which has improved the margin structure. Also, we are ensuring that we provide multi-nutrient single super phosphate to the farming community to replace DAP. This initiative of Coromandel to provide SSP plus urea, SSP plus micronutrients has been quite helpful to meet the shortages of DAP in the Northern markets, and provide a suitable alternative to crops like groundnut. These products currently account for around 50% of our overall SSP volume, which is coming through this unique granulation, that Coromandel introduced over the last two years.

Our market collections have been quite strong, supported by strong agronomic activities and government's timely disposal of subsidies. We may see the higher elevated numbers of subsidy in early September Q2 being the major quarter for us. The subsidy outstanding is higher, but we

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have since collected in October, and we should thank government for timely disposal of subsidies, which were received even up to the third week of September.

Specialty nutrient business registered a very strong

quarter, improving the sales and margin. We

have reported a 20% growth in revenue, and focusing on improving the volume of sulfur for which the capacity expansion was taken last year. We are trying to diversify the sulfur portfolio to include sulfur plus micronutrients. We are also looking at granulation in specialties, including seaweed granulation, and also diversify the product portfolio.

With the increased demand for the specialty nutrient business, which is coming outside the subsidy scope, to provide higher EBITDA margin, the company has announced investment in MAP, which is a critical raw material required for manufacturing specialty nutrients. This project is coming up in Vizag, and will help us to reduce the dependence of one of the key raw materials for water-soluble fertilizers from China. These investments in granulation plant, MAP plant, will help the company to diversify the product portfolio and promote resource-efficient solutions for the farmers and also offers growth opportunity by ensuring availability of these key nutrients at affordable prices to the farmers.

Nano has been doing good. We have been systematically educating the farmers across India, and volume during the quarter has been 1,100 K L. The response from the farming community has been very good on certain crops like fruits and vegetables. Business has been continuously focusing on facilitating the movement of these materials to the farming community and creating awareness campaigns and continuously engaging farmers and channel partners. We have also been engaging with ICAR institutes and other technical institutes to communicate the positive impact of Nano, which can be an alternative to imported DAP.

Coromandel's spraying services through drones has gained momentum, and we could cover almost 80,000 acres in the current year for the first six months, as against 22,000 what we did last year.

The retail business has been expanding its footprint of opening a store a day. We have opened 100 stores in Q2, and totally 170 stores opened in H1. We have entered into new states like Maharashtra, Tamil Nadu, and are on track to reach the store size of 1,200 stores in FY26. All segment categories in retail have done very well. There has been an increase in volume of fertilizer sales through the retail outlets, and the business is progressing well on multiple initiatives like e-commerce, drone spraying services, diversifying to financial products including insurance. Company is drawing a blueprint of scaling up these retail stores to 2,000, expand the product portfolio, enhance the value, and will be effectively deploying analytics and AI on the customer-facing business segments like retail to enhance the efficiency and improve the profitability of this business.

On the crop protection & bio business, the business delivered a very good performance, recording improvements in both sales and margins across domestic, international, and B2B

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segments. Bio product business also has achieved growth in the half-year period. Overall revenue grew by 10% to INR 829 crores, and EBIT was up by 48% to INR 162 crores in the crop protection segment.

It is very heartening to know that the key molecule Mancozeb registered a good volume growth in Latin American markets, and the capacity which was implemented in Sarigam has been fully utilized. We anticipate the demand for the molecule to continue and have set up an additional capacity at Dahej, which has been recently commissioned in October that will provide an additional impetus for the demand in the second half as well.

Domestic B2C segment had an exceptional quarter in a very tough business environment and achieved critical numbers in the early part of the Kharif season, but unseasonal rains have impacted the offtake. But nevertheless, the team has been going as per plan in terms of expanding

the territories to 4

0 new markets and introduced new in-license d products during this year. The in-license d molecule we have taken from Japan last year has been doing well. Revenues were up by 11% . We are also embarking on a sales acceleration program in key markets where our margin and market share is beyond threshold percentage of 5%. New products introduced in last year are performing well, and the share in the sales stands at 25%. We continue to progress on CDMO front and have positive discussions with multiple international partners for technicals, intermediates, and patented formulations.

During the quarter, the company successfully completed the acquisition of NACL Industries, followed by the mandatory open offer. Emerging as one of the leading crop protection players in the country, NACL has done well in H1 with revenue growing by 18% to INR 900 crore s and EBITDA by 12% to INR 83 crore s. NACL is on track with meeting the KPIs as envisaged at the time of acquisition. And we are looking at various synergy areas by aligning our policies, R&D, product development, manufacturing infrastructure, and market access.

Overall, on a combined basis, crop protection business is likely to do well. And if everything goes well on an annualized basis, crop protection segment, including NACL, should reach the critical mark of INR 5,000 crore s of revenue, which is significant and pushes Coromandel in the pecking order to third or fourth largest crop protection company in the country.

Bio business had a good quarter, introduced 8 new bio -fertilizers and biopesticides to strengthen its microbial portfolio. Business is collaborating with a global player for manufacturing API and has set up a facility to manufacture the same.

Overall, I am quite satisfied with the way the operations have played out, and we are looking forward to a very positive outlook for the Rabi season.

I will now hand it over to Deepak for commenting on the financial performance of the quarter.

I will come back for the question -and-answer session .

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Deepak Natarajan: Thank you, Sankar . Good afternoon, everyone. The company recorded a consolidated total income of INR 9,771 crore s during the quarter and INR 16,897 crore s in the first half of the year, registering a growth of 30% for the quarter and 38% for the first half of the year. The consolidated total income also includes INR 245 crore s pertaining to NACL, which became a subsidiary of Coromandel w.e.f. August 8, 202 5.

Subsidy business share in the revenue stands at 83% for both first half and also Q2. It is broadly in line with what we saw last year at about 84% for the quarter and 83% for the first half of the previous year.

With regard to profitability, the consolidated EBITDA for the quarter stands at INR 1,147 crores against INR 975 crores in the previous year. For H1, we recorded INR 1,929 crores against INR 1,481 crores in the previous year.

Subsidy business share in the EBITDA stands at 71% for the quarter and 70% for the first half of the year.

Net profit after tax for the quarter was INR 793 crores in comparison to INR 659 crores recorded in the corresponding quarter previous year. For H1, PAT was recorded at INR 1,295 crores against INR 9 68 crores in the previous year.

With regard to subsidy, the company has received INR 3,336 crores towards subsidy claims during Q2 . For the half year, the company has received subsidy worth INR 4,637 crores. The corresponding previous year number was INR 3,855 crores. The subsidy outstanding as o n 30th September stands at INR 3,199 crores versus INR 1,714 crores in the previous year. While the closing number looks higher, it would be pertinent to note that almost INR 1,000 crores of the subsidy has been received in the month of October. Coromandel has been prompt in settling the dues, and the subsidy claims are being processed in a timely fashion.

With regard to Forex, we continue

to see rupee trading in a slightly broader range of 85.18 to

88.93. There has been volatility during this period, the entire first half. Coromandel continues to hedge its exposures on a conservative basis.

Thank you all for your continued support and interest in Coromandel. We look forward to your interactions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Somaiah V from Avendus Spark . Please go ahead.

Somaiah V: Sir, my first question is on the manufactured EBITDA per ton in the fertilizer segment. Quite a robust current quarter. So, if you could just help us in terms of what are the key drivers in the current quarter which helps us to be much better on comparable, let's say, Q1 or previous year quarter. And also, how do we see things based on current subsidy rates and also the raw material price movements for the second half? That is my first question.

Sankarasubramanian S: See, we should not track the EBITDA margin on a quarterly basis. As you rightly said, Q2 is a peak quarter for us, and I mentioned it in my communication as well. Phosphatic production has been very good, we are able to moderate the rock price increase and efficiencies have been extremely good in all the plants. We operated the plants at more than 100% capacity, and the conversion cost has been good. So, all this plays into the mix along with the inventory of raw materials that we hold.

Having said that, sometimes one quarter may look up more and one quarter may be less. As I have always been mentioning, as a company, we target minimum INR 5,500 EBITDA per metric ton, which we are confident of doing it in the second half as well.

Somaiah V: My question was on this NPK's gaining market share versus DAP. So, NPK has taken a bit of market share from DAP. So, in case DAP availability improves, let's say 6 months out or 12 months out, how much of this is sticky? How much of this could reverse?

Sankarasubramanian S: I think more and more farmers are seeing the benefit of balanced nutrition NPK. And I am not sure when this pricing mechanism of DAP will undergo a change. Please understand, this NPK shift is happening when DAP is INR 1,350. And I won't say availability at this point of time because DAP is available. The imports have gone up and we have adequate inventory in the system. In spite of that, there is an uptick in NPK. So, if at all the availability improves, at some stage, DAP pricing gets aligned with the market. I don't think any major shift back to DAP will happen. As a country, we should move towards balanced nutrition with more extension activities and companies like Coromandel will be persisting on this. I see this shift is for good.

Somaiah V: Just last question from my side on the Phos acid and the Sulfuric acid expansion. What is the level of utilization we can expect in FY '27? And also, from BMCC, what are the current volumes and what can we expect in FY '27?

Sankarasubramanian S: Whenever we commission the plant, we achieve 100% in the first month. And hopefully, we should repeat this track record and we are planning for 100% capacity utilization next year for both phosphoric acid and sulfuric acid.

As far as Senegal rock is concerned, at least we should expect 300,000 tons of rock coming in this year. Our plans are to see how do we scale up the volume to 500,000 next year. Hopefully, we should try and do it. That calls for some additional investments here which we are working on. So, at this point of time, I am confident that we should aim for 500,000 tons next year in Senegal.

Moderator: Our next question comes from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani: Congrats on a good set of results. Sir, post this NBS policy, do we plan to take any price hike in NPK as an industry? Or how do we plan to

defend our profitability?

Sankarasubramanian S: What I can say, NBS policy provides pricing freedom for NPKs. So, whatever it is required to be taken to, keeping in mind the needs of the farming community and ensuring availability of fertilizers and input cost structure, we will take appropriate call. I will not be able to put the number whether it be done at the industry level or a company-specific level. Fairly, the industry has been very responsible in terms of price corrections, and that will be followed through.

Prashant Biyani: Sir, while we don't talk about Dhaksha so much, last year, same time, there was a lot of excitement from Dhaksha, at least in the investor community. And last quarter, we also highlighted about the Board revamp and the new team. Incrementally, sir, what are the developments in Dhaksha and by when should we see order execution and fresh orders? And how much was the revenue from Dhaksha in H1?

Sankarasubramanian S: See, Dhaksha is focusing on new product development and executing defense orders. The execution of defense orders depends on evaluation of the current prototype that we have made.

These defense orders take a long time as they go through a detailed evaluation process. We are pursuing with the government. As and when the evaluation goes through, we should be able to get the order going. Once the order comes through, then future orders should not be a problem. It has taken longer than what we thought initially.

Besides this, Dhaksha is also focusing on Agri drones. The advantage to Dhaksha is that Coromandel is using these drones for carrying out drone spraying services and giving a lot of inputs in terms of improving the maintenance uptime, increasing additional features on the drones, improving the battery life, improving the economics of drone spraying. Many things have been worked out. While you may not see everything in terms of the numbers, in terms of volumes we are selling, but a lot of activities and initiatives are undertaken at Dhaksha level. Any startup may not play out immediately. It is a high-tech area, and we are getting right partners to ensure that we create a proper ecosystem. There has been change in the government guidelines as well, which we are forced to follow through in terms of the sourcing of components.

Prashant Biyani: Sir, other expenses in the last three quarters, every quarter has grown significantly. What would

be the reason for same? And then lastly, on Phos Acid new plant, when are we starting with trial run? From which month? And commercial production from which month?

Sankarasubramanian S: First question, what is that? I didn't get your point.

Prashant Biyani: First question was, other expenses in the last three quarters have grown significantly between 30% to 50% every quarter on a Y-o-Y basis. What would be the reason for it?

Sankarasubramanian S: See, it must be in the normal course of business. I need to come back to you, but there was nothing abnormal in this. We have a shift in our approach in terms of recognizing the CSR expenditures. In the past, it used to be year-ended. Now it's being spent on a quarterly basis.

There are some one-off expenses in terms of various consultancies and engagements which will include NACL as well. Also, NACL transaction had one-time consultancy charges in terms of

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open offer, legal charges. Those numbers may be pronounced in the last two quarters. This may be one-off which will come down as we move forward.

Prashant Biyani: Sir, lastly, Phos Acid trial run and commercial production will start from which month?

Sankarasubramanian S: We are looking at mechanical completion in December. January will be trial run, and production should start by second or third week.

Moderator: Our next question comes from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal

al: First question on the crop protection side. While there is some bit of benefit because of the integration of NACL for the quarter, but if I look at the margins, which is on your Slide #12, the standalone CPC margin versus the consol CPC margin, so is there a loss that NACL had made in this quarter because your consol EBIT is lower than the standalone EBIT?

Sankarasubramanian S: Yes, your observation is right. Standalone EBIT is quite healthy. As you rightly pointed out, 15% has moved to 20%. Including NACL, it is almost flat. The reason being, on NACL, there is one-off exceptional items and expenses. Also, we didn't consolidate full quarter performance into the numbers. We took proportionate numbers from the time it has become a subsidiary. So, it has taken, say, 50 days in a 90-day quarter. Probably it may not reflect when the expenses might have got captured, it may not reflect the full benefit. It is a combination of proportionate period consolidation and one-time expenses, which has led to lower margin.

Ankur Periwal: That's helpful. Will it be possible to share those, the quantum of that one-time expense?

Sankarasubramanian S: I think it is there in the NACL published result.

Ankur Periwal: No problem.

Sankarasubramanian S: I think NACL result, if you look at it, it is appearing as Rs. 17 crores as an exceptional item.

Ankur Periwal: And just secondly, from a growth outlook perspective, any thoughts on how are we looking at NACL's existing portfolio? Is there a need to maybe cut off some of the lower margin product, or how do you plan the growth expansion there? And commensurate to that, how should one look at the consolidated margins on the crop protection side on an annual basis going ahead?

Sankarasubramanian S: It is a good question. It needs some time in terms of how we realize the synergy benefits of both the companies. Fortunately, there is not much overlap in molecules except for Profenofos. The market segments they cater to are also different. They have a very strong domestic formulation business with different set of molecules and markets complementing to each other. Also we will try to synergize the R&D effort so that we don't duplicate on the same chemistry. We also try and see how best we can introduce our pipeline products so that we don't repeat the same in both companies. I think with the deputation of senior resource from Coromandel to NACL, there has

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been a lot of alignment. I would say that one plus one should become three. It will not come down. It won't be a rationalization. It will be a growth opportunity for both the companies.

Having said that, Coromandel CPC business has got a different margin profile, which is in the range of 17% to 18%, whereas if you remember, NACL margin profile is in the range of 9% to 11%. It's fallen off to 4%. Currently the team is trying to get to 9% to 11%. And slowly, we need to get pipeline products, innovative molecules, contract manufacturing to bring the margin of NACL on par with Coromandel. So, that may require some time and effort, and that is what the NACL team is doing now.

Ankur Periwal: That's helpful. Just one follow-up here. From a revenue growth perspective, given that you mentioned the distribution network for NACL versus Coromandel, there is a lot of complementary areas that we can expand into. Does that also mean the standalone Coromandel portfolio can grow at a much faster pace given the geographical expansion?

Sankarasubramanian S: Absolutely. There is an ambitious growth plan for Coromandel CPC business, both in terms of active ingredients in the global market and making a global presence on B2C in Latin America.

We are seriously evaluating opportunities. With domestic formulation, we will be expanding territories. We are not even at a four-digit formulation business turnover in India in a INR 29,000 crore industry.

So, we have put in place an action plan to scale up the domestic formulation business. We have strengthened our product portfolio in the last three years and have enough molecules. Our aim is to grow much faster in domestic formulation business in CPC. In global markets, we will be focusing on capacity creation and Mancozeb will help us to increase the volume. We will look at B2C light model in Latin American markets. Each business will pursue the growth opportunities. We plan to grow topline at 20% to 25% topline, across segments and across both the companies.

Ankur Periwal: Great, Sankar. Just last bit on the CAPEX side. Now, given that last part of the Phos Acid and sulfuric acid expansion will be over, how are you looking at our annual CAPEX run rate going ahead?

Sankarasubramanian S: We still have this granulation plant CAPEX happening. Also we have announced quite a few CAPEX in the last few quarters: MAP project at Vizag and the joint venture in gypsum project to manufacture Plaster of Paris. Also, we will work on additional capacity creation at Senegal mining operations. Plus, we will keep looking at debottlenecking capacities in both fertilizer and CPC. We will be looking at new product registration, new capacity creation for active ingredients, and downstream projects for Mancozeb and other molecules to strengthen raw material security. How we capture value chain in fertilizers, we will try and do that in CPC as well. So, we have good pipeline of projects coming in, and we will continue to invest profitably.

Ankur Periwal: Thank you for answering all my questions.

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Moderator: Our next question comes from the line of Naushad Chaudhary from Aditya Birla AMC. Please go ahead.

Naushad Chaudhary: First, on the, assuming next year sulfur and sulfuric acid prices correct or normalize, and same we experience in Phos Acid, how would that change in terms of your EBITDA expectation from the company?

Sankarasubramanian S: See, it is a function of multiple things. It depends upon Phos Acid, Rock price, and how sulfur behaves. Manufacturing of sulfuric acid using sulfur burner and generating power is the most economic thing to do. Once you create capacity, that value creation will happen. The sulfuric acid plant, what we have invested in Vizag, has almost paid off 60% to 70%. Balance will get paid off during this year.

Similarly, the payback of the current investment, which is happening in Kakinada, will happen in the next two years. So, I think the first benefit comes from ensuring the supply security of acid. Power generation, which helps the running of the entire complex, is the second important thing. Then the value addition. I think value addition is likely to be better in the coming period than what we are witnessing at this point of time. So, that can only positively impact EBITDA than what we have at this point of time.

Naushad Chaudhary: So, irrespective of the direction of these prices, there will be a positive impact. Is that understood correctly?

Sankarasubramanian S: Absolutely. The value addition of sulfuric acid will bring in the desired savings. When I say that a INR 1,000 crore investment will pay back in 2, 2.5 years' time, you can understand the economics in terms of what it can add to the bottom line.

Naushad Chaudhary: At what price assumption will we calculate two years of payback?

Sankarasubramanian S: See, all these prices are linked. DAP, DAP to acid, acid to rock. So, we play on this thread. At sustained levels, I think 2, 2.5 years' payback should be possible.

Naushad Chaudhary: And what was the non-subsidy EBITDA share in this quarter?

Sankarasubramanian S: I am not sure what number has been there. These are all specific data points which we will not be able to share.

Moderator: Our next question comes from the line of Ranjit from IIFL Capital. Please

go ahead.

Ranjit: My first question is on the global dynamics. While we have been seeing a consistent inflation in the Phos Acid, we haven't seen any commensurate inflation in the rock. So, what is leading to this disparity?

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Sankarasubramanian S: Good question. I think new opportunities are coming up on rock. A lot of sources are opening up, and Egypt is increasing the output. Jordan output is increasing. We have also expanded our mining operations. Additional resources are helping to keep the price normalized. That is what I would say.

Ranjit: And this increase in supply in rock should help us in the higher spread, at least in the foreseeable future.

Sankarasubramanian S: Right.

Ranjit: That's helpful. Thank you. Second question is, would you be able to share any granularities with regards to TMAP capacity, even though the Board has approved, but we haven't shared any details with regards to capacity and CAPEX? That would be helpful.

Sankarasubramanian S: We are actually planning to make modular investment. At this point of time, the first phase will be 25,000 tons, which involves capital outlay of INR 150 to 170 crores.

Ranjit: And the last question is on earlier, we do have plans to refine phosphoric acid so that we would be able to be a part of the battery chemical supply chain. Any further thoughts on this?

Sankarasubramanian S: We have been working on fine-tuning the technology. We have been talking to the technology providers. We need to ensure that we recycle the output of the purification. And we are trying to work out the business economics. Also, it is very important when we come up with the end product, we have a tie-up with the customer. It has to be for the desired quality standards. So that process is going on. As and when we are ready, we will be able to share that information.

Ranjit: Any timelines we can provide? It's a one or two-year process.

Sankarasubramanian S: Six months.

Ranjit: That's all from my side.

Moderator: Our next question comes from the line of Riju from Antique Stock Broking. Please go ahead.

Riju: A couple of questions regarding the price hike. So, if you could share the price hike for the NPK portfolio that you have taken during Q 2.

Sankarasubramanian S: Can you please repeat? I couldn't understand your question.

Riju: The price hike that you have taken during Q 2, if you could share the numbers for the NPKs.

Sankarasubramanian S: This is an ongoing routine thing. I don't remember anything we have taken recently. We need to take depending on the subsidy rates which are recently announced. So, we need to play by the month depending on the cost structure and the subsidy level.

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Riju: And in your opening remarks, you have shared that Phos Acid production gone up by 17% during this quarter because of some debottlenecking that you have done. So, if you could share the current Phos Acid capacity that you have. So, it is between 4.5 to 5 lakh tons. That's the capacity that you are having for the Phos Acid.

Sankarasubramanian S: The current capacity at Vizag is 4.5, and 0.6 at Ennore, totaling to 5.1. The new one which is coming up in Kakinada would be another 200,000. We will have 7 lakh tons of Phos Acid.

Riju: So, sir, 4.5 plus 0.6, this includes the debottlenecking that you have done during this quarter?

Sankarasubramanian S: Correct. 5 plus 2.2 is the new one which is going to come up now.

Riju: And sir, one bookkeeping question, if you could share in terms of the current inventory that you are having at the dealer level or the retailer level, if you could share that number.

Sankarasubramanian S: I don't remember. It must be in the range of 6 to 7 lakh tons. I don't remember the exact number. I need to check. I will ask Anuj to get that.

Riju: And this is as per the manufactured volume. Is that correct?

Sankarasubramanian S: We

will have a combination of both, manufactured and imported.

Riju: And sir, in terms of the BMCC numbers, as per the current quarter, is it fair to assume that BMCC is now profitable or it is now also making loss at the EBITDA level?

Sankarasubramanian S: No, it is making profits. You may not see the benefit of it in the consolidation because of various accounting treatments we give for the acquisition and other things. But at the base operation level, the business is doing profitably because we are scaling up.

Riju: Thanks for the clarification. Sir, one last question. If you could indicate the current prices of Phos Acid and the ammonia.

Sankarasubramanian S: Current Phos Acid is \$1,290. Ammonia is in the range of \$400 to \$450.

Riju: Thanks for clarifying all the questions.

Moderator: Our next question comes from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Sir, can you talk on the crop protection side, how is the export business performing?

Sankarasubramanian S: In Export business, one of the major components is the Mancozeb volumes. Mancozeb, both in terms of volume and profitability, has grown very well. And that has been one of the key drivers for this quarter's profitability as well as for the half year. That will continue to remain as a major focus for the full year as well. So, export business has grown for this quarter by almost 6% to

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7% and 12% on an half-yearly basis. So, there has been good traction on this Mancozeb molecule.

Sumant Kumar: And profitability is better than that? Profitability growth?

Sankarasubramanian S: Very good. Profitability growth has been extremely good. That is the main driver why PBIT margin has gone from 15% to 20%.

Sumant Kumar: Any other molecule we are targeting for export market in next couple of years?

Sankarasubramanian S: We are working on quite a few molecules. We have created capacities. We have got few molecules like Boscalid, Pyraoxystrobin for which registration is happening. We are increasing the capacity of Malathion. We have pipeline of 2-3 molecules. We are working on Strobilurin chemistries. We have additional capacities both in Coromandel as well as in NACL. We will be

coming up with these molecules over a period of next two, three years. So, we have pipeline of products.

Sumant Kumar: And for domestic crop protection, except of inorganic, how is the performance in the top line and profitability side?

Sankarasubramanian S: For Coromandel formulation business, you can say August, September has impacted the sale volume. Otherwise, it was going good. It's 11% growth, but on a half-yearly basis, it's at 20% growth. And overall for the year, we expect 25% growth in formulation business over the last year. If everything goes well, Coromandel's formulation business, including what we sell through retail, should reach the critical size of INR 1,000 crore, which is very significant. Combined with B2C business of NACL, which is again in the range of INR 1,000 -1,200 crore, it is a very sizable branded formulation business.

Here again, our pipeline of new products, our co-marketing products, in-licensed molecules from Japan are going to be helpful for us. Even this year, our share of new product sale has been 25%. We are increasing our territories, as I mentioned in my remarks, and that has paid off well.

For some of the new molecules we introduced during this year, we could achieve full year budget in the first six months. So, I think crop protection domestic formulation provides enough opportunity with lesser CAPEX. And we have enough product portfolio now to meet the customer requirement.

Moderator: Our next question comes from the line of Dhruv Muchhal from HDFC AMC. Please go ahead.

Dhruv Muchhal: Sir, you mentioned the Phos acid expansion, which I believe is about INR 1,100 or 1,000 -odd crore CAPEX

. We will have a payback of about two years. So, if I just do a rough math, I get an EBITDA per ton just on the Phos acid plant. I believe that you are mentioning, including sulfuric, is about \$250, \$300. Sir, is that a sustainable run rate now? Because I think the number historically used to be much lower.

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Sankarasubramanian S: You are not off the target.

Dhruv Muchhal: I am just trying to understand if this can sustain. What are the drivers? What's leading to this change versus the historical trend? Is it because the P. rock, you believe rock can remain lower irrespective of the Phos acid prices, can remain lower given the supply dynamics have changed? Is that the key driver?

Sankarasubramanian S: We try and produce our own rock from Senegal. We ensure that we blend various grades of rocks and different quality of rocks. We don't depend on high-grade rocks. The new plant which is coming up has got a metallurgy which can handle a low-grade rock as well, and it is on a different technology. Accordingly, we ensure that we buy low-grade rocks and blend it and sustain the margins.

Dhruv Muchhal: When you say payback of two years, this includes the sulfuric acid also, right? This is not just P. So, effectively, what I am trying to understand, this \$250, \$300 per ton margin that I have implied, that is including the sulfuric acid, right?

Sankarasubramanian S: Yes.

Moderator: Our next question comes from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: I just want to understand how we have expanded our reach in terms of fertilizers in India in the last six months because I understand that we had seeded certain markets sometime back when there was short supply of complex fertilizers. I just want to understand what is our reach and how is geographically the revenue stacked up?

Sankarasubramanian S: In the new markets like UP, Rajasthan, MP, we have increased our volume from 100,000 to 200,000 tons. And this has happened in the half-year period. This trend will continue. We will try and see how to take at least a million ton to the markets so that when the new capacity comes in, we will be able to fulfill the demand.

Besides that, we are expanding our footprint in retail. As you know, we are increasing to 1,200 by the end of the year, and ultimately, we will move towards 2,000. So, that also provides opportunity for us to increase the presence across the key states. Of course, they are primary markets, but that will be more influenced with our own retail outlet.

Lakshminarayanan: We do get some subsidy for transportation. So, till what, how many kilometers it actually covers?

Sankarasubramanian S: 1,400.

Lakshminarayanan: Effectively, we can reach most of the parts of India, right? Okay.

Sankarasubramanian S: Absolutely. Key markets where we want to serve.

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Lakshminarayanan: And in your opinion, how is the competitive scenario in the complex fertilizers looking? Because we are expanding, but as an industry, others are not expanding. So, how do you think this will pan out in the next three to five years?

Sankarasubramanian S: As a country, we need to move towards balanced nutrition, which means NP /NPKs have to increase their share, and DAP needs to come down. With the focus on unique grades, which is currently at 35%, we continue to innovate and come up with new products. We feel generic NPKs will not be sufficient. We need to come up with NPKs plus micronutrients like zincated NPKs.

We need to come up with slow release and control release fertilizers. Over a period of time I think this industry will get transformed into higher use efficiency products rather than generic grades. So, that requires a lot of pricing freedom, innovation, and early adoption and fast approval process, which we are pursuing with the government.

That is the way we

look at it, and that is the reason you can see there are only a few companies who have also been branding like GROMOR. Each of the products, categories, subcategories are also getting branded separately because we need to communicate the value proposition and trust that farmers have got on the product .

The competition can be intensified, and it is important that we need to have that strong connect with the farmers. We are the only company to have agronomists educating the farmers on the unique features of our products.

Lakshminarayanan: And any views on these Nano fertilizers? How is this actually in acceptability as well as the preparedness for us?

Sankarasubramanian S: We have been growing steadily on Nano DAP. Our communication right from the beginning has been, instead of two bags, substitute one bag of DAP with Nano DAP bottle. We have done these studies across all ICAR institutes in the country. Response have been very positive and farmer usage has been good. Adoption has been improving. We have our team educating the farmers. It will take time for shift to happen - from a traditional bulk fertilizer of 50 kg bag, making him to accept a 1 -liter bottle . And that is the process we are going through now.

But we have seen the positive feedback and response from the farming community. We are quite happy with that. It is working very well on fruits and vegetables and high foliage crops. We have also increased our volume, almost doubled the Nano DAP volume in the first half. I think it is one of the innovations which the Indian industry has come up with, and it should sustain. But it requires sustained efforts and careful education of the farmers and not to push or tag the product. That is very important, and I hope the industry will be responsible in doing it.

As Coromandel, we have always been focusing on proper education of farmers and let them make the choice. It is also environmentally friendly, and we will continue to focus on it. We are quite happy with the way the product has been accepted. In our retail centers where we have our

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own Agri graduates communicating with the farmers, we have seen that farmers are willing to try it out instead of DAP. It is a great opportunity now when there is a challenge in availability of DAP . It can be a boon for the farming community.

Moderator: Our next question comes from the line of Meghna Agarwal from Mount Intra Finance . Please go ahead.

Meghna Agarwal: I just wanted to confirm, as you saw, that there is an exceptional item in NACL for around INR 17.25 crore. Sir, can you just confirm the details? Like is it a one -off or what is it all about?

Sankarasubramanian S: See, it is an accounting adjustment to harmonize the accounting policies between Coromandel and NACL being same auditors, and we are trying to align this. The footnote has been given in the results of NACL. I think it may be more appropriate to refer to it.

Moderator: Ladies and gentlemen, we will take that as our last question for the day. I would now like to hand the conference over to the management for the closing comments.

Sankarasubramanian S: Thank you very much . In fact, very insightful questions. I really appreciate your interest in Coromandel and thank all of you for joining the call and also thank Harmish for organizing this call. I look forward to future interactions. Thank you very much.

Moderator: On behalf of PhilpCapital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Ref. No: 2025-26/104
February 9, 2026
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol : COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Transcript of conference call held on February 2, 2026

This is in furtherance to our letter dated February 2, 2026, regarding the upload on our website, the audio recording of conference call held with analysts and investors to discuss financial results of the Company for the quarter ended December 31, 2025 .

In this regard, we wish to inform that the transcript of the Conference Call held on February 2, 2026 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> as required pursuant to Regulation 46(2)(a) (iii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take the above submission on record.

Thanking you ,

Yours truly ,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:
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"Coromandel International Limited
Q3 FY 26 Earnings Conference Call "
February 02 , 2026

MANAGEMENT : MR. SANKARASUBRAMANIAN S – MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER –
COROMANDEL INTERNATIONAL LIMITED
MR. DEEPAK NATARAJAN – CHIEF FINANCIAL
OFFICER – COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. RANJIT – IIFL CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to Coromandel International Limited Q3 FY '26 Earnings Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference to Mr. Ranjit from IIFL Capital. Thank you, and over to you, sir.

Ranjit Cirumalla : Thank you, Pari. Good afternoon, everyone, and thank you for joining us on the Coromandel International Limited Q3 FY '26 Earnings Conference Call. From the company, we have with us Mr. Sankarasubramanian, Managing Director and Chief Executive Officer and Mr. Deepak Natarajan, CFO. We'd like to begin the call with a brief opening remarks from the management, following which we will have the forum open for interactive Q&A session. I would now like to invite Mr. Sankarasubramanian to make the initial remarks. Thank you, and over to you, sir.

S. Sankarasubramanian : Good afternoon, everyone, and thank you, Ranjit, for joining the call. I'll begin with a brief overview of the business environment during Q3, followed by Coromandel's operational and financial performance for the quarter. On the macroeconomic front, amidst global uncertainties, India continues to remain well positioned with the first advance estimate placing our GDP growth at 7.4%, driven by services and manufacturing.

During the quarter, RBI reduced the repo rate by 25 basis points in December '25 to 5.25%, supporting domestic liquidity. During the quarter, the rupee remained under pressure. On a year-to-date basis, the INR depreciated close to 7%, driven by a widening trade deficit and higher capital outflow by FPIs.

On the agriculture side, late withdrawal of Southwest monsoon led to crop damage in select pockets of West & South India, impacting Agri input consumption during October and November. This was particularly visible in lower chilli acreage and grape segments affecting CPC sprays and nutrient application.

India experienced normal Northeast monsoon rainfall at 102% of long period average, resulting in improved reservoir levels. All India storage stands at 107% of last year and 125% of long-term average. Rabi sowings are up 3% year-on-year as of mid-January with growth across major crops. Wheat has moved up; rice has moved up sharply by 22%. Oilseed & cereals have shown positive trend.

On the regulatory side, draft Pesticides Management Bill 2025 has been released for public consultation. This entails time-bound approvals of generics, digitization of registration process and periodic reviews of registration for safety and efficacy. Draft seeds bill was also released during the quarter, which can lead to formalization of sector, improved traceability and reduce compliance burden.

During the quarter, Department of Fertilizers launched an integrated digital fertilizer claim process, enabling paperless transaction, faster settlement of subsidy claims. In Q3, government

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released supplementary grants of INR18,000 crores for subsidy, with this total subsidy outgo for the year may reach up to INR1.86 lakh crores for the year '25-'26.

As you are aware, the union budget was announced yesterday. The budget has maintained continuity on Agri focus central schemes like crop insurance, interest subvention, commodity price support and PM KISAN for income support. A notable step is the proposed launch of multilingual AI-enabled platform, integrating the Agri-Stack with ICAR's agriculture best practices and focus on pro

motion of high-value crops.

For the year '26-'27, subsidy allocation has been fixed at INR1.17 lakh crores for urea and INR54,000 crores for phosphatic fertilizers under the NBS scheme. In this, the indigenous manufactured fertilizer subsidies have been maintained at current year estimates with some moderation in imported fertilizer subsidies.

I think looking at the past trend, we feel the allocation of subsidy is reasonably adequate, marginally better than last year budget allocation. But as you all know that government always comes up with supplementary grant as and when it's required. So, I think it's a fair allocation, adequate subsidy allocation has been made.

Recently announced India - EU FTA prima facie seems positive for Agri input sector and can open up possibilities on export of agrochemicals, specialty fertilizers, bio products marketing and CDMO though the final details are yet to evolve.

On the industry performance, commodity side, most of the key raw materials firmed up during the quarter. Phos Acid prices in the quarter moved up from \$1,250 to \$1,290. During the quarter, we witnessed a sharp increase in the price of sulphur and sulfuric acid. Sulphur has moved up to \$550, mainly triggered due to demand from LFP sector in China, nickel refining in Indonesia and also supply disruption from Russia. Similarly, supply side outages in major sources in Saudi

Arabia and Trinidad led to sharp increase in ammonia prices as well.

Overall, due to unseasonal rains and delayed withdrawal of monsoon, industry's fertilizer consumption was affected. Overall consumption during the quarter came down by 7% . However, thanks to intervention from the government, the supplies remained robust and the production and Imports went up by 15% and 36% respectively during this quarter. Overall, I would say it is a tough quarter for the industry as extended rains have affected the consumption in key agriculture pockets and sharp increase in raw material prices and currency depreciation put pressure on margins for the fertilizers. However, on the positive note, we continue to see positive consumption shift happening towards NPKs, which improves balanced nutrition. And on a year - to-date basis , the share of NPK moved up to 60% from what it used to be 50% 2 years before. SSP industry has tracked well despite challenges of higher price d sulfuric acid. The consumption has moved up during this quarter.

Coming to Crop Protection business. The domestic industry was impacted by lower acreage of key agrochemicals consuming crops like chilli and grapes and reduced spraying due to extended monsoon spell. Globally, channel inventories have largely normalized and there's a good demand for some of our technical molecules, especially Mancozeb. While there were lower instances of

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pest infestation, fungicide and herbicide applications have been steadily going up, which augurs very well for our crop protection business.

Coming to business performance on fertilizers. As I mentioned, we witnessed a very challenging quarter with a higher raw material price, depreciated rupee , not fully compensated NBS rates and the slowdown in consumption. Despite all these headwinds , the business delivered a resilient performance supported by very competitive sourcing of key raw materials, operational efficiencies . Our plants have been operating at 100% capacity utilization and a focused market approach to offer value -added products.

The company achieved highest ever quarterly fertilizer production of 9.9 lakh tons, which is 18% up over the last year. Phosphoric acid production also has grown over the last year. Our backward integration project at Kakinada for sulfuric acid and phosphoric acid are progressing very well as per the timelines and will be commissioning during this quarter.

The granulation train expansion is also

on track, and it will be commissioned in the third quarter

of the financial year 26 -27. On the sales front, happy to note that we have become one of the largest phosphatic player in the country. The Q3 primary sale stood at 11.2 lakh tons, close to last year levels.

We have moderated sales to tune of consumption, especially in the state of Andhra and Telangana. The company has performed very well in Maharashtra, Karnataka and Tamil Nadu, offsetting some drop in Andhra. Our consumption -based market share in Q3 moderated to 14% as against last year 15%, which has slightly taken up our channel inventory. We do hope that this will get moderated in Q4.

Our share of unique grades has improved from 33% to 36% during the quarter. Also, we took some price correction during this quarter by 3% to 4% to offset the impact of increase in input prices and currency depreciation.

In SSP, Coromandel continues to do well and is market leader led by differentiated products such as GroPlus and Urea SSP. The share of these unique grades stands at 47% of the total SSP volume.

On a YTD basis, we have achieved 36.3 lakh tons of phosphatic fertilizer volumes , up by 10% compared to last year period. Our consumption -based market share stands at 17%, showing slight improvement over last year. We continue to work on new market expansion & on a year - to-date basis, sales have grown to 4 lakh tons, a 30% growth over last year especially from the northern markets . These were not catered to in the past - we have done seed marketing and the results are paying off. And this will be helpful as and when we commission the new plant next year.

Our mining project at Senegal has stabilized the operation and has become the largest exporter of rock phosphate from Senegal, and we are in line to achieve annual volume of 3.5 lakh tons of rock production this year. As you all know that we have set up a joint venture company , Stuccoedge India Private Limited through our wholly owned subsidiary company for

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manufacturing & sale of phospho gypsum -based products. The project has commenced. In the next 15 months, we should be able to get diversified product portfolio from gypsum.

The Specialty Nutrient business, which deals with the water -soluble fertilizers and organic

fertilizers have achieved record Q3 volumes driven by improved performance of micronutrients and organic categories. Business has introduced four new products . MAP water -soluble fertilizer plant project announced in the last quarter has commenced its activity at Vizag.

Nano continues its growth trajectory in Q3, registering strong double -digit growth with a strong focus on liquidation & channel engagement. The company has become a market leader in Nano DAP. The product has been very well received across various segments, especially in horticulture segments. Business is also evaluating global markets and has received very positive response and trials are happening across the globe. And as and when the registration happens, this opens up a new opportunity for exporting Nano DAP globally.

On a YTD basis , the business has marketed over 4,000 KL of Nano products, which is 68% growth over the last year and leads the market in Nano DAP segment, as I mentioned earlier.

On the drone spraying business - largely through Gromor Drive - we have covered close to 2 lakh acres during the first 9 months, offering scalable and efficient precision application solutions to the farmers.

Retail, despite a slow start to the quarter, delivered a commendable performance with 20% year -on-year growth. During the quarter, the company added 84 new stores in Q3, taking the total store count to 1,113. Business continued to focus on new initiatives such as e -commerce, drone spraying, direct delivery and insurance business.

Our Crop Protection & Bio business re

ported a very strong performance, benefiting from

favourable demand for its key molecules across export and domestic markets. Standalone revenue for the quarter stood at INR785 crores, registering a growth of 24%. EBIT grew by 74% to INR158 crores, resulting in margin moving from 14% last year to 20% in Q3.

Export growth was driven by volume uptick and higher NRV of major technicals and addition of key customer accounts. Despite challenging business environment, domestic B2C improved sales during the quarter. Business is expanding its channel presence and has added 1,000 new dealers during the year.

New product sales share stood at 25% on a year -to-date basis, reflecting company's continued focus on portfolio diversification and steady traction of recent launches. B2B segment reported a very robust performance across product portfolio. In Q3, company expanded capacity for Mancozeb and is further looking to expand capacities and initiated activity for the same at Sarigam plant.

The Bio business improved realization for its Aza products that supported revenue and margin growth. The business is actively working on new product development, including microbial platform and partnership opportunities on biological APIs.

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Coromandel's subsidiary, NACL Industries had a tough quarter. The revenue and EBITDA -- while better than last year - the margin trended lower as domestic B2C sales were impacted due to adverse market conditions.

During the quarter, NACL has successfully completed rights issue, the proceeds of which will be used to retire all high -cost debt and also used for creating capex, which can help in reducing costs and improving operational efficiencies for NACL plants. During the quarter, the company's credit rating was upgraded to CRISIL AA stable. We are working closely with the NACL team on synergy areas, including R&D, manufacturing, marketing and registration.

The company's drone subsidiary, Dhaksha, is at an early stage of its growth journey and its full potential is yet to be realized. The company is undertaking a series of corrective actions and remain confident of improving the performance in the coming period. In parallel, efforts are underway to pursue technical partnership with leading organizations and improve execution across defence , agriculture, surveillance and training segments.

Overall, Coromandel has performed very well in a challenging business environment with all business segments showing improvement over last year.

The company continues to explore growth opportunities across both subsidy and non -subsidy business while remaining focused on operational excellence, cost discipline and long -term value creation. I'll now request Deepak for taking you through the finance -related updates.

Deepak Natarajan : Thank you, Sankar. Good afternoon, everyone. With regard to the turnover, the company recorded a total income of INR8,863 crores for the quarter and INR25,759 crores for the 9 months ended December, recording a growth of 26% for the quarter and 33% for the 9 -month period. The share of subsidy business for the quarter and for the 9 -month period stands at 82%. As far as profitability is concerned, the consolidated EBITDA for the quarter stands at INR805 crores against INR722 crores last year. And for the 9 -month period ending December, it stands at INR2,738 crores against INR2,202 crores last year. Subsidy business share in EBITDA stands at 62% for the quarter and 67% for the 9 -month period, and this is an improvement from the previous year's number, which stands at 69% for the quarter and 71% for the 9 -month period.

Net profit after tax for the quarter stands at INR488 crores in comparison to INR508 crores for the quarter. And for the 9 -month period, it stands at INR1,784 crores against INR1,476 crores for the last year.

The company continues to coll

ect subsidy on a timely basis. For the quarter ended December, INR2,571 crores has been collected compared to INR2,036 crores last year. For the 9 -month period, the subsidy collection stands at INR7,208 crores versus INR5,891 crores in the previous year. The subsidy outstanding as of December stands at INR3,785 crores compared to INR2,095 crores last year. Further, the subsidy collections continues to be robust, and we have collected another INR1,300 crores in the month of January, which covers sales up to last week of December.

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We continue to see a volatile rupee in Q3 in the range of INR87.83 to INR91 to dollar. We continue to proactively hedge our exposures on a prudent and a conservative basis.

The Board in its meeting held on 29th January has approved an interim dividend of INR9 per equity share, representing 900% on face value of INR1 equity share.

Thank you. With that I turn it over to Ranjit.

S. Sankarasubramanian : We can take any questions you have.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nirav from Anvil Wealth. Please go ahead.

Nirav : Sir, first question is related to the Crop Protection business. Like for 9 months, if we see, we have clocked close to around 21% increase in the sales as compared to last 9 months of FY '25.

So, if you can just share how much was the volume growth out of this 21% sales growth what we have achieved?

S. Sankarasubramanian : See, I can give you segment -wise growth ; on volume , we will come back. Export has grown by 32% and domestic B2B institution segment has moved by 36%. Domestic formulation B2C business has moved up by 5%. As I mentioned, domestic industry faced rough weather during this quarter and the growth was marginal. I would say volume and the value more or less it's aligned. We can take volume growth also at the same level.

Nirav : All right. So, sir, one, possibly the improvement of margins is because of the higher volumes and we would have achieved operating leverage out of our plants with the increased capacity utilization. The second part possibly could be the price increase or is it because of the launch of newer products out of what we have announced in the start of the year that we have launched close to around 10 new products in FY '26. So, if you can just share your views in terms of this improvement in margins what we have achieved?

S. Sankarasubramanian : The new products have helped in the domestic formulation business segment . If you see overall volume growth in domestic formulation , it is still single digit in the quarter. But on a 9 -month basis, it is 15% growth over the corresponding period last year. You are right, partially it helped, but it can do much more. But for the unseasonal rains we had, we expected much better growth. Our growth has come from export segment, where we have grown in terms of volume as well as in terms of price. And being exports, the currency has also helped us to achieve these numbers. So, it is a combination of volume , export revenue increase and new products in domestic market.

Nirav : Got it. Sir, just slightly a longer part or a longer view question. Like we do export to Europe as a continent for our Crop Protection business. Last year, we exported close to around INR1,000 crores in total of our exports from the Crop Protection business. So, a, with the FTA being signed with Europe and b, with this Chinese currency getting appreciated by close to around 9% over the last 1 month, how does it will help us in terms of improving our exports to the Europe? And as a business opportunity, how do you see Europe as a destination for our Crop Protection business?

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S. Sankarasubramanian : See, we currently export predominantly bio

products to Europe, not much of agrochemicals. Our export of agrochemicals is more to Latin America and to various other countries globally, not much to Europe. But I feel with India's export share being very marginal at 9%, the elimination of duties up to 12% will improve the export competitiveness.

So, we need to explore this further. We need to see how best we can leverage this. Especially it opens up a lot of opportunities for the Bio segment to increase the share of business and I think bio can provide a great opportunity for Coromandel with the recent FTA.

On the agrochemical side, on the other hand, we do expect some benefits to come in on the

import of intermediates and key raw materials, which we currently buy from Europe, where , the tariffs are as high as 22% . With FTA , I think that should help us to access the raw material and intermediate at a competitive price point.

Nirav : Correct. What would be our share of exports to Europe out of, let's say, INR1,000 crores what we have achieved in FY '25? Any number which you can share?

S. Sankarasubramanian : I don't think it will be more than 15% to 20%.

Nirav : Got it. And sir, last bit from my side. We mentioned in the opening remarks that we have expanded the Mancozeb capacity and further evaluating to expand. So, if you can share in percentage terms also that how much we have expanded or debottleneck for Mancozeb and how much more we are planning to add?

S. Sankarasubramanian : We have expanded 20% and now we are planning to expand another 30%.

Nirav : Got it, sir. Thank you so much and wish you all the best.

Moderator: Thank you. The next question is from the line of Somaiah from Avendus Spark . Please go ahead.

Somaiah: Sir, first question is on the fertilizer. So, taking the current raw material prices, be it sulphur , ammonia and phos acid, subsidy into consideration. So, do we need price hike? Does the industry need price hikes in our case, do we need price hikes to have our normalized margins of close to INR5,000 EBITDA per ton?

S. Sankarasubramanian : See, as I always mentioned, it is very difficult to estimate the margins on a quarterly basis. On an annualized basis, this EBITDA of INR5,500 is still achievable for the current year -- but there will be some drop in the margins in the current situation with the higher sulphur price and the currency depreciation and not so compensating subsidy.

On a quarterly basis, there may be a reduction, but on an annualized basis, INR5,500 remains.

And also, it's a function of inventory what you carry. We have taken some price corrections on key grades, which we sell in fourth quarter. So, with combination of inventory and the product mix, still we are there to meet the annualized target of INR5,000 to INR5,500 EBITDA per ton.

Somaiah : Got it, sir. And the phos acid price has been decided for the quarter, sir? And what would that be?

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S. Sankarasubramanian : Not yet. Currently, the \$1,290 remains - industry is not keen to increase this price any further . Industry will be pushing for cost reduction in phos acid price.

Somaiah : Got it. Sir, also the backward integration plant, which is expected to start this quarter, what is the kind of utilization that we will plan to have during the Kharif ?

S. Sankarasubramanian : We generally operate the plant at 100% from day 1 and for this project as well.

Somaiah : Understood, sir. Sir, also on the crop protection, you did mention about the export B2B and retail rough mix. What would be the rough mix? I mean exports, we used to be at 50% of the overall portfolio. So, does that still remain in B2B and B2C, what would be the mix?

S. Sankarasubramanian : B2B is around 25% B2C will be 30% - and exports will be 45%.

Somaiah : Export. Understood. Sir, in B2C, what would be the volume and price impact, very roughly?

S. Sankarasubramanian : 14%

growth.

Somaiah : 14% growth in B2C?

S. Sankarasubramanian : Yes, B2C alone. I'm talking about 9 months.

Somaiah : Referring to the last quarter?

S. Sankarasubramanian : The last quarter is only 5%.

Somaiah : Okay. And that will be more volume led and there would have been some price impact ?

S. Sankarasubramanian : It is more coming from volume only. We didn't change the price much.

Somaiah: Okay. Understood, sir. Thank you.

Moderator: Thank you. The next question is from the line of Akansha from Axis Capital. Please go ahead.

Ankur : Yes. Hi, Ankur this side. Thanks for the opportunity. First question on the growth and your margin outlook for the Crop Protection business, both on a standalone basis as well as on a consol basis, given NACL acquisition, how do you look at the growth there?

S. Sankarasubramanian : See, at this point of time we operate as two separate entities. The synergy benefits are to play in. In the case of CPC business of Coromandel, our margins are doing good and it is in the range of 20% - we are confident of sustaining or improving it. For the quarter, we achieved 20% and cumulative 9 months is 18%. And this trend will continue in the coming quarters.

In the case of NACL , they had a setback last year and after we acquired this year, a lot of actions have happened. The main plant of Srikakulam is operating almost at higher capacity and a lot of cost reduction measures are being taken up. They've already moved up EBITDA percentage to 9% - 10%, which they should be able to sustain and grow further. They are also looking to improve the product mix and bring in new products. Currently, they have a challenge of lower capacity utilization of their Dahej facility. So, their margins will be muted until such time they

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find alternatives, which they are working on. Once that happens, then the margins should also move up for NACL.

Ankur : Sure, sir. And just a follow-up there. One, on the CDMO or the industrial chemical side, any thoughts or any progress there considering the market also opening up a bit? And secondly, just a clarification on the NACL margin acceleration. This will be only led by Dahej. That's the only factor left or there could be more levers which can drive the operating performance here for NACL?

S. Sankarasubramanian : No, the mix change in the formulation business, which is B2C, should improve the margin significantly. We're seeing current drag is mainly coming from Dahej. Dahej should improve it. In manufacturing, the business is working on introducing new products and intermediate products and improve capacity utilization of Dahej. So, there will be multiple levers they will be looking at. We will look to synergize in terms of utilizing their capacity for manufacturing some of the molecules, which Coromandel intends to introduce.

Ankur : Sure, sir. And any thoughts on the industrial chemical side or the pure grade phos acid or the other products that you're working on?

S. Sankarasubramanian : We are pursuing our interest on the projects what we talked about earlier in terms of purified phosphoric acid. On CDMO play, various companies with whom we have been working for the last 2 years, we have moved into next stage and they have the interest; with Nagarjuna also in our fold, the global players are already reaching out to us for outsourcing some of their molecules and intermediates, including fluorination chemistry based. They are all in the nascent stage. We will update as and when we progress, but it is tracking very well, I would say. A lot of interest has been shown by the global players after we have acquired NACL.

Ankur : Sure, sir. And just lastly, on the standalone Crop Protection business, Mancozeb has done very well for us in this financial year. What's your thought on overall growth there ex of Mancozeb, given that we have launched a lot of new products historically. So just from that perspective.

S. Sankarasubramanian : CPC has to be seen in terms of individual segments. In Exports, Mancozeb continues to be the major play, and it will remain so, and we'll be expanding capacity. So, we can't be seeing without Mancozeb. It's an integral part of the business. We are trying to capture the value chain there by diversifying product portfolio by introducing combination molecules and backward integrating Mancozeb. So, I think Mancozeb is going to be the integral part of our growth in export segment. I don't think we can look at without Mancozeb on exports.

On the other hand, in the domestic B2C, there are a lot of in-licensed molecules -- we have a pipeline of 9 key registrations which are happening, and we have a slew of products coming in the next 2, 3 years. That will sustain the formulation growth. Actually, we planned for at least 25% growth in the current year. But for the unseasonal rains we could have achieved and still we have reached close to 15% even in such a bad season. We have also added 30 territories in the current year. Our game plan will be to expand our market territories and synergies our operations with NACL also. We'll be looking to increase our formulation business in domestic market by at least 20% to 25% going from year-on-year on.

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So, it will be a combination of domestic B2C growth of 20% to 25%, Mancozeb led growth in exports. But having said that, we are also expanding our other technicals whether it is Malathion capacity expansion or looking at new Strobilurin chemistries for which we have announced capex last year, which we held it back after NACL acquisition. We are also expanding our AI portfolio as well in the global markets.

Ankur : Great, sir. Thanks for your input. All the best. Thank you.

S. Sankarasubramanian : Thank you.

Moderator: Thank you. The next question is from the line of Ahmed from Unifi Capital. Please go ahead.

Ahmed : Thanks for the opportunity. I hope I am audible. I have a few questions. Firstly, on the -- your comments on sulphur prices increasing. As of now with current raw material prices for sulphur as well as rock and your procurement from Senegal and sourcing strategy, can you give some comments on current unit economics of backward integration project considering sulphur prices have moved roughly 5x. I think it was \$100 a ton a year ago and now it is close to \$500, \$550 a ton. So, would you like to provide some comments how you are looking at the dynamics and your unit economics of the backward integration as of now?

S. Sankarasubramanian : Very difficult to put any number, but all I can say is there has been a reduction in the value addition compared to what it was 6 to 9 months before. Obviously, sulphur has skyrocketed from \$180 to \$200 to \$500 now. But fortunately, the rock prices have been moderating, rather it has not gone up and has softened a bit.

That has cushioned this impact to a great extent. Also, phosphoric acid price has been going up

continuously. What it was \$1,050 last year, corresponding period, now it is \$1,290.

We do feel that the sulphur price increase is not sustainable. Sulphur always used to be a disposal issue. I think it is a phenomenon of short supply and excess demand, which should get moderated as we move into first quarter of next year. So, we do expect sulphur to retract back. We have seen this trend in the past as well. Sulphur never sustained at this price.

Ahmed : And in terms of crop protection business, in terms of integrating NACL in terms of supply chain, plants, efficiencies, those sort of qualitative aspects, are we done with all those things as of now or the integration is still sort of remaining in terms of the way you want to run the NACL business?

S. Sankarasubramanian : As of now, it's a

separate entity being managed independently. A lot of cost reduction initiatives, process improvement initiative, product introduction, product expansion, brand building initiatives are being addressed by NACL. Our previous CPC business head has moved in as Managing Director of NACL - to that extent, there is a synergistic thinking and approach in what we do in CPC business. It is still a work in progress. We have addressed the liquidity part by raising money through rights issue and reduced the interest burden, brought in the working capital discipline and also brought down the interest rates and working capital. I think we are on the right track, but still, it is a work in progress. It will play out in the coming quarters.

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Ahmed : Standalone business, Mancozeb has done phenomenal for us over years and also in recent past.

Can you explain what explains such bullishness from your side in terms of Mancozeb for adding capacity further after the one round has already been done? Is it terms of sort of a demand supply mismatch we are seeing? What presents an opportunity to scale up further in Mancozeb?

S. Sankarasubramanian : Good question. In Mancozeb, there has been additional spray in key crops like soybean, corn in Brazil - that has increased the demand for Mancozeb in Latin American markets. Further, farmers preference for wide spectrum and low-price molecules like Mancozeb is leading to higher interest for this molecule. As a company, we are rightfully positioned to address this demand. We are also trying to enter into long-term arrangements for securing the volumes on a long-term basis. It is a wide spectrum fungicide and can be used in combination with various other molecules. We are also in the process of coming up with the combination products and initiating registration activities in Latin America.

Currently, we are marketing on a B2B basis, and we are trying to explore the opportunity of strengthening our presence in Latin America through B2C opportunities as well. We are trying to see how we convert this immediate surge in Mancozeb into long-term sustainable demand, especially in Latin American markets. As Coromandel, our presence is not only in Latin America, we are also exporting into various other countries. So, considering the increased demand for these molecules, we have started expanding capacities. We are also building a strong brand in domestic market on Mancozeb family. We are trying to work on parallelly many things to ensure that this volume growth is sustainable in the coming years.

Ahmed : Sure. Lastly, on the Senegal mine business, can you give some sort of qualitative and quantitative sort of judgment where we are in terms of the production in the current quarter? And in terms of profit contribution because of the backward integration, what sort of contribution we are getting at current prices?

If you can give some comments. And also, a request from my side will be to give some sense of Senegal business separately because of the depreciation and amortization of the mining business, it gets a little tough to understand the operating core business numbers. So, it will be great if you can sort of have disclosures around mining business in the presentation?

S. Sankarasubramanian : We have seen mining as a strategic investment, the valuation of which has gone up manifold compared to the value at which we acquired. It has brought in some moderation in the price at which we buy rocks. So, to that extent, I would say it's a strategic importance for Coromandel with 20% to 25% of our rock requirements being met through our captive source. It gives us a huge advantage and reduces our dependency on other sources. Firstly, it ensures availability of key raw material for the expanded capacity or the new capacity which is coming up in Kakinada. So, I would first take this

as a supply security. Second, mining helps us to understand the cost structure better and our ability to negotiate rock pricing with the rest of the sources have become far better than what it used to be. Third, we have scaled up the volume and stabilized the production compared to what it was. We have achieved what we said at the time of acquisition, we will do 300,000. We are achieving 350,000 tons in the current year. And it is value accretive. I don't want to put the numbers for the sensitive reason, but we are quite happy with the way everything played out in this year.

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And going forward, we will increase the volume to 5 lakh tons, thereby ensuring sustained availability of this source for our Kakinada capacity. We are taking a lot of improvement efforts to improve the recovery and it will be a very profitable business on a standalone basis.

Moderator: Thank you. The next question is from the line of Darshita Shah from DSP Mutual Fund. Please go ahead.

Darshita Shah : I had a question regarding our fertilizer volume growth. The DBT sales data that the company gives out in the presentation, we see DAP and NPK put together sales growth was negative 1% for 9 months. During the same period, the growth for us was close to 10 -odd percent. This is both manufactured and imported put together. Could you throw some light on where is this incremental growth coming from for us?

So negative 1% was for the industry, the DBT sales data that we gave in our presentation. That was minus 1%. So, I think 199 lakh tons of volumes consumed of both DAP and NPK put together in 9 months, which was 197 lac Mt last year. And the same for Coromandel is close to 36 lakh tons, which was close to 32.88 lakh tons in the last year. So that's almost a 10% growth for Coromandel versus a minus 1% growth for the DBT sales for the industry?

S. Sankarasubramanian : See you are comparing the consumption versus our primary sales. If you look at the corresponding primary sale of the industry, it has moved up from 71 lakh tons to 75 lakh tons, which is 6% growth. Against that, our primary sales for the quarter more or less remains the same 11.4 to 11.2. Industry has grown , while we have maintained the same volume on a quarterly basis.

Darshita Shah : Actually, yes, I was looking out from the 9 months perspective ?

S. Sankarasubramanian : 9 months perspective, industry has moved up from 190 to 220 on a primary sales, which is 16% growth. And we have grown from 32 to 36, 31.7 to 36.3 which is 14% growth. So, we have grown in line with the industry growth. What you are comparing is the consumption, the industry 9 months has 208 lakh tons remained flat. We have grown by 1%, 33 moved to 33.4.

More or less, our primary sales, our consumptions are tracking in line with the industry for the 9 months. I can ask my colleague to send across the data. Industry growth of primary 16%, we have grown by 14%. Industry is flattish on consumption. We have grown by 1% on consumption.

Darshita Shah : Got it. Okay. All right. And in your opening remarks, you mentioned something about the market share coming down from 15% to 14% for the complex, basically the phosphatic fertilizer division. So sorry, I didn't quite catch the reason behind the fall in market share ?

S. Sankarasubramanian : Yes, that is consumption, - primary consumption for the industry has moved up by 2% for the quarter , whereas in our case, it has degrown. That is why our market share of consumption came down from last year 15% to 14% -- this basically has happened because of the slowdown in consumption in states, Andhra, Telangana, where there has been a significant impact on crop acreages of chillies, where the fertilizer consumption came down significantly.

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So, a drop in consumption in AP, Te

langana, has been offset by Andhra, Maharashtra and other northern states, but still not good enough. And that is why the industry numbers are slightly higher, whereas we are at a lower level of consumption in the third quarter .

Darshita Shah : Got it. Okay. Thank you. That's all.

Moderator: Thank you. The next question is from the line of Naushad Chaudhary from Birla Mutual Fund. Please go ahead.

Naushad Chaudhary: Sir, what was the subsidy EBITDA share this quarter?

S. Sankarasubramanian : 62%.

Naushad Chaudhary : Second follow -up on question on the backward integration. See in sulfuric acid and phos , if I'm not wrong, roughly we are investing INR1,200 crores in this projects. And initial expectation was these two projects should help us roughly INR400 crores of EBITDA benefit annually.

Given the current pricing scenario with 5 -10% here and there, but do we maintain that kind of expectation from these two projects or should it be meaningfully deviate from the initial expectation?

S. Sankarasubramanian : It will be more or less same. I don't see any challenge because it is not only the cost of sulphur that is going up, but PA price also goes up. So as far as the value addition is concerned, I don't see any significant shift which is happening. Plus, the power generation of 24 megawatts, what we talked about, will also accrue. So, our value addition is coming from the value addition on manufacturing of acid and the power generation – with the combination of these two, I don't see any major deviation and we should be able to sustain.

Naushad Chaudhary : Perfect, sir. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Vipul Kumar from Sumangal Investments.

Please go ahead.

Vipul Kumar : So, sir, can you share the revenue and EBITDA for our retail business?

S. Sankarasubramanian : We don't put this out as a separate segment. I'll be constrained to put this number separately.

Vipul Kumar : And is it possible to share the financials of our drone subsidiary?

S. Sankarasubramanian : It is too insignificant at this point of time. And as and when we reach the size and scale and commence operations, we'll be able to put out that number.

Vipul Kumar : And lastly, when this phos acid plant comes on stream, what kind of EBITDA increase we can expect per ton?

S. Sankarasubramanian : As against the current annual average EBITDA of INR5,500, we should be able to increase it to INR6,500 on an annualized basis. We talked about this earlier as well and we are maintaining it.

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Vipul Kumar : On the entire capacity or only on that particular plant?

S. Sankarasubramanian : On the entire capacity.

Vipul Kumar : 6,500, you said, right, sir?

S. Sankarasubramanian : Correct.

Vipul Kumar : Thank you very much, sir and a ll the best.

S. Sankarasubramanian : Thank you.

Moderator: Thank you. The next question is from the l ine of Rohit Nagraj from 360 One Capital. Please go ahead.

Rohit Nagraj : Sir, on the crop protection export segment, you indicated that there has been a good amount of volume growth as well as some pricing element. In terms of the volumes, is there any element of restocking because of which during the last three quarters, there has been material improvement as far as the export volumes are concerned?

S. Sankarasubramanian : See, we are not such a big player to impact restocking . This volume growth has been triggered mainly on account of Mancozeb where the application has got expanded. So, our performance is driven by the demand for this molecule, which has improved the volume. We are n ot a sizable player in Latin American market.

Rohit Nagraj : Sure. And second question in terms of NACL consolidation, although we are still in mode of integrating certain elements of it, when do we see a sizable element coming -- benefit c

oming

from the integration? Would it be from, say, Q1 FY '27 onwards or maybe second half of FY '27?

S. Sankarasubramanian : The integration would be in terms of the management practices, taking advantage of the best practices what Coromandel is following. You can see that numbers are improving in NAC L from loss-making last year to profit making and EBITDA is getting expanded, capacity utilization is moving up. And we can see these improvements coming in from first quarter of next year.

Rohit Nagraj: Sure. That is helpful. Thanks a lot, and all the best.

Moderator: Thank you. The next question is from the line of Falguni Dutta from Mansarovar Financials . Please go ahead.

Falguni Dutta : I don't know if I missed listening to this thing of yours. So, what was the DAP consumption for 9 months and also for NPK? I mean not in absolute terms, how much was the -- like directionally, what percentage increase or decrease?

S. Sankarasubramanian : For Q3 or 9 months?

Falguni Dutta : 9 months. And also, for Q3, if you can mention for both these NPK and DAP for the industry?

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S. Sankarasubramanian : Industry NPK is minus 2% compared to last year corresponding period, 52 lakh tons versus 50 lakh tons. DAP moved up by 13% from 26 lakh tons to 30 lakh tons.

Falguni Dutta : DAP was up from 26 to?

S. Sankarasubramanian : 30.

Falguni Dutta : And NPK was down?

S. Sankarasubramanian : 52 to 50.

Falguni Dutta : Okay. This is the fertilizer consumption for 9 months?

S. Sankarasubramanian : This is Q3 you asked for, right?

Falguni Dutta : This is Q3?

S. Sankarasubramanian : Correct. This is Q3.

Falguni Dutta : And what about 9 months?

S. Sankarasubramanian : 9 months is 208 lakh tons.

Falguni Dutta : Sorry?

S. Sankarasubramanian : 208 lakh tons, both DAP and NPK put together. It's 208 lakh tons.

Falguni Dutta : No, but how does it compare with same time last year?

S. Sankarasubramanian : It was same, Yes, flat. It's almost same .

Falguni Dutta : Both DAP and NPK were flat?

S. Sankarasubramanian : Yes.

Falguni Dutta: Okay. Thank you, sir. That's all from my side.

Moderator: Thank you. The next question is from the line of Rishabh, an Individual Investor. Please go ahead.

Rishabh: The question is reference to the by product we are getting from the captive Capacity . So, can you give us guidance on what margins we are making on selling those phospho gypsum?

S. Sankarasubramanian : I'm not able to hear you repeat your question?

Rishabh: The phospho gypsum that we are producing as a by product -- so can you give us any guidance on what margins or what realizations they are making on that product?

S. Sankarasubramanian : We don't disclose it as a separate segment. We'll not be able to give the data at this point of time.

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Rishabh: So, your earlier comments were that period of this new plant is around 2 to 3 years. So, do you consider this realization from this product also part of this realization?

S. Sankarasubramanian : We have not put this capex looking at gypsum realization. Gypsum doesn't play such a significant role in the overall economics of this project.

Rishabh: Okay, sir. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand over the conference to management for closing comments.

S. Sankarasubramanian : Thank you all for your continued interest in Coromandel and thank you for joining the call today. We look forward to future interactions. Thank you very much. Thank you, Ranjit, for organizing this call.

Moderator: Thank you. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

Ref. No: 2026-27/010
May 15, 2026
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol : COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Transcript of conference call held on May 8, 2026

This is in furtherance to our letter dated May 8, 2026, regarding the upload on our website, the audio recording of conference call held with analysts and investors to discuss financial results of the Company for the quarter ended March 31, 2026 .

In this regard, we wish to inform that the transcript of the Conference Call held on May 08, 2026 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> as required pursuant to Regulation 46(2)(a) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take the above submission on record.

Thanking you ,

Yours truly ,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:

"Coromandel International Limited Q4 FY26 Earnings
Conference Call "

May 08 , 2026

MANAGEMENT : MR. S. SANKARASUBRAMANIAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER , COROMANDEL
INTERNATIONAL LIMITED
MR. DEEPAK NATARAJAN – CHIEF FINANCIAL OFFICER ,
COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. PRASHANT BIYANI – ELARA SECURITIES

Moderator: Ladies and Gentlemen , Good Day and Welcome to Coromandel International Limited 's Q4 FY26 Earnings Conference Call hosted by Elara Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prashant Biyani from Elara Securities. Thank you and over to you, Mr. Biyani.

Prashant Biyani: Hi! Thank you all for joining the call today. We would request “Mr. Sankar asubramanian to start the Session with his Opening Remarks ” and then we will follow it up with “Q&A.” Over to you, sir.

S. Sankarasubramanian: Good afternoon, everyone , and thank you, Prashant, for organizing this call.

I will begin with “Brief Overview of the Business Environment During the Year, followed by a Detailed Comment on Operations ” and thereafter I will request “Deepak to Talk on Financial Performance .”

The Indian Agriculture sector in last year witnessed moderate growth with Agri-GDP expanding by 2.4%, reflecting the impact of uneven climatic conditions and softening Agri-commodity prices. The southwest monsoon was above normal at 108 % of the long period average. However, its erratic distribution and delayed withdrawal affected crop cycles and rural consumption, particularly during the rabi season.

Encouragingly, the reservoir levels were quite strong, supporting the improved sowing activity. As you all know, kharif acreage increased to 112 million hectares and rabi sowing rose to 68 million hectares, culminating in record foodgrain production of close to 348 million tons. As on April end, all India reservoir levels were 115 % of the last year 's storage and 126 % of the normal storage , south region is 93 % of the last year 's storage and 121 % of normal storage.

Going forward, weather forecasting agencies have estimated a below -monsoon for the upcoming kharif season.

Based on the recent estimates, key operating Southern markets are likely to experience largely normal rainfall.

IMD is expected to issue the updated forecast, providing region -wise view in the last week of May.

I think this can provide better clarity for all of us.

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Summer sowings have started in a positive note. As on April -end, crop sowing stood at 8 million hectares, marginally better than last year.

As you are aware, government has announced the NBS rates for Kharif 2026, increasing nutrient rates by 10 % for N , P and S. These rates do not reflect the sharp increase in raw material prices and rupee depreciation post the Middle East crisis.

Industry expects further support to address the affordability issue for the farming community.

Industry has been constantly engaging with the government to address these issues, and we are hopeful of a positive outcome.

Last year has been tough year for the sector, as the supply disruption from Middle East has resulted in elevated prices, especially in the fag end of the year. We have seen sudden spurt in key raw materials like Ammonia and Sulphur , and availability of finished fertili zers became a challenge.

As you are aware, Middle East contributes significantly to raw materials, feedstocks and finished products. Our India dependence on Ammonia and Sulphur is upwards of 80 %, and most of the shipments cross the Strait of Hormuz, and thereby this disruption in the region has led to sharp rise in commodity prices. While channel and industry stocks remain balanced at this point, industry is making concerted efforts to maximize supplies in Q1.

An empowered committee comprising of government and industry officials have been wo

rking in

close coordination for fertilizer production, planning and raw material sourc ing.

During the year, domestic phosphatic industry increased its production to 16 million tons. Industry also resorted to a higher level of imports, both DAP and NPK, which added up to 10 million tons against previous year of 7 million tons.

Consumption for the year was close to 24 million tons, more or less the same as the previous year, and the mix is favoring NPK, despite relatively higher prices compared to DAP. The share of NPKs in the overall Phosphatics is currently at 60%.

During the year, industry players signed an off -take agreement of close to 7 lakh tons of green Ammonia. These efforts are expected to play a crucial role in reducing the carbon footprint of fertilizer production, while aligning with India 's long -term climate commitments. Happy to share, Coromandel has also taken a lead in this government initiative and agreed for the coverage of upto 20% of its total Ammonia requirement.

On the agrochemical industry side, the situation presented broadly constructive operating

environment for the global industry. After two years of de-stocking and demand suppression driven
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by inflated post-pandemic inventory, channel inventory levels showed signs of normalizing across major geographies.

Indian agrochemical market experienced a recovery period in the first half, with a near-normal monsoon, healthy kharif sowing, which translated into stronger field-level demand compared to the previous year. However, the rain demand was muted due to late withdrawal of monsoon, leading to lower liquidation than expected.

Having covered the industry, I will specifically now talk about "Company's Performance." During the year, company's manufacturing plant registered record fertilizer production of 3.5 million tons, with the highest level of safety and environmental management. It is heartening to note that one of our largest fertilizer plant has been given British Safety Council Five-Star Rating and also got the British Safety Council's Sword of Honour Award.

All the plants undertook annual maintenance turnaround in March-April months and they have now resumed normal operations.

Phosphoric acid production for the year was up by 3% to 4.5 lakh tons.

In March month, company successfully commissioned the 2,000 tons per day Sulphuric acid plant and 650 tons per day Phosphoric acid plant at Kakinada, strengthening its backward integration capabilities. This plant is capable of producing annually 200,000 tons of phosphoric acid, and we have also synchronized the receipt of rock from Senegal, which will be used in this new plant.

Currently, this plant is going through trial runs.

Sulphuric acid volumes have scaled up, power generation has also been met through captive power plants. Operations are getting stabilized and we expect to operate at a desired capacity from April, May onwards.

Our project to expand our granulation capacity is gaining momentum. We are on our way to commission this plant by December of this financial year.

Our rock phosphate project at Senegal has stabilized very well and we have reached the output of more than 3.5 lakh tons last year, and we are planning to increase the volume further by 30%-40% in the current year.

The company also has enhanced its stake in Senegalese entity and currently holding 71.5% in the mining company.

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We have been diversifying our raw material sources through long-term contracts with various countries beyond Saudi and Qatar, like Southeast Asian countries, African countries and Canada and sometime from Russia and China as well.

So, fairly we are reasonably covered in terms of the raw material for the first quarter.

We do hope that there can be an early resolution to the West Asian crisis and we will be able to secure

raw materials for Q2.

I would like to point out here the challenge is not only the availability but also the price. We are closely working with the government for suitable support to handle the current price volatility. I do hope when the supply side improves, price will normalize. Currently, it is quite abnormal and beyond the affordability of any industry player to secure and produce and convert them into fertilizers.

On the marketing front, we delivered record sales of 4.3 million tons of DAP and NPK, a growth of 7% over last year. Our consumption has reached the peak of 4.1 million tons, making us the largest player with the highest market share of 17.5% in the phosphatic sector in the country. Our share of unique grades remains at 35%.

We continue to expand our footprint across North and Central India markets by active channel engagement and farmer-connect initiatives and registered a growth of more than 24% in these markets.

Our single superphosphate business registered highest ever sale volume of 8.4 lakh tons with differentiated grades like GroPlus and GroAlpha, contributing to more than 50% of the volume, and we continue to be the market leader in the SSP sector.

Coromandel's drone spraying service delivered through Gro-mor drive initiative and also through our own retail centers, covered close to 3 lakh acres and is witnessing strong adoption by the farming community.

Our specialty nutrient business delivered strong performance, supported by focused market development and farmer engagement activities.

We introduced different products across organic and specialty segments, offering cross-specific and performance-enhancing solutions.

Business is strengthening its manufacturing capability and is setting up a Technical MAP plant and also seaweed granulation capacity. These investments will generate revenue in the coming years.

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Our Nano business had a strong year, emerging as a leader in the Nano DA P segment with around 50% market share, while also expanding its presence in international markets through ongoing trials and registrations.

Overall volumes expanded by 60% . Company marketed close to 42 lakh Nano Bottles by demonstrating product efficacy through extensive field trials, scientific studies and farmer outreach programs. We strongly believe during this period of challenge and crisis, alternate solutions like nanotechnology can make a huge impact and can save the country from the huge foreign exchange outgo as well as help the farmers to have the right nutrient application for the crop.

Company 's retail business reported strong performance, growing over 30% in 2025 -26.

Business expanded its footprint with the addition of over 300 new stores in Andhra Pradesh, Telangana and Karnataka, while also entering new markets such as Maharashtra and Tamil Nadu.

We continue to leverage technology -driven solutions including precision advisory, e-commerce, drone spraying services and last -mile delivery.

Moving on to one of our significant business segments, which we have been growing consistently over the last two, three years and also where we made a significant investment through acquiring Nagarjuna Agrichem in the year beginning .

The crop protection business of Coromandel achieved healthy growth both in terms of revenue and profitability. Performance was supported by strong domestic demand, recovery in export volume and new product introduction and disciplined cost management.

Our standalone crop protection business of Coromandel, the revenue moved up by 15% to go up to INR 3,054 crores, led by higher sales across segments.

Formulations, Exports, B2B and Bio volumes have shown strong growth, and margins have improved significantly . Profitability of crop protection business has grown by 55% to reach INR 569 crores, benefiting from favorable demand for its key molecules across exports

and domestic market.

On a combined basis, our Coromandel crop protection business as well as Nagarjuna Agrichem has reported a combined revenue of INR 4,000 crores, which could have been better, but for the late withdrawal of monsoon in the rabi season. But structurally the business has been going well and we are soon to reach a milestone what we have been indicating in the past.

In domestic market , we expanded our presence by introducing new territories, onboarding over 1000 new dealers and also introduced new formulations.

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We have introduced 10 new products during this year which represent 21 % of our total revenue.

Our export business registered strong volume growth reflecting both the global inventory rebalancing cycle and targeted business development efforts by Coromandel in key geographies.

During this year , the Coromandel commissioned a technical plant at Dahej and is further expanding technical capacity at S arigam.

Bio business, where we are the large player in neem -based biopesticides, the demand for neem -based Aza received good traction during the year.

Expanding beyond plant extracts, the company has built fermentation and microbial processing capabilities to diversify its biological portfolio.

The launch of five biopesticides and three biofertilizers has strengthened its innovation pipeline with new products gaining good traction in the domestic market.

We have completed the acquisition of 5 3% stake in NACL and also followed on with the rights issue of INR 250 crores to reduce the high-cost debt. So , the borrowing cost has come down significantly from NACL and we have brought in the best practice of Coromandel . We are now exploring the synergy opportunities between the two companies.

NACL has made significant progress with revenue moving up by 28 % to register INR 1,585 crores of top line and EBITDA of INR 103 crores against last year 's loss es.

CIL is working closely with the NACL team on leveraging synergies across product development, manufacturing and sourcing.

Talking about another subsidiary, D haksha, a drone company which is currently in a nascent phase with substantial headroom for growth. Focused efforts are being made to streamline operations and address early -stage challenges with a clear emphasis on driving improved performance in the periods ahead. The company is working towards building strategic collaboration and sharpening execution capabilities to fast-track product introduction, improve business development and service experts. Dhaksha and Coromandel have been working very closely to develop Agri drones specifically to address the need and provide comprehensive solutions to the farming community of India.

Overall, Coromandel has reported strong operational performance in fourth quarter with revenue growing by 19 % reaching INR 6,068 crores and EBITDA growing by 16 % and reached INR 494 crores.

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It is pertinent to note that last year Q4 had exceptional income of INR 347 crores relating to land sale against the current year loss of INR 71 crores which we have taken towards impairment of investments. Hence, the reported profit is modest at INR 115 crores due to this variation of almost INR 420 crores between the corresponding periods.

Operationally, we have done very well, including the fourth quarter where we took annual turnaround. We operated the plant full.

In spite of the challenging situation which industry is facing due to certain support in global prices not adequately covered by subsidy rates, Coromandel has turned around with a resilient performance. There has been a compression in fertilizer margins. However, all other business segments like specialty nutrients, crop protection, retail business have reported healthy growth in revenue and profitability.

On a full year basis, Coromandel has reported

highest ever revenue of INR 31,827 crores and EBITDA of INR 3,232 crores. Recently acquired NACL has turned profitable and registered EBITDA of INR 103 crores.

Coromandel has made significant investment of over INR 3,000 crores in the last two years across business segments, and I am sure this will generate target revenue and profitability in the coming period.

I will now hand over to "Deepak to comment on the Financial Performance" before I take any questions from the team here.

Deepak Natarajan: Thank you, Sankar. Good afternoon, everyone.

The company recorded a consolidated total income of INR 6,068 crores during the quarter and INR 31,827 crores during the financial year FY25-26. This is the corresponding period of INR 5,114 crores and INR 24,444 crores, registering a growth of 19% for the quarter and 30% for the full year.

The subsidy business share in the revenue stands at about 75% for the quarter and 85% for the full year.

From a profitability point of view, the consolidated EBITDA for the quarter stands at INR 494 crores against INR 426 crores in the previous year.

On a full year basis, the consolidated EBITDA stands at INR 3,232 crores against INR 2,628 crores last year.

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The subsidy business share in EBITDA stands at 57% for the quarter and 66% for the full year.

Correspondingly, last year it was 67% and 70%.

The net profit after tax for the quarter stands at INR 115 crores in comparison to INR 578 crores in the previous year's same quarter. That was essentially because of some of the exceptional items we had taken last year and this year.

And the net profit after tax for the full year stands at INR 1,898 crores against INR 2,055 crores in the previous year.

As far as subsidy is concerned, during the quarter, the company received INR 3,441 crores towards subsidy claims. For the full year, we have received INR 10,649 crores as subsidy. This compares with INR 8,082 crores we received last year. Subsidy outstanding at the end of March stands at INR 2,168 crores compared with INR 1,654 crores in the previous year. We have received subsidy claims till the third week of March 2026. While the subsidy outstanding at the end of the year is higher as compared to the previous year, it has come down sequentially quarter-on-quarter from INR 3,785 crores at the end of September to INR 2,199 crores. As you may be aware, the government has also come up with supplementary grant of INR 1,500 crores for NBS in March and this has settled use in the month of March.

Inventory has remained at slightly elevated levels, driven primarily by elevated raw material prices and certain incremental inventory that we have kept for our newly inaugurated Phosphoric acid and Sulphuric acid plant in Kakinada. We are also holding some level of strategic inventory considering the ongoing crisis in West Asia.

During the quarter, we took an impairment on the investments and goodwill in the standalone and consolidated financial results of the company relating to the drones business. This is primarily due to long lead time in execution of certain orders. Management believes the value of the investments to improve and has provided for impairment on a prudent basis.

Finally on Forex, during Q4, the rupee traded in a very broad range of 89.75 to 95.23 which continued to pose certain level of challenges. Coromandel has continued to hedge its exposures on a conservative basis. Thank you.

Moderator: Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Ahmed Madha from Unifier Capital. Please go ahead.

Ahmed Madha: Yes, thanks for the opportunity. I have a few questions. Firstly, if I compare the consolidated P&L and standalone P&L, there is a gap. Obviously, NACL does not have incremental loss. I am assumin

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that this is coming from the mining entity BMCC and even the depreciation numbers are much higher
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compared to last year. So, if you can expand on how is BMCC as an entity placed in terms of financials, and also explain how the depreciation, amortization of the mining asset moves forward in next year and thereafter and how do you see the profitability trends of the BMCC entity?

S. Sankarasubramanian: The amortization expense reflected in the financials is more of an accounting treatment where the mining costs are also getting amortized. In terms of the financial health and performance of BMCC, it has turned profitable now. With the increased volume of operations, better absorption of fixed costs, improved efficiencies and market linked price, it turns profitable and it will improve its margin going forward with increased volume of production. When you do the consolidation accounting involving subsidiary, there are certain amount of the intangibles which get amortized over the period and that has gone into the accounts. While operationally standalone Nagarjuna has turned profitable at EBITDA level, but on a consolidated level, we need to have some amortization of certain expenses. It is more of an accounting between the acquisition value versus the holding value that gets amortized over the period. That way you see the change in the depreciation compared to standalone numbers.

Ahmed Madha: Sure, makes sense. Secondly, on the margins of the fertilizer business for the upcoming season, how should one look at it considering the very nominal increase in the subsidy numbers about 10% while the raw material prices have gone up materially? So how do you see government response coming in, whether there can be another sort of a price increase rather subsidy increase, which sort of happened in FY23? We were going through similar phase where raw material prices went up materially and government again revised the subsidy. So how do you see the current situation and what is your broad sense of how you will be compensated for the higher raw material costs? Because I am assuming current subsidy and the MRPs are not sufficient for it.

S. Sankarasubramanian: You are right. Of course, industry has some benefit of the carryover inventory in the first one or two months. Farmers also will be able to have access to the opening stock of finished fertilizers, but the replacement cost is very high. One is the availability, another is the price. As I mentioned in my opening remarks, the prices of Ammonia, Sulphur have gone up exorbitantly higher and it definitely calls for additional compensation of subsidies, which we have taken up with the government. It is under discussion stage and they have positively looked at it and hopefully we should get the pass-through on these costs. Basic objective is to see that how best we can secure first and produce finished fertilizers and then try and see how we can maintain the price to the farmers at more or less same level. After additional subsidy if any gap still remains, we may have to correct the prices. These discussions are in early stages and in these extraordinary times, we do not want to put any number. We do not expect this scenario also to remain for a long time. We hope the normalcy gets restored once the supply side improves, we do expect things to be back to normal. Having said that, it is very critical for additional subsidies to come in beyond what has been notified as these rates are based on early rates. On MRP, industry has also taken some corrections in the last one or two months. As far
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as DAP is concerned, government given a pass-through last year and hopefully the same should continue now.

Ahmed Madha: Sure. My third question was on the crop protection business. If you look at the performance in terms of standalone

has been pretty good in terms of margin improvement. So, can you just elaborate how do you see overall opportunity with the NACL acquisition done now? The entity has been consolidated for about two and a half quarters. So, how do you see the opportunity in terms of export side, in terms of scale up of your agrochemical business? And Nagarjuna's NACL margins, how do you see the trend changing? And lastly, the standalone crop protection had low growth about 2%, 2.5%. Were there any factors that led to that? And how do you see the growth moving forward?

S. Sankarasubramanian: The standalone has grown well. We have grown to INR 3,053 crores.

Ahmed Madha: Standalone crop protection, I mean.

S. Sankarasubramanian: Yes, I was also referring to crop protection. It is 15.8% if I am right. Revenue has grown significantly.

Ahmed Madha: No, I meant for Q4.

S. Sankarasubramanian: Q4 is the off-season. I was talking about the full year.

Ahmed Madha: Yes. Overall, as I said initially, that you have done well. So I meant just for Q4.

S. Sankarasubramanian: But in terms of the profitability it has gone up. Overall, on the crop protection business, we have done extremely well on all segments, whether it is global exports of active ingredients. For our key molecule Mancozeb, we have got a better volume growth as well as better realization. Our additional

capacity, which came up in Dahej during the year, was quite helpful to meet the additional demand. In the domestic B2C market, we added territories and increased the volume. Our formulation business overall has grown by 15 %-20%. We could have done much better, but for the challenges we faced in the rabi season, which is true for the entire industry. In Domestic B2B segment, where we do sell active ingredients to other institutional customers, we have broadened the portfolio beyond Mancozeb and have scaled up well. Prices of most of the molecules also improved during the year, and that has resulted in improved margins. On a standalone basis, crop protection business has reached the record turnover and record profitability. As you can see, it is close to 19 % EBITDA margin and a revenue of INR 3,000 crores. This includes bio business as well, where the neem based bio products have recorded good export volume. We started our own channel in bio for domestic sale and have expanded the product portfolio with microbials and plant -extract products. On the NACL side, as I mentioned in my opening remark, overall turnover has grown by 28 % and profitability has improved operationally. This has not added significantly to the bottom line, mainly because of alignment of major accounting policies in line with Coromandel, which has resulted in provisioning,

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which has reduced the net profit on a standalone basis. But capacity utilization of the technical plants have improved significantly. We are also looking at additional intermediate and technical capacities in the Dahej plant, which is currently operating at low level. Coromandel and NACL teams are working together for leveraging synergy benefits and cross -selling products across various markets, depending on the strength of each company. So, overall, on a consolidated basis, we have reached INR 4,000 crores. Margin of NACL has improved to 6 % to 7%, and that is what we indicated in the beginning, and going forward next year with the change in product portfolio, that should stabilize around 9 % to 10 %. We need some time to introduce new products, register new products, introduce 9(3) formulations to significantly improve EBITDA in line with Coromandel. It would be difficult for NACL on a standalone basis to increase the margins unless new active ingredients and new formulations are introduced, which will take some time. So, currently, we can say we can restore the margins, what it was 7% to 8% percent, by

and that, it requires investment, which we will take a view at appropriate time.

Ahmed Madha: Sure, sir. Thank you so much.

Moderator: The next question is from the line of Ankur from Axis Capital. Please go ahead.

Ankur: Hi, sir. Good afternoon. Thanks for the opportunity. First, if you can give the EBITDA breakup for the full year in terms of subsidy and non -subsidy? And the revenue breakup for crop protection in terms of B2B, B2C, and export and domestic.

S. Sankarasubramanian: Sorry. Come again. First one, what is it?

Ankur: The non -subsidy EBITDA share for the full year, if you can share that, as well as the breakup for the crop protection business, breakup between export domestic as well as B2B, B2C revenues there for the full year?

S. Sankarasubramanian: Subsidy business share for Q4 is 57 %. It is 66 % for the year as a whole.

Ankur: Sure, sir. And the breakup between export, domestic and B2B, B2C for crop protection?

S. Sankarasubramanian: You need this for the full year or for the quarter?

Ankur: Full year, sir.

S. Sankarasubramanian: Coromandel crop protection business, right?

Ankur: Yes.

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S. Sankarasubramanian: The exports will be INR 1,450 crores, domestic B2B will be INR 700 crores and formulation will be INR 900 crores.

Ankur: Sure, sir. That is helpful. So, as you rightly highlighted in terms of the growth that we have seen for the non -subsidy business as well as the strong operating profits, the margin expansion as well for the full year. Given the macro, one, is there any concern from an RM availability perspective for the crop protection business or even from a pricing perspective? And second, how do you look at the growth going ahead? You did allude towards NACL sort of cross -selling opportunity being there, but let us say on Coromandel's own portfolio basis, what sort of growth are you looking at and sustainable margins there?

S. Sankarasubramanian: As far as raw material supply chain is concerned on crop protection, we are quite comfortable and we are fairly covered. I do not see any challenge. It continues to be available. And whatever input cost increase has happened because of global phenomenon, we are able to pass -through. So, we do not see any impact on margin due to input cost. So, crop protection business is fairly comfortable. In terms of the growth opportunities, it is driven by active ingredient volumes - With Mancozeb's additional capacity coming up during the year, that will be the major volume kicker for active ingredient. On the domestic formulation business, we are planning to grow aggressively by another 20%-25% because of the new registrations and will be launching six new products. We are increasing

our import of active ingredients from China and also introducing new products in India. Overall, we can see a revenue growth of 20 %-25% besides the capacity -driven growth in active ingredients which were mainly for the export market.

Ankur: Sure, sir. And on the margins, do we think we will be sustaining let us say 19 -ish% non -NACL EBITDA margin for our business or -?

S. Sankarasubramanian: I do not see any challenge. And also, we should note that the currency depreciation is helping this business with significant share of exports happening.

Ankur: Sure, sir. That is very helpful. And just lastly, you did cover up in your opening comments on the raw material inflation on the fertilizer side , and our expectation that probably there could be another round of maybe an increase in subsidy from the government side. My question here was, one, given that Q1 is fairly there, but Q2, there could be RM inflation which could hit us. And what if the government is not increasing or maybe there is a delay in terms of increase in subsidy from the government side? Are we looking to increase the finished goods prices there as aggressively , because that

will have an implication on your overall margins as well , so, how should one look at that part?

S. Sankarasubramanian: These are all very abnormal situations, very difficult to predict how long it will take. But it is very important both for the sector health as well as for the farmer benefit, that government response favorably . They are looking into it. For the production to continue and fertilizer to be made available
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to the farmers , we hope to have a early resolution through additional compensation to ensure that any further price increase on NPKs are reasonable for the farming community to absorb.

Ankur: Sure, sir. Okay. That is helpful. I will get back into the queue if I have many more questions. Thank you and all the best.

Moderator: The next question is from the line of Riju from Anti que Stock Broking. Please go ahead.

Riju: Hi, sir. Thanks for the opportunity. Sir, the domestic and export revenue share that you have mentioned for the CP business, that was the standalone business or including NACL?

S. Sankarasubramanian: That is for the standalone business , they asked for the standalone business .

Riju: So, if you could mention like including NACL number for the Q4 for export revenue, that will be helpful ?

S. Sankarasubramanian: I need to get back to you on export revenue. Overall revenue is INR 1,584 crores for the full year and

INR 361 crores for Q4, but I need to just get back to you on domestic and export breakup. We will pass this on later.

Riju: Understood, sir. In terms of the fertilizer business, could you please elaborate in terms of the finished goods inventory that you have as on March '26?

S. Sankarasubramanian: It may be close to 5.5 lakh tons roughly of finished fertilizers .

Riju: This is entirely the manufacturing volume or including trading ones?

S. Sankarasubramanian: Trading is not much, probably 60,000 -70,000 may be trading.

Riju: Understood, sir. And if I look at in terms of the Coromandel standalone CP business , so the growth was 2%. So, that was mainly because of this poor growth in the domestic market or it is mainly on account of both domestic and exports?

S. Sankarasubramanian: Sorry, come again . What you are saying?

Riju: If I have a look at Coromandel CP business for the standalone ones, the growth was 2% , 2.5% for the quarter. So, the primary reason was the poor domestic business growth or it is a mix of domestic and export, both have not performed well ?

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S. Sankarasubramanian: No, actually it is off -season in domestic market - but there also at least there is a volume increase.

On exports, we have moderated the sale in fourth quarter as we have opportunities to sell during season time in April -May. So, it is a temporary slowdown in fourth quarter that will come back in first quarter. And formulation business, anyway has grown well by 14% in spite of being an off -season period. Domestic B2B is more of a function of demand requirement and that can always be made up in first quarter. So, I do not see any major issue per se in any particular segment. The area where we have marginally de -grown compared to last year is in bio -product category, where we did exports in the fourth quarter of last year and we have executed this export order earlier in December, hence it is showing a de -growth in the current year. So, that is why overall CPC is looking marginal at 2%. Otherwise, overall for the year growth is 16% and that sort of a growth we do expect to sustain.

Riju: Understood, sir. One last thing so, if were to look at in terms of the global industry, specifically in the LATAM market, so LATAM market is struggling with the inventory issue. So, how do you see that market for your growth? And second part is that if I look at Mancozeb prices for the last maybe one or two months, so the prices h

ave gone up roughly by 30% to 40% in the range. So, how do you assess that in terms of your Q1 performance? And second is that if you could share the unique grade contribution number in the fertilizer business?

S. Sankarasubramanian: I think our understanding is that de-stocking has already happened in Latin America market. We are not facing any challenge. And for Mancozeb per se, our cost increase is getting passed on. Also, our dependency is not only in Latin America. We have a widespread reach across various continents. So, to this extent, we are very comfortable and are awaiting for the new capacity to come up to increase our volumes and revenues in the coming quarters. I do not see any challenge in improving our margins or performance or sustaining the same in the first quarter.

Riju: Understood, sir. And the unique grade's contribution for this quarter?

S. Sankarasubramanian: More or less remains the same. It remains at 35% on an annualized basis for the year.

Riju: Understood. Thanks for answering all my questions.

Moderator: The next question is from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah V: Yes, thanks for the opportunity, sir. Sir, my first question is on Phosphoric Acid price for the quarter. Has it been decided? That is one. And in the international market, if you were to procure Sulphur and Ammonia, what is the current pricing?

S. Sankarasubramanian: Phosphoric Acid price was fixed at USD 1,360 as against the previous of USD 1,290. The spread of Ammonia has gone up significantly. There are deals which are happening around \$840, \$850 range. That is where last we heard. And Sulphur is also around the same level, \$800 price.

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Somaiah V: In terms of this backward integrated capacity that we have added last quarter, so, for the first half of this year, do we see any challenges in terms of raw material availability to run this at the fullest? And also, in terms of margin contribution, do we see to be accretive given where let us say Sulphur price is occurring?

S. Sankarasubramanian: These are very extraordinary times. Very difficult to look at margins at this point of time. It does not make sense even to look at either product margin or Phosphoric Acid value gap. If you take current quarter Phosphoric acid price and try to project next quarter value gap, obviously it will be negative because this price increase of Sulphur and other input prices will come in the next quarter. There may be one or two challenging quarters, but it should get normalized and structurally the value gap what we originally envisaged will come through. I do not see any challenge in availability per se for running the plant because we have a good coverage of rock phosphate and with Senegal mines operating in full stream, and we are getting rock phosphate from there. For Sulphur, we have taken a lot of efforts. There is a visibility up to first quarter and as I mentioned going forward with things easing out, we should be able to secure raw material for second quarter as well. We have to wait and see how this Middle East crisis is playing out.

Somaiah V: Understood, Sir. In terms of between Q1 and Q2, I think we should be having a fair idea of at least how things stand today in terms of our inventory that is there in the system, NPK subsidy that is being given and pricing that is happening. So, it would be fair to say Q1 is kind of still manageable and Q2 is where definitely the subsidy support should come in or is it like in Q1 itself we need this incremental subsidy support?

S. Sankarasubramanian: Every day is a new day, we are not able to predict anything. This time it is a little uncomfortable for us to put any number on the table. Let us wait for things to play out before we can come to any fair understanding. It is a bit challenging. Right now, we are focusing more on securing raw material

s and

having the production, ensuring fertilizer availability for the system. We are looking at support from Government, price corrections – situation is fluid at this stage I would say.

Moderator: We will take the next question from the line of Akash Mehta from Canara HSBC Life.

Akash Mehta: Hi, sir, thank you for having the call. So, my first question is on the sourcing bit only. You said on the Sulphur front it is slightly challenging as of now. I mean obviously we have visibility of Q1 but going into Q2 it is a bit difficult. So, can you just help us with the current sourcing? I mean it was earlier with the Middle East so from where you are kind of managing the sourcing for Sulphur and the raw materials, if there is any change? So, that is my first question.

S. Sankarasubramanian: We used to source predominantly from Middle East. Now we have diversified our sources, wherever

Sulphur is available we are buying, and we have been getting some shipments from Canada as well. We are trying some domestic sources also. So, we are getting something from South Asian countries,

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Japan. So, we are looking at all the opportunities. It is quite fortunate that we have got our new Sulphuric acid plant in Kakinada in Q4. Sulphuric acid prices have gone significantly higher and hence it comes handy to have our own Sulphuric acid which in turn can generate steam and produce power. So, we have multiple sources. Right now it is more of a spot transaction which we are doing. Otherwise, the major source used to be Qatar Energy and Saudi.

Akash Mehta: Sure, sir. As of now there is no shortfall as such. It is available at a higher price. That is about it,

right?

S. Sankarasubramanian: We have visibility up to June. We have to keep covering. So, hopefully situation should ease out. The major challenge is the bottleneck of the ships to cross. It is not Sulphur is not available. Sulphur is available in plenty. It is the movement of ship through the Strait of Hormuz which is making it difficult for us to predict anything. We are hoping things normalize and sailing time is not much between Middle East to India. So, for July, it is too early to predict whether it will happen or not. In a logical sense, it looks like it will happen.

Akash Mehta: Sure sir. My second question is, by any chance if you can just highlight on the subsidy front, again you cannot give a clear time line when it will come through, but given the raw material price increase, any number you can just help us out with in terms of the implied increase in subsidy or the price on the last number and on peak percentage terms?

S. Sankarasubramanian: We have to wait and see. For the Rabi season, NBS rate formula will kick in and probably will get updated. What we are talking about is the intervening period of June to September where the raw material prices have gone up very sharply. So, it may be a cost-to-cost reimbursement - so that we can cushion the sudden spurt in prices to a great extent while we arrive at the final price to the farmer. Very difficult to predict how much they will do. Like a pass-through in DAP, we are trying whether there can be a pass-through in NPK as well. We need to wait and see how it is going to happen.

Akash Mehta: Sure sir. That is it from my side. Thank you.

Moderator: The next question is from the line of Darshita from DSP Asset Managers. Please go ahead.

Darshita: Hi, sir. Thank you for the opportunity. I just had one question. Is there any key intermediate for Mancozeb that we import from Middle East countries where we may be facing any constraint for importing it?

S. Sankarasubramanian: Fortunately not. We are able to get everything from other countries. It is the only comfort we have in this raw material. Of course, we have some products but we have alternate sources. So, we are quite okay with it.

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Darshita: And we have been able to pass on the price increase even in the last two months, fourth quarter, of course, we can see that, but over the last two months also, we have been able to pass on the price increase.

S. Sankarasubramanian: Yes. And to some extent, the currency depreciation also has aided this to absorb some increase.

Darshita: Got it. Okay. And not facing any shortage for sourcing the intermediate?

S. Sankarasubramanian: Yes. We had some small disruption in the month of April, but we have now looked at the alternate sourcing. Unlike nutrients, the import of these raw materials from China is quite okay. So, it takes time but it comes. We are fairly covered.

Darshita: Okay. Got it. Yes. That is all. Thank you.

Moderator: We will take the next question from the line of Vipul Kumar Shah from Sumangal Investments.

Please go ahead.

Vipul Kumar Shah: Hi, thanks for the opportunity. So, in view of the raw material inflation, what should be our margin guidance as far as EBITDA per ton is concerned for the whole year?

S. Sankarasubramanian: Very difficult to predict at this point of time. Let us see how it goes because it is a function of what government is going to compensate and how much we are going to look at price corrections. It is very fluid. I do not want to put any number now. So, let us wait for things to get normalized. Once the situation improves and supply chain gets normalized, prices should come back.

Vipul Kumar Shah: Okay, sir. Thank you.

Moderator: The next question is from the line of Sheel Kumar Shah from Sam eeksha Capital. Please go ahead.

Sheel Kumar Shah: Thank you for the opportunity. My first question is what is our manufacturing EBITDA on fertilizer side, I mean per ton for 4Q and for the full year?

S. Sankarasubramanian: Last year, it was around INR 5,000 plus that we have mentioned and fourth quarter was compressed;

it was less than INR 3,500 for fourth quarter.

Sheel Kumar Shah: Okay. And what about on the trading side, if you can share margins or EBITDA per ton?

S. Sankarasubramanian: It is too difficult to make. It depends on the grades, the timing of purchase, and there is a pass-through

on DAP. So, different set of numbers are there.

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Sheel Kumar Shah: But on an average, what type of margin would we be making on our trading?

S. Sankarasubramanian: You can take roughly 4% to 5% sort of a number.

Sheel Kumar Shah: Okay. And how do you see trading volume for FY27 on high days of FY26?

S. Sankarasubramanian: We have a challenge in availability, especially on DAP. So, we need to see how things improve. We doubt doing the same volume. And there can be a potential reduction in the first quarter because of non-availability, especially major imports coming through from Saudi may not happen. We also want

to be conscious on working capital liquidity. So, we may not be pushing unless it is absolutely essential to meet the demand. But second half, I think, should get normalized. If things improve, the volume should come back. So, it is a function of availability in a quarter and our risk appetite.

Sheel Kumar Shah: Understood. And my last question is what would be the revenue for Nano DAP?

S. Sankarasubramanian: We marketed 45 lakhs bottles. I will come back to you on the revenue. I do not have it readily available.

Sheel Kumar Shah: Sure. Thank you.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.

Bharat Sheth: Hi, thanks for the opportunity. My question is related to this Dahej capacity that which we are expanding. So, how much additional revenue or asset turn if you can give, do we expect and what kind of I mean portfolio diversification it will have?

S. Sankarasubramanian: We expanded our capacity by 10,000

tons of Mancozeb. I will get back to you on the revenue on

Dahej. But the payback will be much faster, less than one year. So, the investment what we have made in debottlenecking the facility gets paid off less than one year. In fact, we are expanding another 20,000 tons at S arigam. That project is underway, and should come through by middle of this year. Hopefully, there also I think margins are pretty good and we should have a payback in a shorter timeframe of less than two years.

Bharat Sheth: Earlier, we were evaluating in foraying into C RDMO. So, what stage we are in CDMO? I mean, how is the opportunity that we look forward, any further progress?

S. Sankarasubramanian: The CDMO takes long time, two, three years. And MNCs have responded favourably. They looked at

the facility. They moved to the next stage. They take quite a long time. Two, three European entities have shown interest. And with the combined strength of Nagarjuna, we are able to fast track some of

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the intermediate manufacturing. We are looking at fluorination chemistry very seriously. While Nagarjuna has got the capability and we are going to invest on fluorination chemistry in the coming quarters to showcase it to the potential CDMO players. We are quite happy with this. Some of the Japanese collaborators are also keen to work with us. Things are progressing well. While it is not materially impacting the revenue in the current year, but I am sure two years down the line, we will have significant play in this space. We are trying to do it organically and we will scale up. We are not looking for big -ticket investment immediately. Looking at the current market situation, we wanted to focus on current investments what we have made, realize the value out of it before we make any fresh investments on a large scale on CDMO space. But we are doing well organic ally. At this point of time, I am not able to put out the part ies name, but things are progressing very well.

Bharat Sheth: But could we see revenue from FY28?

S. Sankarasubramanian: It may go into the year after that also, because once they get the proof -of-concept ready and they start

listing the product and then agree to the costing, margins. But we will start creating some capacities of smaller scale this year and that will go into production next year. So, some revenues will come in, but significant can come in a year after.

Bharat Sheth: Now, with this price increase substantially in this fertilizer, how should we think that adoption of Nano DAP, I mean, going ahead, say, post -harvesting?

S. Sankarasubramanian: Ideally, this is a great opportunity. Like in COVID, many things have happened. I wish farmers' adoption increases. We are trying to do and promote balanced nutrition. But as long as you have urea and DAP available at an highly subsidized price, this situation may be difficult. So, unless there is a major policy correction that restricts the availability in terms of actual need for the marginal farmers, this adoption will be slow and steady. We are also not in a hurry to push through - the product is working well and it can replace shortage situations and be a boon to the farmers. That is all I can say.

Bharat Sheth: Last question with your permission, Any update on Dhaksha?

S. Sankarasubramanian: A good question. Thank you for raising this point because we have taken the diminution in the value of investment relating to Dhaksha. As you know, we have got a large order which is pending for execution and we have fixed all the technical -related gaps and we are awaiting for the execution of orders. We have made significant progress on introducing new products, a lot of projects have been identified, a lot of partnerships have been identified, and we are seeing good traction coming from the defence segment after the usage of drones in various warfare. B

esides that, in Agri, Coromandel

and Dhaksha have been working very closely. We have come up with new products. We are going through type certification. In Agriculture, drone response has been extremely good from the farming community and we will be scaling up volume. We are participating in the institutional tenders. We are also looking at drones for various institutional applications and trying to develop the complete

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ecosystem for Dhaksha by tie-ing up with the various component manufacturers, whether it is for batteries or cameras or various other electronics components and software development. Dhaksha will be moving to a larger place, and hopefully this facility should be ready by May. A lot of progress is happening and I think we are in a good recovery mode. After we execute the first order during this year, that will give us the confidence to have repeat orders across various segments of defence. Meanwhile, we are also strengthening the R&D and are going to introduce new products over the next six to nine months. We will try and realize the value of investment what we have made. We are a bit ahead of time, but it is going to make a difference in the next two years.

Bharat Sheth: Thank you very much, sir, and all the best.

S. Sankarasubramanian: Thank you.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Thank you and over to you, sir.

S. Sankarasubramanian: Thank you very much. Thank you for the insightful questions and I know it is a challenging time and definitely I am sure we will do our best to serve the farming community. Thank you for your continued support.

Moderator: Thank you, members of the management. On behalf of Elara Securities, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Jul 2026

Ref. No: 2026-27/033
July 31, 2026
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Symbol : COROMANDEL BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip Code: 506395

Dear Sir / Madam,

Sub : Transcript of conference call held on July 24, 2026

This is in furtherance to our letter dated July 24, 2026, regarding the upload on our website, the audio recording of conference call held with analysts and investors , to discuss financial results of the Company for the quarter ended June 30, 2026.

We wish to submit that the transcript of the Conference Call held on July 24, 2026 has been uploaded on the website of the Company at <https://www.coromandel.biz/investors/investor-call-transcripts/> pursuant to Regulation 46(2)(a) (ii) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

We kindly request you to take the above submission on record.

Thanking you ,

Yours truly ,
For Coromandel International Limited

B. Shanmugasundaram
Company Secretary & Compliance Officer

Encl. a/a:
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Coromandel International Limited
Q1FY27 Earnings Conference Call
July 24, 2026

MANAGEMENT : MR. SANKARASUBRAMANIAN S – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – COROMANDEL INTERNATIONAL LIMITED
MR. DEEPAK NATARAJAN – CHIEF FINANCIAL OFFICER –
COROMANDEL INTERNATIONAL LIMITED

MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Coromandel International Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking . Thank you, and over to you, sir.

Manish Mahawar: Thank you, Shruti . On behalf of Antique Stock Broking , I'm pleased to host today's earnings call of Coromandel International. Today, we have Mr. Sankarasubramanian S, Managing Director and CEO; Mr. Deepak Natarajan, CFO, on the call.

Without further ado, I would like to hand over the call to Mr. Sankar for opening remarks . Post which we'll open the floor for Q&A. Thank you, and over to you, Mr. Sankar.

S. Sankarasubramanian: Good afternoon , everyone and thank you Manish for organising the call . I will begin with an overview of the business environment experienced during the quarter and provide an update on Coromandel's operational performance. Thereafter, I will request Deepak to take you through the financial performance.

On the agriculture side, India witnessed 23% of deficit rainfall on the long period average with most of the regions reporting lower rainfall. It has moderated fertilizer offtake as well in the current month.

June was one of the driest months, and we have seen some recovery in the last few days, especially in Gujarat and Central regions, and this deficit has moderated to 17% . All India reservoir levels stood at 34% of capacity versus 57% last year and Southern reservoirs have come down to 28% versus 65% last year.

On crop acreages, picture is slightly mixed. While there is a drop in pulses by 15%, oilseed by 6% and cotton by 6% , paddy acreages have come back to normal, aided by early monsoon in the paddy belt. With monsoon activity improving during July, sowing momentum has picked up, and we expect the acreages gap to narrow further over the coming weeks.

Overall, farmer sentiment remains relatively cautious, influenced by uncertainty around monsoon and variability in agri commodity and input prices. On the regulatory side, government is quite active with a lot of policy announcements during this quarter.

The government has approved national investment policy for urea, which could potentially facilitate 9 million to 10 million tons of additional domestic urea capacity over the next 8 years across 7 proposed projects.

In parallel, the announcement of INR37,500 crores coal and lignite gasification scheme is expected to support the development of domestic syngas -based feedstocks and progressively reduce India's dependence on imported ammonia and other energy input over the medium term.

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The government has also initiated a pilot implementation of National Fertilizer sales framework, introducing QR code -enabled traceability across fertilizer transactions by integrating farmer , land and sales data. If scaled effectively, this initiative can be very transformative for the sector, enabling a shift from conventional distribution system to more transparent data -driven and nutrient stewardship -based farming systems.

The quarter was characterized by challenging operating environment for the phosphatic sector. Global prices of key raw materials, including phosphoric acid, ammonia and sulphur remained elevated, driven by continued geopolitical uncertainties and supply disruptions.

On the subsidy front, the government announced increase of about 10% in subsidy rates across Nitrogen , Phosphatic and Su

lphur nutrients under the NBS regime. This rate has been announced without factoring the Middle East crisis situation . These rates do not fully compensate for the increase in global raw material costs, which happened subsequent to Middle East crisis. The industry continues to engage closely with the Department of Fertilizers on the need for a review, and we remain hopeful of a positive outcome on this front. This sort of subdued subsidy rates, especially for NP /NPK fertilizers have impacted production and imports during the quarter, which were down by 21% and 38%, respectively.

On the demand side, consumption remained stable, especially farmers picking up lower MRP stocks in the first quarter and the industry maintained the same consumption sales volume of phosphatic fertilizer in the first quarter as compared to last year.

Globally, there has been some impact on shortage of raw materials and production cuts announced by major manufacturers due to Middle East conflict. This has led to lower availability of key raw materials like sulphur , acid and ammonia, resulting in surge in prices.

However, the fortunate point is that industry inventories remain comfortable despite lower production and imports. In fact, Urea and DAP stocks are reasonably comfortable and NPK stocks are also comfortable at this point of time to see through this kharif season. But it is very critical the industry continues to sustain production and imports in the next 2 months to ensure that the carryover inventory into rabi is augmented for the smooth completion of rabi season as well.

On the crop protection sector, domestic market was muted. It's the early part of the kharif season. Demand was impacted due to delay in crop sowings. However, the export markets have shown improvement, although the market remains cautious and is waiting for price stabilization. There has been a shift in biological products globally as well as in India, and we continue to

witness healthy growth driven by increased adoption of sustainable agricultural practices. In this backdrop, very happy to note that Coromandel has reported a very resilient performance, especially fertilizer business delivered very strong numbers in spite of a lot of headwinds that prevailed during this quarter.

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We have taken a conscious call to moderate production to 6.9 lakh tons compared to 8.4 lakh tons, roughly representing 72% of capacity utilization as the business prioritized inventory optimization amid volatile raw material markets. Phos acid production also got moderated to 1.2 lakh tons, more or less in line with last year.

Ideally, we should have grown with the commissioning of new plant, but due to higher sulphur prices, we have optimized the usage of sulphur and operated sulphuric acid plants at a moderate capacity to extend the availability of sulphur for a longer period.

Due to elevated sulphur prices during this quarter, the company took a conscious call to moderate phos acid production and ensure that the prices of sulphur reach a reasonable level to be competitive on sourcing. We also looked at various other options to secure sulphur both from domestic and global markets.

Fertilizer business margins were under pressure due to sudden spurt in key input raw materials like ammonia and sulphur. These prices were not factored in the subsidy rates announced by the government. The government has made note of this issue, and we hope we get the updated NBS rates for the kharif season, which should help to improve the viability for NP, NPK fertilizers.

As you are aware, phosphoric acid prices for Q2 has been settled at \$1,700 as compared to \$1,360 prevailed in Q1, reflecting a sharp increase in line with the increase in international price of DAP and other raw material inputs.

On the project front, Coromandel has commissioned the sulphur

ic acid plant and phos acid plant

and operations have got stabilized. Sulphuric acid achieved the rated capacity and also generated power as envisaged. Phosphoric acid operations are getting stabilized, and we are embarking on the new technology implemented to ensure optimum utilization of rock.

Commissioning of these plants has happened at a very opportune time, and this has ensured that we continue to produce and make phosphate fertilisers available to farmers when industry is facing shortage of key raw materials. Happy to note that granulation project is progressing well - as planned, we are on track for commissioning this in Q4 of this year.

In terms of sales, these are all early part of the season. Volumes have been moderated by 9% to 10 lakh tons as compared to corresponding period last year. Despite this, the company has strengthened its market position, increasing the primary market share to 22% compared to 18% in the last year.

Consumption has been encouraging due to lower MRP stocks in the channel. The point of sales increased by 13% to 7.9 lakh tons, resulting in market share improving to 16%. SSP business continued its strong growth trajectory with volumes increasing by 19% - we have been focusing on differentiated products like GroPlus and Urea-SSP, which constituted more than 50% of the total SSP sales, highlighting the success of company's strategy to drive premiumization and improve product mix.

At our Senegal operations, the rock phosphate mining project produced over 1.1 lakh tons for this quarter, broadly in line with our plan. Building on the strength of this backward integration,

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the company is evaluating establishment of SSP facility at Senegal to cater to international markets and unlock additional value from its phosphate resources.

Specialty Nutrients and organic business delivered a strong performance in Q1, aided by higher offtake in organics and micronutrient segments. We are seeing increasing adoption of these products by farmers, particularly given their ability to improve soil health and help crops withstand stress conditions in an increasingly volatile climate.

The business strengthened its innovation pipeline with the launch of 3 new products across water-soluble and sulphur nutrition segments. As highlighted earlier, we are building manufacturing capability to support long-term growth and reduce dependence on external sourcing. Our strategic project of setting up T-MAP plant at Kakinada and seaweed granulation plant are progressing well and will enhance our ability to offer differentiated crop solutions.

The Crop Protection business delivered a record performance in Q1, driven by strong growth in exports and B2B sales despite softer demand environment in the domestic formulation segment. Revenue grew by 20% year-on-year to INR870 crores, while EBIT increased 44% to INR159 crores, reflecting improved product mix, traction for its key molecules and the ability to pass on

higher raw material costs in the export market. Share of sales in the new products in the domestic B2C stands at 32% as compared to 23% last year. We have also introduced 3 new products during the current quarter. Operationally, the business continued to make steady progress on its strategic priorities.

Capacity expansion of key molecules is on track and is expected to be commissioned by September, strengthening our ability to support future growth. We are in the process of advancing our Fluoro chemistry capabilities and are establishing a launch facility to support product development and scale-up opportunities.

Further progress was made on our CDMO strategy through engagement with the leading global innovators, while long-term raw material security was enhanced through strategic sourcing and supply arrangements. Our innovation pipeline continues to strengthen with new produc

t registrations, novel combinations and patent filing. We remain focused on bringing differentiated solutions to the market and plan to introduce several new products over the coming months.

We'll also be focusing on strengthening our market presence in Latin American markets to ensure that the market for our key molecules remain robust for the coming quarters. Our subsidiary, NACL Industries improved its performance and EBITDA has moved up by 9% to INR41 crores with margin improving to 11% from 8%. These are in line with what we envisaged at the time of acquisition. Lower export volumes and price pressure impacted export revenues and overall revenues were moderate at INR 383 crores. However, the business is strengthening its product portfolio and launched 3 new products during the quarter and is planning to accelerate new product introductions in the coming months. The company is closely engaging with MNC customers on development of AI and intermediates in its current facility.

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The bioproducts business delivered a steady performance in Q1, supported by decent growth in domestic and export markets. The business is strengthening its innovation pipeline and developed 2 new products in the biostimulant and microbial category, specifically designed to address the requirements from the retail business. The white label products in the retail business, which it used to source from outside will be now manufactured by bio business, providing huge opportunity and complete capturing of value chain right from manufacturing to marketing these products through our own captive retail outlets. In addition, a number of products are progressing through various stages of development and regulatory approvals. Bio business will be one of the key focus areas for us to grow both in domestic and global markets. The company has invested in direct retailing of bioproducts by having their own trade team besides the retail outlets. The team is also actively exploring collaboration opportunities in adjacent segments such as feed additives while continue to build capabilities in plant extracts and microbial space.

The retail business delivered an outstanding performance in the current quarter, benefiting from strong farmer engagement, expanded store network and higher sale of fertilizers, specialty nutrients and organic products. Revenue of retail business increased by 85% year-on-year, reflecting improved scale, operating leverage and profitability across the network. 76% of the stores were profitable during the quarter compared to 61% in the corresponding period last year. The business deepened its reach through additional 22 new stores, taking the network to over 1,200 outlets. While also expanding its digital and omnichannel capabilities through e-commerce and farmer engagement initiatives.

The Nano business delivered stable performance with sales volume growing 2% year-on-year, supported by sustained demand for Nano DAP and a market leadership position with nearly 60% of market share. The business also initiated exports during the quarter and sees encouraging opportunities to expand its presence in international markets, supported by registrations secured in few markets. There has been a ban on some of these products from fertilizer companies in the state of UP and Maharashtra, which moderated the growth. In this current global crisis, it's pertinent to note that these alternate fertilizers can make a huge difference to the farming community and can save precious subsidy bill for the country. Industry has been representing to the state governments to address the issue.

Coromandel has been pursuing drone spraying services which continue to gain traction during the quarter, reflecting increasing farmer adoption of precision agriculture solutions. We are also evaluating introduction of higher capacity drone

s capable of fertilizer applications, which can significantly expand the addressable market and enhance the value proposition of our farm mechanization services.

Our drone subsidiary, Dhaksha, while pursuing the defense orders, has focused on agri-drone platform and has come up with the variants of agri-drones based on the inputs provided by the

Coromandel agri team . It has applied for type certifications of new drones, which can improve the efficiency and increase the battery life of drones. The business has consolidated its operations in its new integrated facility and is actively pursuing growth opportunities across various verticals while continuing to expand its technology and product capabilities through collaborations.

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Happy to share that Coromandel has achieved a significant sustainability milestone during the quarter with the receipt of Responsible Care Certification, reflecting our commitment to the highest standards of health, safety, environment and operational excellence.

We are also setting up a corporate research center IIT Chennai Research Park, which is focused on developing next -generation platform technologies in Nano, Biologicals and Advanced Chemistries, strengthening our innovation pipeline and supporting long -term growth.

Overall, we have delivered a resilient performance in a challenging operating environment marked by delayed monsoons, elevated raw material costs and pressure on fertilizer margins.

The strength of our diversified portfolio, disciplined execution and strong growth across non - fertilizer business has helped us to offset the market headwinds witnessed in fertilizer business and enabled us to deliver a healthy performance during the quarter.

Now I request Deepak to cover the financial performance.

Deepak Natarajan: Thank you, Sankar. Good afternoon, everyone. During the quarter, company recorded a consolidated total income of INR8,215 crores as against INR7,126 crores in Q1 of last year, registering a growth of 15%. The increase in revenues has been mainly on account of higher realization in fertilizers, combined with growth in the non -subsidy business.

It's pertinent to note that last year's Q1 results does not include the NACL numbers as it became a subsidiary effective 8th August 2025 onwards. The revenue share from subsidy business stands at 77% during the quarter.

As far as profitability is concerned, consolidated EBITDA for the quarter was INR761 crores against INR782 crores last year, registering a degrowth of 3%. The decrease in EBITDA is mainly due to higher input cost on account of the ongoing West Asia crisis, and the input cost inflation has not been fully commensurate with the revision in the NBS rates. The EBITDA share of subsidy business stands at 48% during the quarter.

Net profit for the quarter was INR382 crores in comparison to INR502 crores last year. With regard to subsidy, during the quarter, the company received INR1,392 crores towards the subsidy claims compared to INR1,300 crores last year in Q1. Government has been prompt in clearing the subsidy dues. As of today, we have received our subsidy claims till the third week of June. Subsidy outstanding as on 30th June was about INR3,254 crores. We have received additional subsidy of INR568 crores in the month of July.

As far as forex is concerned, during Q1, the rupee traded in a wide range of 92.59 to 96.83.

Coromandel continues to hedge its exposures on a conservative basis. Thank you for the continued interest. We look forward to these interactions. I will now hand it over to Manish.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: First question on the overall on -ground scenario. You mentioned a relatively lower utilization for us in this qu

arter and presumably, the imported fertilizer will also be lower, more

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importantly, Urea and DAP there. So is there any structural shift that you are seeing higher demand for NPKs there or there is some shortage of fertilizers on the ground? And how are you looking at the on -ground scenarios?

S. Sankarasubramanian: Ankur, there is no shortage per se. Sufficient stock of Urea and DAP is available in the market.

In the early part of the season, farmers have picked up low MRP packs and hence, there was an advance purchase ahead of the season. But with the slowdown in the monsoon and the improved availability, there has been a slowdown in purchase as well. I think currently, the uptake is more to do with the monsoon than availability.

Ankur Periwal: Sure, sir. But given the subsidy -- there is no further revision in subsidy rates, Is the situation on the ground still comfortable from a Kharif demand -supply perspective?

S. Sankarasubramanian: The industry has taken some price change. At this point of time, this is the maximum the industry can do. Beyond this, this has to come through subsidy. That is what we have represented to government and hopefully, it should come through.

Ankur Periwal: Sure, sir. Second bit on the crop protection and the export side. Congratulations for a strong show there. Your thoughts on the bioproducts or the product registration for the formulation

ones, both in the domestic and the export market. What could be the time lines that one can think of in terms of a revenue ramp -up here? And the second part of that question, on the Mancozeb capacity expansion, how is the demand pricing situation there as well?

S. Sankarasubramanian: In domestic formulation, our action has been initiated 2, 3 years before on new product introduction . We have been getting new 9(3) products , with 3 to 4 new products coming through every year. That trend will continue. We have lined up the product pipeline with a clear visibility for next 3 to 4 years.

On the export front, especially on Mancozeb, we have a broad -based sale of Mancozeb across various continents. We don't depend on one particular geography. Our presence in Latin America is fairly less at this point of time. Post completion of this project, we have planned to increase our volume in Latin American markets. We are trying to see how best we can come up with combination products and have physical presence on the ground through some collaborative support to ensure that there's a long -term demand for Mancozeb. At this point of time, we are quite comfortable on the offtake, but it will be important for us to build this portfolio for long term through combination products, and that is what we are working on.

Ankur Periwal: Sure, sir. That's helpful. And just one last bit, if I may. You did allude towards the CDMO opportunity for us. And earlier also, we had mentioned on the industrial chemical side. How do you look at it from a capital allocation perspective, given that will you prefer to expand into industrial chemicals, CDMO, etc ., here, which we have been sort of talking for the last couple of years or there is scope for more getting backward integrated on the fertilizer side, whether it is BMCC or maybe possible further backward integration into PA and SA in India?

S. Sankarasubramanian: Well, these 2 are separate tracks. We'll continue to pursue this opportunity . With the commissioning of new PA-SA plant , 60% of the acid requirement are taken care and we are
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reasonably comfortable at this point in time. We'll continue to keep some options open for imported acid as well.

On the CDMO side, we are trying to do it in an organic way. It calls for a huge investment for various fluorination -based derivatives to be manufactured. Before we make that investment, w

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wanted to ensure that we have the proper product and customer specs are met. And hence, we are looking for launch plant, which we will be setting up in Ankleshwar . Currently, we are focusing on fluorination -based chemicals for our agrochemical use. Once we succeed there, then we'll look for other sectors as well to cater to . That's our game plan on CDMO right now. But we are also trying to look at various other intermediates.

Along with NACL, we are trying to see how best we can provide intermediate support to global MNCs instead of finished agrochemicals, which requires registration. It's a long gestation project. Intermediate does not require registration. So we are trying to see how best we can leverage our capacities to produce those intermediates. The discussions are underway. We are having a multipronged approach to introduce some new products under this category as well.

Moderator: The next question is from the line of Himani from ICICI Prudential.

Himani : I wanted to ask on the CPC business. So on the crop protection, the export -- just wanted to understand how much percentage of gains is coming from foreign currency, like - foreign currency gains?

S. Sankarasubramanian: I'm not able to hear you clearly. Can you please repeat the question?

Himani : Yes, sir. Am I audible?

S. Sankarasubramanian: Yes, now it's better.

Himani : Yes. Sorry. I just wanted to understand when our export business on the CPC side has done well, so how much percentage of gains is because of foreign currency gains?

S. Sankarasubramanian: See, we follow the netting principle. We have a net exposure. So to that extent, the overall margins -- the EBITDA what we reported, -not more than 5% to 6% of the overall Ebitda - can be attributable to foreign currency.

Himani : Okay. And just another question. So this is our NACL acquisition in last year, do we have any plans to increase our shareholding in the company?

S. Sankarasubramanian: I wish we can do that.

Himani : Okay, Thank you.

Moderator: The next question is from the line of Somaiah from Avendus Spark.

Somaiah: Sir, my first question is on the medium -term capex or capital allocation. Now that the PA plant and SA plant is commissioned and the granulation is also about to get commissioned. So what are the options that we have? So whether we will can add further NPK capacity from import
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substitution angle and land availability. So in terms of priorities, which will be the ones that we'll be evaluating closely? And when can we expect any plan for the next couple of years? That's my first question?

S. Sankarasubramanian: In Fertilizer, we are just completing the investments, and we want to ensure that we generate cash out of these investments. Meanwhile, we have this Middle East crisis, which is impacting in terms of margins. So we may not add any capacity immediately in fertilizer. Our game plan as of now, post commissioning of this new plant, will be going up to 4 million tons of fertilizers and 1 million tons of trading, predominantly DAP. So we have a fair visibility of 5 million tons at this point of time, plus 1 million tons of SSP plus organic plus urea and imported DAP. We have high visibility of 8 million to 9 million tons of nutrients. That I think will see us through for the next 2 years because we want to ensure that whatever money we have invested, we generate the cash, whether it is phos acid, sulphuric acid or finished fertilizers. In terms of the land, we always be en looking for additional land for the future growth opportunities. That investment can happen. And we have been working with Andhra Pradesh government for securing additional land for the future expansion. We are looking at other opportunities like MAP plant, which we are putting up in Kakinada for our specialty nutrient business. Besides that, we are also evaluating

purified phos acid for battery chemicals. These projects are under evaluation. If we see commercial viability, we will explore those opportunities.

In Crop Protection business, we are just completing the capacity expansion. And here again, we wanted to focus on generating the cash -- we are also trying to see how best we can realize value out of any investment. We may not be adding capacities for active ingredients because we have spare capacities available in NACL. Hence, we will try and leverage the capacity between both the plants on the AI side. In Crop Protection business, the investment will be more towards marketing, brand building, channel network creation rather than focusing on any asset creation.

Besides this, we are expanding our Retail network, which doesn't cost us much in terms of the capex. It's more towards creation of network and providing additional supply chain capabilities.

Somaiah: Got it, sir. Sir, also on NACL, so this time, we have seen margin improvement in NACL. So we are more or less this is the intended level of margin or this is kind of -- we'll be stabilizing at this level or we see further scope for improvement in NACL margins?

And second, related to NACL, this time in our own crop protection, we had a very strong revenue growth. So you had alluded to exports. So what in terms of product portfolio or the difference that's leading to a decline in NACL versus a strong growth for us in our stand-alone business?

S. Sankarasubramanian: With the current product portfolio, I think we have reached a reasonable level of EBITDA. In fact, if you remember in the time of acquisition also, we talked about EBITDA, which has fallen to 3% - 4% in first stage will move to 7% - 8%, and then we'll move it to 10%-11%. Unless we introduce new products, which again will take 2 -3 years time, sustaining this margin at this level is the best we can do for NACL. That's the reason they are looking at investing in intermediate

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capacity creation, CDMO opportunities. Those are other value chain creation we can do to improve EBITDA margins.

We continue to pursue efficiency improvement initiatives which can take extra 1% or 2% margin. But any significant improvement to align with coromandel will call for additional investments and new products to come in. It will be a little time consuming.

Somaiah: So the other part was on the revenue front, where stand-alone, we had a quite strong exports, but NACL, we had an impact there. So I just want to understand the difference, what's...

S. Sankarasubramanian: Sorry, I didn't get that second. Can you please repeat?

Somaiah: So in the stand-alone Crop Protection, we had a very strong revenue growth, which you alluded to the exports part. NACL had a decline. Just wanted to understand, I think in the comments, you also mentioned about NACL exports was a bit impacted. So just want to understand the region or molecules or what was causing the difference?

S. Sankarasubramanian: There has been some price moderation in their molecules, which they are selling it to global MNCs - that has moderated the revenue. In the case of Coromandel, our ability to pass on the input cost helped us to realize better pricing. That is why you see a top line growth in Coromandel whereas there has been a marginal reduction in NACL. It goes to the product mix between the 2 companies.

Somaiah: Sure, sir. Just one last thought on sulphur. I mean we were expecting at a point in time, sulphur can come at least come off slightly, but it's still continuing to hold your thoughts on this?

S. Sankarasubramanian: Sulphur is actually against our initial expectation - sulphur is holding high. I think sulphur is likely to remain high for some time, but it's not sustainable. If you recollect sulphur used to be a disposal issue for most of the oil companies but sudden

ly the price has gone up . There are structural shifts happen ing in terms of demand from EV batteries for nickel leaching leading to higher offtake from Indonesia and other countries. Still we feel that these are exorbitant levels. It should come down but it may take a while . So that is where as an Indian fertiliser sector , we decided to stay out at these price points as it doesn't make economic sense. We strongly believe the prices should soften. These are not sustainable.

Moderator: The next question is from the line of Vivek from DSP Mutual Funds.

Vivek : Sir, sorry, I joined the call a little late. I have just one question. You said that you're going to exploit the capacities you've added for the next 1 to 2 years. So have you given a capex target, sir, in terms of what you'll see for the next 1, 2 years in terms of rupees crores?

S. Sankarasubramanian: See, these things change. If there are opportunities, definitely, we do invest in capex . But at this point of time, we wanted to realize value of the investments what we have made. In fact, last 3 - 4 years, we have invested close to INR7,000 crores, both for organic and inorganic opportunities. It's very important for us to get the returns on those investments before we embark on further capex .

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So I would put a normal sustainable capex of INR300 crores would be the number we'll look at. But having said that, if there are good opportunities and there are any reasonable return projects coming, we'll not be opposed to look at that.

Moderator: The next question is from the line of Riju from Antique Stock Broking .

Riju: Congrats for a decent set of numbers amid challenging environment. My question regarding the industry level shift. If I look at in terms of NPK at a farmer level prices that are much, much higher compared to last year, while if I look at the DAP prices at the farmer level, that is roughly at INR27,000 per ton. So how do you see the shift in terms of NPK to DAP again in this year? Or like how is the consumption level market share of DAP , NPK and overall non Urea consumption as of now?

S. Sankarasubramanian: No, the shift is not happening. But if it continues to remain like this for a long period of time and the subsidy is not corrected for NPK we can't correct MRPs beyond certain levels. Then this will have a challenge for farmers looking for cheaper alternative. DAP, which is a high P product is available at INR1,350 per bag , whereas low P product like 20 :20 is going at INR2,100. It doesn't reflect the balanced nutrition need of the crop. I hope as and when the subsidy revision happens, it will bring some normalcy. Current artificial pricing of DAP price is also impacting at this point of time. I don't think the reverse shift will happen. It is also a function of availability - DAP is not available beyond certain volumes. And government also is encouraging farmers to look for alternates like SSP, organic fertilizers. I don't think the shift from NPK to DAP will happen , but higher price can lead to demand destruction. That is what we have been presenting to the government as well.

Riju: Understood. And sir, in terms of the B MCC, I think the ramp -up during the quarter was robust. So if you could highlight that thing as well. And also, if I look at in terms of the depreciation overall, depreciation overall this quarter was much, much higher on a sequential and on a Y -o- Y basis. So if you could help why that is the case?

And also adding to that, if you could give us a sense that due to the commissioning of sulphur ic acid and phosphate capacities in 4Q, so how much additional depreciation that you have booked during this quarter?

S. Sankarasubramanian: For the consolidated numbers , this additional depreciation also includes the amortization of mining costs . As per the accounting standards, some of the mining

costs relating to overburden

needs to be grouped under depreciation. So the spike in depreciation, what you're seeing is not because of additional capex . Only on account of additional capex , the increase is around INR16 crores to INR18 crores, not more than that. The rest of them is only amortization expenses in mining operations. Plus when we do the consolidated financials, as per merger accounting, we have to amortize intangible assets close to INR21 crores. So this is a combination of PA -SA gap of INR16 crores and amortization of NACL intangible 's INR20 crores and rest is coming mainly from mining charge towards overburden .

Riju: Sorry, sir, how much was for the mining?

S. Sankarasubramanian: Mining will be INR30-odd crores.

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Riju: In terms of overall mining capacity of mining activities and also how that -- how in terms of the overall improvement in the fertilizer business EBITDA. So if you could quantify that?

S. Sankarasubramanian: See, mining operations are to be seen in two context s. One is what is the margin we capture in the overseas entity. That is only one aspect of it. Suppose if we have 0.5 million ton of rock

phosphate produced there at a net EBITDA of even \$30, 0.5 million tons, that's a minimum number we are talking about accruing year after year. That is the value what we capture in that company. But it also makes a difference once the rock gets converted into acid and the value gap in acid is captured. BMCC provides raw material security for our new project at Kakinada plus the value gap on phosphoric acid, which we accrue as compared to imported phos aid. It is more of a strategic investment to ensure supply security, capturing value on rock side as well as on the value on conversion to acid.

Riju: Understood. And sir, one last question in terms of the CP business. So if you could provide us the mix of exports and the domestic CP business, including the NACL numbers?

S. Sankarasubramanian: Can I ask my team to get back to you on the specifics how much breakup I will get back to you on this.

Riju: Sure, sir.

Moderator: The next question is from the line of Ranjit from IIFL.

Ranjit: Congratulations for a good set of numbers in a challenging environment. My first question is on your commentary that you shared that the fertilizers are now being sold through QR code. If you can shed more light on the dynamics that are playing out on ground or the government's policy, are these to be taken as a parts and pieces that may eventually lead to an ideal DBT implementation? That's my first question?

S. Sankarasubramanian: That's my wish as well, if that happens -- actually, it's quite effective. I have witnessed myself the pilot operations in one of our retail stores. The QR code given by the farmer links to his farm holding and type of crop. Accordingly, dosage of Urea, DAP and NPKs is recommended and it is linked to the retailer. Retailer takes this QR code into his POS machine and accordingly deliver the bags what has been mentioned there. The farmer has to restrict the purchase to that many number of bags. So that does 2 things, more use of straight fertilizers like Urea and DAP is restricted that can bring about a huge savings for the government in terms of subsidy. It helps the farmer to ensure that the overuse of N is taken care of. It also takes away the arbitrage available to the channel because of urea demand. I think it's a win-win situation for all the stakeholders, and I wish this function s well. If it gets replicated all across, it can bring about some sanity and balance fertiliser usage and ultimately can lead to direct benefit transfer to the farmers.

Ranjit: Right, sir. A guidance of how much is this being implemented, it's on a pilot basis in which states or districts it's been started?

S. Sankarasubramanian: They are trying to

do it in 10 to 12 states, 2, 3 districts in each state. I will get back to you in specifics, that is what my understanding. Of course, it has been picked up major district in Coromandel International Limited
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Telangana and one more district in Karnataka. That is where we have witnessed the process. But I'm very impressed with the way the system function s.

Ranjit: Sure, sir. The second question is just trying to understand the difference. So you do consol minus standalone, the EBITDA that we see in the remaining part has seen quite a bit of a jump. I understand that a part of it is due to NACL consolidation and some growth in the base business, but it's still not able to reconcile that figure. There is a gap of INR30 crores, INR30-odd crores. Is this attributable to BMCC profitability?

S. Sankarasubramanian: Yes, that's what I was telling. See, in the mining cost, it comes below EBITDA under depreciation. The previous caller also has been asking for the reason for spurt in depreciation number. That includes amortization of mining expenditure, which comes below the line. So to that extent, the BMC C increase in the consolidated financials is showing up in EBITDA. But after providing for this amortization, the net impact comes down. That is INR30-odd crores, which has got included.

Ranjit: Right, sir. Sir, one request from our side is that now the non -subsidy business is kind of gaining scale. And in yesterday's press release, we also started highlighting or at least mentioning the crop protection EBITDA. If you can also try and give a bit more KPIs on the non -subsidy front, the subsidy EBITDA and non -subsidy, at least to monitor them going forward would be helpful from our side, and that would help us to understand the company a little bit more in detail. That's the request from my side?

S. Sankarasubramanian: So we should do that definitely. We'll try and put those in there.

Moderator: The next question is from the line of Tarang from Old Bridge.

Tarang: So a couple of questions, one on Crop Protection and the other one on fertilizers. So first on fertilizer, stepping into Q1, from an industry vantage, the industry already had excess inventory, a sizable inventory. And you did call out that there was some element of prebuying because there were lower MRP packa ge that were sort of available.

So in that context, the real impact of high -cost inventory would have probably impacted only the latter part of this quarter. So just wanted to understand, over and above the subsidy, what is

the broad pricing trends, pricing actions that the industry has taken?

And number two, given that now the inventory that would be in the system would be fairly expensive and at least sowing seems to have caught up now, how should we look at Q2 on this business and for the fertilizer business? So that's on the fertilizer. And on crop protection, I'll probably ask after the first question's response?

S. Sankarasubramanian: You're right, actually. Whatever we could do in terms of the price increase has already happened in this year. Beyond this, it has to be supplemented with the subsidy correction. That's the exact reason why we are impressing upon the need to update the NBS rates for Kharif. We hope that at Rabi revision will happen. The correction we are seeking is for the ongoing kharif season because we don't want to increase MRP beyond the current level.

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Having said that, there has been correction in some of the global raw material prices. You know the urea having gone up to \$900 has come down now. Ammonia has started softening. And sulphur is only a matter of time before it comes off. The industry has been very cautious in building up inventories, and there has been a lack of supplies as well. Most of us have calibrated our purchases and production to avoid any c

arryover of high -cost inventories. Further price

increase is not doable, it has to come from subsidy. Let's hope it happens.

Tarang: And how much has been the price increase, I mean, on a broad basis for this quarter?

S. Sankarasubramanian : 25% - 30%, across grades .

Tarang: 20 to 30% ? Is it ?

S. Sankarasubramanian: 25% - 30%

Tarang: Got it. Okay. On the Crop Protection business, your opening commentary, whether your commentary on domestic crop protection consumption or even on international markets for the broader market was slightly soft. But despite that, the stand -alone business has grown 20% -- just trying to understand what part of that business has really grown? Is it B2B technicals, B2C branded? Is it really your export technicals or your export B2C franchise?

So if you could give slightly granular sense on what part of this business really did well? Because what we understand is technical prices broadly have come off again, which is also sort of visible on NACL prices. And secondly, given how fertilizer prices have inched up globally, just wanted to understand what is the pattern? What is the demand pattern that's emerging from farmers, both in India as well as abroad for crop protection?

S. Sankarasubramanian: You're absolutely right. Global agri commodity prices are softening . It has not gone up . The farmers affordability has come down. Farmers are looking for cheaper alternatives and specialties are getting push back. And that is where some of molecules, active ingredients, what we are dealing with are gaining some traction. Fortunately, these molecules are not the ones which China is in. China has artificially kept active ingredients at low prices and intermediates at a higher level. There are certain markets which can take this sort of a price increase . This may sustain because of the nature of the molecules. The AI prices are better than what it was earlier.

Currently, we are focusing on B2B exports, but our aim is to see how best we can get into B2C.

Right now, we are not having B2C presence. We are exploring opportunities to create specific brands and also combination products based on our A I's. That effort is underway for the long - term sustenance and demand for these molecules.

Moderator: The next question is from the line of Dhruv from HDFC AMC.

Dhruv: Sir, looking at the NPK production data for the industry, it seems it has come off significantly in 1Q, probably 4Q was also a bit lower and imports have also come down. Now is it fair to

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understand that the subsidy policy by the government will be key for this number to probably go up. Is that a fair way to think of this?

S. Sankarasubramanian: 100%. Otherwise, it doesn't make economic sense for the people to produce . Domestic capacities cannot afford to produce at the high input prices of sulphur and ammonia. So it's critical for the subsidy rates to get revised if the production has to come through otherwise, it can have an impact in Q2 as well.

Dhruv: Got it, sure. And sir, secondly, given the market dynamics currently, are we seeing any change in the adoption of Nano DAP , Nano Urea probably more entrenched at least in the foliar application where it probably works well?

S. Sankarasubramanian: Ideally it should happen, but unfortunately, some of the state governments like UP and Maharashtra have banned these products that has put a hold on the demand for these products.

Had it not been for this, definitely, the volumes would have picked up. We have seen a very good response. We strongly believe in these products. In fact, globally also, we have a good response. We started exporting nano products last quarter.

Coming quarters, we'll be focusing on how we improve our international business on nano products once the registration comes through. Our Nano DAP is

working very well, and we are

confident. We have been diligently promoting this across various geographies and the response has been pretty good.

Moderator: The next question is from the line of Prashant from Elara Capital.

Prashant: Sir, while in Q2, we will have benefit of higher production. And just wanted to get a sense of to maintain the same level of EBITDA per ton, supposedly, how much increase in subsidy would one seek?

S. Sankarasubramanian: Prashant, Let subsidy come and then we will derive the EBITDA per ton.

What we have been asking government is to give us what is due to us. Policy envisages 6 months average rates to be applied for NBS. In this global environment, no plant can sustain this sort of cost increase and try to achieve EBITDA. So what we are seeking help from the government is to provide the 6 months average, & rest can be taken as NP, NPKS pricing is not controlled.

Prashant: Yes, sir, that is what I was asking for. I mean, how much is due to the industry? And how much has the government not given yet?

S. Sankarasubramanian: It varies for the nutrients. In 'N' & 'P', significant correction is required. The 6-month average price that prevailed prior to April, and what we got under NBS has got no relevance.

Prashant: Right. And Sir, secondly, on this QR code-based selling of fertilizer. Sir, if this is applicable pan-India, then there could also be some rationalization in fertilizer sales whosoever are using it on an excess. Would that understanding be right?

S. Sankarasubramanian: Urea and DAP definitely. It is not happening on NP/NPK. Ideally, it should increase the demand for NP/NPK fertilisers.

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Prashant: Okay. So for NPK consumption is not in excess, but for DAP, it is there is what you are trying to say?

S. Sankarasubramanian: Yes. There is overuse of N and P - both Urea and DAP may get curtailed.

Prashant: Right. And sir, as per your annual report and also from the data that you shared ...

Moderator: Sorry to interrupt, Mr. Prashant. May we request you to join the question queue again for your follow-up question as there are other several participants waiting for their turn. You may go ahead, Prashant.

S. Sankarasubramanian: Prashant, Please go ahead.

Prashant: Yes. Sir, on the CP part, we are already running above capacity. If you can share some expansion plans, which you might have there? And on BMCC side, if you can repeat what you told in the opening remarks regarding the capex?

S. Sankarasubramanian: On the BMCC, currently, we are operating the plant closer to the target volumes of 5 lakh tons of rock phosphate production. That is going as per plan. Besides that, we wanted to invest in a single super phosphate facility, it doesn't cost much maybe \$5 million to 6 million to create 100,000 - 150,000 tons of SSP.

But it provides a huge opportunity because we'll be using the reject rocks to process and produce SSP for the domestic market as well as for the export market. So it provides the value addition of rock phosphate in Senegal and also we can export to other countries from there.

Once we succeed in the smaller capacities, then we may look to expand the capacity so that we can capture the value in Senegal itself. So besides supplying rock to India, we can also look at capturing value there.

Moderator: The next question is from the line of Darshita Shah from DSP Asset Managers.

Darshita Shah: My first question was regarding the delay in the subsidy -- incremental subsidy announcement. We have been waiting to hear back on this since the last quarter. If you could just throw some light on what's causing the delay from the government's end?

S. Sankarasubramanian: Obviously, there is a pressure on overall subsidy bill across various product categories. Government gives cost pass through for Urea and with higher

gas price, urea subsidy is going

up. With the DAP being compensated fully, there is a reasonable amount of allocation happening for DAP as well. And hence, there is a pushback on NP and NPK. We have represented to the government.

Darshita Shah: Okay. Got it. Sir, secondly, with the incremental capacity coming in, in the fourth quarter of this year, how are we seeing -- what are we doing with respect to entering the new markets? We have spoken about it a little in the past, but if you could say -- if you could just share with us what are the key new markets that you're looking at? And any key markets where you feel that we may

be able to gain incremental market share, maybe somewhere like Maharashtra or something on those fronts?

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S. Sankarasubramanian: Capacity is 750,000 tonnes. We want to sell 50% of the volume through our own retail outlets. We are increasing our footprint in Maharashtra, Tamil Nadu and also increasing number of retail outlets in Andhra & Telangana. So in the current markets where we have significant presence, we will be maximizing our sales through our own retail outlet. For the balance 50% of around 3,50,000 – 4,00,000 tonnes, we have already started seeding the markets in UP, Rajasthan, MP, Chhattisgarh, so these markets can absorb the balance only. So I don't see any challenge in taking the additional volume.

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund.

Naushad Chaudhary: Just one clarification, sir. Based on our calculation, looking at the price hike industry has taken, still there is a substantial could be historic high requirement from the government in terms of fertilizer budget, which I think industry have not experienced any time in the past. And looking at the different commitments government has on the balance sheet side, could this be the year where everybody from farmer to companies and government, everybody has to take or take the share of the hit which the sector may face?

S. Sankarasubramanian: What we are seeking is in line with policy. We are not asking for any additional ad hoc subsidy, which has been given to DAP or for urea to absorb the additional gas price. NP, NPK fertilizer is currently produced predominantly in India. What we are seeking is the average 6 months rate, which is defined under the policy.

Moderator: The next question is from the line of Nirav from Anvil Wealth.

Nirav: Two questions. So first on the capex part, like in last 5 years, we have invested close to around INR7,000 crores. So let's say, given the steady state and this capex, which we have generally invested towards the backward integration and the strategic part. So on a steady-state basis, how much of the EBITDA the returns could -- this capex could generate over the next 2, 3 years given the kind of ramp-up we are seeing in terms of the strategic investments as well as the backward integration projects?

S. Sankarasubramanian: Yes, I did talk about this some time back. Our average EBITDA, which used to be INR5,000 need to go up to INR6,500 per metric ton.

Nirav: Correct.

S. Sankarasubramanian: That is the improvement we are looking for as far as the nutrient business is concerned and rest of the capex towards acquisition is towards Senegal operations or towards new capacity creation in Crop Protection business. The way the margins are accruing to Crop Protection business, we see the payback of less than 3 years in some of these capex.

Nirav Jimudia: Correct. And I think we have also expanded the capacity on the bentonite sulphur side, where we have doubled our capacity, taking the total specialty nutrients capacity to close to around 88,000 tons. So if you can give us some sense in terms of how much the Specialty Nutrient business would have contributed in that INR3,100 crores of EBITDA, which we have

ve generated

in FY26?

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S. Sankarasubramanian: We don't put out a separate number for specialties, but all we can say is we have been continuously growing the top line of Specialty Nutrient business by 25%-30% with EBITDA margin of 20%. Of course, the Sulphur expansion has not really helped due to the current situation, but these are temporary. Once things normalize, we should be able to utilize the capacity.

We are looking at MAP, which is again a strategic investment from raw material sourcing as well as for trading opportunities and it will come up after 1 year or so. Granulation of specialty nutrients and organic fertilizer helps us to diversify the product portfolio towards seaweed granulation, gypsum granulation and other micronutrient granulation. These products are gaining good traction from the farming community, and they are high-margin products and doesn't cost much. The specialty nutrient business is growing really well and with the stress on crops, definitely farmers will use water soluble grades in the drip irrigation system, and we hope to take advantage of this opportunity.

Nirav Jimudia: Clarification on the SSP side, like you mentioned in your opening remarks that now 50% of our volumes are specialty ones. So let's say, on a steady-state basis, what one should assume now in terms of per metric ton contribution from the SSP business?

S. Sankarasubramanian: INR 2,500 – INR 3,000

Moderator: The next question is from the line of Vipulkumar from Sumangal Investment.

Vipulkumar : Can you give some figures regarding Dhaksha, our drone company?

S. Sankarasubramanian: At this point of time, we are focusing more on agri drones, which has gained good traction. In fact, Coromandel itself has purchased close to 100 - 150 drones this quarter, and we are trying to expand the fleet to 500 drones during the year. So Dhaksha will be mainly catering to agri drones. Until we get the defense orders, we'll be focusing on agri verticals.

On defense orders, we are in the final stage - as and when it materializes, we should be able to scale up the volumes. There are humongous opportunities available in this sector. We'll continue to pursue them. We are trying to strengthen the supply chain and develop the complete ecosystem. We are working on it. It's still work in progress. It's too early for me to comment on the numbers.

Vipulkumar : But are they a big drag as far as EBITDA level is concerned or...

S. Sankarasubramanian: It's not very significant.

Vipulkumar : Okay, sir. And lastly, you said due to this backward integration, our EBITDA in NPK will move to INR6,500 -- so that is what I heard. Is that correct, sir?

S. Sankarasubramanian: Yes. That is what we have been telling - once we commercialize the plant in a steady state, we should generate that kind of number . But don't ask me this number for this quarter. It may not happen because of the spurt in input prices. In a normal situation, we should realize that sort of an EBITDA. But these are abnormal periods once the normalcy restores, we should realize that.

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Vipulkumar : Yes, yes. all things being equal, it should reach there, right, sir?

S. Sankarasubramanian: Yes, absolutely.

Moderator: The next question is from the line of Sandeep Mukherjee from SKP Securities.

Sandeep Mukherjee: Sir, I wanted to know at what levels of sulphur -- I mean, what levels of pricing of sulphur do you think optimal backward integration kicks in? Just for understanding, sir?

S. Sankarasubramanian: Given the Phos phoric Acid price of \$1,700, at least we want \$800 of sulphur .

Moderator: Due to time constraints, that was the last question. I now hand the conference over to the management for the closing comments. Over to you, sir.

S. Sankarasubramanian: So tha

nk you very much, and thanks for raising some insightful questions, and we strive to do our best and hope the situation improves and the offtake improves and we also improve on the subsidy realization from the government. Thank you for your interest in Coromandel. Thank you, Manish.

Moderator: Thank you. On behalf of Coromandel International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.